

Aditya Birla Fashion and Retail Ltd. (ABFRL)

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May 24, 2023

BSE Limited

Scrip code: 535755 & 961915 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q4 FY & 22-23 Earnings Call of Aditya Birla Fashion and Retail Limited ("the Company")

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015 ;

2.ISIN: INE647O01011 & INE647O13016 and

3.Our intimation dated May 12 , 2023

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q4 & FY 22-23 Earnings Call held
on May 22, 2023 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the
website of the Company i.e. www.abfirl.com.

Thanking you,

Sincerely,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

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ADITYA BIRLA FASHION AND RETAIL LIMITED

Page 1 of 19

"Aditya Birla Fashion and Retail Limited Q4 & FY23
Earnings Conference Call"

May 22, 2023

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR

MR. JAGDISH BAJAJ – CFO

MR. VISHAK KUMAR – DIRECTOR & CEO (LIFESTYLE
BUSINESS)

MS. SANGEETA PENDURKAR – DIRECTOR & CEO
(PANTALOONS)

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 2 of 19

Moderator: Ladies and gentlemen, good evening and welcome to the 4th Quarter and Full Year Earnings
Conference Call of Aditya Birla Fashion & Retail Limited.

The call will begin with a brief discussion by the Company's management on the Q4 FY23 and full year FY23 performance followed by a question & answer session. We have with us today Mr. Ashish Dikshit – Managing Director; Mr. Jagdish Bajaj – CFO; Mr. Vishak Kumar – Director & CEO (Lifestyle Business); and Ms. Sangeeta Pendurkar – Director & CEO (Pantaloons). I want to thank the management team on behalf of all the participants for taking valuable time to be with us.

I must remind you that the discussion on today's earnings call may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risks that the Company faces. Please restrict your questions to the quarter and full yearly performance and the strategic questions only. Housekeeping questions can be dealt with separately with the IR team. With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you and over to you, sir.

Jagdish Bajaj: Good evening and welcome to the Q4 and FY23 Earnings Call for our Company. Let me start with highlights of the quarter:

The quarter saw the highest ever Q4 revenue for the Company at both stand-alone and consolidated level, which was driven by strong retail L-to-L, omnichannel play, and network expansion. This is despite the fact the overall industry continued to face subdued demand post festive period, especially in value and masstige segments. Our brands on account of their inherent strength, lower customer base, and brand-building initiatives continue to grow from strength to strength. Our strategic growth levers have enabled us to maintain an impressive revenue growth for the 6th consecutive quarter post recovery from COVID. Our Company has remained committed to its ongoing marketing investments which have been in place for the past few quarters. These spends are aimed to strengthen our brands, increase our market share, and be ready to seize the long-term surge in discretionary spending.

Additionally, we have continued to aggressively grow the distribution network and enhance our capabilities for existing as well as new businesses. It gives me immense pleasure to tell you that our Company in FY23 added a record more than 500 stores and also added 1.6 million square feet of retail space to the network.

Now, I will talk to you about "Financial Performance":

The Company delivered sales of Rs. 2,880 crores, which is a growth of 26% over the same quarter last year. The Company achieved a consolidated EBITDA of Rs. 232 crores. EBITDA for this quarter was impacted due to subdued sales, building organizational capabilities for all Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 3 of 19

our businesses and investment in brand building which were Rs. 55 crores higher than Q4 last year. The Company's consolidated PAT was negative Rs. 195 crores. In terms of expansion, our branded business added 104 stores led by addition of 25 stores by ethnic business. Pantaloons also continued to expand as the business achieved a net addition of 25 stores during this quarter. The Company experienced a remarkable 77% year-on-year growth in e-commerce sales across its portfolio, primarily due to successful B2B partnership in the e-commerce space and strong emphasis on enhancing our own brand website. Our Lifestyle Brand launched a new super app that aims to offer customers a seamless experience and curated range of options across our 4 Lifestyle Brands.

Now, let me update you on "Full-Year Performance":

I am very glad to inform you that our Company has made a remarkable recovery post COVID as demonstrated by 53% growth in sales versus last year to reach Rs. 12,418 crores. Our

resilience and strategic initiatives have propelled us to reclaim this momentum and strengthen our position for a strong future growth. The Company posted EBITDA of Rs. 1,617 crores, an increase of 34% versus last year. EBITDA margin stood at 13% for the year. As our Company significantly surpassed pre-COVID levels in terms of revenue, we also intensified our product focus on brand-building initiatives. Our marketing spend was more by Rs. 350 crores versus last year. The Company's consolidated PAT was negative Rs. 59 crores. The pre-Ind AS number would have been a profit of Rs. 57 crores.

I am pleased to tell you that in line with our strategic initiatives, Lifestyle and Pantaloons are now 1.5x of last year reaching Rs. 6,608 crores and Rs. 4,069 crores respectively in revenues. Apart from the established businesses, I am delighted to share with you that the total size of our newer ventures which comprise of businesses in high-growth areas is already more than Rs. 2,000 crores. We have added this scale to the ABFRL portfolio in the last 5 years while our established businesses – Lifestyle and Pantaloons – have also grown almost twofold over the same period. Our innerwear, youth fashion, and international brands together have grown more than 48% over the last year. Ethnic business grew 84% over the last year to reach Rs. 574 crores. Rebook is now well placed to become a major player in the Indian sportswear segment. TMRW has acquired 7 brands and is on track to build an exciting portfolio of next-gen digital-first brand for the next decade. Our consolidated net debt stood at Rs. 1,422 crores, as we continue to invest

in our operations and new businesses.

I will now take you through the performance of individual businesses starting with Lifestyle Brand:

Lifestyle Brand posted its highest -ever Q4 revenues on the back of robust retail performance and strong e-commerce performance. Revenue for the quarter was Rs. 1,535 crores, 14% higher than last year. EBITDA stood at Rs. 225 crores. For the quarter, retail business grew by 31% over last year on the back of solid net addition of 128 stores during the last 1 year and consistent

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 4 of 19

same -store sales growth. Further, e-commerce continued to be a strong sales channel, as e-commerce sales grew by 49% Y-o-Y. For FY23, sales stood at Rs. 66 08 crores, a 46% growth over last year. This growth was driven by premiumization and casualization, as the brands continued to build on their leadership position and gain market share. The business EBITDA crossed Rs. 1,000 crores for the first time to reach Rs. 1,095 crores, a growth of 39% year on year. EBITDA margin was 16.6% for the year. This year, women's wear business within the Lifestyle Brand achieved more than 70% year-on-year growth in FY23. Also our presence in small -town India has aggressively expanded now totaling 600 stores.

Moving onto Pantaloon's business :

The Pantaloon's division recorded quarterly sales of Rs. 798 crores with a growth of 18% over the last year and 13% L-to-L growth. This was achieved despite a demand slowdown in the value segment. The performance in metro cities continued to remain strong but sales in Tier-2 and Tier-3 cities remained sluggish as inflationary pressures and weak consumer sentiments impacted the demand. The sales for FY23 stood at Rs. 4,069 crores, a 55% growth over the last year. Pantaloon's posted an EBITDA of Rs. 635 crores with a margin of 15.6%. Pantaloon's continued to expand its private label portfolio with new launches addressing diverse spaces like casual, innerwear, and youth segment. This year, Pantaloon's significantly ramped up its store addition with 54 net additions, twenty-five of which opened during Q4. We plan to sustain this momentum in the coming fiscal year as well.

Now, let me speak about other businesses in Madura :

Other businesses seg

ment continues with its outstanding performance. The portfolio comprises of 4 business lines – Active athleisure innerwear, youth fashion brands; super premium brands; and Rebook. During the quarter, this portfolio posted a revenue of Rs. 392 crores, an 81% growth over the last year. This portfolio recorded a revenue of Rs. 1,352 crores, a growth of 57% Y-o-Y in FY23. Let me start with innerwear business performance. The business in FY23 posted 33% Y-o-Y growth with retail revenue doubling over the last year. During the year, brand strengthened its reach to exit with 32,000 trade outlets and 175 exclusive brand outlets. The business also unveiled its fresh new retail identity setting the stage for a more dynamic and personalized shopping experience. Youth fashion brands consisting of American Eagle and Forever 21 delivered strong performance. American Eagle in FY23 delivered 89% revenue growth with 67% L-to-L growth. Brand opened 6 new exclusive brand stores in Q4 and now available at 37 EBOs. Forever 21 continued to expand its newer market as the brand posted 40% revenue growth over the last year in FY23. The brand also added 9 stores via asset light model in the last 1 year showing the trust the brand has gained over the years. The Collective and other super premium brands business witnessed a sharp growth of 60% over last year in FY23 with a very strong 41% L-to-L. The Collective is growing profitably not only in metros but in non -

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 5 of 19

metros as well. Online revenues continue to surge as our own e-commerce site thecollective.in is on the path to be a premier luxury e-commerce destination in India.

Ethnic business :

As you all know in 2018, we outlined our growth strategy to be built around ethnic wear, the largest segment in the Indian fashion space. Over these years, our Company has made several organic and inorganic moves with an objective to build a comprehensive portfolio brand in this key segment. This quarter, our ethnic segment achieved a revenue of Rs. 174 crores and has grown 72% Y-o-Y. This portfolio recorded a revenue of Rs. 574 crores in FY23 growing to 1.8x of last year. The business continued to invest in brand-building initiatives and strategic new store openings. In FY23, Sabyasachi grew 50% Y-o-Y, as the brand launched 2 new stores. Men's premium ethnic wear brand, Tasva, has continued to expand its network aggressively and is now available across more than 50 crores. Brand Tasva and its products continue to do well, recognized by the consumer and the industry. Jaypore's FY23 revenue grew 90% Y-o-Y, as the brand in FY23 added 8 stores to the network to exit the year with 18 stores. Shantnu Nikhil

posted its highest ever yearly revenue with 53% growth Y-o-Y. SNCC by S&N, a sports inspired Lifestyle Brand, continued to gather customer interest. Also, as you are already aware – and we had a separate conference call as well for it – ABFRL board has approved the Company to acquire 51% stake in TCNS Clothing Company Limited through combination of an SPA with founder promoters and a conditional public open offer. Subsequently, it also proposed that TCNS will be merged with ABFRL through a scheme of amalgamation post receipt of necessary approvals. These deals will help us complete our ethnic wear portfolio and expand our existing ethnic wear portfolio into the premium women's ethnic wear segment. As I am talking to you today, we have made rapid progress in the process and already filed the necessary applications with the regulators for their approval.

Leveraging our strong brands and their category extensions, our ethnic wear portfolio is primed for rapid growth. We are confident of raising a substantial and profitable business in the coming years.

To Conclude:

The Company continues to be on track to follow its long-term strategic objective. Our branded strategy as being t

he key driver of our success till date has enabled us to differentiate ourselves, build customer trust and loyalty, and effectively deliver our value propositions. Now, with a portfolio of very strong brands in the fast-growing segments, we are confident to build a comprehensive portfolio of offerings for all the consumer segments, wearing occasions, and price points.

We are open to questions now.

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 6 of 19

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We have our first question from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal Mahesh Jham: Sir, three questions from my side. First is specifically on the margins for the Lifestyle Brands. There has been around 8% kind of Y-o-Y contraction. If you could just help us with what part of this was related to the incremental marketing spends which you highlighted and also the aspect of operating deleverage?

Vishak Kumar: First things first. Usually, we do about 16% to 17% EBITDA in a quarter. This quarter was about a couple of percentage points lower than that. Last year Q4 had some exceptional gains that we had one-time gains. So, don't go by 1 quarter per se. But this quarter, fundamentally the difference was additional investments and advertising by a couple of percentage points. Plus, there were some rent concessions we had last year which we did not have this year. If you remember, last quarter was the last of the COVID rent relief that we had received from landlords which was spread through the 4 quarters of last year. This year, we did not have any such gains. But otherwise, basically and fundamentally, the difference between our typical average quarterly EBITDA versus this was about a couple of percentage points largely because of advertising delta. And you would see our brands very strongly advertised through various events even as we speak right now.

Nihal Mahesh Jham: Vishak, a follow-up on Madura, was on the wholesale channel. Again, while retail has done reasonably well, we see that that channel has again seen a bit of a contraction. What is the outlook or thought on that channel going forward?

Vishak Kumar: Actually, wholesale is fairly strong for us. Q4 you would see a negative primarily because we had done some accounting changes of a lot of buy & sell stores which we had converted to consignment. If you take that away and also if you look at it from a full-year perspective, it's a fairly healthy growth. Also, that channel is poised for a lot of growth. In fact, we just concluded a partner meet about in the end of March, where there is a lot of optimism around the kind of things that we are doing in the wholesale channel. So, my sense is that we continue to be leading the brands across various large chains. It's a strong channel. Don't go by the one quarter number which is primarily because of conversion of a set of stores, a large number of stores from buy & sell to consignment to enable superior replenishment model.

Nihal Mahesh Jham: So, this is a one-off adjustment in Q4?

Vishak Kumar: That's right, yes.

Nihal Mahesh Jham: Okay. I will maybe take those numbers offline. Last question was on the debt part. From Q3 to Q4, there has been a reasonable increase in debt. That was as per expectations? And second is,

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 7 of 19

at the time of the TCNS call, we did highlight a target of our debt to EBITDA and how is the bridge to that if we could just discuss, that would be helpful.

Ashish Dikshit: Nihal, let me answer your first part of the question. I think the increase in debt in this quarter has been slightly higher than what we had anticipated, primarily and I would say also entirely led by drop in sales versus the estimates that we had

across our businesses. Effectively, from the base that we were.... If you look at our growth rate, in the first 3 quarters, the Company as a whole was growing at a very rapid pace and to that extent, despite an Omicron wave in this quarter, sales growth has been slightly lower than our internal estimates and that's what has resulted into higher inventory and to that extent, some large part of debt has come through that. Additionally, we have made investments in subsidiaries – TMRW and ethnic subsidiaries – during this quarter and that has further increased the debt to this level.

Nihal Mahesh Jham: And just on the outlook on once we considered the TCNS acquisition GIC money, how do we reach the target debt-to-EBITDA? What would be the investments next year?

Ashish Dikshit: At this point of time, Nihal, we probably won't have the exact outlook on that. But to give you a sense of where that range would be, I think what Jagdish had mentioned in the call somewhere you had picked up this number during TCNS investment call, that is the outer range that Jagdish was sort of indicating towards what we might look at considering that we continue to invest in the growth of our businesses. We continue to see an opportunity both in new businesses as well as existing businesses to grow. You have seen Pantaloons investing in close to 60 stores this year. All the ethnic businesses put together have opened close to 70-75 stores. Madura businesses have more than 250 stores which were opened this year. So, we see that trajectory to continue, and therefore, while we don't have an exact number for debt for next year, Jagdish wanted to highlight that there will be a potential increase in debt towards the end of next year.

Moderator: We have our next question from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: My first question is with regard to the Pantaloons margin. If we see the Pantaloons margin even on a reported basis, that has come to around 8.5%. Even if this 8.5% we consider one-off, what kind of margins should we build going ahead? And what has impacted the margins during this quarter for Pantaloons specifically?

Sangeeta Pendurkar: Gaurav, our margin in Quarter 4 is 8.9%. And it is largely on account of the fact that we saw a little bit of sluggishness in our top line. If you look at the full year picture, in fact, FY22, our margin was 14.0% versus that we have ended the year at 15.6%. And therefore, our margin versus the full year has improved. I think it's just the sluggishness of the 4th quarter which has resulted in a slightly lower margin in Quarter 4.

Gaurav Jogani: One follow-up here. Even if we see the annual sales per square feet, that comes to around Rs. 7700 odd. And prior to year 2016-17, we were at around Rs. 8,800 per square feet. The sales per Aditya Birla Fashion and Retail Limited
May 22, 2023

Page 8 of 19

square feet hasn't picked up over the last, I would say, 5-6 years even pre-COVID levels. How are we looking to drive that sales per square feet? And in that event, do you think that the increasing inflationary cost is impacting the margins on the other hand?

Sangeeta Pendurkar: I think our SSPDs we have seen versus last year, we have absolutely improved. We have been constantly adding stores, as you know, to our network. This time, if you see, we have been presenting to every quarter a lot of our store addition has been back-ended, and therefore, you don't see that kind of a shift. We are, however, very confident of the strategy that we have been on track on over the last few years in terms of improving our product, investments that we have made in our stores to improve the in-store experience, the fact that we have invested in our operations and IT, etc., and all of that has given us initial improvement in the productivity. I think again this year, with a little bit of slowdown that we saw in Quarter 4

and the fact that our

stores are back ended, the numbers may not be stacking up, but we stay confident of the potential of Pantaloons and equally of our strategy and as the demand comes back, we definitely see that number lifting.

Gaurav Jogani: We had guided earlier of 70 stores in Pantaloons. I think we ended around with 54. For the next year, do we maintain the guidance of (+70) stores or it will be now moderated around at 54 or 55 levels?

Sangeeta Pendurkar: We had given a guidance of 60 to 70 stores. We actually opened 63 stores and we have shut about 9 stores which is a standard practice every year that you look at stores that are not profitable. Going forward, this year too, we are looking at opening 40 to 50 stores.

Gaurav Jogani: That's net 40 to 50 stores?

Sangeeta Pendurkar: Yes, net.

Gaurav Jogani: Just one last bit on the TMRW subsidiary. If we look at the exit basis run rate for the TMRW subsidiary sales, it's around Rs. 220 odd crores that we get. If I remember for FY22, the total sales for all the subsidiaries was around Rs. 314 odd crores. Implies that there were losses of around Rs. 60 to Rs. 65 odd crores also that we incurred. Anything on why the sales, a) has been

down versus the last year levels on the exit basis, and b) the losses.

Ashish Dikshit: You are asking about TMRW subsidiary's numbers?

Gaurav Jogani: Yes, TMRW subsidiary's total revenue numbers on the exit basis. If we see, it's around Rs. 54 crores for the quarter, so around Rs. 220 odd crores for the year. Even if you adjust for the seasonalities, I think it will still be lower versus the FY22 levels.

Ashish Dikshit: TMRW business started this year. Even though the brands that we have invested in the first 7 sets of brands, they have come over a time period starting from October through as late as

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 9 of 19

February -March. So, what you are seeing is a reflection of a very small period for some of the brands, full quarter for some of the brands. Therefore, this is not truly reflective of where the run rate of this business is. It's much higher than what is projected in the quarterly revenue.

Gaurav Jogani: If you can help us out what will be the possible exit target for the same? And also, on the losses part if you can help us out can we expect more losses going ahead as we invested into these businesses and now these losses will be funded?

Ashish Dikshit: It's very early stage for me to give actual number of losses and projections, Just to give you a sense of the run rate and revenue, these brands have been, as I said, acquired. Many of the brands have just had 1.5 to 2 months. Some brands have had 4 months. And to that extent, the refore, this revenue run rate is significantly higher than where we are. As far as losses are concerned, yes, we recognize that this business will have losses for the first couple of years. We had also mentioned and repeated it several times over the last 1 year that we have committed a certain fixed amount of equity to this business, which is Rs. 500 crores. A large part of it which we have already invested. About Rs. 350 odd crores has got invested in FY23. The remaining part will get invested over next year and further equity to both fund acquisitions, operations of the business, as well as losses will be raised through external sources.

Moderator: We have our next question from the line of Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah: A few questions from my end. First, Vishak, you spoke about we moving our terms of trade from buy & sell to consignment. Just wanted to understand what led us to change these terms of trade and how should I account for this change in my model in terms of accounting purpose?

Vishak Kumar: Tejash, we had exclusive stores which were on a buy & sell with the franchisee and we had exclusive stores which were on consignment.

nt. We found and we found this over a period of years

the consignment model allows you to do a certain amount of we have a special software for replenishment which allows it to function very effectively when it is on consignment. So, we took the effort of converting all the stores that we had to consignment in Louis Philippe Van Huesen and Allen Solly. That has already created a very smooth transition in terms of inventory management assortment planning. It was a one-off thing. The exercise has been completed now except for some stores of Peter England which are still on the old model of buy & sell. All other stores have already been converted. It just improves the quality of assortment planning, the amount of analytics, and the information that you have on each store, the way you replenish on a daily basis for whatever sold the previous day in the store, all of that becomes of a superior nature with this model.

Tejash Shah: How does it impact the working capital if at all?

Vishak Kumar: In some way, it is working capital neutral because the inventory investment is offset by a deposit from the partner – from the franchisee.

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 10 of 19

Tejash Shah: The second question pertains to Pantaloons. A lot of experiment in terms of model we are seeing in the large -format stores across the brands now in terms of whether COCO, COFO, and FOCO also in some cases. Just wanted to understand where are we in terms of leveraging the franchise - led expansion strategy for Pantaloons and if you can share some thoughts on how you are seeing this piece also evolving because we are seeing a lot of changes happening in the whole landscape itself in terms of the model how large -format stores have been operated in the last 2 -3 years.

Ashish Dikshit: Tejash, I will just give a quick response. If Sangeeta has something to add, she will add to it.

Essentially, over the last few years, if you see, we have maintained a franchisee mix of between 15%, 18%, 20%, 22% kind of range year on year over the last 3 -4 years. We continue to believe that's the balance that we will have. And these franchisees which have not come in 1 year, so there is no drastic shift in our model as far as we are concerned. We started moving to franchisees, started testing them in small stores, in smaller markets, and slowly over a period of time have pruned it. We think this number will probably be range bound where we were it is.

And as we expand the network, a similar amount will stay in the franchise. We don't see in our model a dramatic shift in this model.

Tejash Shah: I have a follow-up there. When I see our success in Madura piece in terms of engaging with franchises and how much working capital efficient and scalable it can be and now looking at other large-format stores also kind of leveraging that part very efficiently. I am just wondering why we are kind of restricting it to 20% or 22% only. I can understand the better brand control you have always spoken about, but now seeing that others are doing it managing both polarity of objectives very efficiently, why are we not actually leveraging that part?

Ashish Dikshit: Tejash, I am taking away the financial accounting jugglery of having financial investment being made by somebody else and counting it as a franchisee model. We have found that in a multi-category large-format multiple-product consumer segment, the kind of retail experience that's required is not necessarily easily replicable by franchisees. We are testing it. When we continue to sort of improve that which is why I am saying the number won't come down, but we don't believe a retailer should sort of completely let go off the primary business of retailing. And as our confidence in quality of franchising and consumer experience, merchandising, etc., improves over a period of time, these numbers may increase but we are circumspect

from our experience

right now large-format retailing is more complex for a franchisee to manage in terms of merchandising, consumer experience, etc. There is always a case of financially engineering it with somebody else investing and security deposit, etc., but we believe at this point of time, it's important to take control of operations, manage consumer experience, give us greater flexibility in moving merchandise, and replenishment, etc., which yourself as you pointed out, it's not that we don't know how to do franchising. We have India's largest franchisee network on the Madura side of the business. Many of them have experimented and many others have tried Pantaloon's franchising. I think it's a bit more complex operationally as well as the level of control that want to exercise and which is why we are more aggressive. At any stage if we feel more

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 11 of 19

comfortable with the idea of actually it being seamless for consumers, we will probably do it faster, but right now where we are is where we are most comfortable.

Tejash Shah: Last one if I may. When I look at our portfolio on ethnic side, it looks very wide and very deep also. Just wanted to understand just from the operating leverage perspective, how should we think about it? Whether these brands will interact with each other on the supply chain side or on the retail expansion side to bring out the operating leverage part of having such a diverse portfolio or you believe that they will individually compete against each other in some segments and let the efficiency of each brand speak out in terms of operating leverage?

Ashish Dikshit: I think two parts that these brands are very diverse. The portfolio is very diverse and to some extent we got to make sure that we do justice to individual brands. At the same time, we are building management structures which allow synergy of operations in some areas where the brand is not directly involved like front-end retail expansion as well as some areas of common back-end sourcing knowledge, etc. We are right now not integrating any operations of the business because we believe it's best run with in each individual brand, but key functional areas of sourcing, in some areas of retail business development, front end is where we are looking at synergy through common leadership management in some of these places. We need to initially make sure these brands remain distinctive and true to themselves to get to a certain size before the impact of synergy and some of those benefits start to play out more.

Moderator: We have our next question from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir: A few questions; the first is just wanted to get a sense on the revenue trends in this quarter as well as in the coming period. If I see Lifestyle and Pantaloon's, we have done mid-teens growth and maybe if I do some adjustments of Omicron benefit in the base and maybe price increase benefit, probably we would have seen flattish to maybe I don't know if at all declining volumes. And in some of the other companies' retail sectors also we are seeing similar trends. Since we are catering to multiple categories, both at the premium end as well as at the value end, just wanted to get a sense from you in terms of the current quarter as well as the outlook how is the trend; because price increase that we have taken in the previous quarters from passing on the raw material price would have more or less got adjusted. So, how do you see the revenue outlook in that context and across both premium as well as value category? Are we seeing any diverging trends?

Ashish Dikshit: Ali, let me first address the reference to price increase. The price increase in apparel industry and that's not just true for us I think for all the players in the market is almost 12 to 15 months back. The real price

increase from the cost side pressure and textile value chain came 12 to 15 months back, almost 3 seasons back. Price increases were made then. If anything, we are on the other side of the argument where there is deflationary or at least some readjustment of cost as far as textile. So, pricing is not really a factor right now. Having said that, I think you have a

Page 12 of 19

reflects softness of sales. Our overall growth rate this quarter has got affected significantly across our segments and that's really one of the points that you have made. It has also resulted in higher inventory and higher debt apart from some of the external reasons that I mentioned about the debt, but effectively, this is probably the first full quarter where the impact of slowdown is fully visible across all segments of our business. If you recall our earlier conversations in quarter 2 and quarter 1, I had referred to the lower end of the market being more affected by. Now, it appears that it is a more widespread sort of slowdown in this period. Some of the actions are looking slightly excessive or just as in Lifestyle Brands, Vishak talked about a big reversal we have taken for conversion of stores. But overall, there is a softness in the market that is clear compared to the pre-festive period.

In terms of our outlook, hard to put a number, but our sense is perhaps it's closer to the festive period when we will start seeing the kind of buoyancy that we had seen in the pre-festive period last year.

Aliasgar Shakir: And you made a comment on deflationary trends. Do you think that any softness in raw material prices will be passed on which could help you revive demand?

Ashish Dikshit: Done.... which is why I am seeing your references are behind because the reduction in raw material prices is also a 6 months back story and all of it as we started to get benefit of it has got passed on to some extent wherever brands felt it was useful and necessary. I don't think pricing alone is a factor. I think there are larger demand pressures across not just apparel industry, across discretionary pockets. Inflation, overall slowdown in the economy, and there are many other macro factors beyond the textile price value equation.

Aliasgar Shakir: The second question is on Pantaloons. We have reduced our guidance from about 60-70 stores last year to now 40-50 stores. How do I read this? Is this maybe we are now closer to the 450 stores? So, probably do you think that with 18,000 to 20,000 square feet size store to, you have reached a fair amount of base effect and therefore to that extent increasing the stores should be lower? Is there anything else that I should read into it? I was frankly expecting a much faster or larger run rate of store addition.

Ashish Dikshit: I think there is absolutely no change in our either ambition for business or our sense of opportunity. I think Pantaloons continues to have a very large run rate over a long period of time. We continue to believe that we are in an early stage as the market to organized players grows. Pantaloons is well positioned with the familiar brands and it has tremendous opportunities in existing and new markets. I think the moderation is coming primarily on two accounts. One is, we have added something like 30 to 40 stores just in the last 4-5 months and that's a very large addition. Close to 25 stores have got added just last quarter. We are doing it at times when there is a pressure on discretionary consumption and particularly for a sustained period of time at the value end of the market where smaller towns if you look at the growth rates or performance of Pantaloons stores in metros versus tier 1 and tier 2, we can clearly see that the pressure is much

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May 22, 2023

Page 13 of 19

larger as we go away from larger cities. And to that extent, we are temporarily moderating the rate of new openings, at least in the smaller towns, and that's why it's resulting into a slightly smaller number from what we ended up in the last year.

Aliasgar Shakir: So, the pace of acceleration will be a function of recovery in the market?

Ashish Dikshit: Yes, and we could come back maybe in the second half if things change with higher number but at this point of time, we want to sort of acknowledge the reality that is facing the business for the last couple of quarters and the softness that we continue to experience, particularly in smaller towns and that's the part of expansion that we want to slow down a little bit.

Moderator: We have our next question from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Just wanted some clarity on the net debt number. I understand you have mentioned that it is unusually high inventory, which is leading to this bloating of net debt, but we have traditionally always followed a model where we have a high amount of creditors which match the inventory even in case that it goes up. Have we changed this practice? Another question here is that with already at Rs. 1,400 crores level, given that margins are under pressure, demand is sluggish, you mentioned that we also see net debt levels increase in FY24. So, just wanted to understand, are we ready for this kind of an increase in debt from our balance sheet hygiene perspective or can we not cap our losses in our new investments for the time being?

Ashish Dikshit: You are asking two questions. One is really about this year's closing net debt situation and the second is about strategy for next year. Let me answer each question separately. What happens is

when last 4 months as the sales started to come below our expected numbers, it resulted in higher inventory resulting which effectively meant we curtailed some of the purchases for fresh inventory. We still have to pay, which we should for the inventory that you would have purchased during September -October -November. To that extent, therefore, the payables because it follows in about 120 to 140 days, payables came down, but because of loss of sales, inventory didn't come down. Therefore, what we are experiencing right now at a point of time of 31st March is a position where inventory has not adequately reduced but payables have reduced. This will offset in the coming quarters as we move forward because we have purchased less inventory during this period, and therefore to that extent, the inventory will come down as we go forward and we have less payables left to be made and to that extent, net working capital come down. As we have explained, we have consistently followed the larger principle that your front -end inventory should be adequately and reasonably matched with the credit period on the back end. That is a consistent philosophy; we have followed it for many years and it has kept the net working capital in the ratio that it exists today. But in the temporary period, at moments of time inventory will be higher and payables will be higher because we are not buying and selling at the same level. There is an increase in purchase before the beginning of the season which falls due 3 -4 months later and the sales also have similar peaks and troughs. Therefore, at all points of time, the picture at a point of time may look different but overall as you average it over a

Aditya Birla Fashion and Retail Limited
May 22, 2023

Page 14 of 19

period of time, the net working capital cycle that we have established over the last 4 -5 years stays good. So, don't worry about it. It's a temporary and transient phase. This balance will get corrected very soon.

On next year's number, I think your suggestion is, is there a way we could expand less either on CAPEX or on the losses side

de, I have just mentioned we are moderating our businesses in line with the reality in response to the previous question on Pantaloon's expansion. We look at it carefully every time and right through the close of the year. I don't see a major shift in strategy because I think many of these strategies are built to succeed over a long period of time. Many new businesses we have gone into are very early phase. In some sense, our Company is in a transformation phase for the last couple of years and I think we will have to complete the journey over the next 2 -3 years. So, you wouldn't see a significant or dramatic shift in strategy but minor adjustments and calibration that we will have to do, we will keep doing that.

Moderator: We have our next question from the line of Devanshu Bansal from Emkay Global Financial Services. Please go ahead.

Devanshu Bansal: Sir, as you have been indicating that our inventory levels have been slightly on a higher side. Just wanted to check do you expect our margins to get impacted in FY24 pertaining to this liquidation of inventory?

Ashish Dikshit: No, not at all. This is a transitional phase in which one period, we are consistently adjusting our inventory purchase with future sales estimates. In a long lead time industry like us, it takes a few months for it to show up. There is no risk or expectation of any loss of inventory on this account. And to the extent that it exists in the fashion industry, I think it's already there in the base and is a more continuous process.

Devanshu Bansal: Sir, previously we had indicated about a loss in ethnic on an annual basis a billion in D2C and about half a billion in Reebok. Are we still maintaining a similar outlook for '24 as well?

Ashish Dikshit: Let me start first by Reebok. I don't think Reebok we will have a loss. We are beginning to see the first signs of success in this. Reebok has already sufficiently given us confidence to believe that it's a business which will be a profitable business right from year 1. As far as D2C is concerned, I think we will continue to invest. I wouldn't give a number at this point of time because we are still trying to get a sense of individual brands as well as overall portfolio that we will build, but no shift in difference from where we probably are today at this point of time; I don't see a change.

On the ethnic portfolio, our primary losses are coming from our deep investments in Tasva. I think that's something that we will have to continue for some more time before the brand gets early footing and a basic level of scale for us to ramp down. I think that will remain slightly at higher levels perhaps for a year or 18 months more.

Aditya Birla Fashion and Retail Limited
May 22, 2023

Page 15 of 19

Devanshu Bansal: Our CAPEX has been about 5 billion in standalone operations and about 7 billion for consolidated operations in FY23. if you could provide a ballpark breakup for this as in which segments, this money has gone?

Ashish Dikshit: Not very different. Are you asking details of where that has gone?

Devanshu Bansal: Yes.

Ashish Dikshit: That's mostly in retail stores. There is a shop-in-shop CAPEX that goes. But a large part of our CAPEX goes into building new stores, renovations, or shop-in-shops and that's across the businesses.

Devanshu Bansal: Standalone I guess includes.... Lifestyle is majorly on a franchisee basis, so broadly about 60 odd stores that we have opened in Pantaloons and maybe the innerwear and EBOs as we may be opening, right? Is this a fair understanding?

Ashish Dikshit: It is reasonably fair, but not fully correct to say Lifestyle Brands don't open, as one of the things that we are doing in Lifestyle Brands and as you are seeing the scale and size of our brands, two of our Lifestyle Brands have crossed Rs. 2,000 crores and we see potential for the next level of growth for these brands. We are opening large

-format stores in many of our brands. Therefore, our share of capital which is own capital in large -format stores in Lifestyle Brands is increasing slightly at least for a short period till there is enough franchise confidence that gets built in in these large -format stores. That's another reason why some of our capital expenditure is higher even in the standalone business. And all the new businesses that we are building whether Jaypore, Tasva at this point, innerwear to a large extent at this point apart from Pantaloons are largely own CAPEX businesses.

Devanshu Bansal: The Style Up stores; are these included in the Pantaloons numbers or the Pantaloons number is only Pantaloons; it does not include Style Up?

Ashish Dikshit: It doesn't include Style Up.

Moderator: We have our next question from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh: Sir, just wanted to understand that the total number of stores that we have added in FY24 and in Q4 in Pantaloons, what percentage would that be into Tier-1, 2, 3 cities? Rough estimate if you can help us understand?

Sangeeta Pendurkar: We have added about 25 stores in this quarter, just for Quarter 4, and we have added net about 54 stores as we told you – a total of 63 with about 9 closures as what we have opened. Off these 63 stores, about 40 stores are in metros and tier 1 split equally and the rest of the stores are in
Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 16 of 19

tier 2 and tier 3. Metro includes the metros and some capital towns, the top 10 -12 cities. About 20 stores are in those cities.

Varun Singh: As we highlighted earlier that there is amount of stress in Tier-2 and Tier-3 cities, if you can help us understand that how has been the performance – objective assessment in the metro and Tier-1 cities? Maybe like -to-like performance or anything of that sort?

Sangeeta Pendurkar: As we mentioned earlier, I think Ashish mentioned it a couple of times and I said it at the beginning as well that we started seeing a little bit of a slowdown post festivals starting from November -December. Our growths in metros are relatively better versus the Tier-1, Tier-2, and Tier-3 towns and that again corroborated well with all the reports that you read. Given the inflationary pressures, growth across sectors and these sectors also has been impacted more severely in tier 1, tier 2, and tier 3. However, as we said before, it's too early to comment on the new stores because most of our stores are back-ended and we do believe that all these markets, the Tier-1, Tier-2, and Tier-3 markets, they are still underpenetrated markets. There is potential, but this last 5 -6 months of slowdown has impacted the performance of I think most organizations.

Varun Singh: Madam, overall at portfolio level, what would be the total number of stores in metro and tier 1?

Sangeeta Pendurkar: About 50 odd percent of our stores, 55% to 56% of the 430 stores that we have are in metro and tier 1.

Varun Singh: Last question on Reebok. I just wanted to understand what is the distribution scale up program out here.

Vishak Kumar: First things first. When we took over the business, we moved about 110 stores. By the end of September, we should have added another 40 stores to this. So, we should have a cumulative tally of about 150 stores. We are also significantly strengthening the wholesale network. We have already launched about 30 doors of Shoppers Stop. Many other department store doors will follow. Likewise in multibrand stores. It's an effort which is on full pelt with huge momentum to be able to scale up the business to be available in the kind of outlets that the brand deserves to be in.

Moderator: We have our next question from the line of Ankit Kedia from PhillipCapital. Please go ahead.

Ankit Kedia: Sir, my first question is on Pantaloons. Is it fair to assume Pantaloons on

pre Ind AS basis,

EBITDA we would have made a loss for the first time in this business ex -COVID quarters?

Ashish Dikshit: We don't want to get into different accounting had given. But yes, the overall this quarter performance, not just for Pantaloons, as you can make out overall at the Company level itself is

much softer.
Aditya Birla Fashion and Retail Limited
May 22, 2023

Page 17 of 19

Ankit Kedia: Sir, from Tasva perspective, we have started franchisee expansion. We have always had that initially we will have a COCO expansion and then we can have a franchisee expansion. For FY24 expansion, how will be the mix between franchisee and COCO?

Ashish Dikshit: I guess we will have one more year at least of majorly Company -owned expansion. During the course of this year, we will perfect the model, figure out the retail operations, merchandising, and other aspects of the business before we start handing over to franchisee. One of the things that you have to consider and this also goes back to the earlier question that for a Company which runs 2,500 stores through franchisees and close to 700 franchisees, making franchisees successful is one of the most important things for us and that's what has fared us into 20 -25 years of relationship with franchisees. We are not in a hurry to hand over the businesses to franchisees until the model is well proven. It doesn't mean that we haven't tried. Even in Tasva, a couple of stores out of the first 50 stores that we have – don't have the exact number, but about 6 -7 stores already are franchisee stores. But we will remain watchful that share will not let it go too rapidly until we have established the business fully.

Ankit Kedia: My last question is on Galeries Lafayette The first store in Bombay is expected to open in FY24. What will be the CAPEX for this and how many losses should we build in for the first 2 years for this store?

Ashish Dikshit: I don't think at this point of time I want to give you a number on that because we are still figuring out the model around. I expect in a good case scenario, we should not be losing money in that business at least in the second year. First year, there are sometimes preoperative and initial investments, but I don't expect to lose money in that business even from year 2 onwards.

Ankit Kedia: Is it fair to build in around Rs. (+100) crores CAPEX for that and FY24 opening?

Ashish Dikshit: I think it will be split between '24 and may run into a little bit of '25.

Ankit Kedia: One more question if I can squeeze in. While offline you are seeing some pressure on demand, online are you seeing any channel pressure out there as well emerge or that's pretty resilient now?

Ashish Dikshit: I think the demand pattern is more organic. It's channel independent, channel agnostic, and similar across channels, especially for the portfolio brands that we run which is widespread and cover multiple consumer segments. All of our brands have online and offline presence. The outlook on business in consumer behavior is no different online and offline and it's the macro trend which is actually leading to softening of demand. It's no different in any channel.

Moderator: We have our next question from the line of Shrey J. from Svan Investments. Please go ahead.

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 18 of 19

Shrey J: Sir, my first question is, I just wanted to understand the CAPEX number for FY24 and FY25; what would that be?

Ashish Dikshit: We haven't given out an indication but as you have seen the overall CAPEX for FY23, '24 and '25 will perhaps, at least '24 would be roughly in the similar range.

Shrey J: Do we envisage any further investments in our newer businesses – be it ethnic, TMRW, or the other businesses?

Ashish Dikshit: I have indicated TMRW investments. We have said that repeatedly and that's what we will stay with. We have not made

the full investment as yet. As far as the ethnic businesses are concerned, yes, Tasva will take more investments. Smaller bit of investments may be required for small ethnic businesses which is Jaypore and some of the designer business, but those won't be large.

I think most of the meaningfully large investment will stay with Tasva and a little bit in Jaypore.

Shrey J: Why I am asking is we are about Rs. 1,400 odd crores of net debt. You spoke about the expansion in stores for Pantaloons as well as Lifestyle businesses and you are saying ethnic also. So, just wanted to understand is this Rs. 1,400 crores the peak or how should we look at this? Just wanted to understand on that front. That's why the question.

Ashish Dikshit: I think if you refer to my response on the Pantaloons question, the calibration of network expansion is more driven by demand side factors and not necessarily from the balance sheet alone. As we said, we will have to remain watchful but we wouldn't change our strategy dramatically at the current level. We feel we have the strength in the business to be able to generate cash to deal with situations of higher debt if it comes to that. We have indicated a high level of debt towards the end of next year, primarily because we believe that we will need to continue and there is an opportunity to continue our multiple platforms that we have built during the course of the last 2 or 3 years. To do justice to the opportunity in front of us, we will continue to invest in these businesses as they are. We will of course be watchful looking at the market

realities as we actually invest on the ground .

Shrey J: My last question on the inventory. Now, we have seen about Rs. 1,000 odd crores of increase in the inventory. What kind of reductions can we see in this year or maybe this quarter if you can just help us understand that?

Ashish Dikshit: Please remember this Rs. 1,000 crores inventory has come on an increase of Rs. 4,000 crores of sales. To that extent, it's an increase which is matched to a large extent by the sales increase that you see, as sales has also grown by 50%, inventory has grown slightly lower than that. But yes, it's a fair point that you made. To the extent of about Rs. 300 crores to Rs. 400 crores is the level of inventory which we believe is higher than ideal than what we should have had at this point of time and that's equally reflective in what we think was the opportunity for us in the last 2 quarters, as additional sales that we would have planned for. As we go down, as the sales

Aditya Birla Fashion and Retail Limited

May 22, 2023

Page 19 of 19

situation softens, if it remains at that level, that's the opportunity that we have about Rs. 300 odd crores of inventory.

Moderator: Ladies and gentlemen, that was the last question for today. On behalf of the management, we thank all participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines. Thank you.

Call: May 2023

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May 12, 2023

BSE Limited

Scrip code : 535755 & 961915 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Conference Call of Aditya Birla Fashion and Retail Limited ("the Company")

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated May 10, 2023 and

3. ISIN: INE647O01011 & INE647O13016

Dear Sir/ Madam,

Pursuant to the above referred, please read the "Transcript of Earnings Call " as "Transcript of Conference Call" of the Company held on May 8, 2023.

Thanking you ,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President, Company Secretary

Encl: a/a

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MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA FASHION AND RETAIL LIMITED
Aditya Birla Fashion and Retail Limited
May 08 , 2023

Page 2 of 19

Moderator : Ladies and Gentlemen . Good day, and welcome to the conference call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the recent corporate actions followed by a question -and-answer session. Please note that the company is still in its shut period, so I request you to please restrict your questions to the subject action -only.

We have with us today ; Mr. Ashish Dikshit, Managing Director; and Mr. Jagdish Bajaj, CFO. I want to thank the management team on top of all the participants for taking the valuable time today with us. I must remind you that today's discussion may include certain forward -looking statements and maybe viewed, therefore in conjunction with the risks of the company faces. Please restrict your questions to the transaction and to strategic questions -only. Housekeeping questions can be dealt with separately with the IR team. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phones. Please note that this conference is being recorded.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj: Thank you. Good evening, and welcome to the conference call. It gives me immense pleasure to share an important update. As you are already aware, this Friday 5th of May 2023, the Board of Aditya Birla Fashion and Retail Limited approved the company to acquire 51% stake in TCNS Clothing Company Limited through combination of share purchase agreement with counter promoters and a conditional public open offer. This will be at a price of INR503 per share of TCNS.

Subsequently, it is also proposed that TCNS will be merged with ABFRL through a scheme of amalgamation post receipt of necessary approvals. The company will pay INR1,650 crores for acquisition of 51% stake under the SPA and public open offer, pursuant to the above, TCNS will be amalgamated with ABFRL under the merger scheme bearing shareholders of TCNS. As on effective date, we'll receive 11 shares of Aditya Birla Fashion and Retail Limited for every 6 shares they held -they hold in TCNS. The above transactions will be one of the largest deals in the Indian fashion space.

Way back in 2018, we had explicitly stated our growth strategy for the coming years

to be

built around ethnic wear, the largest segment in the Indian fashion space. Over these years, the company has made several organic and inorganic moves with an objective to build comprehensive portfolio of brands in this key segment. This deal will allow us to expand our existing ethnic wear portfolio into the largest subsegment, which is premium women's ethnic wear segment, where the branded part of the segment is expected to grow at high double -digit for years to come. TCNS, reputable and popular brands have already cemented a solid foundation in this category, which we aim to leverage and enhance to strengthen our position.

Aditya Birla Fashion and Retail Limited

May 08 , 2023

Page 3 of 19

Most of you must be aware but let me still give you a brief about TCNS. TCNS is India's leading women's branded apparel company that owns amongst the most popular women's ethnic wear brand such as W, Aurelia, Wishful, Folksong and Elleven. The company designs sources, markets, and retails a wide portfolio of women's branded apparels and accessories. As of December 2022, it sold its products through 650 -plus exclusive brand outlets, 2,500 large format stores and 1,100 -plus multi -brand outlets located in 29 states and 2 union territories in India. It also sells its products in Nepal, Mauritius, and Sri Lanka through exclusive branded outlets. Its products are available in India and select countries through the brand websites and

other e-com platforms.

The company, as all of you are aware, reported a top line of INR933 crores and a profit after tax of INR10.6 crores for the 9-month period ended December 2022. The company has demonstrated consistent growth in revenues, high gross margin, and EBITDA over the years, running an asset-light and self-funding proposed model. Prior to COVID, the company maintained a strong double-digit EBITDA margin and generated positive cash flow, reflecting intensive strength of its brand and robust financial metrics. The business is also led by a very high-quality team, which dedicated itself towards building these brands for more than 15 years. Why are we doing this? India is going through an unprecedented consumption boom, driven by a growing population, and increasing purchasing power. In particular, discretionary spending has been on the rise as consumers seek to elevate their lifestyles and express their individuality. Of all the discretionary consumption categories, apparel is one of the largest and fastest-growing segments. The organized apparel market is expected to reach USD 70 billion plus by 2028, growing at a CAGR of 15% plus.

The company is well poised to leverage this consumer trend and build large businesses around significant and meaningful categories with a brand-led strategy. We have been very clear in our thinking that we would want to operate in all large segments of fashion and lifestyle business.

Over the last 25 plus years, the company has successfully demonstrated its stability in building brands, as shown by the notable success stories of Louis Philippe, Van Heusen, Allen Solly, Peter England and The Collective. In last 10 years, we have successfully demonstrated our ability to take over large businesses and turn them around as seen in Pantaloons. The 5 brands that we will inherit as part of the acquisition are going to play a pivotal role in building our ethnic women's wear portfolio, where the strength of these brands, combined with our brand building capabilities and operating strength will help in creating tremendous value.

As we look ahead with this acquisition, our ethnic wear portfolio will now be complete. Going forward, our focus will be on scaling up existing portfolio of brands into large profitable businesses. This acquisition will be funded by incremental debt and internal accruals.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 4 of 19

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usion, I strongly believe that this acquisition will be an important milestone in the evolution of the company into fashion and lifestyle powerhouse of brands. As we move forward in our growth journey, including successful completion of this transaction, we are confident of receiving support from all stakeholders, the teams, the partners, and the shareholders. Thanks a lot, and we are happy to take your questions.

Moderator: The first question is from the line of Aliasgar Shakir from Motilal Oswal.

Aliasgar Shakir: I have a few questions. Just first question, trying to understand the mindset behind this acquisition. So -- so far, in the last 3, 4 years, the acquisition that we have done have mainly been in areas where there has been some product expertise requirement, whether it was occasion wear in Sabyasachi or Tarun Tahiliani, even Reebok and probably even tomorrow where there is a particular requirement.

So just trying to understand from that point, what is it that you see here in terms of whether it is product capability for each brand or really ability to get quick a large size that is a key factor that has driven this acquisition? And just related question here is if you could just share your thoughts on the basically daily wear, women ethnic wear where TCNS is -- what is the characteristics of this market? Is it very price competitive? And is that the reason why TCNS has suffered in the recent past, they've had very high margins, but growth has been a challenge. So just if you could share some thoughts on the market.

Ashish Dikshit: So Ali, let me begin by first talking about the strategic ratio that you've asked. Around 5 years back, and we have been consistently emphasizing that every year and every call, that as a company after having built businesses and largely rescue the market for about 25 years, in 2018, we decided that the company's portfolio would be incomplete if we do not have a significant presence and a leading presence in one of the largest segments of the market. Indian ethnic wear constitutes nearly 30% of overall apparel industry, and we have 0 presence in FY '18, but for the product which is sold inside Pantaloons. In our strategy stated around that time and almost 5 years back, we mentioned that this is a market that we have laid out and crafted a segmental approach to all segments of the market which is luxury end, super premium end, premium end, and the value end of the market.

We stated it and called it out in our presentation, which was made to public in FY '21 once again, where we called out each of the segments, our approach to how we will build in each one of them and over the last 4, 5 years have been systematically and carefully crafting that. In the luxury end, we solved the best approach would be to partner with some of the most successful luxury designers in super premium, and we took some of them and launched prêt

lines line , like an S&N, or operating with House of Masaba.

At the premium end, we are following an approach which is both organic and inorganic. In the men's wear side, we decided to launch organic because that is the way the market was laid out.

Aditya Birla Fashion and Retail Limited

May 08 , 2023

Page 5 of 19

It is early stage. Only 10% of overall market is men's ethnic wear and that's why we launched Tasva. And you're aware of last 12 months, 15 months, the success of that grand early days that we've launched about 50 -odd stores.

The largest part of this market is the women's premium ethnic wear market. And if you look at the characteristics of this market, it's very crowded at the bottom end where a lot of unbranded, undifferentiated products fell at lower price points. At the higher end premium of the market, there are only very few players, which have been able build skill, and TCNS is unique in that sense in the premium segment of the market.

Our approach

ch to brand building has been very long term with all other brands , which is why we have been able to nurture and grow businesses over 25, 30 years. We looked at the TCNS platform, we believed that there are -- they're exceptional in being able to build and grow the business over more than a decade , deliver the kind of financial performance, which is rare and exceptional, do it in a cost -efficient manner by raising very little capital in a capital -light asset model, exactly the way we have built businesses around Madura.

We see the synergies and our ability to take this business even further. And that's really why we looked at it. We would have loved to build it organically also; it could have taken us a decade or a part of that. It's the single largest segment of the market. And then the opportunity like comes -- like this comes, it's once in -- once in a very long while that you get an opportunity for a market leader which becomes available. And that's really how we looked at it Ali.

We have detailed it out in our strategy segment, and this is an opportunity when it presented ourselves. We feel that it has all the right elements, a very strong brand portfolio, a very well - built distribution network. Our portfolio, which consists of sub premium to super premium segment, management team, which has been stable and exceptional in execution.

Now all brands and businesses go through a little bit of challenge at different points of time so was the case -- in this case, where post -COVID, ethnic wear segment across industry has suffered and it's been taking a little while longer to come back and that doesn't deter us. We think good with strength of the brand, history of the business, the quality of management is perfect opportunity for us to take to next level, and that's been our thinking in this segment.

Aliasgar Shakir: Got it. This is really useful and very detailed. Any quick thoughts on how do you think TCNS recovery can be played out? I mean do you think that they are too premium in terms of pricing or anything else that you think would help them drive that improvement in profitability.

Ashish Dikshit: Ali, you've heard our view on this over a long period of time. I think as a country, Indian consumers are constantly looking for superior and better product. Differentiation and premiumization has been the most consistent theme for us for 25 years for all our brands that

Aditya Birla Fashion and Retail Limited

May 08 , 2023

Page 6 of 19

we've built. It doesn't mean the consumers will pay high price without the differentiation. So product quality, design differentiation, these are elements for which consumers pay a premium.

TCNS portfolio is one of the few, which has been able to command it over a long period of time. I think that's the same thing that will be the focus of management. Of course, for us, a lot of -- to that extent, therefore, I don't believe just price itself is either a problem or an answer to something. It needs to come as an overall package of brand experience, product differentiation, design element, the quality of it combined with the pricing. But premiumization has been a route and it's the one thing that this company has done over a long period of time.

Aliasgar Shakir: Got it. This is a very useful. Just last quick question on the valuation. Can you share the justification of the differential valuation for the cash as well as the swap ratio, which comes out to be somewhere nearly about 25% lower for the swap versus the cash component?

Ashish Dikshit: Probably, I don't think -- I think that's the wrong way to look at it. There are 2 ways. There is a cash component that has come through the negotiations and through the rules that are applicable for the open offer. There is a merger ratio, which has been decided by looking at the fair value of 2 companies by independent valuers. The merger ratio, as you know, t

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independent valuers would look at long -term potential of each of the businesses, relative value creation, the fund flows that each of the businesses are projected to create over a long period of

time.

It also includes market price, but market price is just one of them. I think your question assumes that all of that is built into the market price, which you know is obviously, current market price reflects the current situation that the valuation is a more long-term projection. And that's how the value has done. It has been done dependently using multiple method and both the parties believe that it's a fair thing.

Aliasgar Shakir: Understood...

Ashish Dikshit: And multiple have given opinions on this, both in fairness as well as arriving at the value.

Moderator: The next question is from the line of Garima from Kotak.

Garima: My first question is to Ashish. Now if I read the press release, you have mentioned that your FY 2026 target for revenues from ethnic wear segment is somewhere around INR50 billion, right? Now if I do the math, maybe TCNS can be 15.

Ashish Dikshit: Garima, can I just come in and correct you? We -- on that is FY '27 number. So I think somehow in the press release, it's come out 3 years looking like '26, our intent was '27, but still go ahead with the question.

Garima: All right. So even if it is an FY 2027 number, could you help us understand if after TCNS, your current portfolio, which includes Tasva, the designer brands, etcetera, plus TCNS now, is Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 7 of 19

this portfolio enough to really drive you to the INR50 billion target that you now set for yourself for FY '27?

Ashish Dikshit: Absolutely. I think if you look at the various elements of this portfolio, Garima, the 2 large pieces in fact -- I would call out the 3 large pieces are 2 of them from the TCNS portfolio itself, which has the W and A urelia. Both have potential to become INR1,500 crores brand.

You'll have to independently go and see where they reach over a period of time. Similarly, Tasva, our long-term ambition is to build a INR1,000 crores plus business. So these 3 themselves are large part of where the market is, and the opportunities exists.

On top of it, our portfolio that exists of the designer brands and the partnerships that we had Jaypore. So our statement there consists of the brands -- brand portfolio that we have. I think Jagdish also mentioned, as we laid out our ethnic wear strategy, with this, our portfolio is comprehensive, unmatched, and complete. And it is with this portfolio that we believe we'll be able to get to the scale that we're talking about.

Garima: Got it. And Ashish, are there any strategies in your mind in terms of driving TCNS towards the margin levels that they have witnessed in the past that is pre-COVID when they were doing high double-digit kind of margins?

Ashish Dikshit: Garima, I think you should track this market and most of the people who tracked this market know that it takes an exceptional business to deliver double-digit market -- over a -- double-digit margin over a decade. And our -- all our external study also reflect and showed the strength of the brand.

I think COVID has affected some businesses differentially, and we see it in our portfolio also, ethnic wear has been one part of it and that's obviously taken longer to come back. But we are confident that with the combined experience, the strength of the brand and ABFRL's own ability to scale up and add value to these businesses, we will be able to get it back to first the double-digit EBITDA, which we need to get in the next 2, 3 years and hopefully, very soon to the kind of margins that the business used to enjoy before that.

Garima: Understood. I have last question for Jagdish, if I may. Could you please help us with the net debt of ABFRL as of 31st of March?

Jagdish Bajaj: Garima, for that, you have to wait until I announce the number. But let me tell you, for this acquisition, we intend to borrow not more than INR700 crores to INR800 crores. Our stated net to debit EBITDA that leverage ratio will increase to approximately 3x in FY '24, but it happens when you do a large acquisition. This is the pre-IndAS EBITDA numbers which I'm talking about. But in next 2 to 3 years or rather 3 years, we will come down to below 2. So this is the position on my net debt.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 8 of 19

Ashish Dikshit: Garima, we'll come back to the exact number when we announce the quarterly results very soon. We want to focus on this transaction there.

Moderator: Next question is from the line of Nihal Jham from Nuvama.

Nihal Jham: Yes, congratulations to the team for completing this acquisition. Just first question was, Ashish, you alluded to the aspect of maybe taking a decade to build a business similar to what TCNS is currently having. Was that the main consideration? Because if I just think about considering a partnership with Flipkart and the kind of distribution that Madura has, along with

the aspect that we launched, Marigold Lane and there are certain private brands in Pantaloons, was there a thought of maybe building this category organically or any other aspects of the TCNS business that -- other than the longevity of creating a business of the scale?

Ashish Dikshit: So Nihal, let me restate some of the points and perhaps help our thinking on that. The first question was also around that. See, we have, as a company, been building brands organically and acquiring businesses inorganic ally both. We understand what it takes, both in terms of time, capital, investment, losses, sometimes risks of failures in building a stable, strong business over a period of time. So we are fully aware of.

Having decided in FY '19, '18, '19, that this is the market where we want to play a leading -- build a leading business, very clearly, these were all set to build an organic business, and this is what we were doing on one side with us, the other side with the Marigold Lane. If the inorganic opportunity didn't present itself, was not either attractive enough or we did not believe we can add value to it. We would go ahead as we were going ahead, Nihal, in terms of building an organic play.

You must appreciate that a portfolio of this nature is one way to come by and second, this long time, it doesn't mean it cannot be created but it does take long time, and we are doing that in many parts of our business. If you look at inner wear, it's a purely organic business that we are building. On the men's ethnic wear, the Tasva, purely organic business. So there is a large part of our portfolio and a meaningful part of our portfolio, which we're building organically.

As and when inorganic opportunity of this nature and this quality come up, we have to seriously consider it. And that's the consideration we did. Both options are available. We were going down the organic path, as you are aware, and since this opportunity came up and we evaluated it, and both felt that this is perhaps the more sure and certain way of creating value in this segment as well as building presence in this segment.

Nihal Jham: The second question was on the fact that you alluded that maybe the ethnic wear segment itself has faced certain issues post COVID. But just on TCNS' growth improvement for both the brands, W and Aurelia, any specific low-hanging fruits, or any changes in strategy that you immediately are considering which you don't want to share?

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 9 of 19

Ashish Dikshit: Too early for us to have a view. We have this investment captures around long-term belief both in the segment, in the brand and the management team. We

think a lot of it will be visible

in couple of quarters on its own. We definitely hope and want to build the work with the management team to accelerate and find areas of opportunity where we could add value to further -- at this point of time, I don't think it will be right for me to call out any specific area.

Nihal Jham: I have one final question to Jagdish. We'll be getting approximately \$14 million from the GIC branch in the second half of FY '24, so ideally when we are looking at the debt to EBITDA that should be something that should be considered, right? Or the number you're giving is just, at this point in time, assuming the INR700 crores that you will have to raise to finance it?

Jagdish Bajaj: Yes. So Nihal, when I say 3x of EBITDA, it already factored into GIC money coming into. As you are aware that we have put growth plan across all businesses. And the way our operations are rising, we need for working capital and capex within our own setup. That will take care of -- that will be also included into my this plan.

Ashish Dikshit: So Nihal, you can keep that.

Moderator: Next question is from the line of Tejas Shah from Spark Capital.

Tejas Shah: A couple of questions from my side. First, TCNS story from an outside like me has been very positively of story driven by motivated team. So what are the plans of retaining the key talent in TCNS and how do you plan to institutionalize some of this essence, which must be personally driven in TCNS as a company?

Ashish Dikshit: So just -- we agree and in fact, a part of attractiveness of the whole proposition was solid strength of the brand, business elements as well and equally the team that we built... Please be assured, and we have a history of doing that. A large part of our company is built around the first acquisition, which is the Madura business, which came with the team. We have subsequently have had many other multiple businesses that we acquired, including our designer business last couple of years. We are very confident that the best professionals would enjoy working in the part of ABFRL and Aditya Birla Group.

We clearly have plans, and I'm sure the team is committed to making that happen. You can be sure that it's an important part of both our consideration for the transaction and subsequently also.

Tejas Shah: And second question, we were, like you spoke about the opportunity in women ethnic wear, and we have been kind of talking and working towards it for a while organically. So -- and then as you pointed out that as and when such opportunities come, you have to take plans at that. But just wanted to understand, does it mean that some of our organic initiatives, which we

would have started and now with this opportunity coming into our fold, you will find or
Aditya Birla Fashion and Retail Limited
May 08, 2023

Page 10 of 19

consolidate or terminate some of those organic initiatives that you would not take, let's say, 1 or 2 years or 3 years back?

Ashish Dikshit: See, the way we had built Marigold Lane, which is really what you're referring to, which is the only brand we are building in the women's premium wear segment. If there was no inorganic path, which we didn't see until even 1 year, 1.5 years back, we were committed to building that, we have launched 4 or 5 stores. I think at this point in time, we probably have 6 to 10 stores in the business. It's available across a few hundred Pantaloon outlets. We are testing the product, constantly improving the product, and we would have gone ahead and built a large business around that.

But now that we have the portfolio strength, experience, and proven brand that TCNS platform offers, we wouldn't have to go through the journey of investing and building a new organic brand from scratch. The role of Marigold Lane as the premium brand offering attractive premium products within the Pantaloon store, we

will continue to remain. And I don't think we need to change that. It has that proposition built into it.

And therefore, to that extent, we wouldn't have to invest the way we will, for example, invest in building Tasva on the men's wear side.

Tejas Shah: And then the last one, if I may, and I'm not sure if I -- it is part of the scope of the call today. But I just wanted to understand, are there any more white spaces in the portfolio as you see for the next 3, 4 years, which would you -- which you would like to target organically, inorganically going forward in terms of additions of categories or brands? Or do you believe that we are almost there in terms of what we want to achieve ABFRL as a company in the next 3, 4 years?

Ashish Dikshit: So I think, as Jagdish had mentioned at the beginning of this call, we had gone out to build an ethnic wear portfolio and which will build a theme for us for 5 years, consistently repeated and carefully built over a period of time. With this acquisition, we believe we now have the platform portfolio, which completely does justice to nearly 1/3 of the market where we had 0 presence 4, 5 years back.

I think our journey of building this portfolio is complete with that. The focus of management team over the next couple of years would be to scale these businesses, get them realize the potential, where they should be and get to the place where we want to as far as ethnic wear portfolio is concerned because this is going to be a very important part of value for Aditya Birla Fashion over a long period of time. And we want to make sure that each of our brands, many of them are in nascent state, that's why it's just a 1 year down the line, many of the designer businesses are finding traction that they need to get scale.

Aditya Birla Fashion and Retail Limited
May 08, 2023

Page 11 of 19

TCNS platform itself has tremendous possibility as we have seen on the Madura's side, building brands which INR2,000 crores. I think individual brands at that scale, that's the potential we see because the women's ethnic wear market is also very, very large market. So our focus would be on building them. I don't think there are large portfolio gaps left in it. I think having identified ethnic wear, the largest part of ethnic wear was premium ethnic wear and not having the clear strategy there or a clear path there was the issue with us, which we have filled with this, I think that portion completes the story as far as portfolio is concerned. Where we would continue to look at opportunities will perhaps be only in the tomorrow's part of the business whereas we have laid out ABFRL has made a finite commitment of INR500 crores equity. And with that, tomorrow we'll look at digital for small brands and tomorrow on its own strength, we will go out and raise capital over the next 12 to 18 months, and that capital will be used to make further exploration of either acquired businesses or small businesses that they would require -- for this capital, a large part has already been deployed.

Moderator: Next question is from the line of Varun Singh from ICICI Securities.

Varun Singh: So my question is related to the execution part of the business. So over the last 5 years, I think -- I mean, we have done quite a good -- I mean, we have -- our journey regarding women ethnic wear brands, etcetera. But still given the context, if we look at a 5-year revenue CAGR of Aditya Birla Fashion, which is at roughly around 8% to 9%. And of course, our retail expansion would have been relatively more aggressive than this number.

And also taking stock of TCNS over the last 4 to 5 years, I mean, the number looks relatively more subdued, but of course, I understand the potential of the brand and of market opportunity which exists out there. But still given this context and background, I just wanted to understand

that how are we willing to scale up T

CNS business from here going forward, largely related to our ability to leverage our existing distribution channel?

Ashish Dikshit: So I think best way to look at it, and I would reiterate about 1.5, 2 years back, we had laid out a plan, which is a 5-year FY '26 plan of scaling up the business to go to a revenue of INR21,000-plus crores. We are not just on track; we're moving ahead of that. There have been challenges in the last 2 years, which has been largely related to COVID and recovery from there to that extent, some of it. But I would restate here on that part.

And therefore, our confidence in building large businesses. We are the only company in the Indian fashion industry, which has 4 brands, which are between INR1,500 crores to INR2,500 crores. These have been built organically, and we have strong belief that with the addition of Reebok, parts of TCNS portfolio, we will have 4 or 5 other brands which will be between INR1,000 crores to INR2,000 crores in due course of time.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 12 of 19

So the portfolio of large businesses because fundamentally, we believe in building large scalable brands, which create enormous value over a long period of time. Same thing, I think the model that has worked for us will work in a different context for many of the new businesses that we've acquired. TCNS own portfolio provides that opportunity to build that level of scale and profitability, and we are very confident we will get to that.

Short-term issues about last 3, 4 years, what happened? We are as much aware about challenging the industry. And that's something fortunately, we are coming out of that cycle. There may still be softness for a quarter here and there due to consumer and inflationary issues, but I think those are shorter-term issues. Our long-term strategy remains intact. We are very confident that with this portfolio, we'll be able to build a whole new setup of large businesses and brands.

Varun Singh: So sir, my question is related to distribution scale-up of TCNS will it be largely given by EBUs, or we will be using our own, the strength of Madura brands, etcetera? And also in that context, if we can also understand the percentage of relevant distribution outlet that we could kind of benefit from our existing channels.

Ashish Dikshit: Okay. Let me first say even for all our brands, our largest part of business comes from exclusive brand outlets, which means Louis Philippe has a network of more than 600, Peter England would have more than 1,000. These are exclusive brand outlets. TCNS, as a platform itself has close to 650-plus exclusive brand outlets, which is the largest part of any apparel brand in the brand and in the premium segment.

It will continue to grow and that's the way we have built all our brands. This will continue to grow. We have strong partnerships with large department stores. We have very deep partnerships with all the leading e-commerce player. They will provide other multiple platforms. These are not platforms owned by us. These are large consumer platforms where consumers are there, and all brands grow through that. Exclusive brand is a large part of our strategy and will continue to be the strategy for TCNS.

Varun Singh: Sure, sir. And to my last question is regarding the premium on the valuation that we have paid, which is roughly 30% to 35% compared to our own valuation. I'm taking this simply on market cap to revenue basis. I'm not looking at profitability, which might be relatively subdued for some or other reasons. But still given the 30%, 35% premium that we have paid, I'm sure we must be expecting relatively higher growth compared to the growth that we are already tracking in our own portfolio. So if you can give some guidance regarding what kind of revenue growth potential for next 3, 5 years are we expecting in TCNS? And a

Is the margin, I

mean, if you give some colour on return on capital etcetera.

Ashish Dikshit: So -- see, your question has a lot of intrinsic and somewhat contradictory assumptions. When you acquire a business, you acquire the business on the valuation of that business and that's how the initial part of the transaction is built, which is the open offer and the share purchase

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 13 of 19

agreement with the promoter. That is not built on ABFRL, but that's built around TCNS and its expectations of promoters and open offer price.

The second part of the transaction is built by valuers who have valued the long-term potential and projections of our business and, therefore, value of the business. So this implications of premium and valuation multiples are -- there more sort of short term in nature. The transaction actually captures the long-term value of it, and this is how the whole business -- the construct

of the scheme is.

Moderator: Next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: So my question is more with regards to the ethnic wear industry, especially on the women's side. So if we see there are highly any brands which are in the range of this INR500 crores to INR1,000 -odd crores. So a, I would like to one from you to know what you think is the major problem for the brands not to scale up beyond the INR1,000 crores odd mark? And b, related part of this is what differentiating things that ABFRL will do here that is helping you to scale up these brands to the next level?

Ashish Diks hit: So I think, Gaurav, at a very high level, we have been in the journey for all our brands across the portfolio. And it's not just true for us, it's to for many other brands in the industry. They go from INR100 crores to INR500 crores to INR1,000 crores to INR2,000 crores. Each of the brands that we have grown or any of the competitor has grown has been a journey where a different set of skills come at INR400 crores, INR500 crores, INR1,000 crores, etcetera. I think TCNS portfolio brands, at least 2 of the leading brands, which is W and A urelia, are fairly well positioned to become INR1,000 crores and INR2,000 crores over a period of time. We have gone through our own journey in multiple of our brands on that. So we are quite confident about how this journey goes.

In terms of what we will add to the TCNS current team and management? I think, first of all, a large part of this growth and ambition is built into their business plan. They have been executing it extremely well until FY '20, if you look at the performance. I'm very confident that in a short period of time that journey will recover on its own based on the learning and the knowledge that, that system has.

But as a company, we bring ability to scale brands on multiple dimensions, which is expanding product portfolio, preimmunizing this into products, improving the state performance, building an asset-light franchise model, expanding distribution, building deeper partnerships with department stores, growing our brands even faster with partnerships with e-commerce players. So there is multiple levers, which we have executed across the portfolio brands. Some of it exists already in the TCNS business, but I think at another level, we will be able to add that value to this portfolio to accelerate the growth.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 14 of 19

We believe the size of the opportunity is very, very large. Very few brands have broken through the manner that TCNS portfolio brands, which is the top 2 brands are getting space. There is still value in some of the other smaller brands in the portfolio, be it Wishful at the top or Elleven. But over a period of time, we think what we have got is the right source, which has helped us build very scalable brands. And I think the same

same formula will work for that.

Gaurav Jogani: Sure, sir. Sir, the next question is with regards to why we are looking to buy the entire company? Don't you think just buying the 51% stake and having a controlling stake would have solved the purpose because in that case also, you will be having the controlling management and you can drive the changes that is requisite that you're looking for?

Ashish Dikshit: So I think here the thought is that a very strong -- this is a very large market. And in our size, this itself will be a very large meaningful opportunity for us. And for ABFRL stakeholders, as well as the TCNS shareholders, the best would be a complete integration where there's fungibility of capital management, and it allows us to fully execute the plan, and that's really why it is. In a partial set up, some of these synergies still don't come in. And if it was -- it's a part of our -- fully part of the realized machinery, which has been executing over a period of time, we believe that we'll be able to extract maximum values.

Gaurav Jogani: Sure. Sir, and my last question is with regard to the ethnic wear industry. I mean, we do understand that COVID has impacted performance for various apparel players amongst those, but however, we see -- the ethnic wear, the daily wear segment, if you look at it, it's kind of -- I would not say a basic necessity, but a kind of thing that everyone would use in the daily wear segment. So why do you think the growth specifically hasn't recovered to the earlier levels, even after we have seen 1 year of normalization in the overall scheme of things?

Ashish Dikshit: I think as an industry, it's been slow to take off and perhaps some of that has to do with some shifts in the way women wear dressing, and I think some of the functions for which -- so ethnic wear industry serves both purposes at least on the women's side, one is the special occasion and second is the daily wear, which is a regular office wear.

As women coming out both for occasion wear and the office wear and the regular wear starts to come back, it's been slower and lagging behind the men's wear segment. And that's something that we tracked across the industry and within our portfolio as we look at the performance of various brands inside the Pantaloon's. We fundamentally don't believe there is any reason for it to stay that way for too long. And that is why we believe that it's a short-term phenomenon and a quarter or 2, it should come back to same level.

Moderator: Next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congrats on this big acquisition. Sir, I wanted to check, I mean, I agree that the ethnic space is about 1/3 of the market, but it also includes sari segment, which is also similar to salwar kurta

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 15 of 19

industry where TCNS has limited presence. So what is the thought process here? Do we plan to launch this product proposition within W or Aurelia? How should we see this?

Ashish Dikshit: So here, our philosophy in various categories has been to deal with categories through brand extensions. And that's what we have done on the men's wear side through our portfolio brand. Even in women's wear, if you recall, we had launched saris in side Pantaloons. Sari is a part of Jaypore business portfolio.

It's a very strong part of many of our designer portfolios, whether you look at Sabyasachi, Masaba, Tarun Tahiliani, some of those portfolio as well as Shantanu Nikhil where, you know, there is a designer sari element. So we are not close to sari as another segment. The approach to categories is through the lengths of brands, and we will see wherever we find an appropriate brand extension possibility, we'll do that.

Devanshu Bansal: Okay. Sir, second question is on working capital front and we definitely, as a group, operated

a

very light working capital cycle in the range of mid - to high single digits, while TCNS currently is operating at a relatively much higher working capital between 25% to 30%. So wanted to check what are the key drivers if any? And so firstly, whether we can bring it's working to our group's level of booking capital? And what are the key drivers that are going to be for this?

Ashish Dikshit: So I think we'll have to engage a little bit more and understand the business on this difference that on the surface and straight away, I could say that there is no reason for us to believe that working capital cycle cannot be brought to the level where other brands operate.

Devanshu Bansal: Okay. So that's a possibility, obviously, with time that should -- maybe you will learn is and how that can be done. Is it the right takeaway?

Ashish Dikshit: Yes, absolutely.

Moderator: Next question is from the line of Sameer Gupta: from India Infoline.

Sameer Gupta: First question from me is that what kind of margins do you expect TCNS to do in the first year? Now if you look at the longer history, it has been very volatile. There have been a peak of 15%. They've had loss-making years also. Recently in the first half of FY '23, they have done a 3% margin. So what is your expectation? And where do you see stabilizing? Also the road map to this margin that you are expecting if it is on the higher side?

Ashish Dikshit: So I don't think I would be able to -- or I would like to comment on very short-term questions on the company. I think company's management in due course will give you that response. We don't believe we should answer that question at this point of time. We are not in a position to answer that question. So I think very short-term questions, perhaps we are not in a position to

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 16 of 19

answer. We are very confident that in a reasonable period of time in a year or 2, we'll come back to at least double-digit margin, and it will start to improve from there.

Sameer Gupta: Got it, sir. And regarding the brand's growth, maybe it's COVID but it could also be a brand scaling up to a level where growing from there on is going to be difficult. So let's say, a brand has lost its traction or has lost its relevance, how do you evaluate that particular case?

Ashish Dikshit: No, think you are conjecturing a few things, which are contrary to our belief. We have spent time understanding consumers and brands in this space before we made this move. We are quite confident that the portfolio brand has resilience and vitality. In our own journey over 20, 25 years, we've seen periods where some brands have struggled to go for a short period of time, and we've been able to find solutions to, specifically in that case. We are very confident that otherwise, brands don't suddenly flag off. There are periods of stagnation where specific issues, the merchandising or season come through. But strong brands have a ability, and we have seen it over a long period of time, across large number of brands that these can be overcome, and we are very confident that this management team will have answers to that question. We don't believe the brands have lost either relevance or vitality in this case.

Sameer Gupta: Got it. Sir, last question from me. We intend to take a INR700 crores, INR800 crores incremental debt to fund this transaction. But we are also expecting INR1,400 crores from GIC. So just wanted to understand, could we have like prepone this GIC inclusion as it is anywhere slated to come and avoid taking debt at this point? Or that is something which is not in our hands?

Ashish Dikshit: So as you know, the GIC infusion was part of a strategic decision that was taken some time

back. At that stage, we do have no visibility of the transaction of this nature. Like with all our partnerships, contracts, we'll

very confident in the spirit of it that the short period of gap between this transaction and the money that will come is a very manageable period for us, and we don't need to change that.

Moderator: Next question is from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia: So just one question from my side. While we have said 6 to 9 months is the timeline from the deal. Just wanted to know what are the approvals needed for it to go through? And what is the fallback as the minority shareholders of TCNS oppose the deal given that we can see that it's not in their interest given the valuation is at a 2.5% lower than the promoters and the PE guys are going to get the exit?

Ashish Dikshit: Again, I'll let Jagdish talk about the assets part. So let me answer the second part. See, I think all shareholders of TCNS would understand the value of this partnership and what the 2 businesses together could create and the value and play the large platform that ABFRL offers for any investor in this industry. So we are very confident that, that would not be an issue. On specific question of what the process and timeline, I'll request Jagdish to...

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 17 of 19

Jagdish Bajaj: So Ankit, they are the customary approvals like CCI, we have to seek approval, then it's directed to SEBI, once we do get it, then you know the open offer and first date, the NCLT approval for these schemes.

Ankit Kedia: So when will be the minority approvals needed for the merger?

Ashish Dikshit: That will be once the NCLT process is started, and we call for the shareholders meeting.

Moderator: Next question from the line of Komal Khetawat from Aditya Birla Sun Life.

Komal Khetawat: You mentioned that you'd be raising INR700 crores to INR800 crores of debt. Can you give me-- can -- give some indication on how much will come from bank borrowings and how much will be from capital markets?

Jagdish Bajaj: So this is an acquisition financing. So nothing from working capital, it will be through capital market.

Moderator: The next question is from the line of Gopal Nawandhar from SBI Life Insurance.

Gopal Nawandhar: Sir, can you just give some comments on how you see these transactions in terms of EPS for ABFRL over '24, '25? And which year you believe this can be an EPS accretive transaction?

Ashish Dikshit: We believe, based on our current judgment that it should start getting marginally accretive in '25 and definitely from '26 onwards.

Moderator: Next question is from the line of Yashank Sharma from Nuvama Wealth.

Yashank Sharma: This is more of a follow-up question on the approval timeline. So just to clarify that for open offer, we would only require CCI approval and SEBI approval? And NCLT approval would not be required in case of open offer, am I right?

Jagdish Bajaj: Yes.

Yashank Sharma: So possibly, the timeline for approval -- I mean open could be around 4 to 5 months, depending on the approval when we get it? And thereafter, we will process for the merger requirement?

Jagdish Bajaj: Exactly. Exactly.

Yashank Sharma: Sir, in any case, if we are not able to process the SPA, will that merger -- again merger -- I mean, merger process will continue, or it will fall through?

Jagdish Bajaj: No. First, we have to complete the conditional open offer. If you see, we have to acquire 51%, that is most likely to be done by August, September, mid of August or early September. After that, the NCLT process will start.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 18 of 19

Yashank Sharma: Okay. And then for that timeline should be depending on the way merger processes get completed.

Jagdish Bajaj: Absolutely.

Moderator: Next question is from the line of Ankit Babel from Subhkam Ventures.

Ankit Babel: Yes, sir, 2 questions from my side. The first was 2 years back,

you have shared your FY '26

vision. But a lot of things have changed post that. Would you like to update the same and let us know the revised numbers in the upcoming results?

Ashish Dikshit: So not -- Ankit, not maybe in this result, but we will soon come back with an update on our long-term projections because, yes, as you said, it was done after the first wave of COVID. We also had the positive benefit of having added some new businesses, not just TCNS, but for

example, Reebok. And so we will come back with an updated strategy and projections.

Sometimes post results, not these results, not at the time of these results.

Ankit Babel : Okay. And sir, out of this INR5,000 crores revenue target in the ethnic wear segment, which you are targeting by FY ' 27, how much would be contributed by TCNS?

Ashish Dikshit: We believe at this point of time on the surface, at least half should come from there.

Ankit Babel: Okay. Okay. And that's great, sir. And last question, sir, although you have given an indication but sir, in the last couple of years, we have done a few acquisitions and also launched new brands. Now we believe that we have already gained a decent scalability from the revenue side. Is it fair to assume now from here on management should focus on scaling the existing businesses and therefore, put up temporary break on any of these -- any further acquisitions for the company as a whole other than your D2C business?

Ashish Dikshit: Yes. I think that's what I think Mr. Jagdish in his opening remark had mentioned. Remember, it's not sporadically that we were acquiring business. It was part of a well-defined strategy, which we had called out 5 years back and systematically executed over the period of time. The largest missing piece on this was -- this -- which also we were building organically. With this, I think our portfolio is complete, 2 of the largest segments, which is men's ethnic wear and women's ethnic wear, particularly of them, women's ethnic wear contributes 90% of total ethnic wear market and this is a very large segment.

It completes our full circle, and the management attention now is how to take these businesses, which we have either organically launched or done in partnership with the designers or this one with TCNS management, how to grow that business. And we focused on building that.

Moderator: Next question is from the line of Priyanka Trivedi from Antique Stock Broking.

Aditya Birla Fashion and Retail Limited

May 08 , 2023

Page 19 of 19

Priyanka Trivedi : Sir, my first question is with regards to the D2C subsidiary. So I assume that we are looking to invest around INR500 crores to INR600 crores. Is the number right that in third quarter, we had invested around INR290 crores, or any additional amount is there in that?

Ashish Dikshit: So we would have taken this question normally in our quarterly and annual results. But just for clarification, the commitment for our D2C subsidiary is a INR500 crores of equity capital. I think we have out of that invested close to INR300 crores or INR350 crores. I don't have the exact number already, and that's clearly the part of the plan.

Priyanka Trivedi : Okay, sir. And my second question would be a bookkeeping question. So what would be goodwill arising out of this transaction?

Ashish Dikshit: We'll give the exact number at the time of closing of the transaction, and that's where some of these exact accounting entries will come into play. It would be best to answer that question at that stage.

Moderator: Ladies and gentlemen, on behalf of the management, we thank all the participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines. Thank you.

Call: May 2023

ADITYA BIRLA FASHION AND RETAIL LIMITED

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May 10, 2023

BSE Limited

Scrip code : 535755 & 961915 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Earnings Call of Aditya Birla Fashion and Retail Limited ("the Company")

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. ISIN: INE647O01011 & INE647O13016

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of Earnings Call held on May 8, 2023 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.abfrl.com .

Thanking you ,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President, Company Secretary

Encl: a/a

E

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA FASHION AND RETAIL LIMITED
Aditya Birla Fashion and Retail Limited
May 08 , 2023

Page 2 of 19

Moderator : Ladies and Gentlemen . Good day, and welcome to the conference call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the recent corporate actions followed by a question -and-answer session. Please note that the company is still in its shut period, so I request you to please restrict your questions to the subject action -only.

We have with us today ; Mr. Ashish Dikshit, Managing Director; and Mr. Jagdish Bajaj, CFO. I want to thank the management team on top of all the participants for taking the valuable time today with us. I must remind you that today's discussion may include certain forward -looking statements and maybe viewed, therefore in conjunction with the risks of the company faces. Please restrict your questions to the transaction and to strategic questions -only. Housekeeping questions can be dealt with separately with the IR team. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phones. Please note that this conference is being recorded.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj: Thank you. Good evening, and welcome to the conference call. It gives me immense pleasure to share an important update. As you are already aware, this Friday 5th of May 2023, the Board of Aditya Birla Fashion and Retail Limited approved the company to acquire 51% stake in TCNS Clothing Company Limited through combination of share purchase agreement with counter promoters and a conditional public open offer. This will be at a price of INR503 per share of TCNS.

Subsequently, it is also proposed that TCNS will be merged with ABFRL through a scheme of amalgamation post receipt of necessary approvals. The company will pay INR1,650 crores for acquisition of 51% stake under the SPA and public open offer, pursuant to the above, TCNS will be amalgamated with ABFRL under the merger scheme bearing shareholders of TCNS. As on effective date, we'll receive 11 shares of Aditya Birla Fashion and Retail Limited for every 6 shares they held -they hold in TCNS. The above transactions will be one of the largest deals in the Indian fashion space.

Way back in 2018, we had explicitly st

ated our growth strategy for the coming years to be built around ethnic wear, the largest segment in the Indian fashion space. Over these years, the company has made several organic and inorganic moves with an objective to build comprehensive portfolio of brands in this key segment. This deal will allow us to expand our existing ethnic wear portfolio into the largest subsegment, which is premium women's ethnic wear segment, where the branded part of the segment is expected to grow at high double -digit for years to come. TCNS, reputable and popular brands have already cemented a solid foundation in this category, which we aim to leverage and enhance to strengthen our position.

Aditya Birla Fashion and Retail Limited
May 08 , 2023

Page 3 of 19

Most of you must be aware but let me still give you a brief about TCNS. TCNS is India's leading women's branded apparel company that owns amongst the most popular women's ethnic wear brand such as W, Aurelia, Wishful, Folksong and Elleven. The company designs sources, markets, and retails a wide portfolio of women's branded apparels and accessories. As of December 2022, it sold its products through 650 -plus exclusive brand outlets, 2,500 large

format stores and 1,100-plus multi-brand outlets located in 29 states and 2 union territories in India. It also sells its products in Nepal, Mauritius, and Sri Lanka through exclusive branded outlets. Its products are available in India and select countries through the brand websites and other e-commerce platforms.

The company, as all of you are aware, reported a top line of INR933 crores and a profit after tax of INR10.6 crores for the 9-month period ended December 2022. The company has demonstrated consistent growth in revenues, high gross margin, and EBITDA over the years, running an asset-light and self-funding proposed model. Prior to COVID, the company maintained a strong double-digit EBITDA margin and generated positive cash flow, reflecting intensive strength of its brand and robust financial metrics. The business is also led by a very high-quality team, which dedicated itself towards building these brands for more than 15 years. Why are we doing this? India is going through an unprecedented consumption boom, driven by a growing population, and increasing purchasing power. In particular, discretionary spending has been on the rise as consumers seek to elevate their lifestyles and express their individuality. Of all the discretionary consumption categories, apparel is one of the largest and fastest-growing segments. The organized apparel market is expected to reach USD 70 billion plus by 2028, growing at a CAGR of 15% plus.

The company is well poised to leverage this consumer trend and build large businesses around significant and meaningful categories with a brand-led strategy. We have been very clear in our thinking that we would want to operate in all large segments of fashion and lifestyle business.

Over the last 25 plus years, the company has successfully demonstrated its stability in building brands, as shown by the notable success stories of Louis Philippe, Van Heusen, Allen Solly, Peter England and The Collective. In last 10 years, we have successfully demonstrated our ability to take over large businesses and turn them around as seen in Pantaloons. The 5 brands that we will inherit as part of the acquisition are going to play pivotal role in building our ethnic women's wear portfolio, where the strength of these brands, combined with our brand building capabilities and operating strength will help in creating tremendous value.

As we look ahead with this acquisition, our ethnic wear portfolio will now be complete. Going forward, our focus will be on scaling up existing portfolio of brands into large profitable businesses. This acquisition will be funded by incremental debt and internal accruals.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 4 of 19

In conclusion, I strongly believe that this acquisition will be an important milestone in the evolution of the company into fashion and lifestyle powerhouse of brands. As we move forward in our growth journey, including successful completion of this transaction, we are confident of receiving support from all stakeholders, the teams, the partners, and the shareholders. Thanks a lot, and we are happy to take your questions.

Moderator: The first question is from the line of Aliasgar Shakir from Motilal Oswal.

Aliasgar Shakir: I have a few questions. Just first question, trying to understand the mindset behind this acquisition. So -- so far, in the last 3, 4 years, the acquisition that we have done have mainly been in areas where there has been some product expertise requirement, whether it was occasion wear in Sabyasachi or Tarun Tahiliani, even Reebok and probably even tomorrow where there is a particular requirement.

So just trying to understand from that point, what is it that you see here in terms of whether it is product capability for each brand or really ability to get quick a large size that is a key factor that has driven this acquisition? And just related question here is if you could just share your thoughts on the basically daily wear, women ethnic wear where TCNS is -- what is the characteristics of this market? Is it very price competitive? And is that the reason why TCNS has suffered in the recent past, they've had very high margins, but growth has been a challenge. So just if you could share some thoughts on the market.

Ashish Dikshit: So Ali, let me begin by first talking about the strategic ratio that you've asked. Around 5 years back, and we have been consistently emphasizing that every year and every call, that as a company after having built businesses and largely rescue the market for about 25 years, in 2018, we decided that the company's portfolio would be incomplete if we do not have a significant presence and a leading presence in one of the largest segments of the market. Indian ethnic wear constitutes nearly 30% of overall apparel industry, and we have 0 presence in FY '18, but for the product which is sold inside Pantaloons. In our strategy stated around that time and almost 5 years back, we mentioned that this is a market that we have laid out and crafted a segmental approach to all segments of the market which is luxury end, super premium end, premium end, and the value end of the market.

We stated it and called it out in our presentation, which was made to public in FY '21 once again, where we called out each of the segments, our approach to how we will build in each

one of them and over the last 4, 5 years have been systematically and carefully crafting that. In the luxury end, we solved the best approach would be to partner with some of the most successful luxury designers in super premium, and we took some of them and launched prêt-à-porter lines, like an S&N, or operating with House of Masaba.

At the premium end, we are following an approach which is both organic and inorganic. In the men's wear side, we decided to launch organic because that is the way the market was laid out.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 5 of 19

It is early stage. Only 10% of overall market is men's ethnic wear and that's why we launched Tasva. And you're aware of last 12 months, 15 months, the success of that grand early days that we've launched about 50-odd stores.

The largest part of this market is the women's premium ethnic wear market. And if you look at the characteristics of this market, it's very crowded at the bottom end where a lot of unbranded, undifferentiated products fell at lower price points. At the higher end premium of the market, there are only very few players, which have been able to build skill, and TCNS is unique in that sense in the

premium segment of the market.

Our approach to brand building has been very long term with all other brands, which is why we have been able to nurture and grow businesses over 25, 30 years. We looked at the TCNS platform, we believed that there are -- they're exceptional in being able to build and grow the business over more than a decade, deliver the kind of financial performance, which is rare and exceptional, do it in a cost-efficient manner by raising very little capital in a capital-light asset model, exactly the way we have built businesses around Madura.

We see the synergies and our ability to take this business even further. And that's really why we looked at it. We would have loved to build it organically also; it could have taken us a decade or a part of that. It's the single largest segment of the market. And then the opportunity like comes -- like this comes, it's once in -- once in a very long while that you get an opportunity for a market leader which becomes available. And that's really how we looked at it Ali.

We have detailed it out in our strategy segment, and this is an opportunity when it presented ourselves. We feel that it has all the right elements, a very strong brand portfolio, a very well-built distribution network. Our portfolio, which consists of sub premium to super premium segment, management team, which has been stable and exceptional in execution.

Now all brands and businesses go through a little bit of challenge at different points of time so was the case -- in this case, where post-COVID, ethnic wear segment across industry has suffered and it's been taking a little while longer to come back and that doesn't deter us. We think good with strength of the brand, history of the business, the quality of management is perfect opportunity for us to take to next level, and that's been our thinking in this segment.

Aliasgar Shakir: Got it. This is really useful and very detailed. Any quick thoughts on how do you think TCNS recovery can be played out? I mean do you think that they are too premium in terms of pricing or anything else that you think would help them drive that improvement in profitability.

Ashish Dikshit: Ali, you've heard our view on this over a long period of time. I think as a country, Indian consumers are constantly looking for superior and better product. Differentiation and premiumization has been the most consistent theme for us for 25 years for all our brands that

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 6 of 19

we've built. It doesn't mean the consumers will pay high price without the differentiation. So product quality, design differentiation, these are elements for which consumers pay a premium. TCNS portfolio is one of the few, which has been able to command it over a long period of time. I think that's the same thing that will be the focus of management. Of course, for us, a lot of -- to that extent, therefore, I don't believe just price itself is either a problem or an answer to something. It needs to come as an overall package of brand experience, product differentiation, design element, the quality of it combined with the pricing. But premiumization has been a route and it's the one thing that this company has done over a long period of time.

Aliasgar Shakir: Got it. This is a very useful. Just last quick question on the valuation. Can you share the justification of the differential valuation for the cash as well as the swap ratio, which comes out to be somewhere nearly about 25% lower for the swap versus the cash component?

Ashish Dikshit: Probably, I don't think -- I think that's the wrong way to look at it. There are 2 ways. There is a cash component that has come through the negotiations and through the rules that are applicable for the open offer. There is a merger ratio, which has been decided by looking at the fair value of 2 companies by independent

dent valuers. The merger ratio, as you know, the independent valuers would look at a long-term potential of each of the businesses, relative value creation, the fund flows that each of the businesses are projected to create over a long period of time.

It also includes market price, but market price is just one of them. I think your question assumes that all of that is built into the market price, which you know is obviously, current market price reflects the current situation that the valuation is a more long-term projection. And that's how the value has gone. It has been done dependently using multiple methods and both the parties believe that it's a fair thing.

Aliasgar Shakir: Understood...

Ashish Dikshit: And multiple have given opinions on this, both in fairness as well as arriving at the value.

Moderator: The next question is from the line of Garima from Kotak.

Garima: My first question is to Ashish. Now if I read the press release, you have mentioned that your FY 2026 target for revenues from ethnic wear segment is somewhere around INR50 billion, right? Now if I do the math, maybe TCNS can be 15.

Ashish Dikshit: Garima, can I just come in and correct you? We -- on that is FY '27 number. So I think somehow in the press release, it's come out 3 years looking like '26, our intent was '27, but still go ahead with the question.

Garima: All right. So even if it is an FY 2027 number, could you help us understand if after TCNS, your current portfolio, which includes Tasva, the designer brands, etcetera, plus TCNS now, is Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 7 of 19

this portfolio enough to really drive you to the INR50 billion target that you now set for yourself for FY '27?

Ashish Dikshit: Absolutely. I think if you look at the various elements of this portfolio, Garima, the 2 large pieces in fact -- I would call out the 3 large pieces are 2 of them from the TCNS portfolio itself, which has the W and A urelia. Both have potential to become INR1,500 crores brand. You'll have to independently go and see where they reach over a period of time. Similarly, Tasva, our long-term ambition is to build a INR1,000 crores plus business. So these 3 themselves are large part of where the market is, and the opportunities exist.

On top of it, our portfolio that exists of the designer brands and the partnerships that we had Jaypore. So our statement there consists of the brands -- brand portfolio that we have. I think Jagdish also mentioned, as we laid out our ethnic wear strategy, with this, our portfolio is comprehensive, unmatched, and complete. And it is with this portfolio that we believe we'll be able to get to the scale that we're talking about.

Garima: Got it. And Ashish, are there any strategies in your mind in terms of driving TCNS towards the margin levels that they have witnessed in the past that is pre-COVID when they were doing high double-digit kind of margins?

Ashish Dikshit: Garima, I think you should track this market and most of the people who tracked this market know that it takes an exceptional business to deliver double-digit market -- over a -- double-digit margin over a decade. And our -- all our external study also reflect and showed the strength of the brand.

I think COVID has affected some businesses differentially, and we see it in our portfolio also, ethnic wear has been one part of it and that's obviously taken longer to come back. But we are confident that with the combined experience, the strength of the brand and ABFRL's own ability to scale up and add value to these businesses, we will be able to get it back to first the double-digit EBITDA, which we need to get in the next 2, 3 years and hopefully, very soon to the kind of margins that the business used to enjoy before that.

Garima: Understood. I have last question for Jagdish, if I may. Could you please help us with

the net

debt of ABFRL as of 31st of March?

Jagdish Bajaj: Garima, for that, you have to wait until I announce the number. But let me tell you, for this acquisition, we intend to borrow not more than INR700 crores to INR800 crores. Our stated net to debt EBITDA that leverage ratio will increase to approximately 3x in FY '24, but it happens when you do a large acquisition. This is the pre-IndAS EBITDA numbers which I'm talking about. But in next 2 to 3 years or rather 3 years, we will come down to below 2. So this is the position on my net debt.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 8 of 19

Ashish Dikshit: Garima, we'll come back to the exact number when we announce the quarterly results very soon. We want to focus on this transaction there.

Moderator: Next question is from the line of Nihal Jham from Nuvama.

Nihal Jham: Yes, congratulations to the team for completing this acquisition. Just first question was,

Ashish, you alluded to the aspect of maybe taking a decade to build a business similar to what TCNS is currently having. Was that the main consideration? Because if I just think about considering a partnership with Flipkart and the kind of distribution that Madura has, along with the aspect that we launched, Marigold Lane and there are certain private brands in Pantaloon, was there a thought of maybe building this category organically or any other aspects of the TCNS business that -- other than the longevity of creating a business of the scale?

Ashish Dikshit: So Nihal, let me restate some of the points and perhaps help our thinking on that. The first question was also around that. See, we have, as a company, been building brands organically and acquiring businesses inorganic ally both. We understand what it takes, both in terms of time, capital, investment, losses, sometimes risks of failures in building a stable, strong business over a period of time. So we are fully aware of.

Having decided in FY '19, '18, '19, that this is the market where we want to play a leading -- build a leading business, very clearly, these were all set to build an organic business, and this is what we were doing on one side with us, the other side with the Marigold Lane. If the inorganic opportunity didn't present itself, was not either attractive enough or we did not believe we can add value to it. We would go ahead as we were going ahead, Nihal, in terms of building an organic play.

You must appreciate that a portfolio of this nature is one way to come by and second, this long time, it doesn't mean it cannot be created but it does take long time, and we are doing that in many parts of our business. If you look at inner wear, it's a purely organic business that we are building. On the men's ethnic wear, the Tasva, purely organic business. So there is a large part of our portfolio and a meaningful part of our portfolio, which we're building organically.

As and when inorganic opportunity of this nature and this quality come up, we have to seriously consider it. And that's the consideration we did. Both options are available. We were going down the organic path, as you are aware, and since this opportunity came up and we evaluated it, and both felt that this is perhaps the more sure and certain way of creating value in this segment as well as building presence in this segment.

Nihal Jham: The second question was on the fact that you alluded that maybe the ethnic wear segment itself has faced certain issues post COVID. But just on TCNS' growth improvement for both the brands, W and Aurelia, any specific low-hanging fruits, or any changes in strategy that you immediately are considering which you don't want to share?

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 9 of 19

Ashish Dikshit: Too early for us to have a view. We have this investment captures around long-term belief both in the segment,

in the brand and the management team. We think a lot of it will be visible in couple of quarters on its own. We definitely hope and want to build the work with the management team to accelerate and find areas of opportunity where we could add value to further -- at this point of time, I don't think it will be right for me to call out any specific area.

Nihal Jham: I have one final question to Jagdish. We'll be getting approximately \$14 million from the GIC branch in the second half of FY '24, so ideally when we are looking at the debt to EBITDA that should be something that should be considered, right? Or the number you're giving is just, at this point in time, assuming the INR700 crores that you will have to raise to finance it?

Jagdish Bajaj: Yes. So Nihal, when I say 3x of EBITDA, it already factored into GIC money coming into. As you are aware that we have put growth plan across all businesses. And the way our operations are rising, we need for working capital and capex within our own setup. That will take care of -- that will be also included into my this plan.

Ashish Dikshit: So Nihal, you can keep that.

Moderator: Next question is from the line of Tejas Shah from Spark Capital.

Tejas Shah: A couple of questions from my side. First, TCNS story for an outside like me has been very positively of story driven by motivated team. So what are the plans of retaining the key talent in TCNS and how do you plan to institutionalize some of this essence, which must be personally driven in TCNS as a company?

Ashish Dikshit: So just -- we agree and in fact, a part of attractiveness of the whole proposition was solid strength of the brand, business elements as well and equally the team that we built... Please be assured, and we have a history of doing that. A large part of our company is built around the first acquisition, which is the Madura business, which came with the team. We have subsequently have had many other multiple businesses that we acquired, including our designer business last couple of years. We are very confident that the best professionals would enjoy working in the part of ABFRL and Aditya Birla Group.

We clearly have plans, and I'm sure the team is committed to making that happen. You can be sure that it's an important part of both our consideration for the transaction and subsequently also.

Tejas Shah: And second question, we were, like you spoke about the opportunity in women ethnic wear,

and we have been kind of talking and working towards it for a while organically. So -- and then as you pointed out that as and when such opportunities come, you have to take plans at that. But just wanted to understand, does it mean that some of our organic initiatives, which we would have started and now with this opportunity coming into our fold, you will find or

Aditya Birla Fashion and Retail Limited
May 08, 2023

Page 10 of 19

consolidate or terminate some of those organic initiatives that you would not take, let's say, 1 or 2 years or 3 years back?

Ashish Dikshit: See, the way we had built Marigold Lane, which is really what you're referring to, which is the only brand we are building in the women's premium wear segment. If there was no inorganic path, which we didn't see until even 1 year, 1.5 years back, we were committed to building that, we have launched 4 or 5 stores. I think at this point in time, we probably have 6 to 10 stores in the business. It's available across a few hundred Pantaloon's outlet. We are testing the product, constantly improving the product, and we would have gone ahead and built a large business around that.

But now that we have the portfolio strength, experience, and proven brand that TCNS platform offers, we wouldn't have to go through the journey of investing and building a new organic brand from scratch. The role of Marigold Lane as the premium brand offering attractive

pr

premium products within the Pantaloon store, we will continue to remain. And I don't think we need to change that. It has that proposition built into it.

And therefore, to that extent, we wouldn't have to invest the way we will, for example, invest in building Tasva on the men's wear side.

Tejas Shah: And then the last one, if I may, and I'm not sure if I -- it is part of the scope of the call today. But I just wanted to understand, are there any more white spaces in the portfolio as you see for the next 3, 4 years, which would you -- which you would like to target organically, inorganically going forward in terms of additions of categories or brands? Or do you believe that we are almost there in terms of what we want to achieve ABFRL as a company in the next 3, 4 years?

Ashish Dikshit: So I think, as Jagdish had mentioned at the beginning of this call, we had gone out to build an ethnic wear portfolio and which will build a theme for us for 5 years, consistently repeated and carefully built over a period of time. With this acquisition, we believe we now have the platform portfolio, which completely does justice to nearly 1/3 of the market where we had 0 presence 4, 5 years back.

I think our journey of building this portfolio is complete with that. The focus of management team over the next couple of years would be to scale these businesses, get them realize the potential, where they should be and get to the place where we want to as far as ethnic wear portfolio is concerned because this is going to be a very important part of value for Aditya Birla Fashion over a long period of time. And we want to make sure that each of our brands, many of them are in nascent state, that's why it's just a 1 year down the line, many of the designer businesses are finding traction that they need to get scale.

Aditya Birla Fashion and Retail Limited
May 08, 2023

Page 11 of 19

TCNS platform itself has tremendous possibility as we have seen on the Madura's side, building brands which INR2,000 crores. I think individual brands at that scale, that's the potential we see because the women's ethnic wear market is also very, very large market. So our focus would be on building them. I don't think there are large portfolio gaps left in it. I think having identified ethnic wear, the largest part of ethnic wear was premium ethnic wear and not having the clear strategy there or a clear path there was the issue with us, which we have filled with this, I think that portion completes the story as far as portfolio is concerned. Where we would continue to look at opportunities will perhaps be only in the tomorrow's part of the business whereas we have laid out ABFRL has made a finite commitment of INR500 crores equity. And with that, tomorrow we'll look at digital for small brands and tomorrow on its own strength, we will go out and raise capital over the next 12 to 18 months, and that capital will be used to make further exploration of either acquired businesses or small businesses that they would require -- for this capital, a large part has already been deployed.

Moderator: Next question is from the line of Varun Singh from ICICI Securities.

Varun Singh: So my question is related to the execution part of the business. So over the last 5 years, I think -- I mean, we have done quite a good -- I mean, we have -- our journey regarding women ethnic wear brands, etcetera. But still given the context, if we look at a 5-year revenue CAGR of Aditya Birla Fashion, which is at roughly around 8% to 9%. And of course, our retail expansion would have been relatively more aggressive than this number.

And also taking stock of TCNS over the last 4 to 5 years, I mean, the number looks relatively more subdued, but of course, I understand the potential of the brand and of market opportunity which exists out there. But still given this context and background, I just wanted to understand

that how are we willing to scale up TCNS business from here going forward, largely related to our ability to leverage our existing distribution channel?

Ashish Dikshit: So I think best way to look at it, and I would reiterate about 1.5, 2 years back, we had laid out a plan, which is a 5-year FY '26 plan of scaling up the business to go to a revenue of INR21,000-plus crores. We are not just on track; we're moving ahead of that. There have been challenges in the last 2 years, which has been largely related to COVID and recovery from there to that extent, some of it. But I would restate here on that part.

And therefore, our confidence in building large businesses. We are the only company in the Indian fashion industry, which has 4 brands, which are between INR1,500 crores to INR2,500 crores. These have been built organically, and we have strong belief that with the addition of Reebok, parts of TCNS portfolio, we will have 4 or 5 other brands which will be between INR1,000 crores to INR2,000 crores in due course of time.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 12 of 19

So the portfolio of large businesses because fundamentally, we believe in building large scalable brands, which create enormous value over a long period of time. Same thing, I think the model that has worked for us will work in a different context for many of the new businesses that we've acquired. TCNS own portfolio provides that opportunity to build that level of scale and profitability, and we are very confident we will get to that.

Short-term issues about last 3, 4 years, what happened? We are as much aware about challenging the industry. And that's something fortunately, we are coming out of that cycle. There may still be softness for a quarter here and there due to consumer and inflationary issues, but I think those are shorter-term issues. Our long-term strategy remains intact. We are very confident that with this portfolio, we'll be able to build a whole new setup of large businesses and brands.

Varun Singh: So sir, my question is related to distribution scale-up of TCNS will it be largely given by EBUs, or we will be using our own, the strength of Madura brands, etcetera? And also in that context, if we can also understand the percentage of relevant distribution outlet that we could kind of benefit from our existing channels.

Ashish Dikshit: Okay. Let me first say even for all our brands, our largest part of business comes from exclusive brand outlets, which means Louis Philippe has a network of more than 600, Peter England would have more than 1,000. These are exclusive brand outlets. TCNS, as a platform itself has close to 650-plus exclusive brand outlets, which is the largest part of any apparel brand in the brand and in the premium segment.

It will continue to grow and that's the way we have built all our brands. This will continue to grow. We have strong partnerships with large department stores. We have very deep partnerships with all the leading e-commerce player. They will provide other multiple platforms. These are not platforms owned by us. These are large consumer platforms where consumers are there, and all brands grow through that. Exclusive brand is a large part of our strategy and will continue to be the strategy for TCNS.

Varun Singh: Sure, sir. And to my last question is regarding the premium on the valuation that we have paid, which is roughly 30% to 35% compared to our own valuation. I'm taking this simply on market cap to revenue basis. I'm not looking at profitability, which might be relatively subdued for some or other reasons. But still given the 30%, 35% premium that we have paid, I'm sure we must be expecting relatively higher growth compared to the growth that we are already tracking in our own portfolio. So if you can give some guidance regarding what kind of revenue growth potential for next

3, 5 years are we expecting in TCNS? And also the margin, I mean, if you give some colour on return on capital etcetera.

Ashish Dikshit: So -- see, your question has a lot of intrinsic and somewhat contradictory assumptions. When you acquire a business, you acquire the business on the valuation of that business and that's how the initial part of the transaction is built, which is the open offer and the share purchase

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 13 of 19

agreement with the promoter. That is not built on ABFRL, but that's built around TCNS and its expectations of promoters and open offer price.

The second part of the transaction is built by valuers who have valued the long-term potential

and projections of our business and, therefore, value of the business. So this implications of premium and valuation multiples are -- there more sort of short term in nature. The transaction actually captures the long-term value of it, and this is how the whole business -- the construct of the scheme is.

Moderator: Next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: So my question is more with regards to the ethnic wear industry, especially on the women's side. So if we see there are highly any brands which are in the range of this INR500 crores to INR1,000 -odd crores. So a, I would like to one from you to know what you think is the major problem for the brands not to scale up beyond the INR1,000 crores odd mark? And b, related part of this is what differentiating things that ABFRL will do here that is helping you to scale up these brands to the next level ?

Ashish Diks hit: So I think, Gaurav, at a very high level, we have been in the journey for all our brands across the portfolio. And it's not just true for us, it's to for many other brands in the industry. They go from INR100 crores to INR500 crores to INR1,000 crores to INR2,000 crores. Each of the brands that we have grown or any of the competitor has grown has been a journey where a different set of skills come at INR400 crores, INR500 crores, INR1,000 crores, etcetera . I think TCNS portfolio brands, at least 2 of the leading brands, which is W and A urelia, are fairly well positioned to become INR1,000 crores and INR2,000 crores over a period of time. We have gone through our own journey in multiple of our brands on that. So we are quite confident about how this journey goes.

In terms of what we will add to the TCNS current team and management? I think, first of all, a large part of this growth and ambition is built into their business plan. They have been executing it extremely well until FY '20, if you look at the performance. I'm very confident that in a short period of time that journey will recover on its own based on the learning and the knowledge that, that system has.

But as a company, we bring ability to scale brands on multiple dimensions, which is expanding product portfolio, preimmunizing this into products, improving the state performance, building an asset -light franchise model, expanding distribution, building deeper partnerships with department stores, growing our brands even faster with partnerships with e-commerce players. So there is multiple levers, which we have executed across the portfolio brands. Some of it exists already in the TCNS business, but I think at another level, we will be able to add that value to this portfolio to accelerate the growth.

Aditya Birla Fashion and Retail Limited

May 08 , 2023

Page 14 of 19

We believe the size of the opportunity is very, very large. Very few brands have broken through the manner that TCNS portfolio brands, which is the top 2 brands are getting space. There is still value in some of the other smaller brands in the portfolio , be it Wishful at the top or El leven. But over a period of time, we think what we have got is the right source, which has helped us

build very scalable brands. And I think the same formula will work for that.

Gaurav Jogani: Sure, sir. Sir, the next question is with regards to why we are looking to buy the entire company? Don't you think just buying the 51% stake and having a controlling stake would have solved the purpose because in that case also, you will be having the controlling management and you can drive the changes that is requisite that you're looking for?

Ashish Dikshit: So I think here the thought is that a very strong -- this is a very large market. And in our size, this itself will be a very large meaningful opportunity for us. And for ABFRL stakeholders, as well as the TCNS shareholders, the best would be a complete integration where there's fungibility of capital management, and it allows us to fully execute the plan, and that's really why it is. In a partial set up, some of these synergies still don't come in. And if it was -- it's a part of our -- fully part of the realized machinery, which has been executing over a period of time, we believe that we'll be able to extract maximum values.

Gaurav Jogani: Sure. Sir, and my last question is with regard to the ethnics wear industry. I mean, we do understand that COVID has impacted performance for various apparel players amongst those, but however, we see -- the ethnic wear, the daily wear segment, if you look at it, it's kind of -- I would not say a basic necessity, but a kind of thing that everyone would use in the daily wear segment. So why do you think the growth specifically hasn't recovered to the earlier levels, even after we have seen 1 year of normalization in the overall scheme of things?

Ashish Dikshit: I think as an industry, it's been slow to take off and perhaps some of that has to do with some shifts in the way women wear dressing, and I think some of the functions for which -- so ethnic wear industry serves both purposes at least on the women's side, one is the special occasion and second is the daily wear, which is a regular office wear.

As women coming out both for occasion wear and the office wear and the regular wear starts to come back, it's been slower and lagging behind the men's wear segment. And that's something that we tracked across the industry and within our portfolio as we look at the

performance of various brands inside the Pantaloon. We fundamentally don't believe there is any reason for it to stay that way for too long. And that is why we believe that it's a short-term phenomenon and a quarter or 2, it should come back to same level.

Moderator: Next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congrats on this big acquisition. Sir, I wanted to check, I mean, I agree that the ethnic space is about 1/3 of the market, but it also includes sari segment, which is also similar to salwar kurta

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 15 of 19

industry where TCNS has limited presence. So what is the thought process here? Do we plan to launch this product proposition within W or Aurelia? How should we see this?

Ashish Dikshit: So here, our philosophy in various categories has been to deal with categories through brand extensions. And that's what we have done on the men's wear side through our portfolio brand.

Even in women's wear, if you recall, we had launched saris inside Pantaloon. Sari is a part of Jaypore business portfolio.

It's a very strong part of many of our designer portfolios, whether you look at Sabyasachi, Masaba, Tarun Tahiliani, some of those portfolio as well as Shantanu Nikhil where, you know, there is a designer sari element. So we are not close to sari as another segment. The approach to categories is through the lengths of brands, and we will see wherever we find an appropriate brand extension possibility, we'll do that.

Devanshu Bansal: Okay. Sir, second question is on working capital

front and we definitely, as a group, operated a

very light working capital cycle in the range of mid - to high single digits, while TCNS

currently is operating at a relatively much higher working capital between 25% to 30%. So

wanted to check what are the key drivers if any? And so firstly, whether we can bring it's

working to our group's level of booking capital? And what are the key drivers that are going to be for this?

Ashish Dikshit: So I think we'll have to engage a little bit more and understand the business on this difference that on the surface and straight away, I could say that there is no reason for us to believe that working capital cycle cannot be brought to the level where other brands operate.

Devanshu Bansal: Okay. So that's a possibility, obviously, with time that should -- maybe you will learn is and how that can be done. Is it the right takeaway?

Ashish Dikshit: Yes, absolutely.

Moderator: Next question is from the line of Sameer Gupta: from India Infoline.

Sameer Gupta: First question from me is that what kind of margins do you expect TCNS to do in the first year? Now if you look at the longer history, it has been very volatile. There have been a peak

of 15%. They've had loss-making years also. Recently in the first half of FY '23, they have

done a 3% margin. So what is your expectation? And where do you see stabilizing? Also the

road map to this margin that you are expecting if it is on the higher side?

Ashish Dikshit: So I don't think I would be able to -- or I would like to comment on very short-term questions on the company. I think company's management in due course will give you that response. We

don't believe we should answer that question at this point of time. We are not in a position to answer that question. So I think very short-term questions, perhaps we are not in a position to

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 16 of 19

answer. We are very confident that in a reasonable period of time in a year or 2, we'll come

back to at least double-digit margin, and it will start to improve from there.

Sameer Gupta: Got it, sir. And regarding the brand's growth, maybe it's COVID but it could also be a brand scaling up to a level where growing from there on is going to be difficult. So let's say, a brand

has lost its traction or has lost its relevance, how do you evaluate that particular case?

Ashish Dikshit: No, think you are conjecturing a few things, which are contrary to our belief. We have spent time understanding consumers and brands in this space before we made this move. We are

quite confident that the portfolio brand has resilience and vitality. In our own journey over 20,

25 years, we've seen periods where some brands have struggled to go for a short period of

time, and we've been able to find solutions to, specifically in that case. We are very confident

that otherwise, brands don't suddenly flag off. There are periods of stagnation where specific

issues, the merchandising or season come through. But strong brands have a ability, and we have

seen it over a long period of time, across large number of brands that these can be overcome,

and we are very confident that this management team will have answers to that question. We

don't believe the brands have lost either relevance or vitality in this case.

Sameer Gupta: Got it. Sir, last question from me. We intend to take a INR700 crores, INR800 crores

incremental debt to fund this transaction. But we are also expecting INR1,400 crores from

GIC. So just wanted to understand, could we have like prepone this GIC inclusion as it is

anywhere slated to come and avoid taking debt at this point? Or that is something which is not in our hands?

Ashish Dikshit: So as you know, the GIC infusion was part of a strategic decision that was taken some time back. At that stage, we do have no visibility of the transaction of this nature. Lik

e with all our

partnerships, contracts, we'll very confident in the spirit of it that the short period of gap between this transaction and the money that will come is a very manageable period for us, and we don't need to change that.

Moderator: Next question is from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia: So just one question from my side. While we have said 6 to 9 months is the timeline from the deal. Just wanted to know what are the approvals needed for it to go through? And what is the fallback as the minority shareholders of TCNS oppose the deal given that we can see that it's not in their interest given the valuation is at a 2.5% lower than the promoters and the PE guys are going to get the exit?

Ashish Dikshit: Again, I'll let Jagdish talk about the assets part. So let me answer the second part. See, I think all shareholders of TCNS would understand the value of this partnership and what the 2 businesses together could create and the value and play the large platform that ABFRL offers for any investor in this industry. So we are very confident that, that would not be an issue. On specific question of what the process and timeline, I'll request Jagdish to...

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 17 of 19

Jagdish Bajaj: So Ankit, they are the customary approvals like CCI, we have to seek approval, then it's directed to SEBI, once we do get it, then you know the open offer and first date, the NCLT approval for these schemes.

Ankit Kedia: So when will be the minority approvals needed for the merger?

Ashish Dikshit: That will be once the NCLT process is started, and we call for the shareholders meeting.

Moderator: Next question from the line of Komal Khetawat from Aditya Birla Sun Life.

Komal Khetawat: You mentioned that you'd be raising INR700 crores to INR800 crores of debt. Can you give me-- can -- give some indication on how much will come from bank borrowings and how much will be from capital markets?

Jagdish Bajaj: So this is an acquisition financing. So nothing from working capital, it will be through capital market.

Moderator: The next question is from the line of Gopal Nawandhar from SBI Life Insurance.

Gopal Nawandhar: Sir, can you just give some comments on how you see these transactions in terms of EPS for ABFRL over '24, '25? And which year you believe this can be an EPS accretive transaction?

Ashish Dikshit: We believe, based on our current judgment that it should start getting marginally accretive in '25 and definitely from '26 onwards.

Moderator: Next question is from the line of Yashank Sharma from Nuvama Wealth.

Yashank Sharma: This is more of a follow-up question on the approval timeline. So just to clarify that for open offer, we would only require CCI approval and SEBI approval? And NCLT approval would not be required in case of open offer, am I right?

Jagdish Bajaj: Yes.

Yashank Sharma: So possibly, the timeline for approval -- I mean open could be around 4 to 5 months, depending on the approval when we get it? And thereafter, we will process for the merger requirement?

Jagdish Bajaj: Exactly. Exactly.

Yashank Sharma: Sir, in any case, if we are not able to process the SPA, will that merger -- again merger -- I mean, merger process will continue, or it will fall through?

Jagdish Bajaj: No. First, we have to complete the conditional open offer. If you see, we have to acquire 51%, that is most likely to be done by August, September, mid of August or early September. After that, the NCLT process will start.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 18 of 19

Yashank Sharma: Okay. And then for that timeline should be depending on the way merger processes get completed.

Jagdish Bajaj: Absolutely.

Moderator: Next question is from the line of Ankit Babel from Subhkam Ventures.

Ankit Babel: Yes, sir, 2 questions

from my side. The first was 2 years back, you have shared your FY '26 vision. But a lot of things have changed post that. Would you like to update the same and let us know the revised numbers in the upcoming results?

Ashish Dikshit: So not -- Ankit, not maybe in this result, but we will soon come back with an update on our long-term projections because, yes, as you said, it was done after the first wave of COVID. We also had the positive benefit of having added some new businesses, not just TCNS, but for example, Reebok. And so we will come back with an updated strategy and projections. Sometimes post results, not these results, not at the time of these results.

Ankit Babel : Okay. And sir, out of this INR5,000 crores revenue target in the ethnic wear segment, which you are targeting by FY '27, how much would be contributed by TCNS?

Ashish Dikshit: We believe at this point of time on the surface, at least half should come from there.

Ankit Babel: Okay. Okay. And that's great, sir. And last question, sir, although you have given an indication but sir, in the last couple of years, we have done a few acquisitions and also launched new brands. Now we believe that we have already gained a decent scalability from the revenue side. Is it fair to assume now from here on management should focus on scaling the existing businesses and therefore, put up temporary break on any of these -- any further acquisitions for the company as a whole other than your D2C business?

Ashish Dikshit: Yes. I think that's what I think Mr. Jagdish in his opening remark had mentioned. Remember, it's not sporadically that we were acquiring business. It was part of a well-defined strategy, which we had called out 5 years back and systematically executed over the period of time. The largest missing piece on this was -- this -- which also we were building organically. With this, I think our portfolio is complete, 2 of the largest segments, which is men's ethnic wear and women's ethnic wear, particularly of them, women's ethnic wear contributes 90% of total ethnic wear market and this is a very large segment.

It completes our full circle, and the management attention now is how to take these businesses, which we have either organically launched or done in partnership with the designers or this one with TCNS management, how to grow that business. And we focused on building that.

Moderator: Next question is from the line of Priyanka Trivedi from Antique Stock Broking.

Aditya Birla Fashion and Retail Limited

May 08, 2023

Page 19 of 19

Priyanka Trivedi : Sir, my first question is with regards to the D2C subsidiary. So I assume that we are looking to invest around INR500 crores to INR600 crores. Is the number right that in third quarter, we had invested around INR290 crores, or any additional amount is there in that?

Ashish Dikshit: So we would have taken this question normally in our quarterly and annual results. But just for clarification, the commitment for our D2C subsidiary is a INR500 crores of equity capital. I think we have out of that invested close to INR300 crores or INR350 crores. I don't have the exact number already, and that's clearly the part of the plan.

Priyanka Trivedi : Okay, sir. And my second question would be a bookkeeping question. So what would be goodwill arising out of this transaction?

Ashish Dikshit: We'll give the exact number at the time of closing of the transaction, and that's where some of these exact accounting entries will come into play. It would be best to answer that question at that stage.

Moderator: Ladies and gentlemen, on behalf of the management, we thank all the participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines. Thank you.

Call: Aug 2023

ADITYA BIRLA FASHION AND RETAIL LIMITED

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August 7, 2023

BSE Limited

Scrip code: 535755 & 961915 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q1 FY 24 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. ISIN: INE647O01011 & INE647O13016 and

3. Our intimation dated July 28, 2023

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 1 FY 24 Earnings Call held on August 4, 2023 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.abfrl.com .

Thanking you ,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

E

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED
M R. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA FASHION AND RETAIL LIMITED
M R. VISHAK KUMAR – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – LIFESTYLE BUSINESS – ADITYA
BIRLA FASHION AND RETAIL LIMITED
M S. SANGEETA PENDURKAR – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – PANTALOONS

Aditya Birla Fashion and Retail Limited
August 04, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good evening, and welcome to the First Quarter Earnings Conference Call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q1 FY24 performance followed by a question-and-answer session.

We have with us today Mr. Ashish Dikshit, Managing Director; Mr. Jagdish Bajaj, CFO; Mr. Vishak Kumar, Director and CEO, Lifestyle Business; Ms. Sangeeta Pendurkar, Director and CEO, Pantaloons.

I want to thank the management team on behalf of all the participants for taking valuable time to be with us. I must remind you that the discussion on today's earnings call may include certain forward-looking statements and must be viewed careful in conjunction with the risks that the company faces. Please restrict your questions to the quarterly performance and to strategic questions only. Housekeeping questions can be dealt with separately with the IR team.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj: Thanks. Good evening, and welcome to the Q1 earnings call of our company. Let me start with the highlights of the quarter by setting the context for industry during this period. The consumption slowdown that the discretionary category started to witness post festive last year continued during this quarter as well. In such a challenging environment, the business posted growth over last year driven by performance across our established businesses added by new business additions that we made during the last year.

It is important to note that amidst this continued challenges in the demand environment, our performance has been driven by rapid and agile responses to the changing market conditions, along with effective execution of our growth strategy through brand building, network expansion, category extensions and portfolio enhancement.

Now I will talk about financial performance of our company for this quarter. The company delivered revenue of INR 3,196 crores, which reflects a growth of 11% over same quarter last year. Our stand-alone revenue grew 8% over last year, reaching to INR 2,987 crores. The company achieved a consolidated EBITDA of INR 353 crores with 11% margin, our stand-alone EBITDA margin stood at 14.2%.

EBITDA for this quarter was impacted due to subdued sales, along with high fixed cost and accelerated marketing investments. Consolidated margin was further lower by aggressive growth investment in subsidiaries, mainly TMRW, which was not in the base last year.

The company's consolidated PAT was negative INR162 crores. This also includes a negative impact of IndAS 116 on the net profit. Our store network is now over 4,000 stores, spanning across the total retail space of 10.9 million square feet. We have also continued to ramp up our digital capabilities and enhance our omnichannel play, as visible in our e-com performance where our sales grew 12% Y-o-Y. Our digital portfolio got augmented with the addition of TMRW brand that continued to build value through strategic and operational improvements.

Aditya Birla Fashion and Retail Limited
August 04, 2023

Page 3 of 18

I will now take you through the performance of our individual businesses, starting with Lifestyle brands. Quarterly revenue for the segment was INR1,594 crores, which is 5% higher than last year. EBITDA stood at INR 292 crores, reflecting a growth of 10% Y-o-Y. EBITDA margin stood at 18.3%, an expansion of 80 basis points over last year.

For the quarter, retail channel remained resilient with 2% growth over last year while wholesale segment saw a robust growth of 20% Y-o-Y, led by growth in trade and departmental store

business. We also have reached a significant scale in our women's wear business, in Van Heusen and Allen Solly brands, where the size of the business is upward of INR

400 crores on a full year basis.

The 4 lifestyle brands continue to enhance their leadership position in the market through focused and sustained product innovations, new category extensions, which include ambitious bets on non-apparel categories and investments in marketing and brand building.

Let me talk now about youth Western fashion brands which consists of American Eagle and Forever 21. American Eagle witnessed yet another quarter of strong performance with 49% revenue growth over last year, led by strong distribution expansion and attractive product proposition for our customers.

The brand added 3 new stores to the network and is now available at 40 exclusive brand outlets and more than 65 departmental store doors. Forever 21 continues to work on improving its operating KPIs and scaling its network through asset-light expansion.

Now about Reebok. Fully integrated with ABFRL now, Reebok is off to an encouraging start this year with quarterly revenue showing a growth of 43% over last year. This has been achieved at the back of 11% L2L added by an aggressive footprint expansion of 10 new stores this quarter, along with strengthening its departmental store collaboration and marketplace partnership. We are confident that Reebok will be another large and profitable addition to the repertoire of 4 brands within the Lifestyle Brands portfolio.

Moving on to the Pantaloons business. I would like to recap how post-festive last year as the discretionary consumption slowdown, we observed the first sign of slowdown in the value part of the market, mainly in the lower tier towns. The impact still continues this quarter as well, impacting the performance of Pantaloons.

Pantaloons recorded quarterly sales of INR 1,030 crores with an EBITDA margin of 13.4%. This quarter's margin was affected by lower sales in the difficult market conditions which created an adverse operating leverage on a large network of stores, we expect the margins to improve as the market recovers.

The network expansion journey for Pantaloons continued with 3 new stores added during this quarter, ending with a total of 434 stores. Pantaloons continued to expand its private label portfolio with new launches filling distinct spaces. Further, our value brand Style Up continue to expand its network with 5 new stores opened during this quarter.

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 4 of 18

Let me now speak about Innerwear business performance. The business in Q1 FY '24 posted a retail L2L of 3%, despite slowdown in outerwear segment. During the quarter, brand strengthened its reach to exit with 32,700 trade outlets. The collective and other super premium brands witnessed a sharp growth of 16%, with 16% L2L growth over last year's same quarter. Ethnic businesses this quarter achieved a revenue of INR134 crores and has grown 33% year-on-year. Businesses continue to invest in brand-building initiatives and new store openings with net additions of 12 stores during the quarter, which led to margin getting impacted for this quarter.

So this actually grew 18% Y-o-Y led by strong performance in jewelry and accessories segment. The new Mumbai store launched in April is witnessing good consumer traction. Staying committed to its ambitious expansion strategy, our men's premium ethnic wear brand Tasva, is now available in 58 stores across more than 30 cities.

Jaypore continues to expand its store network with additions of 2 stores during the quarter and now with presence in 20 stores. Shantnu and Nikhil posted growth of 20% over last year's same quarter, with bridge revenue growing to 1.6x over last year. The portfolio is now well balanced between Couture & Bridge. House of Masaba added 3 stores to the network and posted 32% revenue growth over last year.

By capitalizing on the strength of our robust performance brands and their diverse category extensions, our ethnic wear portfolio is poised for ac

celerated expansion.

Let me update you on the TCNS transaction. As you already know, ABFRL board has approved the acquisition of 51% stake in TCNS Clothing Company Limited through a combination of share purchase agreement with founder promoter and a conditional public offer on offer.

The purposed acquisition is on track and under progress. The company has received requisite approval from the regulatory authorities and is in the process of commencing the open offer.

To conclude, despite challenging in near-term -- challenges in near-term, we expect the market to rebound in second half of the year following the festive period. As the industry recovers, we remain committed towards expansion of our retail network strengthening our brand, leveraging

our strong consumer base and delivering our value proposition. Thank you, and we are open to questions now.

Moderator: The first question is from the line of Nihal Mahesh Jham from Nuvama.

Nihal Jham: Sir, the first question was on Madura. Despite the negative LTL, the margins have improved. So is that maybe a moderation in the sales and marketing or anything to do with the channel mix, just to clarify?

Vishak Kumar: Largely driven by cost reduction initiatives. We knew that it's going to be a less number of wedding dates quarter, etcetera. So there was a lot of preparation on cost reduction. So that is primarily why the margins have been strong.

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 5 of 18

Nihal Jham: And that is mainly the sales and marketing or overall a mix of everything.

Vishak Kumar: No. Actually, on advertising, we spent pretty much in line with our normal quarter trends. So it was in other expenses that we were able to tighten.

Nihal Jham: Understood. My second question was on the TCNS acquisition, not related to the quarter, was that from a, obviously, a decent amount of time has passed and I think TCNS also recorded -- reported a bit of a muted performance in Q4, while the quarter is not a reflection, but just wanted to understand incrementally any further comments on how we plan to turn this brand around in terms of the growth? It would be helpful if you could just comment on that.

Ashish Dikshit: Nihal, this is probably a bit premature for us to talk about it. Let the process complete. We, of course, have our thoughts around it, and that's why we have moved forward with this acquisition, but too early for us to comment on it.

Nihal Jham: Sure, Ashish. Final question was if you could give the debt number and also the expected losses both on Tomorrow and the Reebok business for this year? And I'll come back in the queue after that.

Ashish Dikshit: So Reebok, we don't expect any losses. Reebok is a profitable business on a full year basis on...

Jagdish Bajaj: Debt on 30 June net of cash is INR2,100 crores.

Nihal Jham: So, this net debt was INR 2,100 crores. Sure.

Ashish Dikshit: Yes. As on 30 June.

Nihal Jham: Okay. And the losses from the Tomorrow business for this full year?

Ashish Dikshit: For full year basis, this probably will be in the range of INR80 crores to INR100 crores.

Moderator: The next question is from the line of Varun Singh from ICICI Securities.

Varun Singh: Sir, my first question is on Pantaloons. Given 17% retail expansion is very healthy, but still 1% revenue growth and -8% SSG, I understand that, I mean, the discretionary slowdown impacting the business, early EOSS etcetera. But still, given we have cut down on our store addition guidance also in previous quarters, and I mean, sir, you wish to share anything with regards to - do you think there is a need to change our overall approach towards the business with regards to private label, et cetera, which is now currently 63%, 65-odd percentage in the store. Anything you wish to share over there, sir, given several quarters of underperformance in Pantaloons compared to peers?

Ashish Dikshit: I'll just get Sangeeta to respond t

o that. Yes.

Sangeeta Pendurkar: Yes. So if you see our performance and if I just take you back a few years in terms of how we've looked at the Pantaloon strategy. while this quarter and the last 2 quarters have been a bit of an aberration with the economic slowdown.

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 6 of 18

You heard Jagdish talk about it. And I think the industry is faced with the same issues. Overall, when we looked at our private label strategy and the overall strategy a few years back, we had seen a significant improvement in terms of our performance, our private label strategy in terms of strengthening our private label, improving the price value equation, launching new categories putting in new labels to occupy the white spaces that exist in our portfolio.

In '19-'20, if you recall, we had done a lot of those actions, and they yielded some really good results. In fact, if you see our margin in FY '20, keeping the COVID years aside, even in FY '23, the first 9 months, our margins were very good margins. I think it's post Diwali in November, December that we've started seeing a slowdown.

I think we feel very confident of our strategy and our proposition. Private label portfolio continues to improve significantly. I think we hear that feedback from consumers all the time. Equally, in terms of improving our store experience, the fact that we put in a new retail identity, new branding we see those stores performing relatively better compared to the rest of the stores

in the network.

So I think in terms of our strategy, be it private label or overall Pantaloons strategy, we stay pretty confident in sanguine. I think these last 2 quarters are more mired with the fact that there were 2 aspects that are really the cause for this. So one is the general macroeconomic slowdown. And two, you also saw some yarn price increases, which impacted again the entire industry during '21 and '22.

With the yarn prices settling down, we've had a chance to correct the prices of our private label, and that gives us even more confidence that our price value equation, if anything, will be better in the quarters to come. So we should look at these 2 quarters differently. If you look at our performance in the first 9 months of last year, our margins have been very strong. These 2 quarters, because of the reasons I explained, our growth and therefore, our margins have got impact.

Varun Singh: Understood. I mean more than the worry on margin revenue -- higher revenue growth should be adding towards kind of more excitement. But having said that, I understand price value equation that you talked about, and I'm more than hopeful that, that should work.

And my second question is, again, in Pantaloons, like the total number of stores that we have around 434, what percentage of stores will be more than 3 to 4 years old?

Sangeeta Pendurkar: What percentage -- yes?

Ashish Dikshit: So if I look at it, we'll give you the exact number, but if you look at it last year, we added net of about 55 stores. And in the prior 2 years, because there was COVID period, we would have added respectively maybe 30 stores a year kind of number.

Sangeeta Pendurkar: Right.

Management: So in last our network was -- okay, so in last 3 years, we have added 120 stores.

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 7 of 18

Sangeeta Pendurkar: Yes.

Varun Singh: Okay. Got it. And sir, just a last question that in ethnic wear business even though revenue growth looks very much healthy, but losses -- EBITDA losses have mounted significantly. So if you wish to talk about how should we expect this number to pan out on a steady-state basis? If you then give us some understanding on that front. That's it from my side.

Ashish Dikshit: Okay. So in ethnic wear businesses, this quarter was particularly compounded by the fact that the wedding dates were fewer. And as you know, a large part o

f ethnic wear business, not the

regular ethnic wear, but most of the design ethnic wear, including Tasva which is a recently launched concept, is largely related to wedding dates and a wedding consumption.

So that period has seen very few wedding dates last quarter, and that has affected the performance of ethnic wear. This quarter, it was also compounded by a big launch that we did where Sabyasachi's largest store in India and Mumbai was launched, and there was, therefore, one-time large marketing investment to promote the launch of the brand in the store.

So these 2 are of slightly exceptional nature. I think going forward, Tasva is the only one which business, which will require loss funding for first few years. Rest of our businesses are profitable in ethnic wear portfolio on a full year basis as they play out.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: So my first question also is again with regards to the Pantaloons business. So while we agree that the last few quarters have been challenging in terms of the overall demand. But at the same time, we have...

Ashish Dikshit: Can you speak up a little -- your voice is breaking. Can you speak up...

Gaurav Jogani: Hello? Sorry, is this better?

Ashish Dikshit: Yes, much better now.

Gaurav Jogani: So my question is with regards to Pantaloons again. I mean I do understand the fact that Pantaloons has been impacted because of the slowdown that we are seeing over the past 3 quarters. The only question here is with regards to the margin like what we have done for Madura, we have been able to save costs there. So are there any initiatives or strategies that we are implementing to at least control the cost in the interim until the demand kind of pick up?

Ashish Dikshit: So if you see the performance over the quarters, I mean Q4 was similarly affected by similar phenomena -- and our margin had fallen quite dramatically. We have taken sufficient measures and therefore, the improvement in margin from Q1 over Q4 reflects large part is the cost saving that the cost-related efforts have done. But I would also call out and say Pantaloons is a larger fixed cost business, rental being a pure retailer, rental being a very large cost in running store operations. And therefore, there is a limitation to what extent can those costs be brought down. But efforts are on. And as you can see in the shift of expenses of profitability between these 2 quarters itself.

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 8 of 18

Gaurav Jogani: Yes. Sure, sir. Sir, also in the event when we are seeing this overall slowdown in the overall fabric consumption and we are kind of continuously adding stores as well at the same time. So is there any thought given the fact that our debt is already around 2.1 million right now, net debt that is. So maybe we can go down slower on store expansion rate in the interim and maybe once the situation gets better and the business starts contributing profitably again, maybe then we can expand the store again? So any thoughts on that front?

Ashish Dikshit: We have 2 kinds of expansion models. One is our own capital and second is franchisee-led. As you know, many of our established brands are able to get a lot of franchisees to invest in that, and that's been the primary driver of growth. So that part of the business is not really constrained by that.

In fact, that has been practically free from capital-related issues as far as growth is concerned. There is a part of the business, the new brands that we are launching Pantaloons, about 70%, 75% to 80% of stores, which are largely capital-led. And there, we'll moderate as we go along. We had indicated our Pantaloons expansion, which was 60 stores last year. We've talked about 35, 40 stores. To that extent, some of it is factored in. But remember, store expansions are long-term projects, typically a store lease itself

is 9 to 10 years in many cases, 12

to 15 years. So we don't want to also alter that dramatically for 1 quarter here and there.

So our largest strategy is built around the thesis of consumption in this country, our ability to build strong brand, our understanding of apparel supply chain and ecosystem and ability to build large capital efficient models in the business itself. We're, of course, going through a phase of rapid investment through portfolio expansion and acquisition of new brands, which we've done in the last 3, 4 years. So we acknowledge the stretch on the balance sheet. But I think as far as operating businesses are concerned, we see the large runway. We'll continue to grow them through this period. Wherever there's a slight moderation required like this year, we are doing that already.

Gaurav Jogani: Sure, sir. And just one last bit on the ethnic piece from my end. Sir, how would you rate your performance so far in the Tasva piece? Do you feel the business model is now perfected and we can now expand it very rapidly, we have been doing 7, 8 stores earlier. Still, the template isn't still fine-tuned and maybe we can go a bit slower on the expansion, first get the template right and maybe we then grow aggressively thereon?

Ashish Dikshit: So as we have said in last -- from the time we have launched -- last year, we added close to 50-odd stores. We expect to add another 40 stores this year, roughly. And I think -- as far as the performance of the business is concerned, we'll have to see one good festive period. There's a lot of learning as we are expanding and experiencing there is a great amount of consumer feedback.

We are learning from that. We're constantly improving that. But I think by the end of this year, where we would have seen a 1 full wedding period, which is likely to start in second half of this year and have had a reasonably large sort of geography through which we have experienced it. We will decide how to moderate that pace or increase that pace. But at this point of time, our

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 9 of 18

plan to open 40 stores is what we have said in the beginning of the year and we are sticking to that.

Moderator: The next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: I also have a question on Pantaloons, but this is slightly an elongation more or less like a strategic question. Now since acquisition, we have definitely scaled up this brand, improved return metrics. But so far, we've not really seen a good year of LFL growth performance. If I look at sales per square feet metric right now, it is standing below 8,000 and for a value fashion brand with lower gross margin,

I mean, this probably is among the lowest when you compare it with other value fashion retailers. So any thoughts here? I mean, in the current context, there has been only increased competition that the likes of Reliance and Zudio, even Shopper Stop is now entering, so what is your take? How do you look at improving the sales throughput metric here if that is a KPI that you look at all?

Ashish Dikshit: We look at many KPIs, and I think you've mentioned some of them. But I think we'll be missing the bigger picture if you don't look at the ones that matter. The ones that matter are return on capital and EBITDA margin. When we took over this business, as I said, our long period of time, not short period, long period of time, we consistently improved margins, got to 17%, 18%

EBITDA margin before COVID. In 2019, 9-month margin was 17.5%. Even last year, 9-month margin was 17.5%.

As Sangeeta explained, last 2 quarters have been sort of slightly affected. And we have achieved all this on a very low capital-employed base. Our overall capital employed in a INR 4,000-plus crores business is between INR 400 crores to INR 500 crores. So it remains a very strong business in terms of returning capital in good times, of

course, unfortunately, both during the

COVID period and subsequently, in the last 2 quarters, the market hasn't been very supportive at this end of the market, and that's reflected in our last 2 quarter performance.

But I would call out our H1 performance last year was about 18% EBITDA margin. We run this INR4,500 crores business at INR 500 crores of total capital employed. So I think it's a fairly good attractive proposition. As we come out, you will see. Currently, we are experiencing negative operating leverage in times like this. The same situation reverses when markets pick up, and we expect the second half of the year to reflect that.

Sameer Gupta: Just a follow-up, sir, here. So when I look at improvement in return profile over the years, has the low LFL growth been an output of that strategy where we have let go of formats or let go of some loss-making dead stock -- higher dead stock kind of problems -- and it's a reflection of that? Or LFL growth -- I mean, among the 3 pieces, LFL growth is 1 piece that we haven't delivered and rest 2 we have delivered, so it's okay?

Ashish Dikshit: So I think I would again say focus on what truly matters. In a country like India, where there is a constantly shifting retail landscape. We're building new store, markets are shifting from one place to another. Sometimes old stores are very profitable and yet, you need to ship trajectory. In a business format like Pantaloons, where there is a large number of sort of 15, 20 years of Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 10 of 18

store addition that has happened, there is always a pressure when some markets which are evolving into new markets.

Therefore, LFL sometimes truly doesn't capture the overall picture. Also the sales productivity number that you called out is primarily as a function of geography that you operate in. So we don't look at sales productivity as a common average across industry. We look at sales productivity in the relative market that we operate and what are the competitive sales productivity in those markets.

And all this, therefore, becomes very nuanced sort of numbers. And therefore, the primary thing, which is EBITDA margin, capital employed, return on capital employed are primary drivers as far as we are concerned. Intermediate metrics sometimes may tend to sort of give pictures, which is not clear.

Sameer Gupta: Got it, sir. Very helpful. I'll move on to the next question. So I'm looking at these other businesses in Madura. And basically, this is collective American Eagle, Forever 21 and the innerwear athleisure business. Apart from Reebok, there is not recently acquired portfolio here and Collective this quarter has also done well. So I was just wondering why this portfolio should be a loss-making portfolio even at post Ind AS EBITDA level?

Ashish Dikshit: So innerwear and F21 are 2 businesses, which -- for different reasons, but just to mathematically complete that story, are the 2 businesses which are not profitable for the quarter, and that's really why that number is showing there.

Sameer Gupta: But sir, we have been running these businesses like for 6, 7 years now. I mean isn't these -- haven't they reached a scale where we're still investing, but they should at least give us some return on money or no, we have not reached the stage at that -- at this point?

Ashish Dikshit: No, I think we are still further away from as far as innerwear is concerned in terms of profitability. But I would also say this is 1 quarter. But even on a full year basis, we haven't come to that stage. Forever 21, again, it's a business where we haven't really got to a point of -- we are not investing in terms of growing that business. And a large part of that business is also affected by the value end of the market. But these 2 are the businesses which are actually pulling down the margins in that segment.

Sameer Gupta: And the rest of the portfolio is not e

nough to lift the overall margins of the second because collective -- I mean...

Ashish Dikshit: Reebok has just started. So Reebok is just sort of breakeven stage at this point of time. We expect it to become profitable going forward on a full year basis most definitely. So collective is the one which is -- which has to carry the weight of this, which is not sufficient for this quarter.

Moderator: The next question is from the line of Ashish Kanodia from Citi.

Ashish Kanodia: Sir, the first question is, when you talk about the consumption slowdown and given that your presence across price points and across brands, is there a difference in demand momentum at,

say, a higher price point versus, say, a lower price point? But I mean, it's partly reflective in Aditya Birla Fashion and Retail Limited
August 04, 2023

Page 11 of 18

Pantaloon's like-for-like number. But even within Pantaloon's or within your Madura brands, do you see a difference in demand momentum where the premium end continues to do well and maybe the lower price points are struggling a bit more?

Ashish Dikshit: Ashish, yes, the difference exists, but if I were to go back 2 quarters back, we were quite clear that the premium end in the market, and if we look at a longer trajectory over the last 12, 18 months, the premium market was almost resilient to the point of not being affected at all by the economic situation around.

I would say that, to some extent, has somewhat changed. There is a challenge as far as value segment is concerned, it continues and has actually deepened in last couple of quarters. The premium end also is not fully insulated from it. But a large part of that reason is also linked to the wedding dates during this period and a lot of premium clothing at least for us, both in ethnic wear business and in lifestyle brands is linked to wedding dates, and that's why to that extent, you find muted growth even in Lifestyle segment, which otherwise would have been much higher.

And to that extent, I think there is a difference across this. The really high end of the business, obviously, is less affected. The businesses like Collective. But then I would say even the designer businesses, which are more wedding-related, have seen the pressure as far as this quarter is concerned. So wedding primarily affecting the premium end of the market, while overall economic slowdown has affected the wider market, which is the mid-market and below.

Ashish Kanodia: Sure. And secondly, on the lifestyle brand, anything which has changed in the wholesale part of the business because that seems to have certainly picked up. So any change in that part of the business?

Vishak Kumar: I think the business has continued to grow. So 3 factors, Ashish, which come in. One is that last year base, the recovery was a little less so in our business with department stores. This is on that base, so that growth is strong. To some extent Centro, is coming back into the business. That is, again, helping us in our overall numbers, plus some of the space additions that we have done in various department stores have also contributed to that growth. So that's broadly the story there.

Ashish Kanodia: Sure. And just last bit in terms of -- you have talked about TMRW's plan where you will look at some external funding. So I mean there are news flow that TMRW may be looking to acquire another D2C brand. So just purely on the fund raise part, right, I mean, are you looking at any external fund raise happening maybe this year in the TMRW entity?

Ashish Dikshit: So I think difficult to predict with great sense of timing. We have committed a certain amount in investment to Tomorrow. About half of that is what Tomorrow has consumed so far in the brands that they have acquired. They continue to pursue opportunity in that sense. And we will look at maybe towards the end of the year or somewhere around that for a fund raise, but it's difficult to predict with

any degree of certainty about the timing for that. But it's definitely something on our agenda as we go forward.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 12 of 18

Devanshu Bansal: Yes. So for Innerwear our checks are suggesting that, Van Heusen has taken some price cuts as well as the retailer incentives are also relatively higher versus prior periods. So wanted to understand what's the strategy going on here since we are also making losses?

Ashish Dikshit: So I think price cuts and price increases are part of adjustments that will always be going on. I think last year, around this time, there's a price increase across all categories. Most major players had to take price increases that has affected demand at the premium end of the market and therefore, there is suitable price adjustment that's happening. As far as...

Devanshu Bansal: I said incentives are also higher, retailer level incentives have also been higher.

Ashish Dikshit: That keeps changing month-on-month. I don't see that's dramatically different. But as a large player in the premium market, we are the only other player other than the market leader, which is more than INR500 crores of sales at the premium end of the market. And remember, we are even more premium on an average than any other player in the segment.

There is obviously going to be competitive pressures and to which we'll respond at various points of time. So that's more a monthly, quarterly adjustments that will keep going on. I don't think there's anything structural about it.

Devanshu Bansal: And on the inventory position here, sir, everything is in under control. I just wanted to check if

that is driving such level of incentive?

Ashish Dikshit: So there has been, as you might know, if you have spent time that Innerwear business consists of both innerwear as well as the athleisure part of the business. Athleisure part of the business after years of -- almost 2, 2.5 years of rapid growth, a lot of consumption of work-from-home environment is beginning to show slowdown in last 2 or 3 quarters, and that's where there is a little bit of excess inventory.

Innerwear is a more evergreen product, and therefore, that's not a matter of concern. So whatever that would happen is perhaps related more to work-from-home categories, which is largely Athleisure.

Devanshu Bansal: Got it, sir. And secondly, you mentioned about price corrections in Pantaloon as well. So just wanted to check, will SSG be flat in this format on you are expecting growth in volumes to help drive positive SSG?

Ashish Dikshit: I don't think these price corrections are so large that they will bring down the average price. These are opportunities to complete the range in some of the gaps that we felt there. There is no wholesale price reduction, if that's what you were referring to. There may have been marginal cases of price gaps, which is what Sangeeta was -- I don't think it would have a material impact on SSG.

Moderator: The next question is from Alok Shah from AMBIT Capital.

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 13 of 18

Alok Shah: My first question is on the Reebok. So if I heard you right, you said that it's at the breakeven scale currently and should be profitable by year-end. So just wanted to check, what are the growth plans over here? And what would the target in terms of store openings, et cetera?

Vishak Kumar: So yes, you're right. First things first, it's a profitable business for us -- for this year. There are multiple growth levers. At first level, there is a distribution expansion itself, both in multi-brand as well as exclusive stores. So we have a fairly large pipeline for retail expansion. So that should fuel one kind of growth.

Second, there's a whole lot of initiatives to drive throughput in existing stores, use of better technology to improve replenishment, assortment planning, et cetera, to drive growth. The third

is many new products -- introduction of new product categories, et cetera, which will get into the stores in the next few months, that again should propel a lot of growth.

And of course, a lot of leveraging of our strengths in apparel to be able to drive further on the apparel sales in the sportswear side of business. So Alok, all in all, many levers for growth, which will unfold over the next few years, but a lot of momentum this year itself to be able to drive profitable growth.

Alok Shah: Got it. But what will be the current store count? And what will the target by the year-end?

Vishak Kumar: We have about 120 stores, 125, 120-odd stores. So -- and that's going strong. So my sense is we'll be able to add 15 to 20 stores every quarter. So that's the kind of momentum we should have in the network. So if all goes well, maybe 200 stores by year-end exit, if not maybe 170, 180 stores.

Alok Shah: And this would be COCO stores or...

Ashish Dikshit: It's a combination. We have a lot of partner stores. We also take COCO stores where required. So it's a combination because there's a lot of franchisee interest in this brand to scale up a lot of partners that we have who want to diversify the sportswear also lot of existing Reebok franchisees who want to put up more stores, it's a combination of FOFO and COCO.

Alok Shah: Got it. Perfect. And there's some new subsidiary that is proposed to be incorporated. Just wanted to check what would be this for? And what would be the capital allocation for this business?

Ashish Dikshit: So this is a new company that we have incorporated. This is for a partnership with one of the luxury brands called Christian Louboutin. We are initially putting INR5 crores of capital at this point of time.

Alok Shah: Okay. And this can potentially go up as you think about expanding?

Ashish Dikshit: No, no, this is not really so good. This is a part of our broader partnership for the Galeries Lafayette project that's coming up. So I don't expect this to be significantly -- significant in our scheme of things from a capital point of view.

Moderator: The next question is from the line of Vikas Jain from Equirus.

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 14 of 18

Vikas Jain: So number one, with respect to Tasva, sir, can you broadly outline as to like what are the investments that -- or what is the kind of capex that they require to put up 1 new store? And what

are the targets for FY '24 in terms of stores addition for Tasva?

Ashish Dikshit: As I mentioned, we're talking about 40 stores for this year. And typically, it depends on the size of the store, but anything between INR75 lakh to INR1 crore is really the investment in a Tasva store.

Vikas Jain: This includes working capital as well, right?

Ashish Dikshit: No, no, this is capex.

Vikas Jain: Okay. Okay. And sir, with respect to the debt number that you quoted initially, can you like broadly -- of course, we do understand that there has been some weak conditions as well as scaling up of the new businesses. But can you like broadly look at what was the segment -- broader segments where this -- the difference between quarter-on-quarter improvement of the debt was allocated to?

Ashish Dikshit: So debt number, which you're saying the opening debt for the quarter?

Vikas Jain: Quarter. And the ending date of the -- there's not a broadly, where was that utilized broadly in our segments?

Ashish Dikshit: So a part of it -- the difference is we started the year with about INR1,400-odd crores, INR1,420 crores or something. And our quarter-end debt is about INR2,000 crores. A part of it has gone into capex, small part in working capital and to some extent, the losses for the quarter.

Vikas Jain: Correct. And sir, as a follow-up to that. Any number that we are working out with towards the end of the year FY '24 for

the debt?

Ashish Dikshit: Jagdish had mentioned in the previous call, for the full year, we have talked about INR2,800 crores kind of number is the closing debt. This is after considering the payments towards 51% stake for TCNS.

Vikas Jain: Correct. Correct. And sir, if I missed it, so the TMRW investments are done or is it like yet to be completed, some part of it was left, right?

Ashish Dikshit: So yes, last -- till last year, as I mentioned in the previous response, we have made half of the investment. The entire investment is factored in, in the closing debt number that I was talking about.

Moderator: The next question is from the line of Akshat from Flute Aura.

Akshat: So my question is on the depreciation side, as it has increased significantly on year-on-year basis and also sequentially. So can you please guide as to how this depreciation will be going forward and why it has increased so much?

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 15 of 18

Jagdish Bajaj: See, depreciation is a function of new store additions and capitalization and the impact of Ind AS stores because I have to treat them as my owned store that is the reason the depreciation has gone up and it will continue to be in this range or rather increase. If you see from last few years, so because of the store additions plan and the treating them in first half of life of the stores like out of 5 years, the first half will be heavy on depreciation, and it will be more like straight line depreciation.

Moderator: The next question is from Varun from ICICI Securities.

Varun Singh: Sir, 2 questions. First is what would be a number of store closures in Pantaloons over the last 3 years, 3 to 5 years?

Ashish Dikshit: So yes, we'll just get back to you. You can move to the next question.

Varun Singh: Sure, sir. Second question is, I just wanted to know that what would be the size of Innerwear segment products, if you want to share that?

Ashish Dikshit: No, we had shared in the previous calls, we don't give separate numbers, but we have since I have said that, it's about INR500 crores last year.

Moderator: The next question is from Palak Shah from ITI Alternates Fund.

Palak Shah: Just one. When you were indicating a INR2,800-odd crores of net debt by the end of '24, are you including the INR1,400-odd crores to the received from...

Ashish Dikshit: Yes. I should have clarified. Yes.

Moderator: The next question is from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia: So when are we looking at breakeven in the innerwear space and in the pure Tasva ethnic space?

Ashish Dikshit: So Tasva is a very early stage. We think FY '27, '26-'27 is the likely period in which we'll breakeven. As far as innerwear is concerned, right now, the slowdown in the athleisure segment has extended it. We should look at either towards the end of next year or early year after that.

Ankit Kedia: And -- so the losses are probably in the marketing spend and in the fixed cost or also you're looking at the gross margin expansion from a breakeven perspective in the innerwear space?

Ashish Dikshit: So in innerwear, there will definitely be a gross margin expansion play also possible. As I mentioned in response to previous question, our innerwear gross margin shrunk in the previous year primarily due to higher raw material prices. And to that extent, those margins will come back as we go forward. And therefore, it will be a combination of margin expansion as well as

leverage over fixed costs.

Ankit Kedia: And -- so in FY '25 and early FY '26, the size of the Innerwear business, including Athleisure should be around INR750 crores, INR800 crores when the breakeven should happen, is that a good assumption?

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 16 of 18

Ashish Dikshit: Yes. Yes. That's a fair assumption.

Ankit Kedia: And sir, in Tasva, when we had done the tie-up with Tarun we had guided

for 300 store opening

in the first 3 years. Are we sticking to the guidance? Or do you think the current environment where we are in that could stretch a bit?

Ashish Dikshit: No, I'm not sure we would have said 300 stores for 3 years. We said 300 stores for 5 years. We opened 50-odd stores. So we'll be 100 at the end of full second year. But yes, as we go along, we are also refining the store format. We are learning from our experiences, improving product proposition, finding out missing categories and price points.

So we'll keep learning as we go along. Difficult for me to give a revised number. But as we go along, we'll keep letting you know how we are progressing and what's our expansion plan. This year, we are talking about 40 stores.

Moderator: The next question is from Tejash Shah from Spark Capital.

Tejash Shah: Sorry, I logged in a bit late, so I'm not sure if this question was asked before, but just wanted to get the sense on the current typical demand environment that we have seen across on discretionary consumption side. And based on the data or cycles that you would have seen, how soon you think we can come out of this, A? And B, looking at this situation that we are in today, do you think that you will go slow on expansion that you had guided for this year? And would like to calibrate -- recalibrated in terms of to push it a bit of next year or perhaps later?

Ashish Dikshit: So there is 2 parts to the question. When do we expect the demand to recover I think definitely not before the festival period. The extent of recovery after that will be both a function of -- because this time, as you know, the festivals have also got pushed a little bit later into the year. So they are about 20, 30 days later than the previous year same period. So to that extent, it will look even further than what it was otherwise. A lot of wedding dates have also got shifted towards the second half of the year. So that's another piece that actually is an important piece for our premium brands as well as increasingly the larger ethnic portfolio. So these 2 from our portfolio point of time -- portfolio point of view are the important drivers and triggers. And I don't expect them to significantly shift before the festive period.

On your second question on expansion. I think I had indicated earlier that this is something that we had started to see from Q4 last year. And therefore, we had started to sort of moderate and factor in some of the situations. We had talked about Pantaloon's expansion, which was last year at about 60-odd stores, 63 new stores is what we had opened last year.

And we had indicated 35, 40 stores. So that reflects the kind of moderation that we are doing in parts of the businesses where we think we need it. In the parts where capital, which are not related to the capital, which are largely franchisee led, we will continue to grow, but obviously, that will also be reflected reflective of the demand as we go forward because a lot of it is franchisees putting their capital and they are also cautious, we are also cautious during that period.

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 17 of 18

Overall, however, I would say that we are in a long-term growth trajectory as entire pieces over the last few years has been making investments, getting into new categories building brands, both organically and inorganically. Many of these, especially in ethnic wear Reebok, which Vishak talked about, are in very early stages of what is possible.

And we don't want to let go that portfolio opportunity expansion that we have. We now have a fairly full sort of plate as far as that is concerned. And it needs to be set to the extent that we receive -- we get the full potential out of them. So you won't see a significant seesaw. We'll continue to expand, we'll continue to invest in our business moderation from time to time is all that we'll look at.

Tejash Shah: And sir, I

ask question on Style Up. Is it still an experimental stage or you believe that the proof of concept at store level is not established and you would like to ramp it up?

Ashish Dikshit: Yes, I'll get Sangeeta...

Sangeeta Pendurkar: So Style Up, as we had mentioned before, is a new proposition in the value segment, while Pantaloons will play in the mid-market segment. Style Up is fairly and squarely for the value proposition. We, as of today, have about 15, 16 stores. We have created this proposition in a completely new manner with great merchandise at great value, a very nice retail environment delivered through a very good retail identity, small compact stores.

And we've seen initially good traction on these stores, while it's still early days. We've been in the market for about 7, 8 months now. But it gives us great confidence. And I think as we establish the proof of concept in the next few months, we'll certainly come back and take a look at how soon we can scale up this business.

Ashish Dikshit: We had, Tejash, I think, 5 to 7 stores of this concept when we started the year. We would -- at the current rate of opening, we'll get to about...

Sangeeta Pendurkar: 30, 35 stores.

Ashish Dikshit: 30, 35 stores by the end of the year.

Sangeeta Pendurkar: By the end of the year.

Ashish Dikshit: And it's -- we're feeling quite confident about how it is doing. Still we'll have to see over a larger network on how the overall performances.

Tejash Shah: Sure. And the last one, if I may. Now with the kind of diverse and deep portfolio that we have, how are we managing the human capital part because retail relatively, it's actually younger industry from Indian perspective. So are we kind of creating our own -- like promoting our own talent pool or we are actually kind of going outside our industry and attracting talent to kind of come in this space?

Ashish Dikshit: Tejash, as we've discussed in the past also, a wide portfolio play requires 3 things: capital, talent and ability to execute differential business models for different segments. We have looked at all

Aditya Birla Fashion and Retail Limited

August 04, 2023

Page 18 of 18

3 and therefore, a lot of our actions over the last 2, 3, 4 years, have been built around its trending balance sheet, raising capital in line with our vision on 1 side.

If you look at our talent for a long period of time, our company has been and as a part of being part of a large group like Aditya Birla Group, we get to attract and retain the best talent in the industry.

Wherever we need unique talent and specialized talent, you should see -- I mean, a part of our partnership with designers is really to harvest the experience and the talent that they bring, which is unique and very different to build ourselves. Wherever we think the talent can be built internally, we are doing it, and we are very proud of the talent that we have built over a period of time.

Most of managers or leaders over the last 10, 15 years have risen from inside. And that's something that we will continue to invest in. But wherever unique capabilities are required, we are very open and we go and attract the best talent required for that. And we continue to -- we run our businesses in a very sort of decentralized manner, which brings both unique talent and unique business models required for each of the businesses. And we'll continue to look for. So it will have to be a combination of homegrown talent as well as bringing and infusing experience wherever required.

Moderator: That was the last question. Thank you very much. Ladies and gentlemen, on behalf of the management, we thank all the participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. Thank you, and you may now disconnect your lines.

Call: Nov 2023

ADITYA BIRLA FASHION AND RETAIL LIMITED

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November 15, 2023

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q2 FY 24 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated November 2, 2023

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 2 FY 24 Earnings Call held on November 10, 2023 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.abfrl.com.

Thanking you,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

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Page 1 of 18

"Aditya Birla Fashion and Retail Limited Q2 FY24
Earnings Conference Call "

November 10, 2023

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR ,
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. JAGDISH BAJAJ - CFO, ADITYA BIRLA FASHION
AND RETAIL LIMITED
MR. VISHAK KUMAR – DIRECTOR AND CEO,
LIFESTYLE BUSINESS , ADITYA BIRLA FASHION AND
RETAIL LIMITED
MS. SANGEETA PENDURKAR – DIRECTOR AND CEO –
PANTALOONS , ADITYA BIRLA FASHION AND RETAIL
LIMITED

Aditya Birla Fashion and Retail Limited
November 10, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good evening and welcome to the Second Quarter Earnings Conference Call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q2 and H1 FY24 performance followed by a question and answer session.

We have with us today , Mr. Ashish Dikshit - Managing Director ; Mr. Jagdish Bajaj – CFO ; Mr. Vishak Kumar - Director and CEO, Lifestyle Business ; Ms Sangeeta Pendurkar - Director and CEO, Pantaloon. I want to thank the management team on behalf of all the participants for taking valuable time to be with us.

I must remind you that the discussion on today's earnings call may include certain forward - looking statements and must be viewed therefore in conjunction with the risks that the company faces. Please restrict your questions to the quarterly performance and to strategic questions only . Housekeeping questions can be dealt separately with the IR team.

With this , I now have the conference over to Mr. Jagdish Bajaj. Thank you and over to you, sir. Jagdish Bajaj : Thank you. Good afternoon and welcome to the Q2 Earnings Call of our company. Let me start with an overview of the "Operating Environment ":

The market has remained sluggish primarily due to the slowdown in discretionary spending. This was further impacted by the span of Adhik Maas, shift of festive season and fewer wedding dates vis-à-vis last year . The combined effect of the above factors led to really sluggish demand environment where at an overall level fashion as a category suffered . During these times, our brands did what they do the best offering consumer delight through addition of innovative and exciting products, elevating customer shopping experience, expanding consumer base and improving brand salience through multiple marketing campaigns. Our brands remain steadfast on their growth agenda with net addition of 48 stores during this quarter .

As you must be aware, we have completed acquisition of 51% stake in TCNS Clothing Company Limited in last week of September. With this critical step behind us , both ABFRL and TCNS teams have swiftly come together to work on creating collective growth plan , with business synergies and operational efficiency improvement being core to it. The second leg of the transaction that is merger of TC NS with A BFR L will start soon and it is expected to complete in next 6 to 9 months. Both the teams are confident that this collaboration will propel the growth of TCNS plants into the next phase of value creation .

Now, I will talk about "Financial Performance " of our company for this quarter :

The company delivered revenue of Rs. 3,226 crores which reflect a growth of 5% over same quarter last year , mainly driven by its new lines of businesses . On like for like basis, the business Aditya Birla Fashion and Retail Limited

November 10, 2023

Page 3 of 18

stayed flat in a significantly slower market. Our standalone sales stood at Rs. 2,995 crores. The company achieved a consolidated EBITDA of Rs. 369 crore with 11.4% margin. Our standalone EBITDA margin was 14.2% . EBITDA for this quarter was impacted due to subdued sales on a cost base built for higher sales . You are aware that a large part of cost based is rentals, which are predominantly fixed in nature. The company's consolidated PAT was negative Rs. 200 crores. At the end of Q2, our store network stood at 4,056 stores spanning across the total retail area of 11.2 million square feet. The net debt as of September 23 stood at Rs. 4,355 crores. This is post completion of TCNS transaction. For H1 FY24, the company posted revenue of Rs. 6,423 crore, reflecting growth of 8% over same period last year. EBITDA for H1 FY24 was Rs. 722 crore. EBITDA margin stood at 11.2% for H1 FY24.

I will now take you

through the performance of individual businesses :

Starting with Lifestyle brands :

Lifestyle brands, which has been growing steadily, was impacted this quarter primarily on account of feeble wedding calendar as these occasions drives a large part of its suits and blazer business . Shift in festive and e-com slowdown were other factors responsible for the adverse impact . Quarterly revenue for the segment was Rs. 1,586 crore, which was 6% lower than last year. Led by cost measures and gross margin improvement , EBITDA for Q2 stood at Rs. 339 crore s, reflecting a growth of 18% over last year. EBITDA margin for Q2 was 21.3% , an expansion of 430 basis point s over last year . During the quarter, the retail channel declined by 4% over the last year, while the wholesale segment exhibited resilience with sales remaining at par with the previous year . Our brands continue d to launch innovative products and extensions . The business also expanded its distribution, adding a net total of 17 stores during the quarter. The brand s have consistently elevated their salience by enhancing product across various categories and executing impactful marketing campaigns.

Let me now talk about Youth Western Wear:

Youth Western Wear consists of American Eagle and Forever 21. American Eagle witness ed yet another quarter of strong performance with 37% revenue growth over last year, led by strong distribution expansion. The brand is now available across 49 exclusive stores and across top departmental store s. Meanwhile, Forever 21 remain committ ed to streamlining its network, emphasizing operational ef ficiencies and expansion of e -com channe l.

Now about Reebok :

With the year at ABFRL, Reebok 's resurgence continues. The brand 's quarterly revenue grew 77% over last year same quarter on account of r apid distribution expansion and strong LT L growth. The brand maintain ed its momentum by introducing new product offerings, optimizing

Aditya Birla Fashion and Retail Limited

November 10, 2023

Page 4 of 18

store throughput and extending its presence across various channels . In this quarter, the brand expanded its network with addition of 15 stores in line with its aggressive growth strategy.

Let me now speak about Innerwear business :

Innerwear and Athleisure wear as a category has been under tremendous pressure since early quarters of last year. The sudden shift out of the Athleisure wear category post buoyancy experienced during COVID, where the category was doing well has been a difficult one for the brands to assess , then take quick corrections. The category hence has been under severe stress from growth point of view for last couple of quarters. The business in Q2 FY24 declined by 10% late primarily by outer wear slowdown as in nerwear category within the business posted a low single digit growth ov er last year. The brand posted retail LTL of 6% despite overall slowdown in the category . During the quarter, brand strengthened its reached to exit with 33, 600 trade outlets. Brand also launched its first ever celeb rity campaign, starring Indian C ricketer Hardik Pandya as the campaign garners increased reach and influence among t he consumers. The premium part of the portfolio continues to do well . The Collective and other Super Premium brands witness ed a stellar growth of 26% with 11% L TL growth over last year . Thecollective .in witness ed a 30% growth over last year as it continued to be one of the top e-com luxury destinations for consumers in India.

Moving on to Pantalo on business :

Value fashion as a category has been under constant impact since festival of last year due to sudden consum ption slowdown in lower ASP segment attributable to poor income and consumer confidence at lower end of the population pyramid. The trends around lower tier markets doing poorly, High Street struggling to catch up with Malls has continued even in this quar ter, all fac

tors indicating towards a real stress in rural semi urban markets and predominantly among the low income households . Pantaloon recorded quarterly sales of Rs. 1,021 crore. The sales remain impacted because of subdued demand in the segment marre d further by the shift of Pujo to Q3. Pujo play s a big role in driving sales for Pantaloons as the brand is among the most loved brands in eastern part of the country. We saw that while non -Pujo markets showed a robust 7% year-on-year growth , the East market showed a double digit decline due to shift of Pujo affecting the overall performance of the b usiness . The decline in sales had an adverse impact on the margins of Pantaloons due to negative operating leverage. The store additions in Pantaloons continued as it added net 5 stores during the quarter, taking the total to 439 stores by the end of Q2. The brand continued to enhance the in -store ambiance and elevate the cust omer experience by rolling ou t new stores with new retail identity and launching mu ltiple initiatives to drive footfall s.

Aditya Birla Fashion and Retail Limited

November 10, 2023

Now Ethnic portfolio :

This quarter, our Ethnic segment achieved revenue of Rs. 144 crore s, at a growth of 32% Y-o-Y. Business continued to invest in brand building initiatives and new store openings with addition of 6 new stores during the quarter . Sabyasachi grew 39% year-on-year, led by 18% retail LTL growth and strong performance in jewelry and apparel segment s. Our men's premium ethnic wear brand Tasva is now available in 60 plus stores with focus on driving quality, in-store experience , improving offerings with more variety and occasions and increasing brand recognition through impactful marketing campaigns . Jaypore continued to expand its store network with addition of two stores during the quarter and now it is present in 22 stores. Shantnu Nikhil posted growth of 33% over last year same quarter, while House of Masaba posted 18% Y-o-Y growth with 12 stores in total.

TMRW portfolio brands grew to seven times of last year as brands continued to benefit from operational enhancements. Post the quarter, as disclosed in our regulatory filings TMRW expanded its portfolio by adding 8th brand, The India Garage Company, which specializes in men's casual space .

To conclude :

As we look ahead to the near future, our outlook is cautiously optimistic. We anticipate an upswing in consumer sentiment s during and post this festive and plan to leverage on the positive consumer sentiment for the coming period. We are focused on building resilient businesses, leveraging our extensive retail network, formidable brand portfolio, execution excellence, digital prowess and organizational capabilities. ABFRL shall continue to manage business with agility and take proactive measures to ensure that we not only build and nurture our brand, but also realize our long -term vision of value creation. Thank you and wishing you all a very Happy Diwali and festive season. We are open to question now.

Moderator: Thank you very much , sir. We will now begin the question and answer session. We will take the first question from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh : Sir, my first question is related to Madura brands, Madura segment, sir, our performance has been relatively weak compared to peers during the quarter , so how should we, given that everyone has faced a similar kind of slowdown in the industry with regards to shifting festivals and lower wedding days etc. , but still, how should we read relative underperformance in our case, compared to peers, that is my first question ?

Ashish Dikshit : Varun, I will take the first question , Vishak can add to it. If you look at Lifestyle brands performance, it has delivered by far the industry leading EBITDA margin for the quarter. In a tough quarter that

is, there is nobody in the industry who I know of has delivered margins close to this, so I am a little surprised by the question. If you are talking of revenue, it is a reflection Aditya Birla Fashion and Retail Limited

November 10, 2023

of the choices you make on channels. There are parts of revenues which are not as healthy, which at times you don't chase them so much and therefore to that extent the revenue growths will differ across business. It is a very high quality business, exceptionally strong brands and therefore I don't have a reason to believe that there is any level of underperformance in that , in fact, it is a strong performance on multiple accounts.

Varun Singh : Sir, my question was, I meant to compare revenue growth only , in terms of profit , of course we have done relatively better, but for example -6% and my question is more restricted to Madura only excluding other businesses, so -12% like to like growth , -6% revenue growth , so I was trying to understand more from the channel nuances point of view , is this because of more primary secondary growth differences or anything else that we wanted to call out to explain this difference that I am calling out as ?

Vishak Kumar : Varun, 2 -3 things, first of all, like you rightly said, there is the phasing effect of weddings and festival etc., which you correctly understood. On top of that, like Ashish was trying to explain, the channel mix in our business including some lower margin channels, liquidation channels, etc., so we have seen the revised phasing of business quite early. We kept inventory tight and hence we did not have to do some of those things which give topline, but don't give bottomline. So we kept it in that sense, very high quality sale which was at high margins. Also, tremendous amount of effort went into cost reductions which led to a very strong EBITDA growth as well, okay and we are fairly well priced. If you look at our ranks in department stores, we are 1 , 2 and 3 and so on. So in terms of market share also perhaps we would have only gained share, not lost share and all of this is on top of our last year's performance, which is also a huge bumper growth. So Varun, what I would say that it is fine.

Varun Singh : And my second question is looking at the losses over last six months or in the first half, will we be recalibrating or turning down our retail expansion rate?

Ashish Dikshit : Which business are you talking about , Varun ?

Varun Singh : Overall , at company level retail expansion in Pantaloons and Madura stores ?

Ashish Dikshit : Madura as Vishak just explained, is operating with tremendous strength with strong profitability business doing exceptionally well. There is no reason to slow down anything there. It is very high quality business currently. So there is absolutely no reason to slow down.

Varun Singh : I meant the overall retail expansion rate of the company , for example, we are making losses in Ethnic and TMRW , which is significantly having drag on the overall EBITDA of the company, but that might be the construct of the business , but still I thought maybe is there any reduction in the overall guidance for the financial year with regards to how we wish to expand our retail network ?

Aditya Birla Fashion and Retail Limited
November 10, 2023

Page 7 of 18

Ashish Dikshit : So as I was explaining, there is absolutely no reason to slow down network expansion as far as Madura brand is concerned. We will continue to remain with the guidance that we have given.

In Pantaloons, we had given a guidance about 30 -35 stores for the year. We have opened 15. We will stay with that guidance. In Innerwear is where we have slowed down significantly our retail expansion because the Athleisure market is not responding as strongly and that is the only place where there is a slowdown. T asva has gone up to a very good

start. So we will continue to remain

expansion on that, so the strategy is different across different businesses. You have to see company has different pieces at different stage of their evolution and we will take appropriate step for each one of them.

Moderator : Thank you. The next question is from the line of Garima from Kotak. Please go ahead.

Garima : Could you please remind us when does the GIC branch come in and the exact amount?

Jagdish Bajaj : So Garima, GIC's warrant money is likely to come by March. Amount is around Rs. 1,400 crore s.

Garima : Sir, now that we have already made the 51% acquisition and money has gone towards that and debt levels have increased , do you think debt levels can come down because of any other interventions that you make barring the warrant money that hits you by, let us say March 2024?

Jagdish Bajaj : Garima, I would like to stick with our earlier guidance of debt of Rs. 2,800 crore s by end of March. This includes the proceeds from GIC against conversion of warrants. The money whatever we generate will be used for the CAPEX, working capital , liquidation and the investments which is going to TMRW for Rs. 10 0 crore.

Garima : My next set of questions was regarding the TCNS itself, any comments on strategic steps that you might take to revise revenues there because it was the first half performance there maybe has been impacted due to the consumption slowdown and particularly in the second quarter, could you clarify why margins of that business were very low, both gross margins as well as the EBITDA margin?

Ashish Dikshit : Garima, I won't comment on quarter 2 performance. Most of it was before we came in. It wouldn't be fair for me to comment on that , but as far as we are concerned, we have seen the portfolio of these brands in our stores, in Pantaloons and post acquisition we have started to look closely into the business. I think lot of challenges which business suffered on account of slowdown in Ethnic recovery post COVID and internal challenges with respect to some of the design failures that they had created have been well understood by the business. The business is now fully back on track and the current performance seems a lot better than what it is. It may still take them a couple of quarters to come back to where they were, but at this point of time there is a clear visibility of strong recovery in that business .

Aditya Birla Fashion and Retail Limited
November 10, 2023

Page 8 of 18

Garima : And my last question, could you make some comments or observations on how 3Q has panned out sales, we were almost in a halfway through the quarter across businesses and if there are any differences between business performances that you are observing ?

Ashish Dikshit : So I don't want to say anything that leads you to conclude anything about Q3. What I would say generally however, is that we have seen large part of festive period during Pooja and part closure to Diwali . Obviously , there is a natural demand revival that happened during this period . I would say also, on an overall level, the picture looks flattish to marginally positive for some businesses, extremely good for wedding related businesses, but for the lower end, the business continues to suffer from the underlying demand challenges , however, festive period performance naturally as you would expect will be far better.

Moderator : Thank you. The next question is from the line of Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah : Sir, you kind of alluded that the initial feeler from the festive season is somewhere mixed except wedding pocket, I believe the rest is actually flattish to marginally positive that is what perhaps you indicated , so just wanted to know let us assume that the demand does not recover for the

second-half, how should we kind of think about or rollout expansion plan that you have just

mentioned that you will stick to it, do you think that we will have to revisit or we will go calibrated on that guidance?

Ashish Dikshit : Yes, to large extent we have sort of factored in some of these medium-term challenges that the economy was suffering because it started practically from the post festive period of last year and therefore if you look at our strategy shift or calibration was to slow down expansion in the lower end of our markets were let us say Peter England Red operates in smaller towns, Pantaloons, particularly in smaller towns, slowdown in Northern East was more visible, so geographical expansion. We therefore continue to see that similar behavior. Lot of that has already factored in, so as I said, we will stay with our plan of about 30 to 40 stores for Pantaloons. Lifestyle brands continue to expand largely by demand driven, franchise driven model. So it is not really a push model where we decide how much we want to go. There is a lot of demand and there fore franchisees decide that we will continue to that business is doing very well and I think you will see in the second-half as the weddings come back because there is a lot of suits and high end purchases in Lifestyle brands that are related to it. As far as Ethnic business is concerned, I think the best part of the year is coming in now. We are already beginning to see tremendous shift in trajectory as far as wedding related and ethnic businesses are concerned at that higher end, at least the Designer wear, Jaypore, Tasva etc. So to that extent, what we needed to do, we have factored in the sense that we have. We will not need to change dramatically any major shift, and while I have said it is flattish, that is it compared to last festive compared to where we are, it is a significant uptake in demand versus what you saw in the Q2, but that was natural to be expected.

Aditya Birla Fashion and Retail Limited
November 10, 2023

Page 9 of 18

Tejash Shah : And second, considering the widespread brand and the entire distribution network that we have, you would have one of the most, I would say studied and much more insightful kind of access to what consumer is thinking and why certain slowdown post Diwali and then you collect a lot of data digitally also, so just wanted to know both anecdotally and digitally the feedback that you are getting, what is your sense on why consumer has kind of taken such a long time to come back and when do you expect this to kind of change from at least in the near term?

Ashish Dikshit : So it is a tough one, Tejash. We are also still evolving our thesis around the consumers, but as you rightly said, we are a retailer with 4,500 stores. We sell products at Rs. 15 lakh and Rs. 200-300, so we have a reasonably good sort of what consumer voice through its wallet, which is travelling back to us. There are few things which are very clear. Clearly the state of the economy in different segments is almost directly proportional to the income levels. There is relatively lesser stress as you go up in the top and lower at the bottom. Second, there are parts of the country which are more affected by this and perhaps you can connect with the first. Particularly parts of East many states like UP, Bihar, even parts of North India, they are far more affected than the West and South East at this point of time. That is also visible in a geographical sort of the way the sales numbers are playing out. The deeper underlying theory is also really around at some level, we feel that as the discretion in the high inflation environment in society where personal indebtedness is rising, consumer credit is more freely available, consumers are spending on categories which are, I would say more capital in nature and to that extent high inflation, not enough rise in wages as you have seen, is squeezing the discretionary part for some time and this is a part

of the time cycle that happens. There is of course K-shape recovery or factor that people talk about which is higher end of the market is less affected, but the lower end is where the squeeze is much more visible. So as we look ahead this is also cyclical. I think consumers, our category fortunately is somewhere between basic and discretionary, depending on what kind of products you're talking about. So there is a part of the segment you don't cut down on weddings and festivals, so it comes back and also perhaps to some extent it is also a reflection of exuberance that you saw and I would say slightly exaggerated exuberance that you saw in the first half of last year. So the base numbers reflect that. So the companies which are more stable and are not going inorganically by distribution expansion and you look at like to like picture, this is to the best of our understanding reflects the performance differential in our own portfolio. Of course, individual businesses could have factors related to their particular segment, but this broadly reflects current understanding of consumers.

Tejash Shah : And the last one if I may, we have guided on bringing our debt to somewhere around Rs. 2,600 or Rs. 2,800 crore and then obviously there is GIC money which will come through which is roughly Rs. 1,450 crores and then we have our own CAPEX need also, so we just wanted to know, let us assume that this environment has to continue for slightly longer, this tepid growth environment, do we need some more infusion of equity capital to kind of revive the growth

engine or do you believe that managing between this infusion from GIC and our own internal accruals will be able to kind of fulfill our internal growth ambitions?

Aditya Birla Fashion and Retail Limited

November 10, 2023

Page 10 of 18

Ashish Dikshit : I think for just for our near-term growth ambitions, we think we are well positioned. We have to go through a period of slightly inflated debt as you said Rs. 2,600-Rs. 2,800 crores, that is our reality, but we had factored that in when we made the investment and we were thoughtful and spent time thinking about how we see our business and a period of elevated debt after a large acquisition is almost a natural outcome and we are comfortable with that and feel that. Most of our investment phase, if you think about it, where have we put capital and how we have used capital in last 12 to 18 months, there is a large TCNS acquisition investment that has gone in, that part is over only the merger part is left, 90% of TMRW investment is done. Our peak losses in Innerwear will perhaps play out this year and after that we will come closer to breakeven or much closer to that. I think except Tasva where we would continue to remain aggressive because the response is absolutely phenomenal what we are seeing and it is a large opportunity. Perhaps all our businesses are coming to a phase where the deep investment phase will come down and we feel that we are well structured to respond around that and you will start to see some of the less capital needy business like Lifestyle brands, Reebok is on a very good growth, but most of it is self funded, Pantaloons, despite going through a phase of very difficult period currently as we see despite these circumstances will be able to generate enough cash to fund its growth. So we feel comfortable with what lies ahead, but I have to say that this level of debt is something that we will have to get used to slightly higher debt level for next, maybe 18 to 24 months.

Tejash Shah : Ashish, just an associated point of observation. So we had an opportunity to listen to Mr. Kishore Biyani on couple of popular podcasts recently and invariably when the question was asked that what led to or what mistake he did in Pantaloon and he very honestly kept on saying that elevated debt was actually an issue and if we had kin

d of redo it again, that is one mistake that will avoid,

I can understand that we have our growth priorities and there is a tepid growth in market also, so between the two priorities as you said, you are also not comfortable with high debt, between the two priorities to revive growth and reduce debt first, what will you prioritize? Like say if you have limited capital and then the growth is not as we expected?

Ashish Dikshit : So of course, Tejash there is no doubt that we will play the game as the constraint play out, but I would only say that as a significant consumer focused business of Aditya Birla Group, we have the mandate and the opportunity in front of us to play out actively. If you look at where we have invested, whether it is TMRW, whether it is Ethnic businesses, whether it is Reebok, these are very strong foundations that we are creating. In a transformational journey at different points of time, many of our good businesses have gone through this phase. We in our own journey have gone through a phase post acquisition in past also. I am very comfortable that this is not something for us to worry about, but we will remain of course responsible to what we have at this point of time and careful in how we invest. There was a phase in which we needed to grow many of these sort of multiple canvas to build long term growth levers and that is what we have done in last 4-5 years, perhaps next few years, we will see a more steady and robust growth of existing businesses instead of multiple new opportunities that we have pursued and built, but we

Aditya Birla Fashion and Retail Limited

November 10, 2023

Page 11 of 18

think that was needed to done to diversify this company and take it into more productive and future ready state, which is what we have done in last few years.

Moderator : Thank you. We will take the next question from the line of Richard Liu from J M Financial please go ahead.

Richard Liu : Can you explain the gross margin movement a bit, please and I am talking about the standalone business here, so as to not get confused with the B2C piece, I see that your standalone margin is down by about 200 bps from 54% to some 52% and you seem to have attributed into Pantaloon with one of the slides, any perspective on how bad this is and is it a deliberate move to try and grow sales with this weak environment and also in that context it can give some color on how the core Madura brand margin have been moving in recent times?

Ashish Dikshit : So I think Richard, different parts of our businesses have played out gross margins differently and I will just take some time to explain the differences. On Madura side of the business as I was explaining in response to the first question that Varun asked, the gross margin has significantly improved, I think between 150 to 200 basis points, large part of it is attributable to the softening of raw material prices, improvement in quality of channel choices that we have made in that and so there you would find the gross margin has increased. The Pantaloons part, we have specifically called out because this quarter Pantaloons performance got affected

between 250 to 300 basis point gross margin dilution. It was primarily because in the period between November and March, we ended up because we are on a very stable growth business at that point of time. We didn't anticipate the slowing of demand fast enough and therefore there was an inventory buildup and we wanted to use quarter 2 end of season sales to liquidate that more deeply. It has made the business healthier going forward, reduce our level of old inventory and it was a call that we took to settle the Q2 and it is a combination of these two. Rest would be a share of businesses mix in between.

Richard Liu : Just moving on from there and I think you kind of alluded to part of this in one of the earlier questions , but

I am just referring to the sales breakup of the Madura brands where EBOs have declined quite substantially while wholesale is kind of much better , I had thought that it would be the other way round, given the festive season delay, any color in to this in terms of how much destocking, late stocking or what kind of a picture is if this kind of behavior due to?

Ashish Dikshit : So I think it is quite a reflection of the economy . Madura business, especially parts of Louis Philippe, Van Heusen, etc., have a large share in the weddings market and when weddings do well, suits which will be a quarter of our sales or something between a fifth to a quarter of our sales, that business does extremely well. You will see that reversing in the quarter 3, but in quarter 2 as most of the wedding businesses and now we have a portfolio of wedding businesses. We can clearly sort of associate the retail performance where the share of wedding related sales is much higher. That is the part that has affected Madura region, otherwise, the business stands on a very good and you will see, Richard, you will see that reversing in the quarter 3.

Aditya Birla Fashion and Retail Limited

November 10, 2023

Page 12 of 18

Richard Liu : And what about the wholesale part? Is there any pre -stocking on account of festivals or should we expect that also to come in Q3?

Vishak Kumar : So Richard, it is both, as you know, the Pooja buildup etc ., would have happened, Onam , Pooja buildup etcetera happened in Q2, some parts of it is in Q3, so it is in that sense this year spread as far as wholesale is concerned between Q2 and Q3.

Richard Liu : And earlier years, it used to be everything in Q2?

Vishak Kumar : Not earlier, it depends on the years. There are years when Diwali is late versus early . Whenever Diwali is November Diwali, this split happens.

Richard Liu : And lastly, I am sorry for asking this again, but what was the comment you all have given with regards to how the festive season has been panning out in the last 40 days , I kind of missed that when you talked about it?

Vishak Kumar : I think the question was more around Q3, so I want to qualify and say Q3 is still lot is to be played out. So don't read it in that context , but if I were to look at how consumers have reacted during Onam, Pooja, large part of them lying in Q2, some in Q3 and to the parts of Diwali, I would say the festive performance have been mostly flat in some businesses below slightly small negative except wedding related areas where you can see the revival much stronger . That has really been the overall comment.

Moderator : Thank you. The next question is from the line of Sameer Gupta from India Info line. Please go ahead .

Sameer Gupta : Sir, firstly on the networking capital, the PBT mentioned Rs. 1,360 crores. When I do a calculation from the balance sheet, I get a number of Rs. 2,000 crores , so just wanted that to be clarified and also between these two numbers, it will roughly translate to around 40 to 50 days if you include TCNS sales , where do you see this number stabilizing because part of it like Lifestyle might have negative working capital, but your growing part of the business like Sabyasachi or Tasva or these B2C businesses that naturally might have higher working capital , also there is some channel realignment going in the Lifestyle brands wherein there is movement towards consignment , so just wanted your thoughts on that , where do you see this number on working capital stabilizing for the whole business?

Ashish Dikshit : I think our business is very diversified now, but if you were to put it in very broad buckets of where substantive part of our inventory lies, it lies in our larger businesses, which is Lifestyle brands and Pantaloons and if you look at these businesses and current quarter is perhaps likely to reflect more inflated picture because festivals

have been pushed up and therefore you build up inventory , you don't have sales at that point of time in the previous quarter, so lower Q2 sales, but higher inventory buildup , but broadly speaking we have operated Pantaloons over a long

Aditya Birla Fashion and Retail Limited

November 10, 2023

Page 13 of 18

period of time in high single digit networking capital to sales . It gets inflated during some period,

but comes back to around that , so between 8, 9, 10, maximum 11 %-12%. As far as Lifestyle brands is concerned, because the business is increasingly moving to retail shift, the networking capital is a revenue for large part has been between 13 % to 15% and we don't expect these two are very strong stable businesses. We don't expect that to move . Rest of the individual businesses currently are small and perhaps have greater volatility if you were to say that and elevated level of working capital, but that is because they are in a slightly higher growth phase or still figuring out the right model till they find the stable area. Does that answer your question?

Sameer Gupta : Yes, pretty much , just a clarification on that, Rs. 1,360 to 2 ,000 crore, which number is?

Jagdish Bajaj : Actually you have to look at it. We have equated inventory plus debtors for this , but in public it goes into other current assets and other current liabilities.

Sameer Gupta : Second question is on TMRW, so you mentioned that 90% of investments in these businesses have been done , so just wanted a clarification as to how much amount cumulatively in debt plus equity you have invested till now in these businesses , how much more do you plan and the timelines related ?

Ashish Dikshit : I think it is about 600 to 650 out of 750 is what we have invested and that is the combination of debt in equity and we expect to over next 6 months to invest the remaining.

Sameer Gupta : Which would be around Rs. 100 crores ?

Ashish Dikshit : Rs. 150 crores.

Sameer Gupta : Another question, if I may squeeze in, the other part in the Madura, which is basically your Innerwear, Youth Western brands, etc ., there I see a moderation in the EBITDA losses and intuitively the Athleisure or Innerwear part has seen a decline , so just wondering what is contributing to the losses moderation here?

Ashish Dikshit : So the Innerwear parts of the business, the Innerwear because of the challenge in that market, that segment losses have been moderated, that segment losses, if anything have actually increased the most of the improvement in profits is coming from the higher end of the market which is international brand, The Collective, Reebok is a profitable business. So all of them are actually countering slightly more elevated losses in the Innerwear business.

Moderator : Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal : Sorry for stressing again on this, but I just wanted to have a better understanding , in H1, our debt is increased by about Rs. 3,000 odd crores and for TCNS, I guess we have paid about Rs. 1,600

Aditya Birla Fashion and Retail Limited

November 10, 2023

Page 14 of 18

odd crores , so there is a requirement of about Rs. 1,400 crore in the existing business, you mentioned that working capital levels are relatively higher, so just wanted your clarity as in the rest Rs. 1,400-Rs. 1,500 crore, how much of it is because of this onetime working capital elevation , if you could help me explain that ?

Ashish Dikshit : After Rs. 1,300 crores, about Rs. 400 odd crores would have gone into TMRW, for the remaining, it is a combination of course CAPEX and working cap and it is the working capital part which will reverse in the second -half and that is really why Jagdish has indicated closing debt number which we had indicated even earlier in the range of Rs. 2,700 to Rs. 2,800 crores.

Devanshu Bansal

I : But sir, that also includes GIC investment of Rs. 1,400 crores that?

Ashish Dikshit : So we have been consistently stating that for last 6 months, that is what we have said at the beginning of the year , that is what we said at the end of Q1 and that is what we are repeating. So our guidance for the debt at the end of this year including that is Rs. 2,700-Rs. 2,800 crores. So that hasn't changed at all.

Devanshu Bansal : Second question was to understand, since we have now acquired 51% and we will be consolidating TCNS in our financials , just if you could provide as a onetime what is the current run rate , annual run rate, so that we for the modeling purpose both in terms of revenue and EBITDA and 4-5 years down the lane, what is the kind of run rate that you expect in this business ?

Ashish Dikshit : So very short term, I don't think it is possible for us to predict very short term. We have just sort of understood the business. It is going through a transitory phase. So I will want to comment on what you are looking for if that is your question on Q3 and Q4. In the longer term , as we had stated at the time of acquisition, we strongly believe that this portfolio brand is the leader and the most profitable business that has existed in the women's Ethnic wear business over a long period of time . We expect this to reach Rs. 2,000 to Rs. 2,500 crores in next 3-4 years and achieve the double digit with pre -Ind AS EBITDA margin where it has operated for much of its life of last 10 -15 years. So I don't think that has changed , but from where the business is today, how long will it take , where would it , it is too early for us to comment.

Devanshu Bansal : Just one follow up , what will be the current pre-Ind AS run rate, is it largely planned or is it slightly negative for TCNS?

Ashish Dikshit : I wouldn't want to comment. I think you will have to look at the TCNS results because the

onetime, so what is the normalized business situation, I wouldn't want to comment. Wait for the quarter, you will get a clearer picture.

Moderator : Thank you. The next question is from the line of Vishal B from Bandhan Mutual Fund. Please go ahead.

Aditya Birla Fashion and Retail Limited
November 10, 2023

Page 15 of 18

Vishal B : In the Madura part of the business and the other L ifestyle brands, would you say that we would have lost some market share? The overall market has been reached, I appreciate your views, but on an overall basis, when we look at our performance versus the market performance?

Vishak Kumar : No, on the contrary actually Vishal, we have gained share. If you look at like Ashish was explaining, the overall volumes are impacted by some of our depletion volumes, but if you look at our regular business, we have actually most places gain share, our position in department stores or rank in Mall throughputs etc., if anything have only consolidated even further.

Vishal B : And this you would say across Madura and other Youth brands as well?

Vishak Kumar : I would say this in Madura definitely the re four big brands. Reebok, we have significantly scaled up since we have acquired, American Eagle continues to grow significantly. Yes, Ashish was talking to you about Collective and that continues to scale strongly. So yes, across the board, I think we have gained share.

Vishal B : And lastly, are there any more wide spaces that you plan to fill? Are there any more missions in certain areas that you would look for or are we through?

Ashish Dikshit : See we have created, we have played out the strategy that we had laid out for ourselves. We have repeatedly communicated our intent to build a comprehensive portfolio, self presence in the casual innerwear, Athleisure space, both through Van Heusen Innerwear and Reebok and to enhance a digital presence, which is what we have done through TMRW. So we have multiple sort of strong

platforms which we have invested in last 4-5 years and therefore we feel that most parts of the market are very well covered. The next phase of company's growth will come from growing the businesses that we have, refining them, making them better and getting them to the scale that and potential that they deserve.

Vishal B : And one more, for the Innerwear business, what is strategy for the coming, how do we improve the performance from here because the overall market doesn't seem to be that excited?

Ashish Dikshit : Yes, so short-term look, we will have to go through these periods of challenges in different market conditions. It is a business which is very promising, consumer proposition works very well. We have managed to establish a very strong consumer franchise, a reasonable distribution channel. At this point of time, we will have to wait for conditions to improve before we start pressing lever on the next sort of dimension of growth, which is retail expansion and therefore, we will have to wait out this period of difficulty, continue to make sure that product innovation, brand visibility, continuous distribution expansion that keeps coming.

Moderator : Thank you. The next question is from the line of Gopal Nawandhar from SBI Life Insurance. Please go ahead.

Aditya Birla Fashion and Retail Limited
November 10, 2023

Page 16 of 18

Gopal Nawandhar : I needed some clarification when you talked about trends on the festive side, you have commented you are expecting flattish to marginal positive trends, is it related with the like same store level we are talking about at our company level?

Ashish Dikshit : Yes, this I am talking about, this is about Onam, this is about Pooja, which has already happened, Diwali still few days are left, so probably early to say, but going by our experience of previous festive that is the comments was like to like for the previous periods that have gone.

Gopal Nawandhar : And the second question is on this recent acquisition by TMRW for TIGC, would you like to give any comment what kind of revenue and EBITDA that business, this brand have and at the same time, that is TMRW, this quarterly run rate of around Rs. 40 crores losses, will it go further up or we should expect a declining trend on that loss trajectory for TMRW?

Ashish Dikshit : So second part first, Gopal, I think the peak of TMRW's losses has happened in Q2 in the first half of the year, you will start seeing it slowing down as you go in the second-half of the year.

So for the full year, it will be moderated to some extent versus the run rate that you referred to.

As far as TIGC acquisition is concerned, I don't want to give actual brand level profitability, but as our press release had announced, the business is close to Rs. 300 crores in revenue, very strong business, one of the leading brands on multiple marketplace platforms and it is a business that we feel will grow very rapidly going forward.

Gopal Nawandhar : And any comments on the profitability, whether it is like a negative on EBITDA or?

Ashish Dikshit : It is a profitable brand completely self funded so far. So it is a profitable brand.

Gopal Nawandhar : And one clarification on gross margin front for Pantalo on, we have taken some correction, a re

you talking about some inventory write-offs or these are like strategy corrections on the pricing which will have impact on the coming quarters also?

Sangeeta Pendurkar : This is Sangeeta. So this is as Ashish mentioned last year our first half if you recall was very good. Post Diwali, we started seeing a little bit of a slowdown and therefore there was some carry forward inventory from last year, both from spring summer and autumn winter, as we started seeing semblance of slow down. So I think what we did during the EOSS period is went into a little bit of a deep discounting to help us clear that inventory and we

have done that

correction, as Ashish mentioned, to get the business into a healthy shape and now we are going to manage whatever is the remaining inventory in a regular manner that we would do within otherwise.

Ashish Dikshit : So this is actual discounts, the markdowns that we gave to liquidate that inventory.

Gopal Nawandhar : So this like could be kind of one-off for this quarter, ideally the margins would have been better if this would not?

Aditya Birla Fashion and Retail Limited

November 10, 2023

Page 17 of 18

Ashish Dikshit : This is exceptional and that is why we call that out. That is why Pantaloon's margin for this quarter compared to same quarter last year, it is markedly lower between 250 to 300 basis points.

Gopal Nawandhar : And is it right to assume that all those old inventories are through or will have some?

Ashish Dikshit : Yes, the extends of stress Gopal that is there that we have solved for. There is always some rollover that will happen in the inventory, but I don't think there is much to worry about now.

Gopal Nawandhar : Lastly if you can just comment because on the TCNS we have seen some policy level changes and some inventory write downs, do you expect any more such when we take over this comp any?

Ashish Dikshit : No, not at all Gopal. We are very confident because we spent time on those a lot more during both the process of due diligence and subsequent management interactions. We have aligned most of the policy, understood the policies and aligned in line with what the broader policies that we follow. Some of them have resulted in one time markdowns that they have to take both in provisioning for returns, discounting, markdown of the inventory, etc. So that is one-off that has happened. I don't expect that to continue.

Gopal Nawandhar : Sir, lastly, on this Lifestyle margins, do you expect these margins can be sustained or there could be some softness on the margins?

Ashish Dikshit : See longer term, which is the point that I think Vishak is making, quarter-on-quarter margin changes are both reflection of markdowns, brand mix and channel mix. If you look at the long-term margins, the business has operated closer to 18% to 19% margin, but in every few good quarters we get to 20%-21%. This quarter has been particularly focused on quality of business. To that extent, we have not chased revenue in some of the low gross margin channels. To that extent, we have an upside on the gross margin side just as we have let go of revenue on the revenue side.

Moderator : Thank you. The next question is from the line of Udhav Sinha from Locust Investment Group. Please go ahead.

Udhav Sinha : I just wanted some color from an overall channel perspective, so if there is any channels that we see that are performing well and on the same side of any sort of channels which we are viewing with some more hesitancy at this point of time?

Vishak Kumar : We always believed that we should be where consumers want us to be. We continue to do that.

We are very strong players in Malls, we are strong players in High Street. We have very deep connections with all department stores. We operate very deeply. We have lot of convergence of IT systems in merchandise management etc. So those will continue. I think our focus has been to continuously see how we can upgrade to quality of retailing, better superior distribution with better realizations etc. That is something which you continue. In terms of geographical channels

Aditya Birla Fashion and Retail Limited

November 10, 2023

Page 18 of 18

for short term, smaller towns had more pressure, but that is again something which should change with this festival and wedding season. Does that answer your question Udhav or you have something more specific in mind?

Udhav Sinha : Just within, even your department store versus your EBO channels, if there is any color that I

could have?

Vishak Kumar : They have both their own opportunities. They have both their own relevance. There are consumers who prefer shopping in a multi-brand environment and I do believe that our brands need to be there for that. We have very deep ways of working with Shoppers Stop, Lifestyle, Pantaloon, all we work very closely, Centro, we work very closely on this and they have their

own relevance, which is independent of the relevance of the EBOs in both Malls and High Streets. So I would say they are not mutually exclusive, they go together.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for their closing remarks.

Ashish Dikshit : Thank you everyone for taking the call and wishing you all and your families a very Happy Diwali. Our stores have lot of good, exciting merchandise for you and your families across the brand's portfolios that we have. So wish you all good time shopping and have a great day ahead. Thank you.

Moderator : Thank you members of the management. Ladies and gentlemen, on behalf of the management, we thank all participants for joining us. In case of any further queries you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines. Thank you.

Call: Feb 2024

ADITYA BIRLA FASHION AND RETAIL LIMITED

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February 19, 2024

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q3 FY 24 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated January 29, 2024

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 3 FY 24 Earnings Call held on February 15, 2024 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.abfrl.com.

Thanking you,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

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Page 1 of 17

"Aditya Birla Fashion and Retail Limited
Q3 and 9M FY24 Results Conference Call "
February 15, 2024

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. VISHAK KUMAR – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – LIFESTYLE BUSINESS – ADITYA
BIRLA FASHION AND RETAIL LIMITED
MS. SANGEETA PENDURKAR – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – PANTALOONS

Aditya Birla Fashion and Retail Limited
February 15, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good evening, and welcome to Third Quarter Earnings Conference Call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q3 and nine months FY24 performance followed by a question-and-answer session.

We have with us today Mr. Ashish Dikshit, Managing Director; Mr. Jagdish Bajaj, CFO; and Mr. Vishak Kumar, Director and CEO, Lifestyle Business; and Ms. Sangeeta Pendurkar, Director and CEO, Pantaloon. I want to thank the management team on behalf of all the participants for taking valuable time to be with us.

I must remind you that the discussion on today's earnings call may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risk that the company faces. Please restrict your questions to the quarterly performance and to the strategic questions only. Housekeeping questions can be done separately with the IR team.

As a reminder, all participant lines will be in the listen-only mode. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that the conference is being recorded. With this, I hand the conference call over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj : Thank you. Good evening, and welcome to the Q3 earnings call of our company. Let me start with an overview of the operating environment. The market remains subdued as inflationary pressure continued to affect households, significantly impacting overall discretionary spending.

The quarter exhibited varying performance with a stronger festive led sales in November compared to the months of October and December, which were affected by inauspicious period. Further factors like fewer weddings and winter delay led to an overall sluggish Q3.

Throughout these times, we have consistently demonstrated agility with sharp focus on enhancing our operational metrics. Our brands have actively pursued visibility through numerous impactful campaigns across occasions. We remain committed to delivering exceptional products and experiences to our customers. Furthermore, we shall continue to maintain our position in the market through targeted expansions, multiple strategic brand-building initiatives and enhancing capabilities.

Now I will talk about financial performance of our company for this quarter. The company delivered revenue of INR4,167 crores, a growth of 16% of same quarter last year, primarily driven by its new lines of businesses. Please note TCNS has also been added to the financials from this quarter. Our standalone sales stood at INR3,516 crores, growing 5% over last year. The company achieved consolidated EBITDA of INR605 crores with margin expansion of 150 basis points to reach 14.5% versus 13% last year.

At a standalone level, business achieved a 315 basis point expansion to reach 17.4%.

Improvement in gross margin and lower markdown contributed to EBITDA margin expansion in this quarter.

As you know, we have been executing a transformational strategy to build new businesses in high-growth segments with large potential in the long term. These new business lines have

Aditya Birla Fashion and Retail Limited

February 15, 2024

Page 3 of 17

become substantive growth engines for our company in the last three years. The growth segments of Ethnic, Digital and Sportswear contributed approximately 20% to total ABFRL revenue in this quarter.

The company's consolidated PAT was negative at INR108 crores, impacted on account of high depreciation and increased interest cost due to higher borrowings this quarter versus same quarter last year. Our net debt at consolidated level post TCNS consolidation stands at approximately INR4,000 crores. We main

tain our previous full year debt guidance for FY24 as communicated earlier.

At the end of Q3, including addition of TCNS network, our store network now stands at 4,753, including 21 stores in international markets, spanning across a total retail area of 12.2 million square feet. Our brands continue to expand strategically in key markets, while in parallel, driving improvement in network helped by pruning nonperforming stores.

For YTD Q3, company posted revenue of INR10,589 crores, reflecting growth of 11% over the same period last year. EBITDA for YTD Q3 was INR1,326 crores with EBITDA margin of 12.5%.

I will now take you through the performance of individual businesses, starting with Lifestyle brands. Lifestyle brands continued with their strong trajectory. The brands strengthen their position with customers through high -impact brand campaigns and aspirational and innovative product offerings. These brands continue to gain much stronger position with the third -party partners including departmental stores. Premiumization, product innovation and markdown management continues to be the key strategic levers for Lifestyle brands.

Lifestyle brands achieved the highest -ever YTD Q3 EBITDA level with a conscious strategy of cutting down less profitable channels, marginally impacting their sales growth. I would like to point out that this revenue is on a base of 18% growth in same quarter last year. Quarterly revenue for the business was INR1,815 crores led by gross margin improvement and increased focus on profitable channels. EBITDA for Q3 stood at INR349 crores. EBITDA margin for Q3 was 19.2% and expansion of 230 basis points over last year.

During the quarter, the business added a net of 36 stores as brands continued their expansion in key markets in line with the long -term strategy along with pruning the network by exiting poor performing stores.

Let me now talk about youth western wear, which consists of American Eagle and Forever 21. American Eagle experienced another quarter of impressive performance achieving a 34% revenue growth compared to last year. This growth was driven by significant distribution expansion and a strong acceptance by consumers. American Eagle added 10 new stores in Q3 as it expanded its network to 59 stores. The brand is available at 100 -plus departmental stores, a channel that has rapidly been scaled up over the last one year as the brand gained strong affinity amongst consumers. Forever 21 continued to face headwinds, while trying to correct its business model towards improving viability for eventual scale up.

Aditya Birla Fashion and Retail Limited

February 15, 2024

Page 4 of 17

Now about Reebok. The brand posted another quarter of INR100 crores -plus profitable sales on the back of rapid distribution and e -commerce expansion. The brand is now available at 160 -plus stores and 800 -plus points of sales across departmental stores and multi -brand outlets. The brand has also significantly scaled up its e-com business, driven by deeper partnership with all major e -com players. With a strong trajectory of American Eagle and Reebok, we now have two new potential mega brands in our portfolio complementing existing four lifestyle brands.

Let me now speak about innerwear business performance. The innerwear and athleisure wear category sustained decline in demand and sales volume due to shifting consumer preference away from athleisure post -COVID. The business in Q3 FY24 was impacted primarily led by athleisure slowdown, while the innerwear category posted a 5% growth over last year. The brand has added over 2,000 trade outlets in the last nine months to exit Q3 with 34,300 trade outlets. The recent campaigns launched by the brand have generated higher levels of engagement, awareness among our customers with respect to the brand. The premium part of the portfolio, the Collective and other super premium brands

continue to show resilience despite the overall market slowdown. It witnessed a solid growth of 16% Y -o-Y. The collective.in witnessed a 50% growth over last year as it continues to be one of the top e -com luxury destination for consumers in India.

Moving on to Pantaloon business. Inflationary headwinds continue to affect demand in the value fashion segment, particularly in lower tier markets where the impact still remains more pronounced. Pantaloons recorded quarterly sales of INR1,297 crores, a growth of 12% led by festive shift and an LTL growth of 3%. EBITDA for the business grew 40% to reach INR235 crores led by lower discounting and effective cost control measures.

EBITDA margin expanded by 360 basis points year -on-year to reach 18.1%. Pantaloons added 10 new stores while closing three stores in Q3 as the brand focused on enhancing the quality of distribution network. Brand continued to improve customer experience and drive store productivity while also focusing on refining the proposition towards customers.

Now Ethnic portfolio. This quarter, our Ethnic portfolio achieved revenue of INR550 crores. Brands, other than TCNS, posted year -o-Y growth of 43%, led by network expansion and a strong traction witnessed during the festive and wedding season. Businesses continue to

expand distribution given the largest addressable market for any category within fashion apparel. The brands other than TCNS added 14 new stores during the quarter.

Sabyasachi grew 43% Y-o-Y, led by strong LTL growth at the back of a strong performance in jewellery. Brand recorded its highest ever quarterly revenue crossing INR150 crores milestone as new stores in Mumbai and New York maintained strong sales momentum. Shantnu & Nikhil posted 30% growth Y-o-Y as its Pret label business, S&N, grew 42% over last year, led by 20% L2L growth. House of Masaba posted 16% growth as it expanded its network to 14 stores this quarter.

Our Men's premium Ethnic wear brand Tasva, developed in collaboration with Tarun Tahiliani is now available at 67 stores. The brand has continued to work on its product and build awareness via multiple campaigns on both digital and offline platforms. The brand witnessed a strong

Aditya Birla Fashion and Retail Limited

February 15, 2024

Page 5 of 17

interest during its first full festive wedding season as brand double its revenue over last year.

Festival L2L for the business stood at 62%, though based on a smaller number of stores is particularly encouraging for us and gives us confidence of our product, design and brand being loved by our customers. Tasva shall continue to incorporate the learning from this festive & wedding season and further strengthen its proposition going forward.

For TCNS, its revenue in Q3 stood at 91% of last year with EBITDA at negative INR8 crores.

This quarter too, TCNS experienced an impact on profitability due to alignment with ABFRL policies, which is expected to persist for another two, three quarters. The business has continued to refine its product offerings versus consumer insights and feedback, resulting in newly launched products receiving exceptionally positive feedback from both consumers and channel partners. As TCNS undergoes transformation, it remains focused on increasing store throughput, getting back to its winning range architecture and leveraging ABFRL synergies to bolster its capabilities and drive efficiencies.

TMRW, revenue grew to 3.7x of last year. This quarter, TMRW also completed the integration of The Indian Garage Company into its portfolio. With TIGC getting added, TMRW is now scaled up rapidly to an ARR of more than INR600 crores. TMRW has continued to build value for acquired brands through strategic and operational improvement.

To conclude, in this challenging environment, our new businesses have continued to add scale to our overall revenue with these

businesses already three-folds of last year, they are poised to become crucial growth drivers for our company going forward.

In addition to this, as the consumption environment and market condition improves, our established businesses are also set to experience robust growth. With our continuously evolving fashion proposition, focus on price value balance and a strong business model will continue to take necessary steps in terms of expansion creating an environment conducive to sustainable growth. Thank you, and we are now open to questions and answers.

Moderator: Thank you very much. We'll now begin the question and answer session. The first question is from the line of Garima Mishra from Kotak.

Garima Mishra: Let me first start off from my Q&A with a question on Pantaloons. Can you elaborate a little bit on a few initiatives that you've taken, which have actually driven this sharp Y-o-Y margin expansion?

Sangeeta Pendurkar: This is Sangeeta. So I think there are two or three aspects that we need to keep in mind. Of course, in this difficult environment, Pantaloon's top line growth at 12%, I think, is a pretty good performance, but that has come with the benefit of the slight shift in Pujo that we saw in this year versus the last year. And therefore, there is an intrinsic top line growth benefit that has come to us. Of course, it's backed by a strong strategy that Pantaloons has that we continue to pursue. But I think to your specific question on the bottom line and on the margins, we have put in a very large set of actions to double down in terms of reducing our cost. And this goes across every single cost line item. Looking at our overheads in a very, very detailed manner and taking some actions to control costs in this tough business environment.

Aditya Birla Fashion and Retail Limited

February 15, 2024

Page 6 of 17

Two, reducing costs, operational costs, whether be it in our stores or in our supply chain. And the third one I would call out is optimizing our markdowns. For example, in festive, we pulled off some of our offers. As our proposition gets stronger, we also believe that we need to make these choices where we can sell full price, we have an opportunity to optimize full price sale. So therefore, I think it's a very set of concerted actions that has helped us achieve this margin,

of course, with the benefit of a better top line.

Garima Mishra : Understood. Just in case of Pantaloons, how large is online for you now? And you specifically mentioned that for Madura, some of these online and maybe unprofitable channels have been curled. Is a similar thing being done for Pantaloons e-commerce sales as well?

Sangeeta Pendurkar : Yes. So I think, as I said, we are looking at costs across every single channel, every single line item. The online business is about 3%, 4% of our total sales. And even there to get our business model to be stronger, be it in both the channels, whether it's rationalizing our stores, which are not profitable in retail or looking at operating costs in the online business. We've looked at both and we've rationalized some of those.

As we go forward, we will continue to rationalize some of our stores, which are not profitable, perhaps even more aggressively and the same would apply to the e-commerce business. That's overall in terms of the business model.

Garima Mishra : Understood. My next question is on Tasva. So Tasva business has scaled up pretty rapidly to 67 stores. How are you thinking about your future store addition strategy? Is 67 a number you are happy with? Or you think this number could be easily double, tripled in the next, let's say, two, three years?

Ashish Dikshit : Garima, for medium term, we had indicated a network of about 200-odd stores that we want to build eventually for this business over next three, four years. We've got the first 67 stores. Perhaps by the end of the year,

it may go to 70 or a little bit around that. We are also learning as we expand on which of the markets, which are more ready, how to expand deeper in some markets, slowdowns in some of the markets, etcetera. But our guidance about perhaps at this point of time, maybe 30, 40 stores a year is what we would see.

The other shift in expansion strategy would be, we are finding tremendous traction in bigger cities. And therefore, some part of our expansion will be more -- a large part of our expansion will be looking at the top 8, 10 cities where the market is more ready for product like thus why in terms of sophistication and design aesthetics. But the store number that we had indicated when we thought about this brand and launched the brand, that pretty much remains an important milestone for us to get in next three, four years.

Garima Mishra : Got it. Got it. And my last question was on TMRW. So you mentioned that the portfolio as such has achieved annualized revenue run rate of INR600 crores. At what revenue run rate does the business breakeven and by when you seek to achieve that?

Ashish Dikshit : I think it's too early, Garima, honestly, for us to give a number for that because it's a function of two things. TMRW business model is accumulation of individual brands plus TMRW's own cost

Aditya Birla Fashion and Retail Limited

February 15, 2024

Page 7 of 17

structure that is required to add value to these businesses. In our own estimate, it doesn't seem to turn profitable at least in the next three years. And that's the kind of time that we need to get this business to get to that level.

Garima Mishra : Understood, Ashish. But when you make that estimate, are you also assuming that in the process, you will keep on acquiring new brands over this time frame as well?

Ashish Dikshit : So Garima, when we launched this business, we had clearly allocated a certain amount of capital, which was part of our overall capital allocation strategy. A large part of that capital is being used. We'll perhaps look at some add-on small acquisitions as we go along and consume that part of the strategy. But subsequent brand addition would largely be driven by as the market improves TMRW's own fundraising efforts, which will perhaps do towards the end of next year.

Moderator: Next question is from the line of Nihal Jham from Nuvama Wealth Management.

Nihal Jham: Sir, three questions from my side. First is, in case of Lifestyle brand specifically, it is in terms of its positioning a little more premium than a lot of our other categories. Does the overall slowdown, in a way, explain the muted growth that the segment has seen? And if I compare versus Pantaloons, is it mainly the festive shift because of there is a divergence of the performance between the Lifestyle brand and Pantaloon's?

Ashish Dikshit : So yes, there is a slowdown, and it is reflected in the amount of footfalls into mall stores, etcetera. We also took a conscious call, Nihal, to scale down on discounting, okay? So that is also -- which is what has helped us to significantly expand margins. We recognized that in this market situation, it would be a sharper strategy to stay tight on discounts, manage for profitability, which is what we have done.

So we were able to make the most of the footfalls, which came into the stores, which was linked with the premiumization strategy that JB spoke about in his opening speech. So I think all of that together, the market was tough in terms of footfalls, Nihal.

Nihal Jham: Understood. And if possible to share what is the like-to-like growth for the segment? Not sure if I could find the PPT this time.

Ashish Dikshit : Yes. I mean, apples-to-apples, it would be flat to small negative, Nihal.

Nihal Jham: Understood. The second question was on the fundraise part of it. I see there's a small press allotment, which is insignificant number. So if you could just high

light on that? And are there

any plans other than the GIC plan need amount, which is due in March in terms of fundraise?

Jagdish Bajaj : Nihal, this notice is primarily to redeem the existing preference share capital. As per the regulatory requirement, the existing preference shares are falling during the month of March.

And if we don't have adequate profit for distribution, we have to raise the fresh preference shares.

That is the notice we have sent it to stock market. So except GIC right now, there is no intention of any.

Aditya Birla Fashion and Retail Limited

February 15, 2024

Page 8 of 17

Ashish Dikshit : And Nihal, this is just a small amount. I think the total amount is about INR1 crores. So this is more a procedural thing. As far as fundraise is concerned, there is no immediate plan.

Nihal Jham: Just one last question was that on the innerwear side, I see a decent increase in terms of our reach at least in the last few quarters. So are we looking at getting our aggression back on that segment or anything specifically you want to highlight on that side?

Ashish Dikshit : We'll have to look at the drivers of growth in that segment. Distribution expansion is one, but a large part of that business is you can make out from study of that market is -- was built around athleisure, activewear and those other categories, which are currently seeing depression in volumes. And so innerwear would be the business aggression is also a function of market situation in these categories.

On the innerwear side, we'll continue to grow because, as we said, it's a long-term target that we have. We believe we have got a strong brand, great product proposition backed by good innovative products, and that's something that consumers are seeing right across. We will not change from our long-term trajectory on that, but we'll have to moderate its growth ambition looking at the overall stage of the market.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah : A couple of questions. First on Lifestyle Brands. Vishak, you spoke about market condition being tough. But at the same time, it seems you choose profitability over discounts. So just wanted to understand, is this a sign of confidence on the quality or quantity of inventory we are carrying? Or is it more of a competitive response to something?

Vishak Kumar : Yes. Tejash, I think you picked up the right issue. We saw this fairly early to say that, look, let's stay tight on inventory, okay? And let's make sure that we are driving very strongly on the fresh business, full price business, etcetera, okay? So our pressure for discounting was lesser as well because of the health of inventory. And we hence recognize that, look, let's maximize festival business, wedding business and so on. And that's what we drove, Tejash. So I don't know if that answers your question.

Tejash Shah : Perfect. Second, on Tasva. So 60 plus stores is a very good base that we have now. So Ashish, just wanted to know, would you be positioned to share any qualitative or quantitative comments on the operating metrics in terms of sales per square feet or inventory kind of that we have to carry any ROC of payback period in any of those initial metrics that you can share?

Ashish Dikshit : I think -- I mean the only reason I would hesitate sharing some of these numbers is primarily because, one, business is very new; second, the experience is quite divergent and variable across different markets, and we are experiencing that; and third, it is highly seasonal, and we have just experienced one large festive season. I have to say we are positively surprised despite our best intention and desire to build a very strong business. We are very positively surprised by the uptick that we saw in the wedding period, and therefore, that gives us confidence about the overall product and the brand proposition.

Aditya Bi

Aditya Birla Fashion and Retail Limited

February 15, 2024

Page 9 of 17

Needless to say, we had invested in it adequately to get to that outcome. But it's too early because the performance is in the wedding period, the sales is so much higher than the non-wedding period. It's difficult for me to assess whether it is because the non-wedding period happened in the early stage of life of the brand, the awareness was low? Or is it just the seasonality of the business. So I would request, Tejash, to hold on for some more time in this before we can confidently and reliably give you metrics on that.

Tejash Shah : Got it. And if I may squeeze in one more on Sabyasachi, so very good numbers. But I just wanted to, what will be the share of jewellery here? And where do you see this number settling down in

the overall Sabyasachi as a franchise?

Ashish Dikshit : So currently, it's about 25%, 30%. And I think it's a business, which is gaining traction as the confidence grows in this segment. It is a segment of one player right now. There are very few brands, if any, which operate at the price points that it operates. So the market will grow in that. Hard to say long term where it will sit because right now, accessories and apparel are growing also extremely well.

And as the business grows, they will also have traction. But -- I mean, at this point in time, it looks like the share of jewellery will continue to increase and jewellery will grow faster than the other parts of the business.

Moderator: Next question is from the line of Aditya Soman from CLSA India.

Aditya Soman : Sir, two questions. Firstly, can you just give us any sort of indication of how the brands within Madura have fared? And any reason for the differences, if any? And secondly, I mean, just on a sort of more medium-term or long-term strategy. We've seen this quarter that there's a significant amount of growth that is coming inorganically, but some of the organic growth has been subdued because of conditions and otherwise. So how would we expect the mix of inorganic versus organic, let's say, over a medium term?

Ashish Dikshit : So Aditya, the first question, we don't break down the brand-level details in public domain. So I will stay away from that. But I would give you a flavour that broadly, the performance is very similar across the segment. And as Vishak explained, the level of challenge that we had even in the premium brands, that was visible in this quarter.

The only additional point I would say, there is a geographical difference and not the brand difference, where the smaller tier towns seem to be suffering a lot more and that's consistent across brands, whether it's Lifestyle brands or Pantaloons, we've seen it consistently across. So that seems to be the bigger driver of state of the market than the individual brands in that. Coming to your question around the share of new business versus old business. As you know, Aditya, we've been on a transformational journey of building very large new platforms and potentially very, very large markets. The entire Ethnic wear strategy, sportswear category, the entry into D2C were very long-term bets that we have taken, and we have executed that strategy systematically over the last three and half, four years.

Aditya Birla Fashion and Retail Limited

February 15, 2024

Page 10 of 17

I think what you're seeing is the early signs of the outcome of that strategy, where this quarter, about 20-odd percent-plus came from the businesses that we have added to our portfolio just in last three, three and half years. And as this portfolio settles down, obviously, this will also become part of the organic business. At some point, we'll have to call this also organic as the strategy plays out.

I would say both in organic versus inorganic, the way to look at our business is the segment that we operate in. We have two retail formats at the

top end of the collective and the bottom end is

Pantaloons, which also has the layer below, which is Style Up. And we have a portfolio of brands in the Western wear segment, which is our traditional business that we have built over a longer period of time. We have added Reebok to that.

We have a portfolio of brands in Ethnic wear segment, which is a portfolio we have built with seven, eight very, very strong brands in a large market. Just added over the last three and half years, and we have portfolio of brands, which are digital D2C brands, which is under TMRW. Now these are five platforms, which is retail formats at the top and bottom and the brands in the middle, which is really the part of strategy that we have played out over the last few years. You will see as these -- each of these businesses grow.

Many of them are early stage, and therefore, the growth potential is higher because the bases are very small. But individually, each one of this is a very large market.

Aditya Soman : I think that's very clear. But I'm just trying to understand from -- and I understand that these businesses will become organic. The main sort of point of the question was whether we would be -- if you would be adding more brands or in the near-term focus is to stabilize what we've grown or built over the last two, three years, at least in, let's say, in the next two, three year period?

Ashish Dikshit : No, fair question. If that is the question, the answer to that is no. We have stated that -- I think we have laid out the strategy in where we wanted to play. And over the last three years, three and half years, we have systematically executed that strategy. I think we have come to a point where we're happy with filling all the large potential spaces, and we are not looking at any inorganic play for next near future. At this point of time, our plate is full. Our balance sheet is stretched. And I think we've got the right opportunities to play in. And you can expect, therefore, more organic businesses.

Moderator: The next question is from the line of Anurag Lodha from Axis Capital.

Anurag Lodha : Just one question. So like, what was the interest cost for Q2 and Q3, excluding the leasing ?
 Jagdish Bajaj : My effective interest rate is somewhere around 7.7%.
 Anurag Lodha : Okay. So 7.7% for both quarters?
 Jagdish Bajaj : They have gone down by 10 basis points -- 10 to 12 basis points between Q2 to Q3 because of the general interest rate environment, yes.
 Aditya Birla Fashion and Retail Limited
 February 15, 2024

Page 11 of 17

Anurag Lodha : Understood, sir. And just one more on that. Also, sir, what was the incremental impact from the TCNS acquisition that -- I mean, in Q3? Because you have taken debt and acquired. So now I guess the interest cost would reflect this as well, right?
 Jagdish Bajaj : So I said that we have borrowed around INR1,700 crores for this and that is the incremental...
 Ashish Dikshit : But Anurag, we have taken that in the middle of Q2, if you know the debt. And therefore, even during that quarter, we had at least half of that quarter, we had that impact.
 Anurag Lodha : All right. Okay. And the rate was similar at this year?
 Ashish Dikshit : Yes, it is similar.
 Anurag Lodha : Understood. And so just one more clarification. You said net debt was INR4,000 crores, right?
 Ashish Dikshit : Yes.
 Moderator: Next question is from the line of Kunal Bhatia from Dalal & Broacha. Your audio is not clear. Can you please speak through the handset?
 Kunal Bhatia : Can you hear me now?
 Moderator: Yes.
 Kunal Bhatia : Sir, I just wanted to understand in terms of this quarter, we have seen the margin was a good surprise both either we talk about Pantaloon or the Madura business. This time were there any kind of one-offs, which might not occur in the future? Because I understand that there were a few cost initiatives, which we had taken. A

t the same time, we had taken off some offers from the play. So -- is this kind of margins, what percentage would be more on a sustainable basis? If you could give some flavor on that, sir?
 Ashish Dikshit : So I think in each of the businesses have different drivers for margin improvement. As Vishak took you through, a large part of margin improvement came from discipline around which channels to play and how aggressive to be markdown management, how much discounts we are giving during festival period. So some of those who has come, it obviously has come the business had to sacrifice some growth to get that kind of margin. Is it sustainable? Yes. But would we always play the same game? No, I think we'll have to keep moderating depending on the market condition.
 This time, our judgment was that there is low elasticity of demand to some of those activities, and therefore, we went for the margin. But essentially, over a medium to long term, we will have to pursue slightly more aggressive growth as we go forward. And therefore, margin to that extent quarter-on-quarter will vary. On Pantaloons, Sangeeta did talk to you about the cost measure that business has taken. I think those are sustainable cost measures and those are done in a manner that these are not one-offs, these are not like rental rebate that we got during COVID and subsequently. These are more structural in the nature.
 Aditya Birla Fashion and Retail Limited
 February 15, 2024

Page 12 of 17

But you know we are fixed cost retail business, the largest driver of margin is revenue. And Pantaloons has the benefit of festive period in this. In good market conditions, Pantaloons has, in the past, also delivered this kind of margin. If you look at H1 of last year in FY23, Pantaloon's margin structure is very similar, each of the two quarters. So Pantaloons is correcting its cost because we see tough environment to continue.
 Will we get the benefit of scale of festive period all the quarters? No. So you will probably see margins being more related to the overall revenue at that point of time. But keeping in mind that we are facing headwinds in the market, I think that Sangeeta had laid out our structural cost steps that we have taken and we'll continue to take that. But will the margin hold? It's harder to say in Pantaloons because you would have the benefit of festive period all the time.
 Kunal Bhatia : And finally, so what was the inventory at the end of Q3?
 Ashish Dikshit : I think each of the businesses are at different level. I don't think we have any challenge on inventory being high or additional as far as the core businesses are concerned. There is always a post-festive period. There is some bit of lots of sales that a quarter like this we experienced, but that level of fluctuation get sort of digested in the regular business operations.
 Kunal Bhatia : Okay. Fair enough. And if you would share the number on that -- or it's okay .

Ashish Dikshit : I think if you can talk to Amit, post the call.

Moderator: The next question is from the line of Nisarg Vakharia from NV Alpha Fund.

Nisarg Vakharia : All my questions have been answered.

Moderator: Next question is from the line of Varun Singh from ICICI Bank.

Varun Singh : This is Varun Singh from ICICI Securities. Sir, my first question is like in the sector, we see premium price point segment sector, etcetera , to be outperforming compared to value. This is what the case recovery, etcetera , that everyone is talking about. For a few apparel companies also, we see Tier 3 cities to be maybe significantly underperforming compared to Tier 1, 2, etcetera . And given the similar kind of a context, which is a general slowdown, maybe less number of readings, if not number of wedding days in the current quarter and all those things. We see, in our case, Madura to be maybe significantly underperforming compared to Pantaloons. So of course -- in Ma

dura, I mean, I'm specifically talking about Lifestyle brands. Yes, so like what are your understanding reasoning of -- I mean, looking at these two numbers if you can share that?

Ashish Dikshit : So to a large extent, I think the phenomenon that you said continues to hold true, smaller markets, smaller towns, consumers at the lower income segments continue to suffer more than the other customers. And to that extent, your broader thesis is correct. And most of the period, if you don't go by quarter -on-quarter, if you look at the medium term, that phenomena is absolutely correct. I think on Lifestyle brand performance, Vishak explained. It seems -- it is a larger part of conscious strategy, which we are driving in that. Because longer term, a journey of Aditya Birla Fashion and Retail Limited
February 15, 2024

Page 13 of 17

premiumization would require us to manage that difference with other brands in the space. We are investing a lot in these brands. We have to build longer -term premiumization. In the medium term, on a very large base that we had last year, where I think the nine -month growth rate last year was -- nine-month growth rate was close to -- we will give you a number . But I think it is higher than 50%. The Q3 growth itself was 18%. So we're growing very rapidly on that business. And it's more an internal adjustment to the grade, but the CAGR, over a period of time will continue to remain strong. So I don't see it -- while the numbers may appear so I don't think it is in contradiction to the broader understanding of the market as you have explained.

Varun Singh : Okay. So you are saying that we should expect maybe Madura to grow at a faster rate compared to Pantaloons in the near term?

Ashish Dikshit : The challenge for Pantaloons are very different because of the distribution that they have in smaller towns, and that will remain a problem as far as that segment remains. Madura is in a very different segment, the strength of the brands are very, very different. The premium segment to that extent is less affected. But I think it's a choice on margin and growth that we are currently taking.

Varun Singh : So my second question is squarely on the choice between profit and revenue growth as we called out in the opening remark of -- I mean not participating maybe with higher intensity in the discounting, etcetera . So -- and even in case of Madura, I mean, I could clearly see the strategy to be executed well given the revenue growth in Madura brand has been much, much higher compared to maybe the own brands. .

So in this context, sir, just wanted to understand that higher EBITDA margin with a choice or like a strategic choice of opting for even if the revenue growth is relatively slow, how sustainable you think this equation could be -- I mean from a very -- if not too much medium term, I mean from the next one or two years point of view, given the competitive intensity and all those things in the background?

Ashish Dikshit : See, in the medium term, and you're talking of one or two years, growth is important for businesses. So in short term, we could take a call a quarter here, a quarter there, holding back. If the growth remains a challenging issue, we will have to get more aggressive. The method of getting aggressive is really what we need to decide. As a long -term player, which is investing in the brands, I think our primary focus will be to continue to expand distribution, invest in the brand and allow natural organic growth to play out, and we are very confident that's what we play out.

It's not an active choice that we'll continue to make in the medium term that we will not -- or we'll compromise on growth to get profitability. In short term, we have to take inventory decisions, looking at the best judgment of the market, and that's what we'll do in the short term, but medium term growth is important. Early double -digit rev

enue growth is critical and essential

part of our strategy for existing businesses. So that will remain an important priority for it. And

that, for medium term if you need to sacrifice some margin, we will do that as well.
Aditya Birla Fashion and Retail Limited
February 15, 2024

Page 14 of 17

Varun Singh : And sir, just one last question, if I may, on TCNS in the opening remarks, we made statements like we are doing -- I mean, under -- the brand under transformation, etcetera . If you can help us understand from objective lens, what are the incremental transformation things that we are doing at the brand level, maybe to turn around the brand from both growth and profitability perspective? That's my last question.

Ashish Dikshit : So first fundamental level, let me tell you that and assure you that a lot of steps the management team had already started to take as they came out of COVID and realized what needed to be done. Some of the product correction, the architecture change that needed to happen that is already on play and some -- to that extent, the brand has already started to perform well as far as the front end of the retail is concerned.

What we need to do is to combine the strength of the two companies, whether it is go-to-market, whether it is retail costs, whether it is sourcing synergies possible. And to some extent, rationalize the network like we are doing in some of our other businesses to get profitability without necessarily sort of chasing strong growth at this point of time. We need to build the business healthier first before we grow it. And I think those initiatives are focused around cost, which is network cost, synergies that are coming through.

The front end of the business, which is product improvement, design integration, getting aesthetics with the product, right, I think that is already playing out very well, and we'll have to see for the next couple of quarters whether that improvement is sustainable, but it's already beginning to take shift.

Moderator: Next question is from the line of Ashish Kanodia from Citi.

Ashish Kanodia : The first question was around the markdown management and discounting. So just wanted to understand, have you seen this as an industry phenomena as well where other players are also kind of curtailing the discounting? And on the similar line, you also said that demand was inelastic, so -- I mean, just to understand, is it more that even if there was a higher discounting, it would have not driven higher sales?

Or the other way could be that consumers who wanted to purchase because of festive wedding and all would have anyway purchased, whether it's a full price sale or discounting. So just wanted to get your sense on this one first.

Vishak Kumar : Yes. So Ashish, first, as you know, Q3 is also strong wedding quarter. And a large part of the wedding business is full price business. That is not a business where consumer wants variety, freshness, newness, innovative designs and so on . And that's the part that we had maximum focus on, right? There are other parts of business, which is with old season merchandise, liquidation, etcetera .

And that is where we scaled up because also we didn't have an inventory problem to solve for, and we didn't want to create inventory just for discounting, etcetera . The market was tight on some of the other segments, beyond the wedding segments. And to that extent, you are right that there wouldn't have been too much of elasticity with greater discounts. So you -- it was in that sense to optimize for rupee profit rather than to be able to optimize for just revenue.

Aditya Birla Fashion and Retail Limited
February 15, 2024

Page 15 of 17

Ashish Kanodia : Sure. That's helpful. And second thing, in the Pantaloons and in the slightly affordable price segment, are you seeing that the competitive intensity has kind of increased in the last, say, three , four qu

arters or so? And secondly, from a planning perspective, when you think about the next 12 to 18 months in terms of store growth and investing in branding, marketing, where do you see more focus? Is it going to be more on, say, Reebok, American Eagle and maybe Lifestyle by Pantaloons to a certain extent, maybe within Madura, Peter England takes slightly a calibrated approach. Your thoughts on that?

Ashish Dikshit : I think actually, it's a very broad question across covering multiple segments. Let me try and see if I can answer you satisfactorily. See as far as the small format, branded stores are concerned, whether it is Peter England, Louis Philippe, Van Heusen, Allen Solly, American Eagle, they're largely driven by our understanding of market opportunity, very often a franchisee who sees that opportunity in that market or a new model coming up.

And therefore, to that extent, these growths are more organic. Of course, brands like Reebok and American Eagle in very early stage. These are finding very strong traction. So they will grow at a much faster pace because there's a very large opportunity available. Distribution is very low in

these brands.

Your other question, which is slightly different. It's about the competitive intensity in the segment of Pantaloons, I would say and argue that Pantaloons has very strategically and steadily and consciously over the last three, four, five years, had chosen a path to premiumize itself, which has separated itself from some of the very competitive value play where large amount of competition has happening. The fact is you have seen how many players have come in, many more have announced entry. And yet Pantaloon's performance remains robust to the extent the economy has allowed to do that.

It's a validation of the strategy that we have chosen, which is to take Pantaloons above some of these players, and that's playing out very well for us. In the longer term, we believe that, that strategy that will actually allow us to build longer-term value and create profitable business for Pantaloons. The competitive intensity is more below that and that's where we have also got Style Up as a play. It's an early stage. We now have about 25, 30 stores. We probably would have launched about 20-odd stores this year. We will continue to expand that business.

And as our confidence grows, we'll go and expand it a little bit more aggressively. But at this point of time, that's our response in that segment. I think Pantaloons' strategy will be guided by its own performance. We had said we'll open about 30 stores this year. We'll continue to drive that. And I don't see a shift in that strategy. We look at a similar number next year as well.

Moderator: Next question is from the line of Himanshu from Dolat Capital.

Himanshu: Sir, just a couple of questions. Can you help with pre-IND AS margins for Lifestyle and Pantaloons business for either Q3 or preferably nine months FY24?

Ashish Dikshit: We don't do that because it creates confusion on that because then people will need quarter-on-quarter, then we simply -- sort of simplified the whole business by giving only post-IND AS margin. That's a consistent policy we have followed for the last two and half years.

Aditya Birla Fashion and Retail Limited

February 15, 2024

Page 16 of 17

Himanshu: Okay. And secondly, sir, we are talking about rationalizing stores in Pantaloons. So can you provide some color, like what percentage of stores are we looking to rationalize? And what kind of cost savings or it can have?

Ashish Dikshit: So it's not specific to Pantaloons. I think the comment is very similar, whether it's Lifestyle brands, Pantaloons and any of our other businesses. As the market conditions are tough, we see consumer sentiments sort of where they are today. At this point of time, we are looking at costs far more strictly. And therefore, the rationalization is something

that we are looking at across

businesses, whether it's innerwear stores, Pantaloon stores, Madura Lifestyle brand stores expansion. So that will remain same.

I think as we announced in this quarter, we have opened about eight, nine Pantaloons stores and closed three, four stores. Net seven is what we have added. And we'll continue to look at it. I think at this point of time, that seems to be the more prudent strategy. We will expand in markets where we see the opportunity, which is bigger markets, towns where the impact of slowdown is much lesser. While the smaller markets where we see fundamentally market conditions not improving, that's where the rationalization work.

Moderator: Next question is from the line of Sanket from Ambit Capital.

Sanket: Sir, can you just give guidance for store addition of Pantaloon for FY24 and FY25?

Ashish Dikshit: Sorry, there is an echo at year end. Can you just repeat the question?

Sanket: So what is the store addition guidance for Pantaloon for next two years, '24 and '25?

Ashish Dikshit: We just -- as I just said, this year, we had set close to about 30 stores. We will open 30 stores. Next year, also, we look at 25, 30 stores kind of additions. So I don't think it will be any different from what we have done this year.

Sanket: Okay. And one more question, sir, with respect to Section 43B(h) of income tax. So since we have payable days more than 100. So is there any impact for us due to these provisions?

Jagdish Bajaj: These are relating to MSME, and we are undertaking a study and we'll come back to you on that. But right now, I don't see that MSME, we have never defaulted. We are always in time to pay them.

Sanket: Okay. And what is the percentage of our trade payable from MSME?

Jagdish Bajaj: I have to really find it out and come back to you on that, yes.

Moderator: Next question is from the line of Archana Menon from Morgan Stanley.

Archana Menon: My question was actually on the demand side. Just wanted to get your sense on any early trends that you're seeing over Jan and Feb because there was a comment in the presentation of all the players starting their sales season early this time. Sir any trends, any sort of improvement that you've seen in Jan versus December?

Aditya Birla Fashion and Retail Limited

February 15, 2024

Ashish Dikshit : So Archana, I think some of the demand patterns are driven by more underlying factors. I don't see one month shift in that . So there is really my statement would remain exactly what we had said in Q2 and Q3 call that overall demand remains soft. It is particularly softer in smaller towns at lower income customer segments. And I would say that there's no difference from what we have seen before.

Archana Menon : Okay. Understood. And the other question was on the balance sheet side. So you did say that you 28 billion sort of net debt for March '24, but how are you looking debt beyond that for '25, '26?

Ashish Dikshit : I think a bit early for us to come back in it. Obviously, our plan will be to moderate that over a period of time, but the -- as you know, we have a lot of potentially large businesses from opportunity point of view. We would not swing dramatically in terms of our overall strategy on debt. We'll over a period of time, as our businesses mature , profitability improves. The debt will keep coming down. But at this point of time, I'm not in a position to give you indicative number for '25, '26.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of management, we thank all the participants for joining us. In case of any further queries, you may please get in touch with Amit Dwivedi. You may now disconnect lines. Thank you.

Call: Jun 2024

ADITYA BIRLA FASHION AND RETAIL LIMITED

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June 3, 2024

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q4 and FY 2 4 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated May 9, 2024

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 4 and FY 24 Earnings Call held on May 29, 202 4 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.abfrl.com .

Thanking you ,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

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Page 1 of 18

"Aditya Birla Fashion and Retail Limited
Q4 & Full Year FY '24 Earnings Conference Call"
May 29, 202 4

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED

MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. VISHAK KUMAR – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – LIFESTYLE BUSINESS
MRS. SANGEETA TANWANI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – PANTALOONS

Aditya Birla Fashion and Retail Limited
May 29, 2024

Page 2 of 18

Moderator : Ladies and gentlemen, good day and welcome to Fourth Quarter and Full Year Earnings Conference Call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q4 FY '24 and full year FY '24 performance followed by a question -and-answer session. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us today Mr. Ashish Dikshit, Managing Director; Mr. Jagdish Bajaj, CFO; Mr. Vishak Kumar, Director and CEO, Lifestyle Business; Mrs. Sangeeta Tanwani, Director and CEO, Pantaloon. I want to thank the management team on behalf of all the participants for taking valuable time to be with us.

I must remind you that today's discussion may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risk that the company faces. Please restrict your questions to the quarter and full yearly performance and to strategic questions only. Housekeeping questions can be dealt separately with the IR team.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj: Thank you. Good evening, and welcome to the Q4 and full year FY '24 Earnings Call of our company. Let's just start with an overview of the operating environment.

The market conditions remained largely unchanged from previous quarters with continued sluggishness in discretionary spending. The months of January and February were particularly affected primarily due to a reduction in the number of weddings and a delay in the onset of winter. These factors contributed to a notable decline in consumer spending during this period. Throughout these challenging times, where sales remained sluggish, we remained focused on prioritizing the right channels and structurally look at controlling costs by taking necessary actions to ensure the long -term financial health of the business and the strength of our distribution network.

Over the last few quarters, we have been pulling multiple strategic levers to optimize efficiency and reduce cost without compromising the quality of our operations. Our commitment to delivering exceptional products and experiences to our customers remain unwavering, and we shall continue to prioritize innovation and customer satisfaction as key drivers of our success. New businesses that is Ethnic, TMRW and Reebok drove a large part of our growth this year, pretty much in line with how we had seen the market evolving that switch, we had laid down our long -term portfolio strategy. The changing dynamics within varied categories, price points and occasions is now addressed well through a comprehensive and diverse portfolio that we have built over the last few years.

This fiscal, we announced our ethnic portfolio by acquiring TCNS to complete the gap in premium ethnic space that the portfolio had. Additionally, we run our TMRW business with a strong portfolio of digital first brands. These were key additions to make our portfolio more comprehensive in line with the long -term strategy of the company.

Aditya Birla Fashion and Retail Limited
May 29, 2024

Page 3 of 18

As you're already aware, that on April 19, 2024, the Board of ABFRL has approved the proposal of vertical demerger of Madura Fashion and Lifestyle business from ABFRL into company named Aditya Birla Lifestyle Brands Limited, which will be listed separately post the demerger. Pursuant to that, we have also reclassified our segmental reporting this quarter, and we'll continue to share the financials in a similar way till demerger becomes effective. The two proposed entities now are Aditya Birla Lifestyle Brands Limited consisting of Lifestyle brands, You

th Western Wear, Innerwear and Sportswear, while Aditya Birla Fashion and Retail Limited consists of Masstige and Value retail, Ethnic, Super Premium and Digital First Brands.

This strategic demerger of ABFRL is paving the way for the creation of two separate growth engines, each with a clear capital allocation strategy and unique path for value creation. Both

entities will focus on a specific growth areas aligned with their individual business models with a clear focus on maximizing stakeholder returns. Post demerger, ABFRL will raise fresh capital of INR2,500 crores to strengthen its balance sheet and support the growth needs of its constituent businesses.

Now I will talk about financial performance of our company for this quarter. The company delivered revenue of INR3,407 crores, a growth of 18% over same quarter last year, primarily driven by new lines of businesses. Excluding TCNS, growth was around 12%. Our standalone sales stood at INR2,852 crores, growing 8% over last year.

Both our Ethnic and D2C businesses, driven by a combination of organic growth and strategic acquisitions, more than doubled their revenue this quarter. The company achieved a consolidated EBITDA of INR377 crores with margin expansion of 300 basis points to reach 11.1% versus 8% last year, powered by profitability, enhancement measures by our large established Lifestyle and Pantaloons businesses, our standalone business EBITDA grew by 59% Y-o-Y.

Our total store network now stands at 4,664 stores, spanning 11.9 million square feet. This quarter, we have pruned our store network by closing stores mostly due to slow recovery in certain markets and changing retail landscape. For full year FY '24, company posted revenue of INR13,996 crores, reflecting growth of 13% over the same period last year. Standalone sales grew 5% over last year despite challenging market environment throughout the year.

As already mentioned, new businesses remain key drivers of our growth. Specifically, the contribution to overall sales from businesses other than Lifestyle and Pantaloons increased from approximately 16% last year to around 25% this year. EBITDA for FY '24 was INR1,703 crores with margin of 12.2%. Here too, EBITDA for standalone business led by profitability enhancement initiatives grew 10% with margin expansion expanding by 60 basis points.

Our consolidated EBITDA grew by 5% Y-o-Y, factoring TCNS losses post acquisition and investment in ethnic businesses and TMRW. For TCNS, 6-month financials were consolidated where TCNS sales was INR490 crores, EBITDA around negative INR41 crores and a PAT at loss of INR115 crores.

The company's consolidated PAT stood at loss of INR736 crores for the year. It was impacted on account of high depreciation and increased interest costs due to higher borrowing versus last Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 4 of 18

year. We reported a higher depreciation expense this fiscal year on account of TCNS consolidation, incremental amortization of new brands, which we have acquired, TCNS and TIGC and accelerated depreciation due to closure of stores.

Our net debt at consolidated level stood at INR2,862 crores, which is in line with guidance shared earlier.

I will now take you through the performance of individual businesses, starting with first ABLBL segment. This segment posted revenue of INR7,794 crores with EBITDA of INR1,276 crores in FY '24. EBITDA margin expanded 270 basis points to reach 16.4% in FY '24.

The share of emerging businesses portfolio, which was 13% in FY '23, increased to 16% in FY '24.

For Lifestyle brand, over the past few years, our brands experienced strong growth, maintaining their market leadership position to brand, category and product extensions along with nurturing new channels of growth.

As we have been guiding for the last few quarters, in a challenging demand environment, we prioritize d ou

r focus on growing profitably and hence through slew of measures such as product premiumization, markdown management and tapering down low profitability channels, lifestyle brands have been consistently working towards enhancing profitability. Focused intervention around other operating cost item is also structurally enabling the brands to move towards a more profitable model in the long run.

Revenue for the quarter was INR1,564 crores, 2% higher than last year. EBITDA stood at INR305 crores, growing 36% versus last year's led by gross margin improvement. EBITDA margin was 19.5% versus last year.

For FY '24, sales remained flat at INR6,560 crores, though it is important to note that this was cycling a large growth of 46% Y-o-Y growth last year. Despite this, led by all the profitability measures as explained before, Lifestyle brands posted highest ever EBITDA at INR1,284 crores, growing 17% Y-o-Y. Margin expanded by 300 basis points to reach 19.6% this fiscal.

Now about Youth Western Wear, which consists of American Eagle and Forever 21. American Eagle experienced another year of impressive performance as it posted its highest ever yearly sales and EBITDA. Brand in FY '24 achieved 36% revenue growth compared to last year.

American Eagle expanded its network to 65 stores and 120-plus departmental stores. Forever 21 continues to face headwinds in a challenging competitive environment but kept a razor sharp

focus on growing through a profitable mode.

Now about Reebok. The first full year of operations for Reebok with us has been very encouraging. The brand is on a path to double its revenue in the next 3, 4 years, led by rapid expansion of distribution across channels. Reebok currently is now available at 160 -plus stores and 900 -plus points of sales across departmental stores and multi -brand outlets. Reebok also significantly scaled up its e -com business, driven by deeper partnerships with all major e -com players.

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 5 of 18

Let me now speak about innerwear business. The strength in this category has sustained as the athleisure part of the market is still declining. The overall business remained flat this quarter, while the innerwear category posted a 12% growth over last year. The brand is consistently driving trade outlet additions by adding 3,000 trade outlets in the last 12 months with a total network of 35,000 trade outlets.

Now the remaining ABFRL segment. To start with, this segment posted revenue of INR6,518 crores with EBITDA of INR460 crores in fiscal year FY '24. Margin for the segment stood at 7.1%, considering the inclusion of TCNS and investment in new businesses.

Now Pantaloon's business. Pantaloon's business continued to make concerted efforts towards addressing market challenges and strengthening its business model for the future. As the year progressed, series of interventions around improving consumer proposition, enhancing product value equation and driving efficiencies in back -end operations led to improvement in sales and margins. Business intends to keep making progress on this path going forward as well.

Pantaloon's recorded quarterly sales of INR895 crores, a growth of 10%. L2L for the quarter stood at 1%. EBITDA margin for the business grew by 270 basis points to reach 10.4%. For FY '24, revenue stood at INR4,328 crores, a growth of 5% Y -o-Y.

With the changing market landscape over the last few years, the business decided to rationalize its store network to improve the health of its distribution. This fiscal, private label mix improved by 140 basis points led by significant improvement in design aesthetics and addition to labels and categories.

Ethnic portfolio consists of designer wear brands and premium ethnic wear brands. This portfolio now has an annual revenue run rate of INR2,000 crores plus and continues to grow rapidly, led by network expansion,

same store sales growth and category extensions. This

quarter, our ethnic portfolio achieved revenue of INR474 crores as the portfolio, excluding TCNS posted a Y -o-Y growth of 51%. With TCNS portfolio revenue more than doubled.

In designer led brands, Sabyasachi grew 56% Y -o-Y in Q4, led by strong growth in jewellery segment. The brand recorded second consecutive quarter of INR150 crores plus sales. Shantanu and Nikhil posted 6% growth Y -o-Y this quarter. As a spread level, S&N grew 25% over last year. The brand continued to add its stores as its total network expanded to 21 stores.

House of Masaba recorded 86% revenue growth over last year in Q4, as the beauty business continued to grow from strength to strength. In Premium segment to start with the men's premium Ethnic Wear brand Tasva doubled its revenue over last year. What has been encouraging is that the amount of love the brand has gained in the last 2 years, mainly driven by enhanced product proposition and superior retail experience.

Jaypore grew 18% Y -o-Y this quarter as the brand expanded its network to 25 stores. TCNS revenue in Q4 stood at 79% of last year due to rationalization of its distribution with a clear focus on growing in profitable channels only. The business has continued to refine its product offering based on consumer insights and feedback. SS24 has begun on a strong mark and we are observing consistent gains across various channels.

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 6 of 18

Now the Super Premium portfolio consisting of the Collective and Mono brands delivered a solid performance in Q4 with Y -o-Y revenue growth of 16%. E -com channel for the business surpassed INR100 crores this fiscal year, continuing its strong organic growth. The total network, including Mono brands spans 39 stores for this business. For digital native brands housed under TMRW, revenue grew to 4x of last year this quarter with addition of TIGC . Business has continued to build on tech and data science capabilities and build an even more agile supply chain to create a credible moat for the portfolio.

To conclude, FY '24 presented challenges with overall consumption slowdown and factors affecting discretionary consumer spending. Hence, operating with agility, we took necessary and

stringent actions throughout the year to align our operations in line with the long-term strategy. The present apparel market remains one of the more significant segments in the discretionary consumer space with our already robust portfolio of brands spanning various categories, segments and channels. We are confident about our ability to propel both the businesses, ABFRL and ABLBL into substantial scale and size. The vast headroom for growth in the apparel space further strengthens our conviction. Our endeavours are towards ensuring that we play a meaningful role within this large space.

Thank you, and we are now open to questions.

Moderator: Thank you very much Mr. Bajaj. We will now begin the question-and-answer session. The first question is from the line of Garima from Kotak Securities.

Garima: First question is on Pantaloons. Now you seem to have taken up a network recalibration in this format in FY '24. Is this calibration done? And what is the store addition expectation going forward?

Sangeeta Tanwani: This is Sangeeta. So as Jagdish mentioned in his speech, I think the network of stores that we revisited, these are largely stores. If you recall, we told you in our previous calls that Pantaloons has been on a journey of premiumization. It's a conscious call we took about 4, 5 years back. And as is the case every year, we review stores that are either not profitable or not doing well or there is a change in terms of the market conditions. I think this year, we've taken a very bold step and a conscious step to take a call on certain stores, which don't fit our proposition.

n. And

these stores that we have closed are across the network. It's a onetime action that we have taken.

And we stay very confident of our strategy in terms of our growth for future.

And therefore, as we have mentioned before, we will continue to open stores in the future. But those stores, which are of the right size and which befit the proposition and the strategy of Pantaloons. So we will open again about 25, 30 stores this year as we have committed in the past.

Garima: So what was the gross store addition in FY '24, if you could help me with that number?

Sangeeta Tanwani: So we opened about 29 stores during the course of the year. And overall, we shut about 43 stores during the year.

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 7 of 18

Garima: Understood. That's helpful. Second question is on the value format, which is StyleUp. Any numbers you could share with us as to what is the revenue this format had in FY '24? And again, any growth plans here? And what is the initial feedback that you have for this format?

Sangeeta Tanwani: Yes, sure. So we've been working on this format for the last couple of years. We've been in the market. This year was the first full year of this format. We have about somewhere between 25, 28 stores as we close the year. These stores have been opened across 8 to 10 cities of the country. We feel confident today as we exited the financial year that we have a model which is economically viable. And this is a space that we think we will certainly invest in, in the future and continue to accelerate our growth in this segment.

Ashish Dikshit: Just to add on here, we feel now more confident having got, as Sangeeta mentioned, about 25-plus stores in limited geographies. You will see a more accelerated expansion in this format as we are beginning to get more and more comfortable with the format and its viability. The second half of this year, we'll see more accelerated expansion and perhaps an even faster one next year.

Garima: Got it. And just for understanding, this will be a part of the demerged ABFRL?

Ashish Dikshit: Yes, it will be part of the ABFRL, along with Pantaloons.

Garima: The next question that I had was really on Tasva. So of course, heartening to know that it has crossed INR100 crores in sales. What is the sort of growth trajectory here that you are looking for, I believe earlier there was the expansion plan call for very, very large store addition pipelines. Does that pipeline still exist?

Ashish Dikshit: Yes, certainly, we are very. As you know, this is the first full year of the network that we have had. It was INR100 crores with this. In the immediate short term, we look to double it in terms of revenue.

The pipeline of stores is also aligned with that. It's a long-term play in the men's Ethnic Wear segment. We feel the brand has got strong, good initial footing, the business model, the store, the consumer proposition, the product value all seems to be coming together. And therefore, I think the pipeline will obviously continue to grow. We have about 60-odd stores as we speak today, and we'll add about 30-plus stores this year and will expand further similarly.

Garima: Understood. Last question really is on timelines of full consolidation for TCNS. Where are we?

And hence, post that, what all is pending for the demerger really to happen?

Jagdish Bajaj: So Garima, we already started consolidating the results with us because it is our subsidiary. As far as merger is concerned, our merger, you know the court conveying AGM will be held on 5th of June. And another 3 months' time, we will be able to merge TCNS with us. On demerger, it

may be, as you know, we are progressing as per our timeline. We plan to complete this exercise by end of fiscal -- end of Q3 or in last quarter of FY '25.

Garima: Understood. And Jagdish, since we have you here, appreciate the financials, EBITD A, the

revenue and EBITDA breakup that you shared for ABLBL and ABFRL. Any possibility of giving us some indication of pro forma profit of these verticals also for FY '24?

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 8 of 18

Jagdish Bajaj: You mean, should I drag it to PAT?

Garima: Yes.

Jagdish Bajaj: I don't have readily available.

Moderator: Next question is from the line of Nihal Jham from Ambit Capital.

Nihal Jham: My first question was for this quarter, you mentioned about cost reduction initiatives, both across Madura as well as for Pantaloons. If you give us detail what these are? Is it mainly, say, moderation in sales and marketing spend given the muted demand outlook or are there other aspects also?

Ashish Dikshit: No. I think material part, and it's not really only specific to this quarter. And this is more a trend as we saw the demand side of the business coming down was on store expenses. You saw the rationalization network, so that reduces the fixed cost of less profitable stores or unprofitable stores.

The second part really is discounting as we saw markets where laxity to perhaps discounting would have been lower and also in line with the overall strategy that our premium brands, either Lifestyle brands or the journey of Pantaloons in premiumization. So therefore, there is gain on account of lower discounting.

The third part really is choosing the more profitable channel and focusing our energies on that, which means giving up a certain part of growth, which is a less profitable or less remunerative growth. So letting go of some of the volume and value in those channels. So these are the more important parts of choices that we made.

Nihal Jham: Another related question was, in the presentation, you mentioned about announcement of the operating model for Pantaloons. Anything specific about what that is supposed to be?

Ashish Dikshit: I think Sangeeta has talked about in first response. One part is really about what we are doing, which is premiumizing the proposition, making the stores look better, increase the level of private label share. But there are several other operational measures, which is the entire planning process, the markdown management, improved gross margin. So a series of steps, which are across the operations of the company right from design, all the way to consumer end, including the rationalization of the network. So it's a very comprehensive surface side.

Nihal Jham: Just 1 final question, I do understand in the middle of the demerger between the 2 businesses with our debt currently stands at around INR2,800 crores. Is there a possibility also giving us sense of what that number would be?

Moderator: Nihal, sorry to interrupt you. Can you speak a little louder, please?

Nihal Jham: Yes, I was just asking that I do understand that we are targeting to demerge by the end of Q3 or Q4. But is there a possibility to say, give a sense of what the blended debt could be next year.

We are currently at, say, INR2,850 crores ?

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 9 of 18

Ashish Dikshit: So I think, Nihal, as you know, the Lifestyle brands opening debt number for the first April is about INR900-odd crores. We expect that to come down during the course of this year and with the profitability -- shape of the profitability of that business, that is pretty much under -- pretty much under the sort of manageable levels. As far as the ABFRL, which is the demerged entity is concerned, we have mentioned that we'll start with a debt of about INR1,951 crores, and we'll raise capital, and therefore, we expect to be net positive at the end of this year or thereabouts, depending on how the year goes. But that's really the intention at this point of time, yes.

Nihal Jham: And final thing, is any growth aspects on either of these businesses separately that you are targeting?

Moderator: S

orry, Nihal, what are you saying?

Ashish Dikshit: Nihal, you'll have to speak louder, please.

Nihal Jham: Very, very sorry about that. I was just asking, is there any growth targets for the two businesses also that you want to separately lay out?

Ashish Dikshit: No, I think I don't want to comment on 1 quarter, 1 year growth. You know the growth trajectories of these businesses. Lifestyle, the brand company, not just has the four mega Lifestyle brands, it also has growth engines in Reebok, the Innerwear as well as American Eagle, Forever 21 segment.

The demerged entity has multiple growth levers. We just talked about Pantaloons now getting its act together and beginning to grow back again with the renewed proposition. StyleUp is something that we are now feeling more confident about, so that will get acceleration. Most of our ethnic subsidiaries, I think the hard work has happened in terms of growing them from very small subscale to coming to a meaningful scale, and you'll see a very rapid acceleration on that.

TMRW, if again a new business where many of the acquired brands are in early stage. So you'll see very rapid growth as far as that part of the business is concerned. So really speaking, both the platforms have multiple growth drivers, and we feel very confident about medium to long-term growth stories in this.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark Institutional Equities.

Tejash Shah: First, on Pantaloons, can you elaborate on strategic reasons on why we have chosen to shut down such a large number of stores now? Is it more to respond to economic scenario that we have or it's more of a structural call that we are taking here?

The second, any common thread among the stores shutdown where there was any regional concentration or aging concentration that we have noticed. And third, any learning that from these shutdowns that we will kind of carry forward in store expansion on Pantaloons, as Ashish mentioned, that Pantaloons getting its act together. So it will be different from what we have done in the last 3 years.

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 10 of 18

Ashish Dikshit: So I think it's -- as Sangeeta has explained, we have been on a journey on Pantaloons in terms of positioning, premiumization, refreshing stores, improving retail experience, retail identity, new category launch, design aesthetics, series of measures to make it and improve the overall proposition, make it more distinctive a large number of value players that flood the market.

In line with that strategy, we started to look at our network, we found that strategically, there's dissonance versus some of the stores, either in terms of size or location or some of the markets. And that's the onetime correction that we took, which is aligning our distribution strategy with the brand proposition. And therefore, we will continue to operate with -- the shift in distribution would be perhaps our focus would be on larger towns. Sizes of our stores are more standardized. We had opened a large number of small stores and smaller towns.

Both those, we will shun at this point of time because our new strategy requires a store to be a certain size and a certain consumption gravity and therefore, it will be more focused towards larger towns and definitely not addressing the lower end of the market for which the StyleUp as a separate vehicle has got its own momentum.

Tejash Shah: Very clear. One associated question usually in the phase of recalibration, we have seen in some other retailers that we have a pressure to clear the inventory and hence, there's some margin pressure which comes along but we managed it very well in this quarter in Pantaloons margins. So is this pressure done? Or should we expect some pressure on margins in coming quarters?

Ashish Dikshit: To some extent, Tejash, the shift in strategy

has its own sort of cost and time, which you have to go through and which is what Pantaloons has been through last year. We did -- some of our explanation of lower margin last year was the fact that we had to clear some of the older inventory, which built up in our earlier plan of expansion.

All that actually put behind. I think more fundamentally, also Pantaloons business has far more refined planning process now. And as it's coming more and more in line with its proposition, we are much better placed than we were 1.5 years back.

Tejash Shah: Perfect. And last one on Tasva, was there store shutdown in Tasva, A. And B, how should we think about expansion from here on? And how many focus stores we have today or are we planning to go on that route for Tasva?

Ashish Dikshit: So we -- when we expanded Tasva in the first year, we realized that there are markets because we were looking at an all-India launch. And therefore, there were some markets where we perhaps gotten a bit too early.

While the brand performance is exceptionally strong in big cities and bigger markets, it being relatively soft when we enter the small markets too early. And therefore, a part of that was correcting so that we didn't want to carry some of the burden of smaller markets. And therefore, some of the store expansion has happened either in outskirts or smaller markets that we put at center too early.

At this stage, we would continue to focus on our own stores because we want to build a very

network. We have more than 600, 700 partners, more than 2,500 stores franchisees. We don't want to pass untested, unproven models with risk to our partners too early. And therefore, every new business that we have approached for 20, 25 years, and that's what has kept our partners with us over a period of time. We don't want to hurry. There are a few franchise partners that have come in, as part of Tasva towards the end of this year. We'll continue to grow that, but that's really not our focus right now.

Moderator: Next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on the good margin execution in the quarter. First set of question is on Lifestyle Brands. Just wanted to check if you could call out the LTL growth for retail segment in Q4 and for full year FY '24?

Vishak Kumar: Devanshu, hi this is Vishak here, we were about flat, if you were to look at LTL. But what you should look at it is in light of significant discount reductions into H2, especially in Q4, where we were able to bring down discounts in fact, in retail by almost about 5 percentage points. Said earlier was to be able to drive profitable growth, full price growth, et cetera. And we also realized that we were quite all right on inventory , and we didn't see much of elasticity in discounting. So we kept that tight, and that was all of the cost reduction efforts also that we spoke about earlier. So that was broadly the story.

Devanshu Bansal: All right. And Vishak, this in elasticity is expected to continue or with more improved footfalls, we can sort of opt for more discounting, so this year views on that?

Vishak Kumar: I don't think you will have a permanent answer on this, yes. This will keep going through context, okay. And you will have to read the market closely to see what needs to be done. It will depend on inventory situation. It will also depend on the kind of merchandise that you've got seasonal merchandise, et cetera.

So we'll have to be close to market to be able to evaluate what kind of discounts. But at a broader trend, yes, more and more analytics -driven discounting, sharper discounting, et cetera, does help. Also more profitable channels, less discounting channels in your sales mix also helps.

But can I

say that this is a forever trend, no. We'll have to watch the pitch and respond accordingly.

Devanshu Bansal: And Vishak, your views on wholesale because there have been indications of moving away from less profitable channel. And this quarter also, there was some degrowth in that channel. So how should we look at the trajectory for that particular channel?

Vishak Kumar: Wholesale is a very important part of our overall mix. Department stores, multi-brand trade, extremely important part of. And sometimes in wholesale, there is also the impact of primary versus secondary. We need to consider that.

Also need to recognize that Centro is going through a rebuilding phase, and it will take them some time before they can scale up again. It was another of our large networks. So I think all of this together, but directionally, a very important part of our overall mix. We've done a strong business with department stores and with multi-brand trade, and that will continue.

Aditya Birla Fashion and Retail Limited

May 29, 2024

Ashish Dikshit: And it's a profitable channel. This is not the channel that I was mentioning when we're talking about less profit.

Devanshu Bansal: Jagdish. Last question from my end. I noticed that TCNS' working capital is closer to INR300 crores. And in the PPT, we have mentioned that overall demerged entity, it's about INR137 crores of working capital. So just wonder, which is the working capital negative for rest of the business like Pantaloons, other ethnic businesses, super premium D2C. So what's your view on that?

Jagdish Bajaj: No, I don't think it's negative. You're saying the full net working capital?

Devanshu Bansal: No, no. So for proposed demerged entity on page number 45 or 46.

Jagdish Bajaj: Understood, understood. So in demerge INR137 crores, you could say this is the only available to me. So generally when we calculate NWC, it is inventories, debtors and payables. So in the remaining company, my net working capital in Pantaloons is very low. But like TMRW also has debtors. So to that extent, I have a matching payables.

Devanshu Bansal: Okay. But still sir, this would include INR300 crores of TCNS' working capital as well, right?

Ashish Dikshit: So to that extent, my payables are more. See, as you know, we've done our business on net working capital cycle likely being a large part of our overall sort of KPI for the businesses, especially the established business. New businesses, we allow them to sort of express first, build

the format before we start to look for efficiencies.

Our Pantaloons business runs at a very low, if not zero NWC. Even Madura is single digit to nearly double digits. And therefore, both the businesses have very efficient net working capital management.

Moderator: Next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Firstly, just a clarification on Pantaloons. So we have seen a shrinkage in store footprint and LTL growth is around 1% for this quarter, but revenue growth is 10%. So this is not reconciling.

Just wanted to get your comments is it including StyleUp ? And if so, then StyleUp actually driving a large part of the growth this quarter?

Ashish Dikshit: No, no. StyleUp is too small to affect Pantaloons' numbers. See the store network reduction has happened during the course of the year. And also, there were -- this is with respect to last year.

So while this quarter may have seen store rationalization, the previous 9 months, which is Q4 of last year to Q4 of this year, there has been store addition. And therefore, this is the annualization impact of some of the stores, which didn't exist at that point of time. So this is a combination of that. Both the numbers, standalone are correct, like -to-like of 1% and total growth of 10%.

Sameer Gupta: And I didn't catch the StyleUp revenue number for FY '24. I think some participant

had asked

that. Is it available?

Ashish Dikshit: No, we have not given separate numbers for StyleUp yet.

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 13 of 18

Sameer Gupta: Okay. No worries. Secondly, sir, on the capex part. So I noticed that there is a INR750 crores capex in FY '24 on a consolidated basis and INR550 crores even on a standalone basis.

Now considering that Pantaloons have not seen a large expansion in terms of stores and rest of the business in the standalone is relatively capex light. Just wondering or can you just provide a reconciliation of this capex number? And what is the guidance for the coming year for the whole entity, as in not considering the demerger is happening. As an overall entity, what would be the capex number likely?

Jagdish Bajaj: So capex number for FY '24 is right because we are building up a new factory in ABLBL, which is under PLI scheme and few expenditure. We have -- in some expenditure, we have done for our GL store, which is under work in progress. FY '25, my own estimate is that capex should be in a range of around INR600 crores to INR650 crores in both the entities put together.

Ashish Dikshit: So there's INR120-odd crores manufacturing capex, which is a onetime thing which happened last year.

Sameer Gupta: Okay. But INR600 crores to INR650 crores is still a sizable number. Do you expect this net debt number, INR2,800 crores that you have given, to remain steady? Or do you expect this to come down?

Ashish Dikshit: So we have said in our call earlier that it will come down primarily because there is a fundraise plan towards the end of this year. And therefore, the net debt of independent two entities for Lifestyle Brand entity, it would be closer to INR600 crores, INR700 crores. And for ABFRL post equity infusion, we should possibly be neutral or net debt positive.

Sameer Gupta: And if we exclude the fundraise plan, sir, it will remain steady is what you mean, right?

Ashish Dikshit: Yes, that's right.

Moderator: Next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: My first question is with regards to the focus now on both the profitability as well as maintaining the balance sheet now, we can very well see that the working capital in the standalone balance sheet has also come down sharply. So just want to know your view in terms of the prioritizing between profitability and growth, which one we'll be choosing between the two. And in that context, what would be the margin guidance going ahead, given that is the margin that we have done in this particular year across formats, would that -- could that be considered as the bottom and then margins could go from here on?

Ashish Dikshit: So I think while we talk about ships of choices between profitability and growth, I think overall level depending on the -- we have a wide portfolio of the business. A large part of that portfolio consists of brands which are premium and by definition, you need to stand out and therefore, the level of discounting will continue to remain lower than perhaps they have experienced in past.

If that means letting go of some of the growth, I think that's a choice. We'll continue to make at least for part there. And as Vishak said, these are not things that we decide for perpetuity. I think

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 14 of 18

we'll have to respond to the market conditions, our own inventory levels. And therefore, there

are multiple factors that go into it.

But clearly, profitability is an important part of our trajectory, especially for the businesses which are sort of in stable state or large mature businesses. For smaller businesses, sometimes the growth is critical to get them to a level where they get to a self-sustaining zone. And to that extent, we'll have to let go of profitability in that.

But having said that, I think

over the last 3, 3.5, 4 years, we have been in a journey of transforming our company by expanding into segments with large addressable markets, categories where our early play was small, but we see large potential opportunity, both through organic new brand launches as well as series of inorganic acquisitions that we have done. I think 2 points I would make. One, that now we have a portfolio which is well settled. The 2 companies which through the series of corporate actions that we have already laid out will be well capitalized. Our portfolio, which doesn't need any significant new addition and therefore, focus will be on stabilization and growth of these.

I'd also say that for most new businesses, perhaps of all of them, we have bottomed out in terms of the losses that we have -- we are incurring. It doesn't mean we will not make losses in those businesses. But I think the peak losses impactfully all our businesses have -- are behind us with the exception here and there, quarter-wise, I think on an annual basis, we'll only see improved profitability and improvement in trajectory even for those businesses.

Gaurav Jogani: Thank you for the elaborate explanation on this. My next question is with regards to the Innerwear business. Given one, if you can highlight what could be the possible growth for the Innerwear segment as a whole for FY '24? And B, in terms of profitability, where are we at? Is it still EBITDA breakeven or we are making losses in this particular segment?

Ashish Dikshit: So this year, we have still not managed to break even at that level. There have been some quarters where we're positive, some quarters we're marginally negative. But this is a business which is unfazed, very strong headwinds, primarily in the athleisure part of the business.

The Innerwear segment continues to grow strong double digits, but the athleisure part is equally suffering on the other side and which makes the business a little bit more complex for the short term. I think here again, the balance is sort of coming back. Most of the decline that is happening in athleisure, hopefully will start reversing from here onwards. And Innerwear, which is anyway growing will continue to grow more rapidly.

Gaurav Jogani: For FY '24, what will be the possibility overall growth? Is it flattish on a Y-o-Y basis?

Ashish Dikshit: It's a business which should have grown in Innerwear and declined in athleisure.

Gaurav Jogani: Okay. And sir, the last question was with regards to the ROC for the Lifestyle business. I mean the ABLBL business that is. If you can guide what could be the now ROC for the business, excluding the goodwill numbers there?

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 15 of 18

Ashish Dikshit: I think I can give you a range right now, maybe a more considered response can be given later. We do believe this business over a long period of time has operated at ROC without goodwill, anything between 35%, 40% to 60%, depending on the year. And we expect that trajectory to remain at that level.

Moderator: Next question is from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia: First question is regarding the discounting. What's changed in the market in this quarter that the discounting was lower? Last quarter, we had early EOS S as well in December. Is that the reason why? Or we are seeing online channel the discounting reduced with AJIO, Flipkart, others moving towards profitability and hence lower discounting?

Ashish Dikshit: No, I think, see, I have to first start by saying our discounting choices are solely us. So you can blame us or creditors for doing more or less of it. It's not affected by -- this is a decision not taken only by us.

As far as lower discounting is concerned, remember, this is in context of same quarter last year. So it's not an isolation. It's a relative number that we're talking about. And those are the choices

that we have made at this point of time, as our inventory level was healthy, although market is still going through a tough situation, but we are better prepared for it, and therefore, we made those choices. As we go forward, we may have to reverse it at some point of time or change it for a short period, all that are tactical decisions that we take, but this is the current state of affairs.

Ankit Kedia: Sure. And sir, this year, are you looking at early EOS S in this season also? Or the inventory for the industry is healthy now and even going forward, for the season, the EOS S will be muted and discounting could be there?

Ashish Dikshit: I really can't comment on everybody else. But by and large since the overall conditions have been muted for much of last second half of last year. I would expect that there are a lot of players who have probably been sitting on higher inventory.

Now individual players take the decisions on discounting closer to it. So we'll get to closer to the middle of June on how people are responding to it. Very early to say. As far as we are concerned, we will obviously stay with the policy that we have and respond to market if the re is a competitive action, which requires us to make.

Ankit Kedia: Sure. Sir my second question is regarding Peter England versus some of the premium formats. Are you seeing lower growth in Peter England given that the lowest strata is still struggling? Or you're seeing some growth revive in Peter England while at the same time, Louis Philippe of the world, the growth is tapering at -- are you seeing pressure build up there as well and the premium is struggling now?

Vishak Kumar : Those are some of the advantages we have in our portfolio. And Peter England has a tremendous role to play in that portfolio. It creates a branded experience at sharp price points, and that is hugely valued by consumers. It's also been our beachhead into a whole lot of new markets, small towns, et cetera.

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 16 of 18

We have a format called Peter England Red, which goes right up to Tier 4 towns. It also gives us penetration into a whole lot of markets even in big cities, which might not be able to take very expensive brands but can take on a value for money brand. It's a brand which is being very strongly built around international quality. This whole Gentleman's League cricket story was a huge success. It's continued to build strength to strength.

So I'm not -- it has its own role with -- it's got a very different role to play, vis-a-vis, the other premium brands in our portfolio.

Ankit Kedia: But in this quarter or in this year, given that there was slowdown in discretionary and the bottom strata was struggling, is it fair to assume Peter England was impacted more than some of the premium brands?

Vishak Kumar: Yes and no. In the sense that some of the initiatives towards discount reduction applied as much to Peter England, and it helped to strengthen further the profitability. To some extent, small towns are more affected, and Peter England has a larger bias towards smaller towns. So to that extent, what you're saying is right as well.

Ankit Kedia: Sure. My last question is regarding trade payables. Now there's INR4,000 crores of trade payables. While I understand at the portfolio level, you guys look at net working capital, but this is indirect debt, right? Industry works in 45 days to 55 days, and then there is bill discounting, which you guys do, given that there is the cash flow generation over the next 3 years in Lifestyle and even the Pantaloon business will be net debt positive next year after the fundraise. Do you think it's prudent to have gross margin expansion instead of 2% paying to gross margins when slowly, slowly reverse the trade payables, which we have built over the last 3 years?

Ashish Dikshit : No. Fundamentally, I think you should un

derstand why we have this. As you know, retail industry, you have increasingly most of our business is retail. And in retail, you keep inventory. And depending on the productivity of the place, you could have a 90-day, 120-day inventory, or you could have 150 - to 180-day inventory, depending on the state of evolution of that market. And therefore, on an average a pure-play retailer who has end-to-end sort of ownership of merchandise needs to have an inventory of that level, increasingly more so if you are a retailer. On top of it, we are, for a part of our business are also manufacturer. We also want to control quality, which means a lot of raw material inventory we keep with ourselves. If that's the state of the front end of the business, it is structurally therefore prudent for us to balance our front-end inventory and match it with our back-end payable. It is precisely for this reason that we have done this thing. We have done it over 6, 7 years. It's a consistent policy. It's something which has stood us over a long period of time. It's something that everybody understands, and its rationale is not really to take gross margin or leave gross margin, etcetera. It's really to balance the front-end inventory with the back-end payables. So that business is relatively lower net working capital and a growth doesn't require more capital.

Because remember, we are talking of a business where we still believe while this year, we have ended with close to INR14,000 crores, we still believe as a company, we are very early stage of exploiting the opportunity that this country offers to an apparel -- fashion apparel play.

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 17 of 18

Therefore, for a long-term large growth runway available to us is the most sustainable model that we've carefully built and practiced over 7, 8 years. It's not happened in one shot.

Moderator: Next question is from the line of Aditya Soman from CLSA India. The line for the participant

dropped . We move to the next participant. Next question is from the line of Rajit Aggarwal from Atharva Investment Managers.

Rajit Aggarwal : I had a question regarding an announcement, which appeared in some of the news articles, that the group plans to invest INR5,000 crores on the jewellery business. So is that correct? And if that investment is going to come into ABFRL demerged entity? And so if you can throw more light as to the time span and the source of funding, et cetera.

Ashish Dikshit : No. If you read that news announcement, you would know it has nothing to do with ABFRL, any of the two entities that we're talking about. It's a separate group investment, which has nothing to do with the listed combined form ABFRL nor with any of the two entities which are proposed. It's outside this business.

Rajit Aggarwal : So it could be a competitor to Sabyasachi jewellery vertical?

Ashish Dikshit: That's for you to decide. This is a separate group business.

Rajit Aggarwal : Regarding the Digital First Brands , so what's the strategy going forward? Are they just digital first? Or are they Digital only brands? Are they going to be on the shelves of some of the stores?

Or are they still continue -- will continue to be only digitally sold?

Ashish Dikshit: So I think as the name says, they're Digital First . It doesn't mean they're digital -only See, the reason to have this portfolio and curated separately is basically to build on 3 large trends that we are noticing.

One is a whole generation of new young consumers millennial walking into the consumption space. And their requirements, their pace, the habits, the channel choices are very, very different.

Second, and partly arising from that is the fact that they're increasingly digitally native and therefore, their search, their engagement and their interactions with the brand is Digital First .

Having said that, the fulfilment

of these brands, as you have seen over a period of time, will mix

-- will move to a more mixed model, which is omnichannel. You shop somewhere, you search somewhere, deliver -- get it delivered somewhere else. So you go shop offline but search online.

So these brands will have to play this. But the starting position is Digital First .

And their target customers are much younger than the target consumers of our brands. What is common is the fact that these are fundamentally fashion brands, exactly the kind that we have built over a period of time, and that will remain our focus.

Rajit Aggarwal : And if I may add a very quick question. Given that the demerged entities will have -- will still have businesses targeting different customer segments, would you rule out any further demerger going forward?

Aditya Birla Fashion and Retail Limited

May 29, 2024

Page 18 of 18

Ashish Dikshit: I think at this point of time, it may be too early even to respond to that. We just got into a shape where many of these businesses, whether it's Pantaloons and StyleUp , which is in our mind, very early stage of what is possible.

Ethnic businesses, which have just got together, TMRW which is in first year, I think our focus right now is to support these businesses to get to their steady state or next level of scale and size and more importantly, profitability that we want to get out of them. Therefore, there is no such plan at this point in time.

Moderator: Ladies and gentlemen, on behalf of management, we thank all the participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines. Thank you.

Call: Aug 2024

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August 13, 2024

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q1 FY 2 5 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;
2. Our intimation dated July 30, 202 4

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 1 FY 25 Earnings Call held on August 7, 202 4 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e., www.abfrl.com .

Thanking you ,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

E

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED
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Aditya Birla Fashion and Retail Limited
August 07, 2024

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to the First Quarter Earnings Conference Call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q1 FY '25 performance followed by a question -and-answer session. We have with us today Mr. Ashish Dikshit, Managing Director; Mr. Jagdish Bajaj, CFO; Mr. Vishak Kumar, Director and CEO, Lifestyle Business; and Mrs. Sangeeta Tanwani, Director and CEO, Pantaloons.

I want to thank the management team on behalf of all participants for taking valuable time to be with us. I must remind you that today's discussion may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter and full yearly performance and to strategic questions only. Housekeeping questions can be dealt separately with the IR team.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj: Thank you. Good evening, and welcome to the quarter 1 FY '25 earnings call of our company.

As we look back at the first quarter of this fiscal, the overall consumption environment has remained weak. The apparel market, in particular, was further impacted by a subdued wedding season, prolonged heat wave, all of which have contributed to reduced consumer activities. Despite these challenges, our focus has remained on consistently improving profitability. We have prioritized aligning our channel strategies, refining our overall cost model and improving the health of our distribution network.

These efforts have enabled us to navigate through the tough demand landscape effectively and profitably. This quarter saw growth primarily driven by our newer businesses, which are built around emerging fashion segments. These new businesses are proving to be vital in sustaining our momentum while setting up multiple growth platforms for the future. Before I talk about financial performance, I would like to share the status of both merger and demerger corporate actions which we announced.

The amalgamation of TCNS with ABFRL is on track as the honourable NCLT has approved the merger. We are awaiting the court order and then we will work towards making this scheme effective. For demerger, we have filed the application with the stock exchanges and hopefully we'll be able to complete it within the timeline indicated earlier, that is by end of fiscal year '25. Now I'll talk about financial performance of our company for Q1 FY '25. Our company delivered revenue of INR3,428 crores in this quarter, reflecting a growth of 7% over last year. The demerged ABFRL grew 26% Y-o-Y this quarter. Both our ethnic and digital -first portfolio together more than doubled their revenues led by organic as well as inorganic growth. Company achieved consolidated EBITDA of INR406 crores with 11.8% margin. EBITDA increased 15% year-on-year in absolute terms. Both our established businesses, that is Lifestyle and Pantaloons witnessed margin expansion led by gross margin improvement and effective cost control measures. Our new businesses have continued to see robust revenue growth with improved profitability. Company's consolidated PAT was negative INR215 crores, majorly on account of continued investment in TMRW and ethnic businesses.

Aditya Birla Fashion and Retail Limited
August 07, 2024

Page 3 of 19

I will now take you through the performance of individual businesses, starting with the first proposed ABLBL segment. The segment posted revenue of INR1,799 crores, with EBITDA of INR283 crores in Q1. The EBITDA margin expanded 200 basis points to reach 15.7%.

First, with Lifestyle Brands, this quarter's growth was primarily impacted by weak wedding season. Despite the pr

olonged weak demand environment, the business has continued to deliver strong profitability. Quarter revenue for the brand stood at INR1,482 crores. EBITDA margin

expanded by 50 basis points to reach 18.8%, led by sustained cost optimization and better discount control.

Second, the emerging business portfolio within ABLBL comprising of Youth Western wear, Innerwear and Athleisure and Sportswear segment posted 5% growth at an overall level with significant margin expansion. American Eagle posted 35% Y-o-Y growth led by strong distribution expansion. Reebok following a successful first year with ABFRL maintained its trajectory of profitable growth year-on-year. The brand is consistently launching new products while expanding its distribution across channels.

Now Innerwear business, the varied performance of the Innerwear and Athleisure continued with Innerwear posting growth while Athleisure is still degrowing, albeit with some sign of recovery. The brand continued to drive distribution while investing behind consumer salience and engagement collaborations on social media, other digital channels, etcetera. Currently, the brand is available at over 35,000 trade outlets and runs over more than 100 EBOs.

Now the remaining ABFRL. This segment posted revenue of INR1,709 crores with EBITDA of INR118 crores in Q1 FY '25. The like-to-like margin expanded by 200 basis points. However, with inclusion of TCNS into this year at reported level led by TCNS losses and investment into newer segments, the EBITDA for the segment stood at 6.9%.

Now let me explain Pantaloon business. Pantaloon's revenue grew by 5% Y-o-Y to INR1,100 crores. Retail's like-to-like growth for the quarter was 2%. EBITDA margin expanded by 470 basis points to reach 17.6% led by markdown management and cost control measures. Through a combination of strategic initiatives, Pantaloon has been focusing on enhancing its consumer proposition through improved product offerings and better retail experience. Initiatives around merchandise planning, product value announcement, tight inventory management and improved consumer outreach is helping the format grow with healthy KPIs all across, improved gross margins, better operating margins and efficient inventory turns. Going forward, the business intends to continue building on this successful approach.

Coming to our Ethnic portfolio. Overall portfolio posted sales of INR350 crores with the inclusion of TCNS. At this scale on a run rate basis, it is not just the largest branded ethnic portfolio in the country, but also the most diverse one with designer-led brands on one side and premium ethnic wear on the other side. Designer-led brands include Sabyasachi, Shantanu and Nikhil, and House of Masaba. Despite a lean wedding calendar, the portfolio grew 4% Y-o-Y. Sabyasachi delivered another quarter of strong performance with 5% L2L. House of Masaba revenue was up 75% Y-o-Y with Beauty segment growing to 6x of last year.

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 4 of 19

Premium ethnic wear brands include Tasva, Jaypore, and TCNS brands. TCNS revenue stood at INR206 crores, 84% of last year, mainly on account of network rationalization, led by a focused ongoing transformation program within the business, the business has begun to show promising results.

Brands have seen an increased market share in top departmental stores and also posted a retail L2L of 5% this quarter. Tasva sales were impacted this quarter due to a reduced number of wedding days versus last year. However, with the superior product offerings and high-quality store experience, Tasva is well positioned for a strong performance in the upcoming wedding and festive season.

Coming to the Luxury Retail segment. Delivered another quarter of strong performance with Y-o-Y revenue growth of 18%. E-com channel continued its organic growth growing 31% versus last year.

Finally, TMRW. TMRW portfolio grew to 2x of last year as the brands continued to benefit from operational and business model announcements provided by the center of excellence. TMRW expanded its portfolio with minority investment in Wrogn. The portfolio now consists of both large prominent category-leading brands, along with mid-size emerging brands in high-growth space.

To conclude, despite challenging conditions this quarter, our strong portfolio of brands has demonstrated remarkable resilience as in previous quarters, reading the situation, we have kept a sharp focus on our profitability through this period while leveraging growth opportunities that came through. We took this time to make improvement in our model in the current context, corrected cost, improved the health of our distribution andamped up focus on parts that face tailwinds.

As we look ahead, we anticipate an improved demand environment during the upcoming wedding and festive seasons that will hold us in a much stronger position to capture the opportunity in the market.

We are open to questions now, please.

Moderator: The first question is from the line of Nihal Mahesh Jham from Ambit. Please go ahead.

Nihal Mahesh Jham: The first question is on Lifestyle brand. If you could just give the ballpark SSG for this quarter? And also what would be the approximate salience for all the wedding categories? Asking the same because I do believe we've been targeting to casualize the brands and if that would have had an impact in terms of moderating the impact of the lower revenue.

Vishak Kumar: First question, low -single -digit negative, okay, for the quarter. Primarily impacted by wedding days. While definitely our suits and blazers business and categories which are more impacted by weddings, had that impact more. But overall itself consumption o ccasions had reduced. So we see that this time, the calendar we've been dealt with is very strongly loaded towards the second half of the year. So I think we'll have to just play it out with the calendar that way.

Aditya Birla Fashion and Retail Limited
August 07, 2024

Page 5 of 19

Nihal Mahesh Jham: The related question th ere also was that Pantaloons have delivered a positive SSG. So the difference obviously is because of the wedding dates you're saying. And also with Pantaloons as you're highlighting about certain initiatives just if you could mention what are those becaus e despite us reducing the discounting, we've managed to see a positive NPL. So what have been the drivers to achieving that?

Ashish Dikshit: So Nihal, this question is regarding Pantaloons or this question is in reference of Lifestyle Brands. Not clear.

Nihal Mahesh Jham: It's regarding Pantaloons but just the divergence also, if you could just highlight that the performance of Lifestyle is maybe because of the wedding days or there is something more that you may want to highlight?

Ashish Dikshit: So I thin k as Vishak explained, Nihal, the larger phenomenon in the market is that the premium brands are particularly bought for special locations, wedding being a very large part of it, but all other special occasions. This quarter being particularly slow either on festivals or in weddings, the premium brand demand has suffered more on a like -to-like basis as well in absolute terms. The share is highest for categories and brands, which cater to those segments, so highest for pure wedding wear brands, in our portf olio/designer brands, then relatively high for menswear brands, where suits, high -end shirts, etcetera, have a large share. And to that extent, slightly lower at the more regular occasions, which large part of Pantaloons caters to.

Nihal Mahesh Jham: Got i t. And just on Pantaloons, the comment about despite reducing discounting we managed the positive like -for-like?

Ashish Dikshit: Sorry, Nihal, can you ask that question again? I'll ask San

geeta to respond to you.

Moderator: Nihal, sorry to interrupt, but we request you to please repeat the question. Your line sounds muffled.

Nihal Mahesh Jham: Sorry, I was just saying, despite reducing the discounting in Pantaloons, we managed the positive like-for-like. So what are the initiatives which hel ped achieve that?

Sangeeta Tanwani: Yes, Nihal, this is Sangeeta. So I think it's a question of us staying the course in terms of our strategy that we have talked about in a consistent manner in the last call as well. I think the fact that we have chosen to go the premiumization way and inc rease the fashion quotient and design aesthetics of our merchandise. The better planning processes that we have put in place. I think execution of that strategy as we have seen it come to life.

And a very, very strong focus on ensuring in -store execution of the great merchandise that we are making. Staying the course on strategy, both on premiumization, making the stores look good, improving the product and improved planning processes, which has also, by the way, resulted in reduced markdown, helping us in optimizing the markdown and improving our sell -throughs as well on the merchandise. I think it's a combination of all of that that's helped us drive our growth.

Aditya Birla Fashion and Retail Limited
August 07, 2024

Page 6 of 19

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital. Please go ah ead.

Gaurav Jogani: Sir, congratulations on a great set of operational performance. Sir, my first question again is with regards to the Pantaloons margins here. The Pantaloons margins have seen a sharp improvement despite not seeing a sharp improvement in t he SSSG or even the revenue per square feet. So how should we look at it? Is it largely rationalization of costs that we have seen? Or is it also because of the closure of the loss -making stores that has helped in this? If you can articulate what has drive n these margins? And how sustainable these margins are going ahead?

Ashish Dikshit: So as Sangeeta mentioned, the primary drivers are superior execution on merchandising side. See cost rationalization gives you a little bit of base correction which has hap pened over the years and particularly some stores closed in Q4. But if I were to point out, that's a marginal

improvement. The bigger improvement in Pantaloons has happened through gross margin enhancement, through better quality product, better intake margin, superior inventory management leading to lower markdown and discounting and all this happening and increasing the share of private label.

Gaurav Jogani: Sure. So sir, the private label share has now increased to around 66%. What has led to this? And is it a conscious strategy going ahead that we would want to keep the share of the private label higher and in fact, increase this from these current levels as well?

Sangeeta Tanwani: So, Gaurav, we've consistently been working at improving our product. We used to be a couple of years back at about 61%, 62%, and we have continuously invested in improving our product.

And obviously, we'd like to give our customers relevant assortment where appropriate, depending on the town class that we are in. If you look at the share, as we've given you, of private label plus the ABFRL brands, that totally comes to about 76%, 77%.

And I think we'll continue to strive to improve that further by a couple of percentage points. We offer our customers a wide range of products in private label across all categories. Equally, we have a representation of external brands to ensure that we cover all the occasions. So I think we are on this journey. We probably have a little bit more opportunity to further improve our private label share, but that's dependent on the assortment that we have for every single store.

Gaurav Jogani: Sure. And sir, my second question is with regards to the overall -- the

consolidated losses. So if

you look at it, the consolidated losses actually have increased on a Q-o-Q basis as well. However, as standalone losses have reduced down considerably. So that says that the losses actually in some part of the business has increased. So if you can articulate whether the losses have increased more in the TCNS part of the business? Or is it more the ethnic or the TMRW piece, which is contributing to these incremental losses?

Ashish Dikshit: So the losses have increased primarily due to addition of TCNS, which was not part of the company in quarter 1 last year. So on a like-to-like basis, that is what has driven. That has increased -- and that's a phenomenon that has happened in the last 2 quarters. As far as TCNS is concerned, I think most of the big deep correction that we are doing in that business, is mostly behind us, maybe a quarter more or something. It's a business which in the second half of the year, we'll definitely see a much better and positive bottom line apart from an improved traction

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 7 of 19

in top line, some of the early signals of the business performance has sort of corrected, started to show that sign.

There is obviously small -- there's another slightly increased set of losses in TMRW compared to same year same time last year. So if you were to attribute the increased losses, it's come more from TCNS, most of it and a small part from increasing losses on TMRW.

Gaurav Jogani: Sir, actually, I was more referring to the quarter-on-quarter because in Q4 also, we had TCNS in the base. So from Q4 to Q1 also, the losses have actually increased by INR50 crores -- odd, on a sequential basis, that is. So my question was more with regards to the sequential loss increase?

Ashish Dikshit: There also, I think TCNS remains a major part of it. The losses -- all businesses -- TMRW losses were also this quarter higher compared to last quarter and TCNS losses are also higher.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sir, congrats on a good margin execution in Q1. Sir, I just wanted to catch your thoughts on demand trends in ongoing quarter. As PPT mentions, there is a pickup in value retailing. And if I remember correctly, base is also supportive due to shift of Pujo plus there was extended Shravan period last time around. There are some incremental wedding days in Q2 also. So what's your thought on the ongoing quarter? So the commentary mentions H2 should be great. But any color here?

Ashish Dikshit: We have been very careful in stating that H2 will be better than significant improvement. You have rightly pointed out some of the occasions for which Q2 has some factors of improvement over Q1, but most of them is happening towards the tail end of that quarter. So I still believe that the greater shift in momentum will happen towards the second half of the year.

Devanshu Bansal: Got it. And sir, we do have some B2B part of the business, right? So for direct retailing, I understand the later part should help, but any initial signs you would like to highlight from that perspective?

Vishak Kumar: Yes. Devanshu, as far as B2B is concerned, you're right. So a lot of Pujo uptick and Onam uptick, etcetera, would happen in Q2. Of course, that is vis-a-vis Q1, but you'll also have to compare it with the base of Q2 last year. But yes, there will be that impact in Q2. The general optimism is there with department stores with various B2B partners. Optimism is there that H2 would be a good H2. That's the broad tenet with which we are operating.

Devanshu Bansal: And sir, there is a comment for TCNS that over the next 9 months, we should largely be EBITDA breakeven in FY '25. I guess most of the losses in this ethnic segment were due to this particular

entity. So overall, for next 9 months,

at least, can we expect a positive EBITDA from Ethnic?

Ashish Dikshit: So I think there are multiple moving parts there. TCNS is one element, which obviously, we are fixing as we go along. We will have continued investment -- and I think this year losses in Tasva. So while TCNS will fully turn around, but because Tasva we have a more ambitious game plan, I think our investment will continue there.

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 8 of 19

To some extent, these will be offset by profits that we expect to make in the designer labels, which are the partnerships that we have. But the exact balance we can't commit to a number right now. I think TCNS trajectory is visible. Tasva it's clear that we'll have to invest at least for another year in this form and a part of it will be offset by designers.

Devanshu Bansal: Got it. Sir, one last small bookkeeping question for Jagdish. So Pantaloons last time around when we reported in the PPT was about INR1,030 -odd crores. This time around, it is closer to - that same number has gone up to INR1,051 crores. There is some small reclassification. So if you could call out on that INR1,030 crores, what is the comparable number this time around in Q1 FY '25?

Jagdish Bajaj: That is the INR1,100 crores. INR20 crores because of this year -end adjustment, etcetera, something to do with E-commerce sales we have to adjust it. So we have done it.

Devanshu Bansal: It was not because of Style Up getting included in this, Jagdish?

Jagdish Bajaj: Style Up is part of that, but we have said that we have -- Style Up is now part of this number.

Devanshu Bansal: Pantaloons?

Jagdish Bajaj: I don't -- yes, this is -- we track it together. So I don't have a separate number for Style Up for last quarter.

Devanshu Bansal: Okay. And for this particular year, any sense as in what is the number out of this INR1,100 crores, how much has Style Up contributed?

Ashish Dikshit: It's too small right now. We don't want to start separating -- calculating separately, which as the business grows, perhaps next year, we'll start separating those numbers.

Moderator: The next question comes from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Firstly, on Pantaloons, the company hasn't added any store this quarter on a net basis. So would you want to revise your guidance if any for store additions? What do you expect in FY '25, given that at least on the margin front, there has been a turnaround in this brand and format?

Sangeeta Tanwani: So Sameer, I think we stay with what we had said earlier that we will open around -- anywhere around 25 stores, give or take 2 or 3 on either side. And the fact we opened 1 store and we shut 1 store, which is a part of the normal closures. A lot of our stores are a little back-ended coming in quarter 3 and quarter 4. So you will see an acceleration in terms of store opening as we move forward.

Sameer Gupta: Got it. And there are no more store closures, which are loss-making or not working kind of remaining right now? I mean part of course -- normal course of the business might continue.

Sangeeta Tanwani: Normal course of the business. Yes, that's right.

Sameer Gupta: Great. Sir, secondly, on the Innerwear business. Now American Eagle has grown 35%. Reebok you're saying has grown, and I'm assuming that is also a healthily growing business. So -- and

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 9 of 19

Innerwear Inside has also grown. So it means overall 5% growth for that segment, that would mean Athleisure must have declined very drastically. So just trying to understand what exactly is happening in this part of the business?

Ashish Dikshit: So there is Forever 21, which we are sort of consistently downsizing. So that factor is built into it, which is not visible to you, apart from everything else that

you mentioned. And Athleisure

yes continues to -- I think that's a more longer-term phenomenon. It's a base correction happening across the industry. Post COVID, there was a resurgence in the market, multiple brands, retail formats, from sportswear to casual brands to department store private labels. Almost everybody has created large range around it. Consumer also created and the demand equations were also higher.

As recovery has happened, I think that base is settling down. To my mind, I think the worst is behind us even in Athleisure. As we go forward, we'll start to see marginal increase happening on that. But that's been a phenomenon for the last couple of quarters.

Sameer Gupta: And do you see this correcting from 2Q onwards, you are saying?

Ashish Dikshit: I don't think it's, something we can predict with that degree of definitiveness. But the base correction has been happening almost for 1 year, 1.5 years because there was a very sharp increase in this category, which led to increased inventory at company levels, at distribution levels, at retail level and I would even argue at consumer level. And that's what it's correcting actually. And therefore, it's taking longer time to stabilize.

Sameer Gupta: Got it, sir. Final last question, just an update on the net debt number for the company ending 1Q?

Jagdish Bajaj: In 3 months, you want me to update. Okay, INR3,500 crores approximately.

Sameer Gupta: And you expect this number for FY '25 to be at?

Jagdish Bajaj: Let us work on it because see as we announced that post demerger, we have an equity raise plan.

Moderator: The next question is from the line of Rahul Jain from PhillipCapital. Please go ahead.

Rahul Jain: My first question is regarding the Bangladesh unrest. Is there any disruption in our supply chain or sourcing on that front?

Ashish Dikshit: No, it's not material. It's between 2% to 3% of our sourcing comes from there on an overall basis. So there might be individual business, some segment, a little bit of it. But at overall level, it's not significant for us.

Rahul Jain: Understood. Sir, my second question is regarding Pantaloons, EOSS period, is this a -- is there a change in how we -- the duration of the period, are we shortening the span of the EOSS period in Pantaloons? Or is there a tactical call taken by management this quarter?

Sangeeta Tanwani: So I think -- this is Sangeeta. So Rahul, there is no change as far as we are concerned. Last year, of course, we as a company went much later than most other large format retailers this year. And

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 10 of 19

last year and this year, there is no change in our EOSS. We have stayed consistent. And there is a little bit of EOSS impact towards the end of June and large part of the EOSS was in July, which was the same last year.

Moderator: Next question comes from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: I just wanted to ask on this negative brand publicity around Tasva for the Olympic dress that we have designed. So -- and there's a lot of chatter around that in terms of comfort, et cetera. So how do you sort of plan to deal with that?

Ashish Dikshit: I think you've seen our responses, which have been given out. This is a design which was created by Tasva Design Team, along with the Indian Olympic Association with the specific brief given by them. And the clothes were designed keeping in mind the occasion, the sensitivity of the weather that they had to -- athletes had to wear it for almost 5 to 6 hours during the opening ceremony, their comfort, and the brief was quite clear from IOA on that. And that's what we have issued to press in general, and we'll stay with that.

Moderator: We have the next question from the line of Anshuman Mohta, an individual investor. Please go ahead.

Anshuman Mohta : Yes. This is Ansh

uman Mohta here. Sir, do we expect Pantaloon division to break even post demerger, entire Pantaloon, Sabyasachi, ethnic, TMRW? As of now, Madura is funding for the losses of this division? What will happen to the division after the demerger?

Ashish Dikshit: So there are multiple businesses. I won't have definite number, which would be an indicative of future. Pantaloons is a very profitable business, multiple parts of the businesses are profitable, Sabyasachi, Tarun Tahiliani, all the designer businesses are profitable. I think the losses in Tasva will continue this year, TMRW will continue this year. TCNS, we are winding down the losses. I think first half of this year was perhaps still be making losses.

But from second half, we'll turn profitable even in TCNS. And therefore, as we go forward, the situation and the overall profitability of that division will also improve. In fact, the improvement will be much sharper there. As many businesses which are in incubation phase like Tasva or TMRW are coming into its being as we go forward. And to fund that growth, that's the reason we are raising capital -- that capital.

Anshuman Mohta : So the second question is, sir, what will be the ROE of Madura division, ABLBL, including Reebok, American Eagle, et cetera, other companies which are there in ABLBL.

Ashish Dikshit: So I think a very specific question. I'll ask Amit to reach out to you and maybe we can share that separately outside the conference. I don't have it right away right now.

Anshuman Mohta : Okay. And sir, I want to ask you a couple of things a little distinct. Sir, what is the stores which we are open or already opened? Sir, how far like for Pantaloon -- sir, specifically, I've seen sir, in some parts, in 100 -- very closer by, there are 2 stores of Pantaloon. Sir, how do we like manage the 2 stores closer by in Senapati Bapat Road for example, there's a Pantaloons store at

Aditya Birla Fashion and Retail Limited

August 07, 2024

the mall and at the road al so. This is just 1 example, not against that, but how do we operate these 2 stores so close by?

Ashish Dikshit: So I think your question is very specific to perhaps 1 location or something. That's not how it operates.

Anshuman Mohta : No, sir, not -- I'm ju st giving an example. This is -- I've seen in multiple places that we have 2 similar stores very close by. What is the plan behind -- what's the plan behind such execution of these stores?

Ashish Dikshit: No, let me explain to you. So Indian consumption ma rkets have evolved over a period of time - - with over a period of time where different markets become more prominent. We look at the potential of that market at that point of time and take a call, and that's been a consistent strategy. If it means there ar e times that stores -- old stores have to replace by more vibra nt market in the same locality.

Sometimes it's the transfer of the business happens, which don't shut the new -- old stores simply because new store is coming because the both stores as long as they're making commercial sense, we continue to keep them. So there will be a few cases, but essentially, stores are open with an eye on potential of incremental sales and revenue. And that's really how we look at store expansion.

Anshuman Mohta : Sir, just have a look...

Moderator: Sir, sorry to interrupt. We request you to please rejoin the queue. We have participants waiting for their turn. Thank you. The next question is from the line of Gopal Navadhar from SBI Life Insurance.

Gopal Navadhar: My question is on TCNS basically, post our acquisition, we have seen EBITDA losses and the company pre -COVID used to do 17%, 18% margin, before we acquired it used to be at 12%, 13%. What exactly went wrong? And are we through with the inventory write -downs o r we'll see more write -downs?

Ashish Dikshit: So Gopal, as I explained, there are 3 things that we have d

one in the company to -- after we have come into the operations. One is clearly to look at the entire sales channel mix and prune the unprofitable part s of the business, whether they are categories, the stores, or channels, which didn't make commercial economic sense and were not very profitable. The second thing we looked at the overall cost of the operations and looked at wherever the cost opportunity is and worked on that. That's a project which is undergoing. But significant opportunities we are seeing there.

But the most important thing, which was leading to the losses in the business was the high inventory business fund itself, particularly with 20 21, 2022 era in the COVID when I think there was excessive buildup of inventory of poor quality. We have, over the last 3 quarters, taken deep corrections in all these fronts, which means made network channel product choices, which are more profitable, and therefore, let go of some part of revenue. We have looked at substantial Aditya Birla Fashion and Retail Limited

August 0 7, 202 4

parts of costs and look at where the costs either through synergy operations between the other parts of the business or simply by looking at costs more closely.

And third and the mo st significantly, we have looked at old inventory, found ways of liquidating them, created more accelerated depreciation where we felt that inventory was not truly valued at the realizable prices that we think was possible, which is the step that we have t aken over the last 3 quarters.

And Gopal, I can assure you that journey is more or less over as far as the inventory correction is clear. Our organic performance has already started to show improvement for the first time after multiple quarters, TCNS as a network, which is W plus Aurelia across 500 stores delivered 5% plus like -to-like in a very tough market environment. Its position in department store has started to improve, and most of old inventory problems are behind us. So -- which is the reason we h ave gone out and talked about improved performance in the second half of this year.

Gopal Navadhar: And sir, in terms of EBO count, what is the count now? It used to be 670, 680 types.

Ashish Dikshit: Yes. I think the number is in the range of 550 or somet hing. Just around that. Closer to 600.

Gopal Navadhar: Okay. And this rationalization is also over. And inventory -- the old inventory is also over. So is it right to assume like obviously, you've guided H2 will be far better than H1. But if I may ask, like FY '26, should one assume the normalized performance of TCNS having a 65%, 67% gross margin and far better EBITDA margins?

Ashish Dikshit: So I think the gross margin, you're right, Gopal. We would get to that because old inventory is behind us, new i nventory is working well. The pricing power stays with the brand. So we expect the gross margins to the range that we had mentioned. I think EBITDA margin will be a function

of retail productivity. And that's a project that is currently on way because a lot of selling expense need to be leveraged with higher throughput and productivity. And that's the work that we are currently happening.

Hopefully by '26, that would be the next lever of growth because from the base that we have, we need significant improvement in retail productivity in this business to get back to the level of profitability that the business was before COVID.

Gopal Navadhar: Sure, sir. And sir, TMRW, how should one assess the performance? Is there any way to compare -- get a sense on like -to-like performance because you've been on the inorganic mode? So it's difficult to assess the like -to-like performance, how the older brands are doing.

Ashish Dikshit: So, fair, I think it's a fair observation, Gopal. We now have a portfolio of about 7 brands through acquisitions and investment. While some of them are 1.5 years old, some are as new as 1 month

old, which is USPL, the Wrogn business. We acquired 1 large business, which is The Indian Garage Company towards the end of last year. Bewakoof is completing a year.

I think as we go forward, 2 parts I would -- 2 points I would make. At this point in time, our acquisition engine is going to stop and take a pause for a while. Because the trajectory and the portfolio that we have built up is significant enough for us to build INR1,000 crores business

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 13 of 19

with this portfolio. Just 3 of the big brands, which is The Indian Garage, Bewakoof, and the USPL, which is currently a minority investment, those 3 will be close to INR800 crores to INR900 crores and rest of the business would be close to INR200 crores. So that's the potential of just this portfolio. So our focus right now will be to improve both the revenue growth as well as the profitability trajectory of this business.

We will continue to report quarter -on-quarter and we'll start to see that. I think individually, each brand is such a different level of trajectory and the time spent by our management has been very differential, but it will be hard to give one number to look at. I would say we should look at the overall picture and see how we are performing. Currently, it's about 100% growth rate with the revenue run rate, as I said, which is closer to INR800 crores in NSV terms. In GMV terms, it's north of INR1,000 crores, but once it gets to a substantial period of time with us, which perhaps by the end of this year, we may be able to find out common matrices, which work across brands and reflect the health of the business.

Gopal Navadhar: Sure, sir. And now that the TCNS approval are through, by when we should expect this demerger process to get complete?

Ashish Dikshit: Merger process or demerger?

Gopal Navadhar: Demerger for brand business and ABFRL.

Jagdish Bajaj: So Gopal, I'm awaiting the court order. As I spoke when I was speaking. After this, we'll go back again with the regulators and stock exchanges. Hopefully, once they approve, then it is a court procedure, which takes generally 90 to 100 days.

Ashish Dikshit: We have filed for demerger also with the stock exchanges. We are waiting for the merger process, which is a precondition for process. So now that it's 5, 7 days away for the court order to come. And after that, maybe 4 months.

Gopal Navadhar: And last bit, sir, on TMRW, we had a plan to raise capital in that business. How should one look at the timelines? Anything you have to share?

Ashish Dikshit: Gopal, again, I think, as we said, we would like to raise capital in TMRW sooner than later. We had kept this year as the timeline for it. Having said that, we also wanted to make sure that TMRW gets to a reasonable size and a portfolio which is meaningful enough for investors to come in and for it to get the right kind of value. And which is what we will wait for whatever it takes 12 months to 18 months for that to happen. Ideally would be end of this year, but first half of next year is also fine for us. Till then, therefore, our acquisitions as far as TMRW is concerned, will have to wait until the fundraise actually comes through.

Moderator: The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: And apology if I'm repeating the question because I have a patchy network, so I did not hear it - all the questions properly. So the first question is on there has been some kind of pause in store

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 14 of 19

addition Lifestyle segment over the last 12 months. So is there a focus more on SSG -driven growth? Or there is some revisit on the expansion strategic growth?

Vishak Kumar: Hi Tejash. Not having to the first question coming from you. Tejash, yes this quarter has

been a

combination of both expansion and some consolidation, particularly in some small town markets. So there were some expiring leases where the new stores which opened were in different -- not exactly same locations. So we treat that as closure and opening. And we've also been able to open slightly larger stores as we have done that. But yes, this was a quarter of consolidation, especially in smaller town markets. Bigger cities, urban mall expansion, et cetera, continues aggressively. In some small town markets, we've had to take some consolidation. Tejas Shah: Sure. And Vishak, just wanted to understand. See, 5 years or 7 years back, we used to be the pioneer in mastering this franchise model, leveraging entrepreneur capital that this country has. Now across sector in retail, we are seeing be it jewellery or be it large big-box retailing and many other subcategories that people are going franchise route. So just wanted to understand, are we finding it difficult to kind of attract more entrepreneur capital? Or is it just a choice that we have to kind of consolidate right now and then perhaps expand later?

Vishak Kumar: Yes, yes. So look, we have a fairly strong franchisee base, and they have been quite bullish about further expansion as well. So for us, it's a joint effort, along with our franchise partners of whom we have about 800, to be able to find the right locations, right opportunities to put up stores. So that is something we've been working over many, many years working with franchise partners. We make joint business plans with them, identify markets where we have to put up stores and so on. So it's an effort that we do together along with our franchise partners.

So I don't think that has changed at all. In fact, if anything, we continue to be very strongly franchisee driven. For us, franchisees bring a lot of local enterprise as well. market knowledge, understanding, nuances of merchandise, et cetera. So franchisees bring a lot of additional things to the table as far as our brand stores are concerned.

Tejas Shah: Vishak, my question was, let me rephrase it. I was just trying to understand, is it now more competition to attract new franchisees into our fold or is it the same?

Ashish Dikshit: No, no. This is Ashish, if I have to come in. I think I would separate the 2 parts of it. One is right situation in the market for us to grow and expand versus attract -- ability to attract franchisees. I think ability to attract franchisee remains completely strong because this is a proven model over 20, 25 years. There are multi-generation relationships, which we have with many of the franchisees, et cetera. So that has not changed at all.

What has changed is, as you rightly mentioned, the pace of expansion because after FY '23 burst, and a little bit of first part of '24, we haven't expanded our stores because one of the necessary long-term parts of franchisee strategy, is to ensure that we expand in a manner that it's viable and profitable to franchisees. So we don't push it at times when we don't think markets are not ready for it. We don't add stores simply because franchisees exist. We add stores where we think franchisees will make money. The returns will be good, the market conditions.

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 15 of 19

So I think it's more a reflection of a state of business in the last 12 months versus change in any manner about our ability to attract franchisees. That remains true and strong because that is proven and established over multiple years, and that -- those relationships are very strong.

Tejas Shah: Perfect. And the last one, in terms of channel saliency, we are seeing that in Lifestyle segment, wholesale channel is getting replaced by E-com in terms of saliency at least. So is this by design?

Or is it by some market demand forces we are seeing that?

Vishak Kumar: Tejash, first of

all, wholesale goes through this impact of primary versus secondary sales. So there is always a lag effect of primary to secondary. So that's fine. The -- it's not really replaced by e-commerce, something like that. What you see as others includes very strong exports performance also okay?

There is an outlet business that we have, there's an export business and there is an E-com business. So it's not only by E-com that it has been -- you see that growth number. And wholesale has the -- primarily the like-for-likes are similar to our EBO like-for-like. So it's a primary to secondary impact that you would see in the numbers.

Moderator: The next question comes from the line of Vaishnavi Mandhaniya from Anand Rathi. Please go ahead.

Vaishnavi Mandhaniya: So I have 2 questions. One is on how should we see TCNS in terms of its margin trajectory because there's been a very big difference in terms of what the company used to do historically and what it has done in the last couple of years?

Ashish Dikshit: So Vaishnavi, as I explained to an earlier question that historically in a post India team, the company used to operate in teens, high teens, which is 16%, 17%, 18%, 19% kind of margin at its peak, but I would say 15%, 16% very, very comfortably and most of the time, higher than that.

Post 2019, the margin has started to sort of drop a little bit. And for much of the COVID period, it fell quite steeply. What we have done in the last 3 quarters is taken a hard look at what's the

long-term sustainable parts of the business is, which business, which needs to be sustained. What are the corrections that are required? And how do we address that? And which is the process that's going on.

So some of what you're seeing is, I would call it, onetime, although it's happening over multiple quarters. deep correction in the business model of the company, improving their planning processes, getting rid of the old inventory, ensuring that the inventory and planning process doesn't recreate that. The team also is working on some of the -- sort of opportunities that they had identified in terms of product correction. And we expect this business to come closer to where Lifestyle brand margins are on an overall level in 12 to 18 months.

Now if it takes a couple of quarters more or less, that's something that we have to see. But that's really where it would come back to, which is high teens in terms of EBITDA margins.

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 16 of 19

Vaishnavi Mandhaniya: That was very helpful. My second question is for Vishak. In terms of the Lifestyle brands, right, for the next few years going forward, what kind of growth trajectory should we build for this? And what would be the sources of growth in terms of like the brand extensions and new store openings, et cetera? How should we see that happening?

Vishak Kumar: Okay, first things first, if you look at even our last 5-year trajectory, we've been at a double-digit CAGR, okay? And there is enough juice in this country for at least another 5 years for double-digit CAGR to continue. So we should continue aggressively on growth, on expansion. There are enough markets, enough products, categories, opportunities.

Each of our brands has its own opportunities. So in the Louis Philippe, Van Heusen, Allen Solly, Peter England segments, there are growth opportunities. In Reebok, where it still our base is still lower, there is exponential growth opportunity. American Eagle, we've already -- this quarter itself when most of our -- rest of our businesses were going through a lot of impact of weddings, et cetera. American Eagle grew at 35%. In each of our -- even Forever 21, we're trying to find greater online strong -- we are trying to reinvent that brand and see how that can grow. So there is across various formats, various brands, a lot of growth opportunities.

So specific

cally in each brand, there would be, of course, different levers for growth, different usage occasions that we will build stronger and stronger.

Moderator: The next question is from the line of Ashish Kanodia from Citi. Please go ahead.

Ashish Kanodia: So the first question is when you look at the industry and this is applicable both for whether you look at the Lifestyle business or the Pantaloons business. First, did you saw other participants being more aggressive on end of season sale vis-a-vis how ABFRL across the portfolio did?

And the second related question is if you have to really look at the freshness of the inventory, given that demand has been kind of subdued for almost 12 to 18 quarters now, I think you alluded that Pantaloons definitely have much better inventory management. So -- but if you compare it with the overall industry, do you see that industry has much older inventory kind of a situation?

Ashish Dikshit: So Ashish, I would -- we wouldn't know the details of all the players. But broadly speaking through our various businesses, now we have presence across multiple business categories, whether it's e-commerce, B2C brands, retail formats like Pantaloons, Lifestyle brands, some of the ethnic wear businesses. We have realized that one of the big problems and which takes a long time to correct and many of the businesses have gone through that is being left with large inventory at times when markets are tough.

So our approach in the last 12 months, and I think at different points of time, you've heard it from different leaders, including from me. Our approach in the last 12 months has been around improving the quality of business, enhancing the gross margin, which fundamentally means that you have to keep the inventory as low as lean as possible to have lesser risk of upscales and lower markdown. And fortunately, it's working well for us.

Across all businesses, our inventory is lower. In fact, wherever we are fixing the business also, a large part of that fix involves not just correcting for the inventory that is excess, but also

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 17 of 19

ensuring and putting in systems that you don't fall into that again. And that's resulted in a situation where we are able to operate even in times like this where the organic health of the market is not very good. We are able to operate with cleaner inventory, lower inventory, and therefore, the need for markdown is lower.

It's visibly sort of -- visibly seen in Pantaloons' performance that we mentioned earlier in the quarter, Madura brands also, despite absence of growth in the last couple of quarters have

managed to withhold the margins, primarily because the quality of inventory is superior and the level of markdown is lesser, we could and we consciously did exercise operating with lesser. At the same time, we are also making sure that the freshness remains. And therefore, our number of drops have increased, the frequency which we bring product is -- so all that is a cycle that different parts of businesses have sort of improved over the last couple of years.

Ashish Kanodia: Sure. That's helpful. The second one was on the comment on the value retail kind of beginning to witness green shoots. So I mean, is that comment more targeted toward Style Up or Peter England. I mean I just wanted to get some sense that you know...

Ashish Dikshit: It's not a comment internally. If you see in -- this thing, this is a market update. This is when we look at performance of competitors who report the results, categories which report the results, this is more a market overview, less to do with our own business.

Ashish Kanodia: But if I just kind of dig deeper into this because you have presence across the pricing pyramid. So whether under retailing, you have Style Up and Pantaloons and then maybe on the brand side, between -- from Peter England

to Allen Solly, Louis Philippe, et cetera. So when you look at within -- under your categories, do you see that the lower price points are doing much better?

Ashish Dikshit: Yes, yes, absolutely. And it's reflected in the numbers that you've seen and reported also. Style Up is still too small, but we are very excited by the traction that it's got. Pantaloons you have seen on a large scale is organic performance is looking much stronger. So to that extent, yes, it is equally represented, although the comment there was more about the market.

Ashish Kanodia: Sure, Ashish. And just the last one. I think across most of the retail categories, whether it's apparel, footwear, et cetera, slowdown has been persisting for quite some time. So from a real estate, talent perspective, is it becoming much better where either the real estate deals are at a better rate or maybe at least site availabilities are better. Do you see these things being an advantage given how the demand has trended out. So are you seeing any advantage on the real estate or talent side?

Vishak Kumar: Ashish, hard to answer directly, but simple answer is, yes, real estate does become slightly easier. I wouldn't say it's become dramatically easier. But yes, there are opportunities in real estate. But then you have to assess it against market realities. So talent, I think, is a different ball game altogether. But I would say, especially in some of the markets relatively from a peak 2 years back, some softening is there in real estate.

Moderator: The next question comes from the line of Tanmay Gupta from Motilal Oswal. Please go ahead.
Aditya Birla Fashion and Retail Limited
August 07, 2024

Page 18 of 19

Tanmay Gupta: Sir, I have 2 questions. One on Pantaloons that despite we are seeing improvement in SSSG, our store addition target is a little lower than what we used to do before. So are we -- will increase the store addition in Pantaloons?

And secondly, on the store productivity, what are the measures we are taking to improve the store productivity as we can see that -- if you compare it with Westside or somewhere else, productivity is lower. So how should we address that?

And another is on the rebook. Currently, I think it's around INR400 crores of revenue business. Sir, what kind of scale we should see the business in the next 2 to 3 years?

Sangeeta Tanwani: So Tanmay, this is Sangeeta. I'll first answer your question on store expansion. I think there is no shift as such in terms of the Pantaloons store expansion strategy. We had called out 20, 25 stores. We maintain that. I think the 1 small change that we had called out last time in the call was the fact that, yes, Pantaloons will focus more in terms of Metro Tier 1, Tier 2 towns. We have a second format in Style Up as well. And with both these formats, we'll address 2 very discrete consumer segments. So there is no change in our store expansion strategy.

As I answered another question before. Yes, in the first quarter, we've not opened too many stores. Our expansion plan is a little bit backended this year, and we will continue to pursue that. As far as store productivity is concerned, I think all the actions that we talked about and we are seeing that reflect in the results, whether it is the bit in terms of improving our product design aesthetics, whether it's improving the look of our stores in terms of our retail identity, overall premiumizing, very strong focus on execution by way of improved planning, which has resulted both in terms of improved markdown management and increase in our private label share.

I think all of these actions are directed to us improving our productivity. And I think we are on a journey. We feel very confident of this direction, and we are seeing directional improvement, and we'll continue to pursue this path.

Vishak Kumar: Tanmay, on your question on Reebok. See, as you know, on Reebok, we have catching up to do.

So there is a lot of headroom for growth. There are at least 3 brands in the business, which are INR1,500 crores plus in the segment. So we have catching up to do and we are doing that. We've

built a strong team. We've got a lot of product creation capabilities, which we have established, sourcing capabilities, retail network, there's still only about 170 stores, big opportunity for -- even if you are to bring them to the level of our other power brands to be able to get to that kind of network.

So I think heavy growth times, hopefully on Reebok in the years ahead, Tanmay.

Tanmay Gupta: In Reebok, most of the expansion growth will be coming from the retail expansion or through the distribution or MBOs?

Vishak Kumar: Yes, there is a lot of retail expansion, but we also have a lot of partnered multi-brand expansion as well. So I think there is room for growth across the board, including on e-commerce, Tanmay.

Aditya Birla Fashion and Retail Limited

August 07, 2024

Page 19 of 19

Tanmay Gupta: Okay. And sir, if you can clarify one thing in Reebok out of 170 stores, what is the average productivity per store, if you can answer that?

Vishak Kumar: Hard to say that Tanmay. Because we have different size, store formats, et cetera, partner, et cetera. So maybe we can deal with that separately with you. But all I want to tell you here is that there is a lot of space for growth here in this, and we have catching up to do.

Tanmay Gupta: Understood. And Sangeeta in the store expansion, that you say, 20, 25 stores. My question was that if the productivity is improving, we are seeing an uptick in the value segment. Earlier, we used to add 40, 45 stores, I think, in Pantaloon's. Should we target the same going forward?

Sangeeta Tanwani: Yes. So as I mentioned earlier, I think for this year, our target is 20 to 25 stores. And that's in line with where we see the potential for expansion. And every year, we continue to reassess that and open in line with the potential that we see for the brand.

Moderator: Thank you very much. We will take that as a last question for today, ladies and gentlemen. On behalf of the management, we thank all participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines. Thank you.

Call: Nov 2024

ADITYA BIRLA FASHION AND RETAIL LIMITED

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November 18, 2024

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q2 FY 25 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated October 30, 2024

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 2 FY 25 Earnings Call held on November 8, 2024 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e., www.abfrl.com .

Thanking you ,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

E

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR ,
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER ,
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MRS. SANGEETA TANWANI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER , PANTALOONS

Aditya Birla Fashion & Retail Limited
November 08, 2024

Page 2 of 18

Moderator: Ladies and gentlemen, good day , and welcome to the Second Quarter Earnings Conference Call of Aditya Birla Fashion & Retail Limited.

The call will begin with a brief discussion by Company 's Management on the Q2 FY '25 performance , followed by a question -and-answer session.

We have with us today Mr. Ashish Dikshit – Managing Director; Mr. Jagdish Bajaj, CFO; Mr. Vishak Kumar – Director and CEO, Lifestyle Business; and Mrs. Sangeeta Tanwani – Director and CEO, Pantaloon .

I want to thank the Management Team on behalf of all the participants for taking valuable time to be with us. I must remind you that today's discussion may include certain forward -looking statements and must be viewed , therefore, in conjunction with the risk s that the Company faces . Please restrict your question for the quarter 's performance and to strategic questions only .

Housekeeping questions can be dealt separately with the IR team.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you and over to you , sir.

Jagdish Bajaj: Thank you. Good afternoon and welcome to the Q2 FY '25 Earnings Call of our Company . At the onset , let me wish you a very Happy Festive Season and a Prosperous Year ahead. I will first take the opportunity to set the co ntext in view of the "Operating Environment " during the quarter.

This quarter, the overall demand environment continued to remain subdued, consistent with trends observed in previous quarters. However, there were some positive indicators , primarily driven by festive spending and an increase in wedding -related shopping activit ies as we approach the wedding season for this year . These positive optics are in line with the trend we have been seeing over past many quarters where occasion -led shopping drive sales favorably impacting sales for certain categories. We expect improved conditions in the second half of the year.

Amidst this , we maintain our focus on executing the plan we had set out for this year where we drove good quality sales, rat ionalize d less productive channels and markets , and consistently drove margin improvement . As you would have seen, the business has consistently improved the margin profile year-on-year for last three quarters . While the larger business reported an improve ment in profitability, the smaller and rapidly growing businesses such as Ethnic and TMRW maintained a range bound losses , though , improving on margins on Y-o-Y basis on a much higher scale .

The profitability improvement was mainly driven through better planning, product enhancements, stringent markdown management and deprioriti zing poor-quality channels . Each of our brands reported positive like-to-like growth this quarter . Also not worthy to mention that Aditya Birla Fashion & Retail Limited

November 08, 2024

Page 3 of 18

our sustained efforts toward s improving our planning and merchandising process , and our tight inventory control , led to a marked improvement in our working capital profile, leading to better capital efficiency.

Let me also give an Update on the "Corporate Actions :"

The last step in t he acquisition of TCNS has been successfully completed and TCNS has been

fully amalgamated with ABFRL from 1st September 2024. Hence, the results are consolidated considering TCNS as a division. On the parallel, demerger process, the Company has completed the first step when it received NOC's of the demerger proposal from stock exchanges. The application has been filed with the National Company Law Tribunal as the second step, and we will now go through the process as prescribed by the Honorable Tribunal. We expect to complete the demerger process before the end of this financial year.

Coming to the "Financial Performance" of our Company for Q2 FY '25:

Our Company delivered c

onsolidated revenue of Rs. 3,644 crores in this quarter, growing 13% over Q2 FY '24. Consolidated EBITDA stood at Rs. 410 crores, growing 11% Y-o-Y in absolute terms, with 11.2% margin. This includes the TCNS business this quarter, which was not there in the base last year. Our established businesses continue to drive delivery of robust margins, while high growth segments like Ethnic and TMRW achieved substantial revenue increases with marked improvement in margins.

Let me explain to you the exceptional items appearing in this Quarterly Result:

First, Company has decided to restructure the operations of Forever 21, taking a one-time hit of Rs. 98 crores towards impairment. The same has been reported as an exceptional item. Secondly, the Company increased stake in Tarun Tahiliani couture business from 33.5% to 51%, resulting into one-time upward revision of its holding value on account of mark-to-market evaluation of historical stake to the tune of Rs. 121 crores. Adjusted for these two items, the net gain in exceptional items in the P&L is Rs. 23 crores.

The Company's consolidated PAT was negative Rs. 215 crores, impacted on account of higher depreciation, amortization of brand and retail assets due to inclusion of TCNS this quarter, along with elevated interest cost on higher borrowing. In H1, our Company recorded consolidated revenue of Rs. 7,072 crores, growing 10% over H1 FY '24. Consolidated EBITDA was Rs. 816 crores, growing 13% Y-o-Y in absolute terms, with 11.5% margin. The net debt on 30th September stood at Rs. 3,759 crores. As on 30th September, '24, our store network stands at 4,538 stores, spanning across a total retail area of 12 million square feet.

I will now take you through the "Performance" of individual businesses:

Starting with proposed ABLBL segment:

Aditya Birla Fashion & Retail Limited

November 08, 2024

Page 4 of 18

The segment in Q2 FY '25 posted revenue of Rs. 1,975 crores, with EBITDA of Rs. 302 crores. The EBITDA margin stood at 15.3% for the segment. First, Lifestyle brand grew 3% Y-o-Y to a revenue of Rs. 1,636 crores in Q2 FY '25, with an EBITDA margin of 18.4%. Retail like-to-like growth for the brand stood at 3.4%, primarily impacted by lower demand in smaller markets. Continued focus on product innovation, casualization and markdown management, combined with elevated retail experience and consumer insights, supported profitable growth. Emerging growth businesses which include youth, western wear, innerwear and athleisure, and sportswear segment posted 7% growth at an overall level, with the segment posting another quarter of positive EBITDA.

Now, let us discuss the demerged ABFRL segment:

This segment has grown by 31% to Rs. 1,838 crores in Q2 FY '25, validating our portfolio expansion strategy to build meaningful size businesses in large consumer spaces of the future. EBITDA for the segment grew by 66% with margin expanding by 170 basis points to reach 8.1% this quarter. All businesses within this segment grew well, with profitability improvement across each of them.

Let me start with Pantaloons:

Pantaloons delivered yet another quarter of significantly improved profitability. The business model improvement initiatives, which have been mainly around focus on key markets, improved product propositions and retail experience, and better planning and merchandising are reflected in improved financials. It recorded revenue of Rs. 1,082 crores, growing 3% Y-o-Year, with a like-to-like growth of 1.3%. EBITDA margin expanded by notable 560 basis points to reach 15%. In absolute terms, it delivered EBITDA of Rs. 162 crores, a 65% increase Y-o-Y. Enhanced operational efficiency, coupled with trend-driven offerings and refined aesthetics, has enabled us to achieve high sale through rates, which has driven growth and profitability. Our Style Up retail

format has now scaled to 35 stores and is receiving strong consumer traction.

The business has already started to deliver store-level profitability across the current network.

Based on this success, we plan to accelerate store opening in the coming years.

Then the Ethnic business:

Overall portfolio grew more than 3x versus last year to reach Rs. 454 crores, primarily led by

the inclusion of TCNS and Tarun Tahiliani couture business. Organic growth of existing businesses stood at a healthy 10%, with EBITDA margins improving significantly. Designer-led brands portfolio, which includes Sabyasachi, Shantnu & Nikhil, House of Masaba, and Tarun Tahiliani grew by 32% on Y-o-Y basis.
Aditya Birla Fashion & Retail Limited
November 08, 2024

Page 5 of 18

House of Masaba more than doubled its revenue, within which its beauty brands, Lovechild grew to 10x of last year. With Tarun Tahiliani couture, our already comprehensive Ethnic portfolio is further strengthened, as another marquee luxury ethnic brand gets added to our portfolio. Premium ethnic wear brands including Tasva, Jaypore and the TCNS portfolio delivered robust overall like-to-like growth rates. The TCNS brands recorded a solid 13% growth with a 3% like-for-like increase, marking the third consecutive quarter of positive L2L growth. This has been achieved with significant product upgrade, harnessing synergy benefits with larger ABFRL, and focusing on retail productivity.

As far as wedding related consumption is concerned, the first half of this year has been fairly muted. With the onset of festive and advanced purchase of wedding-related category the end of the quarter saw encouraging demand for Tasva, which achieved remarkable year-on-year growth of 79%. We expect this momentum to continue as the rest of the wedding season plays out during H2 of this fiscal. Luxury retail comprising the multi-brand format, the Collective, and other mono brands maintained profitable growth. With a Y-o-Y revenue increase of 9%, the total network now encompasses 40 stores.

Coming to our digital brand portfolio of TMRW:

TMRW portfolio more than doubled compared to last year with the inclusion of TIGC. Aside inorganic growth, the portfolio organically also grew by (+30%). With a portfolio of brands targeted at the Gen-Z and Millennials, TMRW adds freshness to the ABFRL portfolio, and gives the scale to its relevance for the Gen-Z and millennium customer base, which will be one of the most important consumption segments in this country.

To conclude:

Despite a challenging demand environment, our Company has demonstrated resilience and strategic agility, achieving notable growth across various segments. The successful integration of TCNS and the expansion of our new businesses have announced our brand portfolio. Our focus on operational efficiency, product innovation, and customer experience has yielded positive results, as evidenced by the robust performance in both established and emerging businesses.

As we look ahead, we are encouraged by the response during this festive, and are very optimistic for the upcoming wedding season, which for a premium brand portfolio like ours would be significant. We plan to sustain the impetus on each of the initiatives we have been running to drive operational efficiencies to consistently improve the business outcome.

As the second-half of the fiscal unfolds itself, with most of our stabilized actions already executed well, we will be very favorably placed to reinvigorate our growth channels to pick up the momentum, with tailwinds from broader market improvement during the rest of the year,
Aditya Birla Fashion & Retail Limited

November 08, 2024

Page 6 of 18

we wish to accelerate the pace of execution of our long-term strategy of building a leadership play in most of the large, discretionary consumption segments in

Indian fashion industry.

We are open to questions now. Thank you.

Moderator: Thank you, Mr. Bajaj. We will now begin the question-and-answer session. The first question is from the line of Gaurav Jogani from JM Financials. Please go ahead.

Gaurav Jogani: Sir, my first question is with regards to the demand conditions, how have they been running into this first month of October and the festive season for both the brands, that is Pantaloon as well as the Lifestyle brand? So, that is the first question answer. The sir, the second question also is with regards to, post the demerger between ABLBL and ABFRL, how do you plan to scale up things in the ABFRL piece of business given that that business will have a certain amount of debt? So, how the growth will be planned in that piece of the business, if you can answer that, that will be helpful.

Ashish Dikshit: Thanks. I will get Vishak and Sang eeta to respond to the overall market conditions. Vishak, can you come in?

Vishak Kumar: Hi, Gaurav. So, far we have had a decent start. I do not want to jinx it, but a decent start to Diwali. And what is important is the combination of wedding shopping as well as Diwali

shopping that you have got. We still have to watch out how it pans out during November, December. And the good news is, there are a lot of wedding dates through this period, so I do believe that it should be a decent quarter in that sense, at least for our brand.

Sangeeta Tanwani : So, very, very similar for us, Gaurav. I think festive, we had a good start just about closing. And I think it's like a mid-single-digit performance in terms of growth. Of course, the market conditions overall have been tough, but we have had an encouraging festive.

Gaurav Jogani : Just one thing, we have been hearing from eastern based players that while the Pujo has been good, but the Pujo has not been that great as per the expectations, at least for them. So, is it similar for you, too?

Sangeeta Tanwani : So, I will come in again. So, Pujo, as you know, is a very important period, especially for Pantaloons because east is a very important market for us. And we have had a low-single-digit Pujo. I think largely there were two or three external factors which disrupted the demand, the local protests that continued through Pujo, the fact that certain markets saw unprecedented rain, the disruptions in Bangladesh, there is a lot of purchase from customers who come in from Bangladesh during Pujo period. All of these factors actually impacted demand. But through that period we saw some disruption in Calcutta, but very encouraging to see those markets which behaved in a near normal fashion in terms of no disruptions, we in fact saw a very good high-single-digit growth in those markets. So, the rest of West Bengal, for example, did extremely well. Aditya Birla Fashion & Retail Limited
November 08, 2024

Page 7 of 18

well. The other markets in east did very well for us. So, I think it's a combination of disruptions that we saw in Calcutta, but very good performance in the rest of the market.

Ashish Dikshit : Gaurav, to your other question regarding how do we fund the growth of the demerged ABFRL, which will have a fair share of debt post separation. At the time of the demerger announcement, the Board had also approved a fundraiser exercise. And as we go forward, at an appropriate time we would look to raise capital, which we had announced even at the time of demerger itself. We wanted to look at how the merger process is going and then time the fundraise. So, we will do that and we will fund it adequately to sort of drive the growth of the high growth segments that exist in the demerged ABFRL.

Gaurav Jogani : Sorry, I will just rephrase my question. I mean, though we are aware of the fundraise planning that you have, will that in any way impact your growth plans what you have

right now versus

what you would have post this fundraise? I mean, would there be a more curtailed and more, I would say, more profitable focus manner as it is right now? Or would we continue to be aggressive in terms of growth there?

Ashish Dikshit : I think there is some inherent dilemma in your mind about growth and profitability choices that we are making. We are quite clear that over the last four or five years we have expanded our portfolio very strategically with long term consumption segments which are meaningful for our business. And that's the portfolio expansion exercise. As far as profitability is concerned, it will remain a very large focus for us. In many parts of the business we recognize that we have some way to go, and our major businesses it's already in good place. In line with our long term strategy, I think lot of growth businesses, and very high growth businesses would need capital, there is also debt sitting on it. And therefore, that's the reason for the fundraise. In short term or longer term, I do not think our strategy is changing.

The only part we have said is, our strategic acquisition piece is now over, that phase which we went through between 2020 to 2024 where we entered many new emerging segments, the entire digital portfolio got created of TMRW, we acquired rights of Reebok, built the entire portfolio of ethnic wear business in a short period of time to become largest ethnic wear Company in the country with very, very iconic brands in the portfolio. So, that is a phase of portfolio expansion with a very long-term strategic outlook on where the consumers of TMRW will be. I think once we have completed that exercise, the next phase of capital is growing these businesses.

Moderator: Thank you. The next question is from the line of Nihal from Ambit Capital. Please go ahead.

Nihal : I had two questions. One was, in Pantaloons, obviously, we have highlighted that lower markdowns led to an improvement in the margin profile. Just in the case of Lifestyle brand, despite the positive LTL, was it a step-up in marketing spends or maybe a channel shift which has led to say margins being flat or slightly lower?

Aditya Birla Fashion & Retail Limited
November 08, 2024

Page 8 of 18

Vishak Kumar : Two, three factors, Nihal. First is, we kept discounts very, very tight, and we were able to squeeze out significant amounts on discounts. We were able to create superior product cost

engineering solutions as well, which gave us gain. There was an overall cost improvement drive across the system which gave us benefits. And of course, some amount of network rationalization also we did which also further improved overall profitability situation. So, these were the key pieces, Nihal.

Nihal: Absolutely sir. Vishak, but the thing is that maybe on a Y-o-Y basis the margins have been flat or slightly lower for the Lifestyle brand, so that is where I was just coming from that why was that the case?

Vishak Kumar: Specifically, Nihal, last year same quarter we had a one-off gain, so that had an impact. JB can probably quantify that. But we had a one-off gain last year which we did not have this year, which should have impacted margins. Second, we are going through a situation with Centro where they are scaling down their business, so we had almost zero business with Centro's last quarter. They have been a very large trading partner for us in the past, so that also impacted our overall business in Q2.

Nihal: And that explains the wholesale contraction?

Vishak Kumar: That's right. A significant part of it has been a Big Four partner for us in that sense, so it made a big impact.

Nihal: Maybe later if you could clarify on that one-off or I will take it separately. The second question was on the debt part, currently we are at Rs. 3,800 crores on this, and this is a build-up

because

of festive. Just to understand, say by the time we reach Q4, we will have the planned Rs. 2,500 crores QIP, we will obviously have, I think, around Rs. 1,000 crores left for ABLBL. So, what is the planned debt with which, say, the new entity will start after the QIP? If you could give a ballpark sense. And would the size of expansion that you are targeting be significant in terms of the CAPEX outflow, or overall CAPEX and working capital outflow?

Ashish Dikshit: So, Nihal, at this stage, unless the Board has formally approved a fundraiser, I would not be able to comment on it. But I would therefore speak of the debt from operating performance point of view. As you know second half of the year is where the retail sales picks up and much of our portfolio is also heavily skewed towards wedding and festival related periods, while all of the fashion industry like that are portfolio is particularly more heavily skewed around that. So, we expect that debt to come down by Rs. 400-odd crores to Rs. 500 crores in the second half of the year. As you said, there is a part which is allocated from 1st April 2024, into the two entities. All I would say is we will sufficiently fund the demerged ABFRL to drive aspirations of the growth opportunities that we have created with the portfolio. I am not at liberty today to talk about either the size or the timing of the fundraise, and we will do that at an appropriate time.

Aditya Birla Fashion & Retail Limited

November 08, 2024

Page 9 of 18

Moderator: Thank you. The next question is from the line of Garima Mishra from Kotak Bank. Please go ahead.

Garima Mishra: The first question is on Pantaloon's. Now this is with reference to the EBITDA margin expansion for the business that you talked about in the opening remarks. Now, I note that over the last few quarters Pantaloon's has posted a negative EBIT, how do you view this? And I am asking this also in the context of EBITDA margin does not give us complete picture given some rental cost to sit below EBITDA.

Ashish Dikshit: So, Garima, the first thing is, the improved performance is with on a like-to-like basis with the same principles that we applied last year versus this year. So, I hope you agree with that this is indeed an improvement, therefore, over last year, because it's the same comparison that we give.

Also, as per accounting standard, these are same standards that applied by anybody in the industry, so it's very close to what everybody else reports. On the question of Pantaloon's segment, Pantaloon's also has Style Up as a part of it, small portion, very small contribution today is the size of Pantaloon's on the revenue side. But obviously, slightly larger contribution in pulling down Pantaloon's segment profitability, which is what you are talking about.

Garima Mishra: Let me ask this another way. This Pantaloon's segment generates cash in 1H FY '25.

Ashish Dikshit: Absolutely. And we have said that before, Pantaloon's was a free cash flow operating business before we went into COVID, post-COVID it took time to recover, we are back to the same situation.

Garima Mishra: My next question, and this is again on Pantaloon's, now assuming demand environment remains sort of tepid, maybe not as tepid as it was in 1H, but maybe still remains a little lower than what we have seen in the past, what steps can be taken to drive up the LTL?

Ashish Dikshit: So, I think Garima, I will get Sangeeta to come in, but honestly the drivers of improved productivity for us remain same, good or bad market, because we are not using discounting as a lever. And therefore it comes down to, apart from the external conditions about store improvement, merchandising improvement, superior consumer experience, and which are more fundamental drivers and they are more sustainable over a period of time. I do not think we will

do

things which will create a one-time improvement and it's going to be more organic. And as you have noticed over the last couple of quarters, this organic sustainable improvement is what Pantaloons business is driving. And it's showing up in all places, the stores are looking better, the product esthetics have improved, product quality has improved, gross margin has improved, and overall effectiveness of the network. Some of the pressure on the Pantaloons business, and that's true even for some part of Madura businesses, is the smaller markets underperforming. And Pantaloons is one of the most expanded retail format, and it is not just in top cities, it travels pretty deep. While we did some of the rationalization last year, the lower end of the markets,

Aditya Birla Fashion & Retail Limited
November 08, 2024

Page 10 of 18

which are smaller markets continue to underperform, which is sort of putting pressure on that. But we will have to deal with it as we keep going forward in a more sustainable manner.

Garima Mishra : Next I have a question on the inner wear business. Now, in the PPT you have talked about exploring this as a multi-channel strategy. So, is there any thought of expanding operations of your innerwear business in the quick commerce channel as well?

Ashish Dikshit : Yes, I think probably in fashion the first and the most amenable category is quick commerce. We have just started or just about to start right now with one of the players, and we hope to expand with other players in this quarter, which is quarter three of this year. We will see how the performance is. But early signs from what we hear from channel partners are that it's a category which has got a good pickup, and we will see if it goes further from there.

Garima Mishra : And last question from me, if I may, are there any suggestion getting an external investor on board for TMRW? And in case there's no external investor comes in, how much more capital will ABFRL need to invest in TMRW?

Ashish Dikshit : So, Garima, we had mentioned that, as far as ABFRL is concerned, we had Board approval of close to Rs. 750 crores, which is what we have invested. At this point of time, we do not plan to increase that, nor does the business need it at this point of time with the capital that they have got. Our plan was always to get an external investor at some point in time. However, we will have to time it appropriately so that the business is sizable and attractive for an incoming investor itself. As you can see from this quarter or from previous quarters, the business is scaling up very, very fast. We have now pretty attractive portfolio brands, we are clocking close to Rs. 1,000 crores run rate as far as the revenues are concerned. We are still some distance away from portfolio level profitability, but many brands are profitable at brand level. So, we think in the right period of time we will be able to get an investor to fund the next phase of growth. Till then we do not plan to make any acquisitions.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global Financial Services. Please go ahead.

Devanshu Bansal : Sir, in continuation to Garima's question, I just wanted to understand this increase in net debt better. So, in H1 the debt has increased by Rs. 800 crores to Rs. 900 crores. From the cash flow statement, we have invested about Rs. 500 crores, half of which is going to CAPEX, and rest in subsidiaries, additional stakes actually. Working capital is actually reduced by about Rs. 75-odd crores. So, there is an OPEX funding of about Rs. 400-odd crores in H1. So, I just want to check which are the business segments as of now where we have to support operationally the business for them?

Ashish Dikshit : So, I think as far as H1 is concerned, and you are probably commenting on H1, Pantaloon segment, to further answer Garima's question and your part, has been free cash flow generating.

I am keeping ABLBL related businesses out because they have historical track record of free cash flow generation.

Aditya Birla Fashion & Retail Limited
November 08, 2024

Page 11 of 18

cash flow generation, so that's out of it. Although this half there's been some consumption of cash in that part of the business, Pantaloons being free cash flow generating most of our cash has gone into ethnic businesses, which is largely in the subsidiaries part, which included TCNS also. Then there were investments that we made in the remaining acquisition of Tarun Tahiliani. We also had partial commitment of equity, which was planned for TMRW investment, so a part of investment went into the. A part of which was used by TMRW to make further investments, which is investments in WROGN that we made. So, it's a combination of investments that we have made, and operating businesses which is largely ethnic, which is consuming cash.

Devanshu Bansal : And sir, specific to TCNS, I guess it has seen healthy growth of about 13% odd, right, in Q2. I

guess Q3 is seasonally heavy quarter for this particular segment , so any thoughts on initial traction for the festive season? And if you could just update on the margin profile of the business as of now.

Ashish Dikshit : So, I think as we have said, TCNS business , when we took over , that will take us a couple of quarters first to focus on fundamentals , which is product enhancement and shape of the business.

I had also commented at the beginning of the year that by Q3 we will breakeven , which is we are pretty much on track as far as that is concerned. Business profitability has improved significantly from where it was. And as we had projected , by Q3 it will become profitable . In terms of growth , I do not want to comment on specific month or so . But as you are seeing , as the new products have started to come in, the business has started to improve in terms of revenues as well, not just absolute revenues but even the quality of revenues have been improving . And we expect to slowly continue improving on that trajectory.

Devanshu Bansal : Sir, just a small follow-up. So, out of all these TCNS we are expecting profitability to improve or break even , I guess Sabyasachi , Tarun Tahiliani , Jaypore, etc. are profitable business. So , Tasva is the only part where it may be operationally making some losses for us. Is this the right understanding?

Ashish Dikshit : So, Tasva and Jaypore are today , Tasva being the largest one, followed by Jaypore, and to some extent we are still making investments in some of the high growth segments, particularly in House of Masaba, the Lovechild, which is the beauty business. So, some of those, but those are, I would say, smaller pieces. The biggest piece will be Tasva .

Devanshu Bansal: And this Rs. 38 crores loss that we have incurred in Q2, is this the peak , as in which we can expect some normalization from these levels going ahead ?

Ashish Dikshit : Difficult to say so early. I would not give that sort of indication today. We will wait for the full year and then have a sort of more balanced picture of that.

Moderator: Thank you. The next question is from the line of Aditya from CLSA. Please go ahead.

Aditya Birla Fashion & Retail Limited

November 08, 2024

Page 12 of 18

Aditya : So, two questions from me. So, firstly on the ethnic business, can you give us a sense of how much of the growth is organic? And the second question on the Lifestyle business, any sort of indication of store additions over the next two quarters , and then also for fiscal '26? And if you can break that by brand.

Ashish Dikshit : So, just a quick comment on the ethnic business growth. You wanted to know organic growth of the business, which is without addition of TCNS and couture business of Tarun Tahiliani , I

think Jagdish in his speech had talked about 10% growth for the remaining business, which is the organic part of the business. Sorry, what was the second question?

Vishak Kumar : I will take that, Ashish. He wanted to know about expansion. Aditya , hi. Vishak here . Expansion , I think first half we have primarily focused on consolidating , especially to take away unviable stores. We have pretty much completed that exercise . And hence , as we go into Q3 , Q4, all the expansion would result in a significant net positive to the network. The only part where we will still stay guarded for maybe a couple more quarters is small town expansion. As you know the kind of business recovery that we need in small town I think will take a little longer. So , we have been very careful in expanding in small town , urban and middle India expansion will continue significantly. So, you will see that as the quarters unfold.

Aditya : So, just to follow-up actually on both, but firstly on the expansion . So, any sort of commentary on numbers what we should expect for expansion in H2? And within that would the understanding then be right that maybe Van Heusen , Louis Philippe and Allen Solly see more expansion than Peter England and Peter England Red?

Vishak Kumar: Peter England Red perhaps might be a little more slow, but all the other brands would grow stronger, including Reebok, which is also catching up on expansion because we started with a smaller network and we have a lot of catching up to do, a lot of locations where we do not have Reebok stores, so that expansion will also continue full-fledged. So, I think you will see all of these brands, in especially urban and midtown India growing their network in H2.

Aditya : I am sorry to belabor this, but any numbers to give on how much expansion we should expect ?

Vishak Kumar : In our business , sometimes a few months slip in the way network comes. But my sense is about 100 stores is the kind of number that we should look at in H2.

Moderator: Thank you. The next question is from the line of Ashish from Citigroup. Please go ahead.

Ashish : So, the first question is on the franchisee health, because we have seen it has almost been now more than two years since the demand has been kind of subdued , and we operate a lot of franchisees stores, both in Lifestyle as well as in Pantalons. So, what you are seeing there, are you seeing any kind of stress with the franchisee partners ? And especially in the case of new stores, what is the kind of interest you are witnessing?

Aditya Birla Fashion & Retail Limited

Ashish Dikshit : Hi, Ashish, I will take it and Vishak, Sangeeta, if you have something more to add. So, Ashish, our relationship with franchisees have been long term. I have always believed that their capital is as important as ours, and therefore we have been very balanced in the way we look at it. In times of crisis, we will see how we can support that. Last year and a half or so has continued to be weak, and that's why some of our expansion, if you look at the previous question, is the reason Vishak mentioned about slowdown in some of the small town expansions primarily because we do not want to grow to markets at times when franchisees do not see possibility. Most of our expansion, at least in Lifestyle brands, is driven through franchisee business. And therefore, our slower expansion is reflective of the franchisee situation today. But it is normal and we have gone through these cycles multiple times in over many years. So, I do not think there is anything extraordinary to worry about.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avenue Supermarket institutional equity. Please go ahead.

Tejas Shah : First question is pertaining to Pantaloons. So, with trends appearing to take a very cautious approach on West side

's expansion, how should one assess the growth potential of Pantaloons?

I am assuming that both cater to the same audience, how are we approaching the growth runway, your expansion runway for this format?

Sangeeta Tanwani : Hi, Tejas, this is Sangeeta. So, Tejas, as Ashish and Jagdish alluded in his talk as well, I think one of the shifts that we made and we talked about in the previous calls as well is, today Pantaloons is a large format which is distributed extensively across 200-odd towns that we are present in with our 400-plus stores. As we have assessed our performance over the last few quarters, we have recognized the fact that, of course, our right-to-win and our performance has been better in the larger towns. And therefore, as we had called out earlier, our focus in terms of expansion is more in terms of metros, mini-metros, and Class 1 towns.

Also, I think where we have strengthened our guard rails is in terms of the quality of stores that we open. So, we are opening bigger stores, better stores, and better representation of the labels that we have. We still believe there is a huge opportunity for us to grow. But of course, in terms of the number, anywhere between 2025 stores is what we have called out. And we continue to stay with that plan of opening about close to 20 stores. In terms of square footage, we are looking at bigger stores, so we may end up doing more than what we had planned for. But opening the right stores and then making the most perfect from an operations and an execution standpoint is what we are focused on.

Ashish Dikshit : I think, Tejas, to some extent this reflects the shift in strategy which you are alluding to. We earlier used to aspire to open 50 to 60 stores, there was a year in which we opened 70 stores.

We are now looking at 20, 25 stores, more urban-centric, more ready markets because the effect of productivity etc. we have found is much higher here. And fortunately, with a very promising

Aditya Birla Fashion & Retail Limited

November 08, 2024

start to Style Up, we feel the entire value retail format will be better served through many of these markets being served by Style Up as we go forward.

Tejas Shah : Second question is on innerwear and athleisure. So, after many quarters, the leader actually gave a very positive commentary on the segment recently. So, are we seeing any similar trend shifts in our segment?

Ashish Dikshit : Yes, Tejas. To some extent, I think the first signs of athleisure's continuous decline has stopped. This is the first quarter or maybe I do not have it, maybe first or second quarter where athleisure has started to at least come back to a base level. And once that happens, because innerwear had come back a couple of quarters back, so athleisure which is pulling down the growth. And so far, from here onwards I think you will see stronger growth in the innerwear segment.

Tejas Shah : And the last question is for Vishak. Vishak, personally as a consumer, Reebok seems to be one of the most under-indexed brand in our Lifestyle portfolio. So, could you share some medium-term aspect? You spoke about that there's a huge room and you are looking for locations, but can you throw some more light on how do you see these brands this brand in medium term and what are your aspirations or goal here?

Vishak Kumar : Thank you for that. Tejas. Yeah, we just had a review in the first half on Reebok, and we are looking at how we can accelerate expansion. We still want to be very sure on locations as we do that. But I do think that our footprint has to go through a significant enhancement over the next few years. We have a lot of catching up to do. What we are also making sure is that it is backed by a whole lot of solid products, both in footwear and in apparel that we are doing some

really good stuff to make sure that these stores are viable from

day one. Also, we are working a

lot on multiple brand building initiatives to strengthen the brand. I do think that the next few years are going to be very significantly strong growth years for Reebok, just by footprint expansion and also by throughput improvements across the board on the brand.

Ashish Dikshit: I think I would just add to that, the whole BRF implementation meant that we had to strengthen our capability in terms of local sourcing and product development, which Reebok team has done a wonderful job. We had to make sure that we have intrinsic capability and deep knowledge of the category, which we have done very well. So, Tejas, it's just a matter of time, if BRF not happened, perhaps you would have accelerated even faster. But now we had to make sure that we have enough sort of back-end capability to drive the growth. And you will see a shift in momentum on that.

Tejas Shah: And just one follow-up there, the route to market will be COCO, FOFO, or mixed?

Ashish Dikshit: Tejas, we have always had a combination of these. There is a lot of very strong franchise partners that we have on Reebok who are keen to scale up. There are, of course, specific locations, some mall locations, etc. where we do COCO stores if required. So, it will be a combination. We are

Aditya Birla Fashion & Retail Limited

November 08, 2024

Page 15 of 18

largely franchise driven, but we do a combination so that the momentum on expansion continues strongly.

Tejas Shah: And the last one, if I may. So, this October has been one of the warmest October in recent times, non-South India portfolio is usually known in fashion for being winter-oriented. So, how are you seeing and how much of our portfolio is exposed to that risk?

Ashish Dikshit: Vishak, you can talk about it.

Vishak Kumar: See, Tejas, we are very well prepared for winter. We do believe that there will be a strong winter. There are a lot of signs of that. If you read up on weather commentary, there is a lot of signs of a strong winter. So, we do believe in that. Having said that, it is an important part of our assortment in North India, eastern parts of India, some parts of central India etc. And we will figure ways to manage for the ups and downs. Usually, it's not strong versus weak winter, it's when it gets timed, early winter versus late winter, etc. We are fairly prepared for that. And my sense is that it should be a decent winter.

Ashish Dikshit: Quickly from a portfolio point of view, I think, Tejas, other than Lifestyle brand, and particularly I would say one or two brands which have higher exposure, rest of our portfolio in the second half is actually not that exposed to winter wear per say. Of course, the wedding relevance and reliance is much higher.

Moderator: Thank you. The next question is from the line of Raj Kumar from Navodya Enterprise. Please go ahead.

Raj Kumar: In this quarter on the consolidated basis, Mudra Lifestyle brand sale is Rs. 1,975 crores with Rs. 33 crores PBIT. And the Pantaloon's brand sale is Rs. 1,082 crores with the minus Rs. 42 crores of PBIT. In your Mudra Lifestyle brand, the sale as well as the PBIT is decreasing, and the Pantaloon's brand your PBIT has been negative for the last couple of quarters. My question is, what is the reason behind it? I mean, in both the segments they are very old and repudiated segments, so we expect 10% to 15% sale growth from both the segments. But why they are not giving that kind of sale as well as PBIT, I just want to know. And the second part is, when will Pantaloon's PBIT come in profit?

Ashish Dikshit: So, I think in Pantaloon's segment there is impact, of course, Style Up business which is in incubation phase at this point of time. Pantaloon's on its own, in response to earlier question, has delivered positively. But the combined operation therefore is negative.

Raj Kumar

Ar: Sir, my second question is regarding employee expense and other expenses. Both the expenses are increasing rapidly on quarter-on-quarter basis, I mean, both have increased by 20% in standalone basis quarter-on-quarter and 10% on a consolidated basis. Is there any specific reason there and if, please give some light on it?

Aditya Birla Fashion & Retail Limited

November 08, 2024

Page 16 of 18

Jagdish Bajaj: So, I think there have been a lot of additions which are inorganic in nature. We keep looking at our overall manpower expenses at overall level. Adjusted for an acquired business, which is removing the cost that comes through acquired businesses, the overall growth on that account is about 6% to 7%.

Moderator: Thank you. The next question is from the line of Naitik from NV Alpha. Please go ahead.

Naitik : Sir, I just needed clarification in terms of when you see your margins in Lifestyle bands, they seem to have come down , so can you please explain why they have come down?

Ashish Dikshit : I think Vishak had explained in response to earlier question. To some extent it was impacted by the absence of one large important customer , and that reflected in both lower sales and some loss of profit on account of that. The second reason was a one-off last year same quarter which was primarily due to a reversal in minimum wages in Karnataka where most of our factory operations are , which gave us a one -time gain last year which obviously was a one-off. Net for the one -off, the margins are pretty steady and improving.

Moderator: Thank you. The next question is from the line of Vaishnavi from Anand Rath Institute of Equity. Please go ahead.

Vaishnavi : I had a couple of questions for Vishak on Madura's growth , because if I look at the H1 numbers, the numbers are flat . And I understand that the demand environment was subdued, but how should we look at the growth going forward and what would be the drivers for growth in the same?

Vishak Kumar : Hi, Vaishnavi . Yes, it's been a tough H1. But having said that, we have used this as an opportunity to become stronger in the way our portfolio is organized , etc., consolidating our network to drive retail profitability, building further on product innovations, driving further on premiumization, casualization , a whole lot of things that have been built for positioning ourselves better for growth. I think in any case , as we get into wedding season now, etc ., we should see the calendar effect being positive to us . But going forward also , Vaishnavi, we have been a double -digit CAGR business for two decades and that's the kind of trajectory that we should keep going at. And there are enough levers for growth in every brand and every part of our business. So , I would say that, yes, we should keep that growth engine going.

Vaishnavi : In the longer term, can we bill like a 10 % to 12% sort of revenue CAGR for the Lifestyle brand ?

Vishak Kumar : Absolutely, I think definitely a double -digit growth CAGR is something which we should drive these brands for, absolutely.

Vaishnavi : And in terms of premiumization, right, since you said that that's been a focus of what we have been working on , premiumization and casualization . Can you provide some insights in terms of Aditya Birla Fashion & Retail Limited
November 08, 2024

Page 17 of 18

what was the percentage, let's say, a couple of years ago , like pre-COVID , and what it is now in terms of contribution?

Vishak Kumar : Maybe , Vaishnavi, we can send that separately to you . But I would create a significant shift , and it's just that I will have to do this brand by brand for you , different brands have different portfolios . For instance, Allen Solly is largely anchored around casualization , there it's not such a relevant thing , in other brands it's more so. There are brands which needed significant premiumization, t

here are parts of it which are already high there . I think it will need for me to give you a second level double click on this to give you a better answer. But at the ballpark level here's what I can say to you, let's say in brands like Louis Philippe, Van Heusen, there are opportunities which are emerging at price points of Rs. 4,000, Rs. 5,000, etc., per shirt, which we have significantly scaled up . We have a line which is Luxure by Louis Philippe, which is also scaled up, which is Rs. 5,000 to Rs. 10,000 price point, so that's significantly strengthened. We are looking at retail formats where there is a larger composition of premium products, right, top of line products that we have . So, it's very contextual to each brand . But yes, in some of these brands, it's been a strategy which has helped significantly.

Moderator: Thank you. The next question is from the line of Rajat Agrawal from Atharva Investments Manager. Please go ahead.

Rajat Agrawal : My question is related to TCNS , and if you can maybe help me with the slightly long -term kind of a view on this . First up is, has that brand stabilized ? And from now on , do you see the brand only clocking profitable growth ? And the related thing would be , are you further looking at any one-off cost related to TCNS in the next couple of quarters, be it related to rationalizing of stores, or do you see some duplicity in certain sub -brands of TCNS , any thoughts on the same please?

Ashish Dikshit : Thanks , Rajat . I think TCNS , as we have been communicating in our previous quarter 's previous communication , we have worked on three dimensions. The first one was product improvement and that the team has done very well. The new product is certainly performing at a level that we had expected. Most of the old inventory which led to the one -time write -offs that we had to take we have already done , we do not expect any change in that. In fact , the TCNS team has delivered outstanding improvement in their inventory , both in quality and absolute numbers . And this is both, including the new inventory as well as old inventory, most of the old inventory is behind us, there's no further one -time cost coming there.

As far as store expansion is concerned, I think as we grow in a normal course of the business, there will be rationalization that happens in all businesses. No significant sort of different versus other brands as far as store expansion is concerned. We are working on elements of synergy between the two companies, the two parts of the businesses, and that's playing out well. In terms of your question around longer term trajectory, we had said this year we will make sure that the business has got stabilized on all dimensions, all one-time cost structure change or obsolescence

Aditya Birla Fashion & Retail Limited
November 08, 2024

Page 18 of 18

hits, those have been taken. The policies are fully aligned. And we would look to start to probably the first profitable quarter from this quarter, and next year onwards we will look to come close to profitability with the longer-term ambition of getting into mid-double-digit profitability EBITDA margins.

Rajat Agrawal: Great. Thank you, sir. But just a small follow-up. I mean, I did allude to certain sub-brands of TCNS, for example, let's say, W's and Aurelia. I mean, I think they do, and I am just talking from the perspective of a consumer, they do have a similar product range. And hence the two may have very, very similar locations as well. So, do you think, I mean, that's the correct picture of it, do you see something more distinctive being carved out between W and Aurelia? And across the portfolio do you see certain similarities between various brands and there may still be some work to be done to make them more distinct, from a consumer point of view?

Jagdish Bajaj: So, fair point, I think there is,

to our best judgment and cumulative experience of the TCNS management team, there is a distinction of W being both more aspirational as well as more fusion, and therefore more contemporary, versus Aurelia, which is slightly sharper price, more traditional, works for more conservative consumer in that sense. And therefore, there is an element of fashion difference and target customers slightly different. We will continue to evolve the positioning to make sure that it is sharper and well seen by consumers, as you are alluding to, but that's a more ongoing exercise. I do not think at this point of time there is any thought of having one versus other. We are very, very mindful that these two, both together as well as individually, are among the largest brands in the ethnic wear industry. And that's the whole sort of purpose of acquisition, we will sharpen their positioning as we go along.

Moderator: Thank you very much. The next question is from the line of Chintan Mehta from Puniska Family Office. Please go ahead.

Chintan Mehta: Sir, what is the PBT margin we are looking in Lifestyle businesses?

Jagdish Bajaj: Sir, we do not give numbers at that level. So, therefore, I do not think I want to disclose the numbers at that. But over a longer period of time the portfolio of an ABLBL brand, we have talked about EBITDA margin range north of 18%, which is really what we are targeting from that portfolio, and that's the number that we have for you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of the Management, we thank all participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines. Thank you.

Call: Feb 2025

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February 20, 2025

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q3 FY 2 5 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated February 7, 202 5

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 3 FY 25 Earnings Call held on February 17, 202 5 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e., www.abfrl.com .

Thanking you ,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

E

MANAGEMENT : MR. ASHISH DIKSHIT : – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. VISHAK KUMAR – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – LIFESTYLE BUSINESS – ADITYA
BIRLA FASHION AND RETAIL LIMITED
MS. SANGEETA TANWANI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – PANTALOONS

Aditya Birla Fashion and Retail Limited (ABFRL)
February 17 , 202 5

Page 2 of 20

Moderator: Ladies and gentlemen, good day, and welcome to the third quarter earnings conference call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q3 FY '25 performance, followed by a question -and-answer session.

We have with us today Mr. Ashish Dikshit, Managing Director; Mr. Jagdish Bajaj, CFO; Mr. Vishak Kumar, Director and CEO, Lifestyle Business; Mrs. Sangeeta Tanwani, Director and CEO, Pantaloons. I want to thank the management team on behalf of all the participants for taking valuable time to be with us.

I must remind you that today's discussion may include certain forward -looking statements and must be viewed therefore in conjunction with the risk that the company faces. Please restrict your questions to the quarter performance and to strategic questions only. Housekeeping questions can be dealt separately with the IR team.

With this, I would now like to hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj: Thank you. Good afternoon, and welcome to the Q3 FY '25 earnings call of our company. Let me start with an overview of the macro environment. The overall consumption remains subdued this quarter as well with periods of high to moderate consumption. While the festive and wedding season witnessed robust demand, other periods experienced inconsistent footfalls.

In the context of the weak operating environment for the past many quarters, our strategy has been focused on driving better efficiencies in operations, leveraging our existing asset base and deploying capital strategically. We have been executing this agenda by rationalizing our distribution to prune less productive channels, tightening inventory management, strengthening high-value partnerships, reducing operating costs and strategically aligning the product portfolio in line with consumer relevance.

Through these measures, we have consistently delivered profitable growth over the past few quarters. This quarter as well, we have delivered EBITDA margin expansion with all our businesses demonstrating improved profitability.

Update on key corporate actions.

First, the demerger of western wear brands business into a separate entity, that is Aditya Birla Lifestyle Brands Limited, or ABLBL, is progressing well and set for completion within the next 2, 3 months. The NCLT hearing is scheduled in third week of March 2025.

Number two, the company has successfully secured USD 490 million equity capital through a mix of QIP and preferential issue. The fundraise within demerged ABFRL will strengthen its Aditya Birla Fashion and Retail Limited (ABFRL)

February 17 , 202 5

Page 3 of 20

balance sheet by making it debt -free and leaving enough cash in the books to take care of the growth needs of its businesses until they become self -sustainable.

This fundraise attracted strong participation from leading global and domestic investors along with our promoters, who paid a significant premium to the prevailing share price, underscoring their confidence in the long -term potential of the business.

Coming to the financial performance for this quarter. The company delivered consolidated revenue of INR4,305 crores, a growth of 3% over same quarter last year. Consolidated EBITDA

stood at INR683 crores, growing 13% Y-o-Y in absolute terms, with 15.9% margin as against 14.5% margin in Q3 last year. Our established businesses continue to deliver strong margins, while high-growth segments like Ethnic and TMRW have achieved significant revenue growth, coupled with profitable margin expansion. Consolidated PAT stood at a loss of INR42 crores for the quarter against a loss of INR108 crores in same quarter last year. At YTD level, company recorded a revenue of INR11,376 crores, which is growth of

7% Y-o-Y. EBITDA stood at INR1,499 crores, margin of 13.2% as against 12.5% margin in YTD December last year.

As on 31st December 2024, our store network stands at 4,492 stores, spanning across a total retail area of 11.9 million square feet.

The total net debt of consolidated ABFRL at the end of January 2025 stood at approximately INR1,800 crores after receiving INR1,860 crores of QIP money. This will further come down post receipt of preferential issue of INR2,379 crores. We expect ABLBL to start the next year with opening debt of INR700 crores, whereas demerged ABFRL will have a likely cash balance of approximately INR1,300 crores.

Let us now discuss business-wide performance. Starting with proposed Aditya Birla Lifestyle Brands Limited. ABLBL posted revenue of INR2,151 crores with EBITDA of INR355 crores in Q3 FY '25 and an EBITDA margin of 16.5%, 90 basis point expansion versus last year. Lifestyle Brands, the brands have seen a retail LTL growth of 12% across brands on a network of more than 2,500 stores.

This industry-leading LTL growth reflects the strength and quality of franchisees that these brands have with Indian consumers.

The total revenue remained flat on account of degrowth in wholesale and e-comm channel. Brands posted revenue of INR1,817 crores with EBITDA of INR357 crores in Q3 FY '25 with EBITDA margin of 19.6%. Over the past few quarters, in context of the market situation, brands have taken the opportunity to strategically optimize their network and channels to enhance overall quality of its distribution. This involved exiting underperforming markets and formats and restructuring business arrangements with wholesale and e-commerce partners to drive profitability.

Aditya Birla Fashion and Retail Limited (ABFRL)
February 17, 2025

Page 4 of 20

Despite these changes, the brands have consistently driven premiumization, casualization and elevated in-store experiences, aligning with evolving consumer preferences. This transformation, further fueled by a strong festive and wedding season, reinforced their market leadership.

The emerging growth businesses in ABLBL, which include youth western wear, innerwear, athleisure and sportswear segment posted 5% growth at an overall level with the segment posting another quarter of EBITDA margin improvement.

As you may be already aware, the company is in the process of phasing out its F21 offline operations, which has had a moderate impact on the growth of the emerging segment and also impacted its overall profitability. Post the demerger, ABLBL is set to embark on its independent value creation journey, well supported by access to its own cash flows to drive growth.

Over the next 12 months, the brands are poised for an aggressive expansion with a significant rollout of 300-plus new stores across the portfolio. Additionally, other sales channels are expected to regain momentum, further accelerating the overall growth.

Let us now discuss performance of demerged ABFRL segments. The proposed demerged ABFRL reported a 3% Y-o-Y revenue growth, reaching INR2,218 crores. EBITDA stood at INR320 crores with an EBITDA margin of 14.4%, marking an increase of 250 basis points from 11.9% in the same quarter last year.

Let me first cover Pantaloons. Pantaloons has been a driving premiumization strategy where it has consciously moved away from the overcrowded value retailing space. This is visible in the quality of overall offerings to our customers through a revamped product portfolio and enhanced merchandise.

As an outcome of this deliberate choice, Pantaloons has exited over 40 stores in the past 12 months, mostly in Tier 2 and smaller markets. This has helped Pantaloons improve its customer proposition as well as consistently improving its profitability.

The reported revenue of INR1,305 crores this quarter was impacted primarily by the shift of pujo to Q2 this year and the closure of a s

tores on a Y-o-Y basis. Excluding the East zone,

Pantaloons recorded a positive LTL growth of 2.5%. At an overall level, the LTL was negative 2.5%. On profitability front, the segment reported an EBITDA margin of 19.3%, reflecting an

improvement of over 170 basis points Y-o-Y.

Style Up continues to expand its retail footprint and now operates across 39 stores. The brand has also diversified its product portfolio by introducing newer categories to constantly improve its consumer proposition. Post the fund raise, as the financial viability of the formats gets established over an expanding retail network, we are poised to accelerate the growth of this format going forward.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

Page 5 of 20

Ethnic business. Our Ethnic strategy continues to deliver for us. As we stand today, the portfolio of Ethnic brands is the largest and most comprehensive portfolio in the industry and has consistently driven growth for ABFRL by maintaining double-digit growth over the past few quarters.

As the portfolio is gaining scale, it's starting to contribute to our overall profitability as well. In a quarter that has both the benefits of festive and wedding season, the performance of this portfolio showcased the intrinsic strength of our brands and the relevance for consumers across multiple occasions.

The overall portfolio posted a revenue of INR588 crores, a growth of 7% Y-o-Y. While TCNS is still going through a distribution rationalization to focus on profitable channels, which led to its degrowth for rest of the portfolio, excluding TCNS, the growth has been 39%, highlighting strong momentum across the brands.

Profitability for the overall portfolio also improved sharply with EBITDA margins reaching 19.2%, a remarkable 1,160 basis point Y-o-Y expansion. This was led by improvement in margin across the entire brand portfolio. Portfolio of designer-led brands, which includes Sabyasachi, Tarun Tahiliani, House of Masaba, and Shantanu & Nikhil grew by 41% on a Y-o-Y basis. This also has the addition of Tarun Tahiliani's Couture business, which got added in Q2 of this year, as we increased our stake in the company to 51%.

Within premium ethnic wear brands, the men's ethnic wear brand, Tasva, ably leveraged the festive and wedding season this quarter with sales growing by more than 50% versus last year. Tasva delivered an 18% LTL growth and strengthened its footprint in key wedding markets. The brand for the first time delivered a positive EBITDA this quarter, showcasing intrinsic potential of its business model.

Meanwhile, TCNS recorded its second consecutive quarter of positive EBITDA despite a revenue decline of over 20% due to ongoing distribution optimization aimed at establishing profitable distribution. By strategically selecting profitable channels and stores, along with cost control initiatives, the business has successfully been able to streamline operations and drive leverage.

Our merchandise has also seen improvement and the consumer feedback on recent ranges has been more than encouraging, backed by 4 consecutive quarters of positive LTL. We feel these efforts by our operating teams have laid a strong foundation for sustained viable growth in the medium to long term for the brand. Post the fundraise, the balance sheet of demerged ABFRL is well placed to support the accelerated expansion of our Ethnic portfolio.

Luxury Retail, the Collective & Mono brands grew by 13% in Q3 FY '25, led by a strong LTL of 10% and robust e-commerce performance. Similarly, our digital brand portfolios under TMRW posted a growth of 26% in sales year-on-year with an improvement in margin. This

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

Page 6 of 20

validates our belief in the longer-term potential of digitally native brands focused on young India.

To conclude, despite a

challenging consumption environment, especially for discretionary category, our focus on driving productivity, efficiency, profitability, coupled with continuous improvement in products and services has been able to guide us through this tough environment. One of the key strategic tasks of adequate fund raise has been successfully completed. Another important strategic initiative of demerger is on track. The completion of these steps in the next 2, 3 months will enable us to unlock value through 2 independent entities, both with attractive growth potential and a strong balance sheet through a resilient growth-oriented business model sharpened over time.

We are open to questions now. Thank you.

Moderator: Thank you, Mr. Bajaj. The first question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah : First question is on Lifestyle Brands. So very strong like-to-like performance, especially in the

tight demand environment that we picked up from other retailers. So I wanted to know what worked for us.

And interestingly, in margin expansion in the presentation, we credited channel mix tighter control, cost control and inventory management as key drivers for margin expansion, which are independent of LTL. So how should we think about margins also when, let's say, if we continue this LTL performance, how should we think about margin in coming periods? So those 2 questions on Lifestyle Brands.

Vishak Kumar : Sure. Tejash, Vishak here. Yes, I think it was a decent quarter for us from a retail like -for-like point of view, largely driven by a very strong festive and wedding performance. We had prepared for this. We also knew that the calendar was, in that sense, more a Q3 calendar for wedding. So we had prepared for this with the kind of assortments that we had. In fact, frankly, if winter had been stronger this time, we would have had even better growth, but this was a tepid winter this time. Otherwise, we would have had that gain as well. So I think it was just preparing for a strong festive and winter season that enabled us to do this.

Of course, your second question is around how do we maintain this kind of margin expansion. I think the biggest drain in our business on margins is the discounting. And as we keep getting better and better at tightening discounting, getting into more and more of channel mix play, et cetera, which drives for reduced discounting, I think the stronger our business keeps getting. So that, Tejash, would be lever number one. Drivers of that full price sell-through, drivers of that superior retail experience, all of that is how we would look at keeping that driving quarter-on-quarter, Tejash.

Aditya Birla Fashion and Retail Limited (ABFRL)
February 17, 2025

Page 7 of 20

Tejash Shah : And looking at where we are in this calendar year or where we have started, do you think that this performance will continue for this calendar year as well?

Vishak Kumar : Yes. I think fundamentally, Tejash, all the fundamentals are very strong and in place. You remember that we had a very tough first quarter where the calendar was pretty bad. So that was there. But after that, it has been a steady improvement pace. So we should expect the momentum to continue. In fact, what you -- I don't know if you saw it in the data was we also, in some sense, consolidated our retail network.

So some of our margin draining retail stores have been taken off. So that also augurs well for the overall network. And to that extent, we are also cranking up the expansion machinery once again. So that will give us another wave of growth as we go along. So I think, yes, the quarters ahead fundamentally look strong.

Tejash Shah : Sure. Second question is pertaining to Pantaloons. So with 40 store closures in the last 12 months, is the consolidation phase over? And does the metro Tier 1 focus means that we will service the demand beyond Tier 1 through Style

Up? Because interestingly, Style Up is now 39 stores so far versus 40 stores, we have opened 39 stores. Obviously, this can be a coincidence. But just wanted to know your thoughts on how to think about both Pantaloons expansion from here on and Style Up's expansion also in Tier 2, Tier 3?

Sangeeta Tanwani : Yes. Tejash, this is Sangeeta. So as far as Pantaloons is concerned, like we've talked before, our distribution strategy is in line with our overall brand strategy, which is about premiumization.

And therefore -- of course, every retailer reviews its store and performance from time to time, but for us, more so, this is a bit of a reset to make sure that as a brand, we come together and we come through as a consistent brand across the pop strata.

So we've closed, as the commentary has told you, about 40 stores in the last 1 year. We'll have a few more in this quarter. And for next year, of course, we'll review, based on performance and the market conditions, how things progress.

As far as your second question is concerned, here in retail, we are very clear. It's a two-pronged strategy, because we are addressing 2 very different consumer sets. Style Up is clearly playing in the value segment category. And again, we have close to 40 stores, which we will continue to expand to address the needs of that consumer.

The mid-market segment, which is where Pantaloons operates, we will continue to expand in the relevant markets. You will see increasingly, our expansion of Pantaloons largely in metros, mini metros and Tier 1 towns, whereas the Style Up audience is there in the metro and continues to exist across the pop strata. So two-pronged strategy, 2 brands addressing 2 different consumer sets with their own separate distribution agenda. I hope I've answered your question.

Aditya Birla Fashion and Retail Limited (ABFRL)
February 17, 2025

Page 8 of 20

Tejash Shah : Yes, you have. If I may squeeze in one more. So Sangeeta, what are the initial stage markers we are monitoring to track the product market fit for Style Up? And if you can share any of KPIs that you're monitoring there?

Sangeeta Tanwani : So we are monitoring it like we would monitor any other retail business. Of course, very specific focus on store economics to ensure that even today, at a store network level, the stores are positive. Our focus is to continuously ensure that our inputs, which is in terms of our merchandise strategy, we continue to improve that.

We've launched new categories. We've launched beauty, which has started off really well for Style Up. We've relaunched lingerie, which is also doing well. So to complete the proposition, it is still almost the first full year of Style Up. And therefore, we are learning very, very quickly as we are going along to make sure that our proposition is both relevant to the customer and differentiated versus competition.

So all the metrics in terms of customer metrics are being monitored and commercial metrics from a business model standpoint are being monitored. And our eyes are on sharpening the acts on proposition and expanding our distribution.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on good LTL in Lifestyle Business and margin improvement across segments for the company. Sir, first question is on network optimization and restructuring with partners, both in Lifestyle and Pantaloons. I just wanted to check, do you foresee any losses related to inventory liquidation at these stores, any kind of asset write-offs which may happen, or that has already been taken care of?

Ashish Dikshit : I'll chip in here. I think the results that you see here are inclusive of any inventory dormancy or any potential -- we have a very conservative but a consistent policy on that. So there will be no surprises on that account.

Devanshu Bansal: Understood. And sir, we have

sort of closed stores, right? And now we are sort of again going

aggressive on the expansion. So I just wanted to check on the key learnings with the stores that we have closed, which we are now sort of building upon to open new stores aggressively again?

Ashish Dikshit: So I think three different parts of businesses where store closures have happened. Lifestyle Brands, I'll let Vishak to comment. But primarily, we felt that there were operating conditions where many parts of the market, particularly our expansion into smaller towns, was taking time to fully fructify. Most of our store closures were consistent with this sort of phenomenon, which is smaller towns taking longer to recover. And that's where a lot of rationalization has happened.

Pantaloons is a different thing. As Sangeeta just responded in previous question, it was a strategic call on shift in premium positioning. And therefore, we felt that a lot of smaller towns as well as Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

Page 9 of 20

smaller size stores, which didn't do justice to overall Pantaloons proposition needed to be pruned. We have done a significant part of it. There's still some part which is left there.

The third large rationalization came in TCNS, where post evaluation, once we came into the business over the next 6 to 9 months, we looked at the network profitability took a onetime deep correction.

So we think most of these are strategic onetime corrections in a large manner. And as the consumption improves, both the businesses -- all the 3 businesses will be able to grow. Lifestyle Brands particularly also will have access to their own cash. So their ability to grow even in downturns, when franchisees have not in a position to invest during the low time, the business will be able to sort of short circuit that and invest deeper.

Pantaloons -- our primary investment in the Pantaloons segment is going to be in Style Up, although we'll continue to gradually increase Pantaloons. And TCNS is an early stage for us to start growing. Right now, the focus is on profitability.

Devanshu Bansal: Understood, sir. The last question...

Vishak Kumar: I'll add, sorry, Devanshu, to what Ashish said, which is in terms of Forever 21, we had an accelerated closure of stores. And that will be there in Q4 also in that sense. So like Jagdish mentioned in his speech, we are getting out of the offline Forever 21 business. So that also added to the total list of closures.

There is, of course, also the routine lease expiry, locations becoming irrelevant, et cetera, which is there. But usually, the new additions would be significantly higher than that. This time, there were a set of one-offs also, which had to be pruned. So those -- I think we have fairly robust criteria of stop loss and have robust criteria around evaluation of stores, et cetera. I think we get it 95% right, and that's the accuracy level at which we would like to work, because we do need to grow aggressively our network.

Devanshu Bansal: Understood, Vishak. Sir, last question from my end. The debt level is currently sort of INR1,800 crores after receiving the QIP proceeds. I guess, after the preferential issue, it should be largely

-- you said that ABLBL will be having INR700 crores of debt and ABFRL will have INR1,300 crores of cash. So I just wanted to check on the leeway for ABFRL's growth, right? So would this INR1,300 crores capital be suffice for them to sort of move on to the next decade of growth? Or there is a certain period that this capital can sort of suffice growth from this segment?

Ashish Dikshit: So two parts, Devanshu. One that while your analysis is perfect, I think we expect the ABLBL business to start with a debt of INR700 crores and ABFRL to start with a cash of between INR1,300 crores to INR1,500 crores.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17 , 202

5

Page 10 of 20

The only other point I would add to that is that we are also looking to separately raise capital in TMRW for its own growth. Right now, you're looking at numbers at a consolidated level. Once you take that out, it will free up a lot more capital for ABFRL's remaining businesses. And then if you look at within the ABFRL businesses, Pantaloons is capable of generating its own free cash flow. Style Up is where capital will be required. Large part of Ethnic is self-funded. Perhaps Tasva is one where meaningfully reasonably large size of capital will be required. And there is a small investment that will go into the first store in Galeries Lafayette. So we feel over the next 3 years, we have enough cash cover left for growing these businesses. Of course, the internal accruals from the profitable business will continue to further add to that. And TMRW's fundraise will take away kind of the sort of responsibility for this current cash flow.

Devanshu Bansal: Sir, just a small follow-up here. So within, say, 3 years, you expect the smaller sort of new ventures, Style Up, Ta sva, Galeries Lafayette to gain scale, and then post that they'll be able to sustain on their own or we may have to sort of raise more capital within ABFRL?

Ashish Dikshit: So our current analysis, and that's why this level of capital was raised, is that with the capital that we have raised, over the next 3 years, we should be able to accelerate the growth of these new businesses to a point that at the end of that cycle, the company as a whole, which is the demerged ABFRL, will be free cash flow generating company.

Moderator: We'll take the next question from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: My questions again are on Pantaloons. So I hear you saying that we are going to be focusing more in the metro cities, Tier 1 markets, mini metros, focusing more on the premium category. Just want to understand that today when we look at our current portfolio of Pantaloons, what would be the positioning or, say, a couple of years ago, what was the positioning? And how much time will it take us to get to the premium level which we are aspiring to get to?

Sangeeta Tanwani: Yes. So Sheela, if you look back at the history of Pantaloons, a few years back, about 3 to 4 years back is when we defined our strategy to move up, just before COVID, in fact, from a value player to being a mid-market player.

And we commenced our journey then. Of course, COVID came and disrupted business for almost everybody. I think we have got all our elements. The foundation is absolutely strong. The distribution correction that you see, as I said earlier, is to make sure that the brand experience is consistent.

Today, with all the consumer work that we have done, and we've done some very extensive consumer work in the last 6 to 8 months, the consumer clearly sees us as a player in the mid-market segment. I think it's a question of now ensuring that the brand imagery, the brand

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17 , 2025

Page 11 of 20

experience is consistent across each of our stores, and that's our journey to ensure that our merchandising continues to get better, to ensure that our stores continue to look good. And therefore, we are investing in, again, a new retail identity, which is completely in sync with where the market has moved. And equally to make sure that our customer experience is superior to most other players.

So to answer your question, I think we have already made the shift, not just as defined in our strategy, but as the consumer has paid back to us. It's now a question of just fine-tuning our strategy and making sure that our execution is consistent. I would expect that it's a journey of another 12 to 18 months for us to look more, shall I say, coherent across each of our stores.

Sheela Rathi: Got it. Understood. Just a follow

-up here, Sangeeta. Will this be led by own brand strategy only? Or do we plan to change the portfolio?

Sangeeta Tanwani: So our emphasis on private label has been there. Over the last few years, our share of private label has improved a little bit. I think the lens that we are using is to make sure that our brand and label assortment is relevant for that city and for that store.

Our emphasis will be to make sure our private label is very competitive and relevant, that we offer great value through our private label. In those stores and those markets where the external brands play a complementing role and, therefore, offer a greater variety to our customer, we will continue to have those brands.

But the choice making today, I think, is far more deliberate and it is far more data enabled. And therefore, as we are looking at the layouts and assortment of labels in each of our stores, it's far more specific, keeping in line with the understanding of the customers in each of those cities.

So we'll continue our play with both, but private label will be our top priorities, and we will continue to improve that merchandise and, therefore, the share of private label over a period of time.

Sheela Rathi: Understood. My second question again is on the store expansion strategy. You talked about we had store closures and there may be some more going ahead. Having said that, when we are opening Style Up stores, are we having a strategy where it is closer to a Pantaloons store, or we are pursuing a very independent strategy of driving expansion of Style Up? I mean I just want to understand how are we leveraging our existing brands to scale up Style Up faster?

Sangeeta Tanwani: So the strategy for the 2 brands and 2 businesses is absolutely independent simply for the reason that the consumer sets are completely different. We've had examples where we have a Pantaloons and a Style Up store sitting right next to each other, because we believe in that catchment, there is potential for both of those stores.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

Page 12 of 20

And I think the fact that we have a sharp understanding of who these consumer sets are or which these consumer sets are, we assess the potential of each of these businesses independently. And if it turns out that the stores need to sit next to each other, so be the case, or if there's no potential for Style Up in that catchment, Style Up will find its own location in that city.

Sheela Rathi: Understood. My second and final question was on TMRW. How should we think about the growth going ahead? I did hear you say that we will require to do some capital raise. But how should we think about the growth trajectory and the profitability journey for TMRW, say, for the next 2 years?

Ashish Dikshit: Sheela, this is Ashish here. As you can see, over the last couple of quarters, since TMRW's numbers are also getting represented here, that business is growing organically at about 25% to 30%. And that's really the kind of growth rate we think we'll continue to maintain.

Over a period of time, a part of capital raise will also go towards inorganic opportunity. I think the whole space of digitally-first focused and Gen-Z and young millennial customers is a very large opportunity.

Our current portfolio of about 5 or 6 brands is focused largely on the young casual menswear space. There will be opportunities later. And post fundraise, we'll obviously look at entering some of the new categories as well. But at this point of time, therefore, 25% to 30% organic growth rate is what we are experiencing, and that will continue to remain. Overall picture may change post the fundraise, but that's something that we can talk about when that actually happens.

On profitability, the intrinsic profitability of each of these brands is on a continuously improving path. Barring 1 out of 6 brands, I think most others

are close to being profitable. Some of them already are profitable. There is a corporate overhead below that, which is sort of pulling down the overall profitability. We think over a period of time, as intrinsic profitability of the constituent brands of TMRW improves, that will be able to leverage the overhead that currently exists.

Moderator: We'll take the next question from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Firstly, sir, on Lifestyle Brands. Now I understand this is a more penetrated category versus others. And if I remember, a few years back the growth lever here which was identified was expansion into smaller cities with concepts like Peter England RED. Now the focus is back on larger cities. So how should we look at the growth outlook? Is it like calibrated down now to a more mid - to high -single digit, which is more realistic? Your thoughts on this?

Vishal Kumar : Sameer, so we still have a very robust Peter England RED network. Likewise, we have a network of about -- totally, altogether, in Tier 4 towns itself, we would have about 700 -odd stores. So it's a very robust network and that grows. It's a reality that the headwinds in those markets have been a little more than the overall conditions in other markets.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

But those are short-term ups and downs that we have to deal with. In the medium term, these are as important for us as markets as are the Tier 3, Tier 2, Tier 1 and the metro cities. So in that sense, all I can say is that at this point of time, maybe the number of new stores which will come up in bigger cities might be more.

And also, we're looking at larger store formats as our merchandise assortment has expanded. But it doesn't mean that the other towns are any less important. Those will also continue to be. Short term, the aggression in growth in smaller towns would be a little muted as compared to what we would do in the bigger cities.

Sameer Gupta: So short term, a mid- to high-single-digit growth rate considering demand comes back in a more consumer-friendly environment, that's a realistic assumption?

Ashish Dikshit: In small towns, you're saying?

Sameer Gupta: No, as an overall Lifestyle Brands.

Ashish Dikshit: I think so. I mean, look, please recognize that our costs escalate 5% to 6% year-on-year, okay?

So as a network, you've got to constantly keep growing faster than your cost to be a better and better network, okay? So that will be a continuous drive to keep improving like-for-like sales as we do. So I can only say this that there might be some ups and downs across quarters, but in general, that's the kind of direction going forward in our business.

Sameer Gupta: Got it. Second question is on the net debt. Now I heard Jagdish also point this out that INR700 crores of net debt in ABLBL from FY '26 onwards. Now I remember last year, this number was around INR1,000 crores. So is my understanding correct that the whole year, the more cash-generating business has only accrued INR300 crores, and this is despite low working capital and capex requirements in this set of business?

Jagdish Bajaj: Sameer, so this is like we have to monitor the account separately. Firstly, whatever working capital charge, plus working capital consumption, plus capital expenditure, all needs to be met by the business itself. Therefore, the opening date of INR1,000 crores, we are saying that year-end will be around INR700 crores. So the cash generation of the business has gone into fund the capex and working capital and interest.

Sameer Gupta: I'll probably take this offline. Lastly, sir, if I may squeeze in. Outlook on Tasva, you've added 10 stores this year so far, and this year was a very healthy wedding-oriented, third quarter was very wedding heavy. So what is the outlook or plan in terms of store rollout going forward?

d?

Ashish Dikshit: So first half of the year was very, very poor, and it was one of the lowest wedding period for Tasva, for the market itself. I think as the weddings are coming back, obviously, the expansion is increasing.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

The second half of this year is seeing more expansion than previous half. But overall, post fundraise and strengthening the balance sheet of ABFRL, you will see a far more accelerated expansion in Tasva. I think what was important also was to establish and prove to ourselves a very strong store model, which is now increasingly visible, invest behind the brand, getting the store economics, supply chain, et cetera. I think so the foundation has been done. Post this fundraise and a stronger balance sheet, Tasva will be able to expand much faster.

Sameer Gupta: Any number you can share for FY '26?

Ashish Dikshit: I think it would be in the range of 40 to 50 stores from the current level of about -- we end this year at about 70-odd stores, and we should be able to probably add closer to 50 stores next year.

Moderator: The next question is from the line of Tanuj from JM Financial.

Tanuj: Sir, my first question is on Lifestyle. So how are we planning to revise the growth in wholesale in our e-commerce channel? And how is this impacting the profitability of the entire Lifestyle format considering that these channels are low on margin and require higher working capital?

Ashish Dikshit: Tanuj, so 2-3 things. There is a part of wholesale which is very attractive from a profitability point of view, there are parts of retail which are less so. And we have a portfolio, each of them having their own role to play in each of our brand play. There are some one-offs in the quarter which we have to recognize.

And one of our biggest trading partners in the department store formats has been going through, and I said this in the last quarter also, has been going through a strategic shift. And I think it will be probably another quarter or 2 before they can strongly bounce back. So that is there impacted in our base. So there are a couple of one-offs like that which do impact the wholesale and those will, in that sense, go away in coming quarters for our business.

On the e-comm side, actually, exactly what you're saying, Tanuj, which is to say how do we make our e-comm more profitable. In the past, there was also a lot of inventory from a liquidation

of old season merchandise point of view. So as we made our inventory sharper, we have had less of that.

And hence, the kind of business that we want to grow within e-comm is a lesser discount, more profitable growth path. So we're building models towards that. I think that is the way we'll be able to create something which is strengthening brands, addresses the kind of consumers who go to the e-commerce business and yet also is a more profitable mix for us. So that's the thinking on the wholesale side, Tanuj.

Tanuj: Sure, sir. Sir, my second question is on Pantaloons format. Like what kind of store opening are we targeting in FY '25 and '26, net store opening in Pantaloons? And if you can provide the breakup of like what will drive growth in Pantaloons; between SSG and store openings, like how much will be from the SSG side and how much from the new store openings?

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

Page 15 of 20

Ashish Dikshit: So I think at this point of time, we don't want to give a number on growth broken up with this degree of detail. But as Sangeeta had said, we continue to sort of fine-tune our network at this point of time. I'll let Sangeeta chip in and talk about the growth, which is the number of new stores added, but there will be a sort of marginal refinement of the network even in the next 6 to 12 months.

Sangeeta Tanwani: Yes. So specifically for

this year, I think by the end of the financial year, we would have opened about 13 to 15 stores. We have a few more to go in the next few weeks before the end of the financial year. And just this year alone, we would have shut about 20-odd stores. We have shut a few and a few are about to be shut in the next 5 to 6 months. Next year, we are looking at, again, opening about 15 to 20 stores.

Tanuj: And this 15 to 20 stores is the net opening. Am I right?

Sangeeta Tanwani: Next year?

Tanuj: Yes.

Sangeeta Tanwani: We will review -- 15 to 20 will be the new stores. We will review how many stores, if at all, they need to be shut, which is a normal course. Like Vishak was also explaining to you, if a market shifts or if we believe a store is not doing extremely well, that, I think, call we take on an ongoing basis.

Tanuj: Okay. And my last question is on the innerwear segment. Like what scale is the company trying to achieve? And like at what scale we'll be able to achieve the single-digit EBITDA margin in our innerwear segment?

Ashish Dikshit: So we are closer right now to about INR500 crores. I think we'll have to grow by another 40% to 50% from this level to get to that kind of margin structure.

Moderator: The next question is from the line of Jignanshu Gor from Bernstein.

Jignanshu Gor: I wanted to check regarding the margin profile for 3 of our largest businesses, which is Lifestyle, Pantaloons, and Ethnic. The margins are all close to 20% for this quarter. So how should we think about these going forward? Do we expect them -- is there any expansion possible? Or do you think we are broadly near the peak and we should maintain that?

Ashish Dikshit: I think we should look at margins not on a quarterly basis, because fashion is very seasonal and festivals and especially quarters like this are very profitable in that sense. Look at YTD numbers.

And then if you think about the large businesses, Lifestyle Brands over a consistent period of time has operated with revenues -- with EBITDA margins between 18% to 20%. And therefore, that's the kind of margin that -- I mean, last couple of years, it's been closer to 19%, 19.5%.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

Page 16 of 20

Pantaloons is where there is a significant shift in margins, because margins last year at the same time for 9 months was about 13-odd percent, which has moved closer to about 17.5%. So that's where the big improvement has taken place.

On Ethnic wear, I would say it's too early for us to say where the margins will eventually settle, because Ethnic wear consists of 2 kinds of businesses, some very profitable, well-settled businesses, though they may be small, and some businesses, where we are investing deeply, are turning around.

So Tasva is where we are investing deeply. This quarter, it's shown profit -- just positive EBITDA for the first time. And TCNS is also at the low profitability base. Similarly, designers on the other side are very profitable.

But quarter 3 margins are, I would say, exaggerated in the wedding and ethnic markets, simply because of amount of weddings and the festival period that falls in this period. And therefore, I

don't think this is truly reflective of a long-term thing, but it's probably more reflective of the potential these businesses have. At this time, many of the businesses are too small to operate at this level of profitability on an annual basis.

Jignanshu Gor: Okay. That's extremely helpful. I think the second thing I wanted to check, and apologies if this has been covered earlier, is where do we see our strongest sort of growth if we were to aim for a double-digit growth in the Lifestyle, the ABLBL part of the business? How is the management thinking about that? Because it has been a little bit tepid in the last few years now.

Ashish Dikshit: Vishak, can you...

Vishak Kumar: Yes. I think one of our biggest levers for growth, which didn't happen this year is net retail

expansion. So we took, in that sense, a consolidation year of getting the mix right of the kind of stores. Also, like I was explaining earlier, small towns, there were a lot of headwinds that we had to go through.

To a fair extent, that's behind us, and we are back to aggressive expansion. Of course, it takes a little time to crank up that engine, and you will see that over the coming quarters in terms of the kind of expansion that we see. So the way we see it is there's 3 big pillars within retail. So there is, of course, like -for-like retail.

And like I was saying earlier, that will be a continuous journey to constantly keep getting stronger like -for-likes within our business. We have a fairly large network, which applies from a like-to-like definition.

The second is new spaces, new spaces in new markets, also new spaces in existing markets. We also have a multiple portfolio of brands. So there are some brands in some places which also tells us proven spaces for other brands in those markets, et cetera. And that's the second wave of growth, and we have identified white spaces for that in the kind of network we want to expand.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

Page 17 of 20

The third is also what we call project stretch, which is to say there are markets where our stores do very well, but we don't have stores of the size that we would ideally want. So how do we make -- in those same markets, how do we create larger stores for ourselves. Sometimes a higher floor in the same building might be available, but sometimes you might have to relocate to a larger store to be able to do that.

So all of these would be, Jignanshu, drivers towards making for a stronger retail. And already, if you look at our overall retail, it's 2/3 of our business. So when our retail grows very strongly, our overall business has to keep growing stronger. Not to say that the other parts of our business, other channels are any less important. Those we will continue to drive.

We have a very strong department store and trade business. We have a strong e-commerce business. All of those also we'll drive. But if you want to know significantly what changes in quarters ahead, it will be a very aggressive retail expansion.

Moderator: The next question is from the line of Ashish Kanodia from Citigroup.

Ashish Kanodia: So the first question was on the fundraise. So given that this fundraise has happened at a consolidated entity level before the demerger happening. So just wanted to understand what was the thought process of leaving ABLBL with INR700 crores of debt? And related question on this was, by when do you expect that entity to become debt free?

Ashish Dikshit: Demerger plan and the fundraise. At that stage, our expectation was demerger will happen faster. But because we were simultaneously doing the acquisition and therefore the corresponding merger of TCNS, we realized the whole demerger exercise will probably take 12 to 15 months. And that's when we decided to do the fundraise in the combined entity, because that is the fastest way of raising capital at that point of time.

On the question of the rationale for leaving INR700 crores, I think Jagdish, in his previous quarter's response, has explained that the demerger is effective from 1st April 2024. So the books of accounts of the 2 companies are separated with the relevant debts lying in both the companies. And therefore, the company started with close to INR1,000 crores of debt at that point of time, which they brought it down in these 9 months to INR700 crores. Over next 2, 2.5 years, we expect this to become a debt-free company.

Ashish Kanodia: Sure. That's helpful. And second thing, now when I look at your store expansion plan and looking at your presentation, I think there are 2 key categories which you are calling

out in terms

of accelerated growth. One is on the value fashion segment, which would be Style Up.

And the second thing is on the Ethnic business side. So on Ethnic business, I think you guided for maybe 50 stores addition in FY '26. But if you can also give some sense in terms of what to expect in Style Up, and also within Ethnic, beyond Tasva, what kind of a store expansion can we expect?

Ashish Dikshit: So in terms of expansion, Ashish, there are not 2 but 3 large shifts that we are looking at. And primarily driven by the fact that I think organic performance is improving, we have completed our acquisition journey, now the focus is sort of improving the strength of those businesses and creating larger leverage.

The first that Vishak talked about, which is Lifestyle Brands accelerating much faster than network expansion. We think that's a large opportunity, which was sort of underleveraged in the combined entity. And one of the strategic rationale for the demerger was to leave that cash for allowing that business to soar. So that's point number one.

As far as value retail is concerned, you're absolutely right. I think Style Up is the opportunity. We expect this year to end with a network between 45 to 50 stores -- 48 to 50 stores. Next year, we'll definitely, at the minimum level, double it. As we go along during the course of the year, we'll see if we can expand faster than that. But at this point, I think the number that I would play out is about 50 more stores next year.

Tasva has already got the momentum with 70 stores now in the network and a good model which is working well. So Tasva is about 50 -odd stores. Tasva is, of course, more concentrated network. Potential for Style Up in subsequent years is much larger, but we obviously want to take bite size as we keep improving the economics of the business before we expand too rapidly.

Ashish Kanodia: Sure, Ashish. And just last bit is on TMRW. So just you touched upon that, and I think this has been a strategy for quite some time that TMRW will have its own path of fundraising. So just 2 questions here. One, how much total investment has been made in TMRW till date? And secondly, what kind of a fundraise and what timeline are we looking for TMRW?

Ashish Dikshit: So I think, Ashish, we've been pretty consistent with the strategy of TMRW. We knew it's a longer term, because it's a very, very, very large opportunity of a market which is emerging quite rapidly. We had initially invested close to \$100 million, which is between INR750 crores to INR800 crores in equity. There's a little bit of debt, which TMRW has taken on the balance sheet. So let's say, about INR1,000 -odd crores is really what we have invested in that business. In terms of time line, we'll look at, when markets are right in the next 9 to 12 months, to raise this capital. And the exact amount, I think, closer to the time we'll decide. I don't want to give a number at this stage.

The only other thing I would say is we will fund TMRW's growth with that capital. So in a sense, the current rates will be largely kept for the ethnic and the value retail apart from a small luxury play.

Moderator: The next question is from the line of Videesha Sheth from AMBIT Capital.

Videesha Sheth: Most of my questions have been answered, but just a follow-up in case of Pantaloons and Style Up. So in the pursuit of having a different proposition for Pantaloons as well as Style Up, if you Aditya Birla Fashion and Retail Limited (ABFRL)
February 17, 2025

can elaborate on the initiatives, either in terms of demarcation of price points or the new launch momentum or store layout, if you can go a little granular in terms of how different is the proposition and offering in case of Pantaloons versus Style Up?

Sangeeta Tanwani: Videesha, so as

I mentioned before, these are 2 separate businesses targeting 2 different consumer segments. They play in different spaces from a price point as a part of the proposition. So let me just go one by one. They are both multi-category stores operating across women's western, ethnic, and men wear, and accessories. The formats are very different.

The focus on merchandise is very different. Style Up is a completely private label space with everything that is sold in the store is designed by us in-house. Pantaloons, as you know, has external brands.

The pricing is different between the two. In case of Style Up, our exit price points are about INR1,200 to INR1,300, with bulk of our merchandise being below INR1,000. In case of Pantaloons, the exit price point is much higher, would be probably twice of that, because the consumer segments are different. So while we operate with the same set of categories, the merchandise is different because the price points are different and our store formats are different. On an average, Style Up size is about 6,000 to 8,000 square feet. In case of Pantaloons, in fact, given our strategy to play with a little bit of premiumization in the mid-market segment, we are opening larger stores, and our average store size is anywhere between 15,000 to 20,000 square feet.

We have examples of stores that we are opening which are 30,000, 40,000 square feet. So they

look completely different. The teams that work on these propositions are completely different. And as I said, the opportunity exists for both of these propositions, because both the consumer sets exist in large numbers and we are continuing to strengthen our proposition in both.

Moderator: Ladies and gentlemen, in the interest of time, we'll be taking the last question, which is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: One clarification. Sir, the other segment within ABFRL, I assume that it's largely the super - premium and Luxury Retail. And a margin of 13% this quarter, I understand this business used to be very healthy with 20% plus margins, and that too in a seasonally strongest quarter, just wondering if I'm reading it correctly?

Ashish Dikshit: No, two parts. One, you're reading it correctly in a large extent, but to give you comfort, the existing operating business, which is the Collective and the international brand, continues to remain same healthy margin that you talked about. There is currently an investment going on in the Galeries Lafayette store and that's really what has brought down the overall margin.

Sameer Gupta: Got it. That's helpful. Secondly, Forever 21, I missed the detail. So you mentioned phasing out of the offline business. Just some details around what is the size of this business currently? And

Aditya Birla Fashion and Retail Limited (ABFRL)

February 17, 2025

Page 20 of 20

what is the kind of impact -- if there is any positive impact we can expect on the EBITDA will be very helpful if you can share that?

Ashish Dikshit: So it will be positive because we were not making money in that business. But obviously, we don't reveal details at the brand level. It wouldn't be right to give you the exact number. There will be a positive impact on EBITDA.

Sameer Gupta: And is online big in this, like you will continue to do online, right?

Ashish Dikshit: In a very small -- subscale level. So it's not material in that sense. Most of the business was offline.

Moderator: Ladies and gentlemen, as that was the last question for today, we will conclude the Q&A session. On behalf of the management team, we thank all the participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines. Thank you.

Call: May 2025

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May 28, 2025

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q4 and FY 2 5 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated May 19 , 202 5 and May 23, 2025

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 4 and FY 25 Earnings Call held on May 26 , 202 5 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e., www.abfrl.com .

Thanking you ,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

E

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED &
ADITYA BIRLA LIFESTYLE BRANDS LIMITED
MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER ,
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MS. SANGEETA TANWANI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – PANTALOONS

Aditya Birla Fashion and Retail Limited (ABFRL)
May 26, 2025

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Fourth Quarter Earnings Conference Call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q4 FY '25 and FY '25 performance followed by a question -and- answer session.

We have with us today Mr. Ashish Dikshit, Managing Director, ABFRL and ABLBL; Mr. Jagdish Bajaj, CFO, ABFRL; Mr. Vishak Kumar, Deputy Managing Director and CEO, ABLBL; Mrs. Sangeeta Tanwani, Director and CEO, Pantaloon.

I want to thank the management team on behalf of all the participants for taking valuable time to be with us. I must remind you that today's discussion may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risk that the company faces. Please restrict your questions to the quarter performance and to strategic questions only. Housekeeping questions can be dealt separately with the IR team.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj: Thank you. Good afternoon, everyone. Welcome to the Q4 FY '25 earnings call. Thank you for joining us today. We are pleased to report a strong close to what has been a transformative year for our business. With culmination of our demerger exercise, this quarter marked the beginning of a new era for Aditya Birla Group's fashion business as two powerful independent fashion entities now commence their distinct value -creation journeys.

Let me begin with some key corporate updates for Q4. We successfully completed the demerger, creating two focused fashion power houses, Aditya Birla Lifestyle Brands Limited, ABLBL; and Aditya Birla Fashion and Retail Limited, ABFRL, both now set on independent high -growth trajectories.

The Board of ABLBL has allotted shares to all the eligible shareholders of ABFRL as per the record date. These shares will be credited within the next 2, 3 days, and ABLBL is on track to be listed by the end of June.

We successfully raised USD 490 million of equity capital through QIP and preferential issuance during this quarter. With that, we have infused tremendous strength into the balance sheet of demerged ABFRL with an availability of INR2,350 crores cash at consolidated level to pursue aggressive growth across its multiple high -growth platforms.

Now industry scenario , the quarter continues to see strong macro headwinds with sustained impact on consumer discretionary consumption. We delivered a resilient performance in this tough quarter, underpinned by disciplined focus on profitable growth and sharper execution across businesses. Both entities delivered robust profitability, ABLBL clocking 200 basis points margin expansion, while demerged ABFRL more than doubling its EBITDA.

Coming to the financial performance for this quarter. As you are aware, the demerger was approved by shareholders on 21st January 2025. Accordingly, ABFRL held ABLBL's assets as Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 3 of 18

assets held for distribution. As a result, the published financial results reflect, a) continued operations of demerged ABFRL; b) discontinued operations pertaining to ABLBL.

Starting with Aditya Birla Lifestyle Brands Limited - Our premium Western wear business and home to some of India's most loved lifestyle brands .

ABLBL continued to demonstrate a robust and profitable growth trajectory with a marked improvement in performance during the second half of the year.

In Q4, the business delivered high single-digit like-to-like retail growth, driven by consistently robust retail execution, continued product innovation and a sharp focus on enhancing customer experience. At the same time, the company strategically rationalized low-margin channels and enhanced the

overall quality of its distribution network.

Please note that for ABLBL, depreciation of INR148 crores on discontinued operations was not charged in consolidated financials due to asset classification under the demerger. However, ABLBL's own financials reflect full depreciation.

ABLBL delivered a resilient performance in Q4 '25, posting normalized revenue growth of 3% to INR1,942 crores. Post considering intercompany elimination adjustment, revenue reported under discontinued operations were INR1,859 crores. EBITDA stood at INR330 crores, reflecting an 18% Y-o-Y growth. And the normalized EBITDA margin that is ex demerger impact of elimination expanded by 200 basis points to reach 17%.

For the full year '25, ABLBL reported normalized revenue of INR7,830 crores with a normalized EBITDA margin of 16.2%, a 100 basis point improvement over the previous year. Full year revenue under discontinued operations stood at INR7,619 crores.

The normalized PAT would have been INR250 crores versus INR168 crores reported highlighting the strong underlying profitability of the businesses. Below are the adjustments, gain of INR109 crores on account of lower depreciation, net of deferred tax liability and exceptional loss of INR98 crores on account of discontinued Forever 21 operations, hence, net gain of INR11 crores. INR50 crores operating losses of Forever 21 was also included in reported EBITDA. INR50 crores higher interest in ABLBL from 1st April 2024, which will not be there next year.

Net debt of ABLBL at the end of fiscal stand at INR781 crores with repayment targeted within next 2 to 3 years. ABLBL shall be a dividend-distributing company at the earliest appropriate opportunity.

ABLBL stands today as India's most formidable premium lifestyle brand platform built on the backbone of strong operational excellence perfected over years and powered by strong brands, innovation-led cultures and industry-leading talent.

Let me talk to you about Lifestyle Brands. With one of the strongest and most versatile brand portfolios in Indian fashion industry spanning categories, price points and consumer occasions, Brands continues to set the benchmark and redefine industry standards.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 4 of 18

Our Brands sustained their exceptional momentum, delivering an industry-leading retail like-to-like growth of 9% in Q4, following a very strong 12% LTL growth in Q3 over a network of 2,900-plus stores. This marks the third consecutive quarter of positive LTL performance, reaffirming the salience of these brands amongst Indian consumers and also highlighting the exceptional quality of retail execution.

Revenue for the brands grew by 5% Y-o-Y to INR1,639 crores this quarter with EBITDA margins expanded by 50 basis points to 20%, underscoring the business ability to drive profitable growth despite a subdued overall consumption environment.

For full year FY '25, revenue for Brands stood at INR6,575 crores with EBITDA margin of 19.3%. All of our Lifestyle Brands have earlier surpassed the INR1,000 crores revenue mark with 2 exceeding INR2,000 crores, making them amongst the very few brands in the Indian fashion industry to achieve such a scale.

Other businesses include Reebok, American Eagle and Van Heusen Innerwear posted 3% growth in Q4. Revenue performance was marginally impacted by the closure of Forever 21's off-line operations. Importantly, the segment delivered positive EBITDA, highlighting the improving profitability profile.

Strategic distribution expansion continues to be a critical growth driver for ABLBL businesses. Over the next 12 months, leveraging its strong cash flows, ABLBL is set to embark on a historic expansion drive with an aggressive retail rollout across its brand portfolios, adding over net 300 stores across the country to accelerate growth and deepen market presence.

Now operating

as an independent entity post demerger, ABLBL is uniquely positioned to chart its own value-creation journey. Combined with a stable high-margin core, a high-growth emerging brand portfolio and the strong brand equity with its consumers, the company is strongly positioned to confidently invest in driving growth, innovation and long-term leadership in fashion and apparel space.

Let me now explain to you the performance of demerged ABFRL. The demerged Aditya Birla Fashion and Retail Limited continued its strong growth trajectory in Q4 FY '25, anchored in a clear strategy of profitable scale -up across its diverse, high -potential business segment with leadership positions across ethnic wear, masstige and value retail, luxury fashion and digital -first brands. The company remains well positioned to capture growth in India's evolving fashion landscape.

ABFRL's focused execution translated into both top line growth and significant margin expansion this quarter. In Q4 FY '25, the company reported a robust 9% Y -o-Y revenue growth reaching INR1,719 crores.

Comparable EBITDA more than doubled to INR199 crores, up 103% versus last year, reflecting strong operating leverage and efficiency improvement across segments. Reported EBITDA stood at INR295 crores with a significant margin expansion to 17.2%. Reported EBITDA includes gain of INR97 crores on account of discontinuation of interdivision elimination post Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 5 of 18

demerger as company's financials get reset to report on independent and stand -alone basis going forward.

For the full year FY '25, demerged ABFRL posted revenue of INR7,355 crores, registering a 14% increase over the previous year.

The comparable EBITDA margin expanded by 220 basis points to 103% amidst a challenging consumption environment.

Demerged ABFRL has INR2,350 crores cash at consolidated level. With a sharpened brand portfolio, strong balance sheet and margin momentum, ABFRL is evolving into one of India's most versatile multi -format, multi -brand fashion platform.

Let me first cover Pantaloons. Pantaloons segment continued its trajectory of margin -led growth in Q4 FY '25, reporting revenue of INR885 crores, which were impacted due to 50 -plus stores closure in the last 15 months. The business achieved a significant EBITDA margin expansion of 480 basis points, reaching 15.1%, its sixth consecutive quarter of margin improvement. For full year, the segment margin stood at 16.9%.

Pantaloons format delivered margin of 18% in FY '25, highlighting the consistent execution of retail operations across Pantaloons' network, along with lower markdowns, improved private label share and disciplined cost optimization efforts.

Style Up, our value retail format, maintained its strong momentum, expanding its footprint to 46 stores with 7 new additions during this quarter. The format posted 70% revenue growth for the full year, showcasing growing consumer acceptance and setting the stage for further scale up in FY '26. The recent fundraise will be partly deployed to expand the network to over 300 stores in the next 3 years.

Ethnic business. Our Ethnic wear business has firmly established itself as a powerful growth engine within ABFRL's portfolio. Today, we house the largest and most comprehensive ethnic brand portfolio in the Indian fashion industry, spanning designer -led and premium segment. This scale, combined with sharp execution and deep consumer resonance, has enabled us to consistently deliver double -digit growth across quarters.

In Q4 FY '25, the Ethnic wear segment reported revenue of INR564 crores, registering a robust 19% Y -o-Y growth. Profitability also improved sharply with EBITDA margin expanding by 700 basis points to 10.1%, supported by margin improvement across the brand portfolio.

On full year level, Ethnic portfolio revenue stood at INR1,956 crores.

With peak losses behind

us, further scaling of the Ethnic portfolio shall drive profitability improving going forward. Our designer -led ethnic portfolio, which includes Sabyasachi, Tarun Tahiliani, House of Masaba and Shantanu and Nikhil delivered an exceptional 46% Y -o-Y growth in Q4 with EBITDA margin exceeding 20% in the quarter.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 6 of 18

Most of our designer brands recorded their highest ever quarterly revenue in Q4 as they continued to strengthen their position as India's leading aspirational fashion houses, reaffirming our strategic thesis of building a distinctive and high -potential designer brand portfolio.

Within the premium ethnic wear space, Tasva posted another strong quarter, leveraging the peak wedding season to drive over 50% Y -o-Y sales growth and 12% like -to-like growth. The brand continued to strengthen its presence in key wedding markets and build traction with Indian consumers. The current network of around 70 stores is expected to scale to over 200 stores over

the next 3 years.

Meanwhile, TCNS saw a revenue decline during the quarter due to ongoing distribution rationalization. However, the brand reported 4% LTL growth for the full year signaling improving consumer acceptance of new product lines.

With the rationalization phase nearing completion and merchandise significantly refreshed, TCNS is now well positioned to deliver sustainable and profitable growth in the medium to long term. We expect to see significant EBITDA improvement in FY '26 with the TCNS portfolio projected to turn pre -Ind AS EBITDA -positive by FY '27.

Our Luxury Retail business encompassing the collective and monobrand formats grew by 11% in Q4 FY '25, driven by strong e-commerce performance. The portfolio has consistently delivered double-digit growth, accompanied by steadily improving profitability.

Our digital-first brand portfolio under TMRW delivered 27% Y-o-Y growth in Q4, along with margin improvement. This sustained momentum reinforced our confidence in the long-term potential of digitally native brands as we continue to scale through innovative product offerings, curated off-line presence and focused investment in brand equity, tailored for young aspirational consumers in India.

To conclude, even in a tough consumption environment, our businesses have demonstrated strong resilience with consistent margin improvement across the board. With the demerger behind us, we now stand as 2 focused, well-capitalized entities each poised for its own high-growth journey.

ABLBL, backed by a robust portfolio over 3,200 stores and healthy free cash flows, is positioned to double in scale and expand margins meaningfully over the next 5 years with 300-plus stores already in the pipeline for FY '26.

ABFRL with a sharpened brand portfolio, a comprehensive diversified play across high-growth segments and a gross cash balance of INR2,350 crores is set to unlock the next phase of growth, targeting a 3x revenue scale up and 2x margin expansion over the next 5 years.

Together, we are building two future-ready fashion platform, resilient, profitable and prime for long-term value creation.

We are open to questions now. Thank you.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 7 of 18

Moderator: Our first question comes from the line of Ashish Kanodia with Citi.

Ashish Kanodia: The first question is on the demerged ABFRL. Now when I look at the guidance, you're talking about doubling the margin. Now full year FY '25 post -Ind AS margin is 9% excluding the other income. And if you have to take it to, say, 18% in the next 5 years, what will drive this because Pantaloon's is at around, say, 16% to 17% margins? So do you see what will be the bridge for - at a company level going to 18% margin?

The second thing on the Pantaloon's is part of, at least

, the outside view is that when we look at

the margin expansion, it's also driven through closure of these underperforming stores, almost 50 stores in the last 15 months. Now say in the next 1.5, 2 years, as you start to open new stores, what is the sustainable margins for Pantaloon's?

And the third question is on this INR97 crore adjustment, is it fair to say that this intersegment, which is now not getting adjusted, this is predominantly sitting only in Pantaloon's because within Pantaloon's you would also fill the Lifestyle branded merchandise. So is that understanding correct?

Jagdish Bajaj: So let me take Q3 first. INR97 crores is the elimination or writing up of the inventories in line with the purchase price of Pantaloon's. So this is a onetime adjustment, which was earlier knocked off as interunit division. Now it will not be there going forward because both are independent companies. And on long-term margin guidance and Pantaloon's' margin, Ashish?

Ashish Dikshit: I think we have put out a longer-term guidance for each of our business segments in the last analyst meet that we conducted. It's in public domain, so you can look at some of those numbers to get a reference on that.

But coming to demerged ABFRL entity, the primary -- I would say the largest uptick in margins will come from turning the businesses, which are currently negative EBITDA and taking away from the profitability. Notably, parts of Ethnic businesses, TCNS being the largest, Tasva being the second and TMRW being the other businesses, these are businesses which are actually suppressing the margins that other profitable businesses make. And that would be the largest. Of course, there will be margin expansion in some of the other businesses as well. But I think the significant part of this will come from turning around the businesses, which are currently loss-making.

On the question of Pantaloon's margin, Ashish, I think while your observation is correct, we have shut 50 stores, the cumulative impact on EBITDA for these stores is not much. These are -- a lot

of stores have not been shut because all of them are loss-making. Many of them have been shut because either they were too small, not in line with the strategy, some of them were such that we didn't feel we'll be able to turn them around meaningfully enough to profitability.

The large part of profit improvement in Pantaloons has come from margin expansion, which is gross margin expansion, which is a function of lower markdown, which in turn is a reflection of better product apart from better plan.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 8 of 18

So it's not that we have shut the stores, and therefore, margins have expanded. I think a larger part of margin expansion has come in underlying businesses through more long-term sustainable pieces.

The margin for the Pantaloons segment, as we report, which includes the Style Up as you can make out, has moved significantly. Jagdish mentioned for 6 consecutive quarters we have shown margin improvement. On a full year basis, also the margins got for the segment closer to 17%.

For Pantaloons format itself, obviously, you would know margins is even higher.

I still believe there is a long runway. I think a lot of good work has happened in Pantaloons, but there's a long runway currently from where we are for Pantaloons also to expand its margin. We think at least 300 basis point improvements from here is pretty much something that we will look to target in the next couple of years.

Moderator: Our next question comes from the line of Garima Mishra from Kotak Securities.

Garima Mishra: First question, demerged ABFRL has started off with a net cash balance, right? So would this current cash balance be sufficient to fund the planned expansion and investment across the different business segments in this company?

Ashish Dikshit: Yes. Garima coming back to

your question, as Jagdish mentioned, there is sufficient capital, close to INR2000 crore-plus, which is lying as a gross cash in the ABFRL subsidiary. You would also know that we are looking to raise capital separately in TMRW, which would be required to fund that part of the business. So we feel adequately capitalized to drive this over next 3, 4 years.

Garima Mishra: All right. And you did mention that the process of finding an external investor for TMRW is on. Is there any time line you have in mind as to by when you think this process might see some result?

Ashish Dikshit: Sometime this financial year.

Garima Mishra: Okay, okay. Understood. One question on Pantaloons. So FY '25, clearly, we did see some store rationalization. What should we expect really for store additions in FY '26 and '27?

Sangeeta Tanwani: Garima, this is Sangeeta. So I think while we rationalize and as Ashish explained that stores which were not in line with our strategy are the ones that we have closed, the new stores that we are opening, obviously, are with a stronger set of guardrails in terms of the kind of stores that we are opening. We're opening larger stores focused largely on metros and mini metros and Class 1 towns, and we expect to open around 15 to 20 stores in the coming year.

Garima Mishra: Understood. And last question from me, again on Pantaloons. So of course, this year, we saw a big EBITDA margin improvement. Can I also get the pre-Ind AS EBITDA margin for Pantaloons?

Ashish Dikshit: Garima, we'll declare segment-wise pre-Ind AS margins at a periodic frequency. We do it at the end of every year and we'll meet that because, otherwise, it will lead to too many numbers and

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 9 of 18

different accounts being seen by different people because this could be asked for any segment of our business.

Garima Mishra: So Ashish, any number that I could have for FY '25, maybe not for the quarter, but anything you may share for FY '25?

Jagdish Bajaj: Garima, I have given at a company as a whole. At least from a comparable figure, it is there in my published results on segmental, let me work on it (pre-INDAS). I will come back to you on that.

Moderator: Our next question comes from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Sir, I was referring to this company by balance sheet that you have provided in the PPT. The net working capital for the demerged ABFRL is at negative INR136 crores and there are some businesses like TCNS, which would be operating at around INR200 crores to INR250 crores of working capital. This implies that the working capital for the other businesses is even more negative. So I wanted to check are these sustainable levels? And what is the long-term assumption that we should work with?

Ashish Dikshit: So I think two parts. One is, as you know, ABFRL demerged entity has multiple businesses. So they will behave differently, as you rightly mentioned, different parts of the business. For a regular branded business with small format stores, we operate with early double -digit net working capital to sales to high single digit.

Our most productive, from a capital point of view -- from a working capital point of view, our most productive businesses are in the Pantaloons segment, which is the largest part of this company. And that operates with close to zero working net working capital. A part of it is negative, in some quarters you'll get marginally positive. So it's the net balance of these businesses, which is what you will see quarter -on-quarter.

Devanshu Bansal: So currently, this negative level, at least on an overall basis, at least because Pantaloons is at 0 and others are high single digit, double digit, so that should be like 5%, 6% of sales is a good estimate, right?

Ashish Dikshit: Yes. Currently, it's negative, you can say so, which means Pantalo

ons itself is showing negative

and Pantaloons segment is showing negative working capital, which is what is driving it.

Devanshu Bansal: Understood. And sir, from a capex perspective, since we are opening about 40, 50 Style Up stores; 15, 20 Pantaloons; 25 in Tasva; and then TCNS luxury is also expected to accelerate, what is the capex expectation for this demerged ABFRL for next few years?

Ashish Dikshit: About -- on an ongoing basis, close to INR400 crores.

Devanshu Bansal: Okay. And this would include Galleries as well, Galleries Lafayette?

Ashish Dikshit: Galleries as such will be a onetime deal, which will be this year, about INR100 crores, INR100-plus crores.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 10 of 18

Devanshu Bansal: So this year, it should be INR500 crores and then INR400 crores is the...

Jagdish Bajaj: Yes, INR350 crores, INR400 crores, yes, Devanshu.

Devanshu Bansal: Okay. And sir, lastly, I don't want segment -wise, but between pre -Ind AS and post -Ind AS numbers for ABFRL, we are seeing that the difference is 13% to 14%. Is this expected to sustain going ahead? Or can we be sort of make resumption based on this 13% to 14% difference?

Jagdish Bajaj: See, this is a function of how many stores are signed and agreed upon. So this time because of our signing was much more, they were 13%, 14%. Let me work on it, Devanshu, we can talk offline going forward. Okay?

Devanshu Bansal: Understood. And last question from my end, sir. This is in reference to the Investor Day PPT on Page number 40 of 205. The Style Up brand has been placed in the INR2,000 crore to INR5,000 crore revenue size bracket by FY '30. The expansion target is pretty encouraging, but aggressive on the other hand as well. I wanted to understand what is the kind of store expansion that we are pursuing for this format for next 5 years?

Jagdish Bajaj: Sangeeta?

Sangeeta Tanwani: Yes. So Style Up, we currently have about 46 stores. This year in FY '26, we plan to open about another 50 stores. Over the next 2 to 3 years, we plan to open about close to 150 -odd stores.

Devanshu Bansal: Okay. So beyond FY '26, we will see accelerated expansion?

Sangeeta Tanwani: That's right.

Ashish Dikshit: Yes. This year, we will start with acceleration, but you will see much steeper acceleration going forward. And a large part of our capital allocation in the preceding fundraise is meant to drive Style Up expansion.

Moderator: Our next question comes from the line of Gaurav Jogani with JM Financial.

Gaurav Jogani: Sir, if we are reading the balance sheet for the ABFRL business, the net cash actually comes to around INR9.3 billion -odd, the net cash that is. Now of that INR9.3 billion -odd, if you look at the capex that you just announced, that would be around INR5 billion -odd. Now assuming there will be still some losses at the PAT level in FY '26, do you still think that it would suffice for the expansions and the plans going ahead?

Jagdish Bajaj: Yes, Gaurav, thanks. As Ashish explained, the gross cash available with ABFRL demerge is INR2,300 crores, right? Then we have a long -term loan, which is up to FY '30 and -- which will go -- the repayment go up to '30, '31. And then the subsidiaries borrowings, that includes borrowing in TMRW also.

As Ashish explained, we have a plan to raise separate capital in TMRW. If I exclude that, we have adequate cash and we are well capitalized at our company for taking care of the capex , working capital and the loss funding for next 2 years, which according to me, the losses will be for next 2 years and after that all my businesses will be profit -making.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 11 of 18

Gaurav Jogani: Sure. So sir, in effect, there will be gross debt that will be -- that could occur at some point in time, right?

Jagdish Bajaj: No, no, no.

Gaurav Jogani:

Because, sir, as you mentioned, while that's the long -term debt, that might sustain, you might not pay that off. And the TMRW entity, if there is a fundraise, then definitely that debt could come down from that level, right? If the fundraise is not there.. .

Ashish Dikshit: Gaurav, you'll have to add to the existing net debt number something between INR1,200 crores to INR1,500 crores, if not more, of additional fundraise in TMRW to look at your calculations. Either you do that or you need remove TMRW debt and look at the picture separately. In both cases, you will find that there is sufficient capital.

Gaurav Jogani: Sure. Sure. So that's helpful. And sir, the other question now is with regards to the ABLBL part of the business. I mean, the ABLBL part you have already mentioned that the growth there will be more on a steady -state basis that you're looking and it would be largely led by network expansion.

So if there, in that entity, if you can help us out what would be the kind of capex ? Because if we dissect the capex that's been done this year, I think approximately INR3.5 billion -odd was done towards the ABFRL entity and approximately INR3 billion was still done towards the ABLBL entity. So if you can help us out how the capex would shape up for the coming years in the ABLBL part of the business.

Ashish Dikshit: Vishak, will you take this?

Vishak Kumar: Yes. Gaurav, as you know, in the Madura side of business or ABLBL, a large part of our expansion is franchisee -driven. So we have the option of having the right blend of partnered expansion and franchise expansion.

This year, like Jagdish was mentioning earlier, we have planned an aggressive expansion plan, which also includes significant capex -driven expansion. But that's a choice that this organization will always have of how much to do as capex -- own capex -driven expansion versus franchise -driven expansion, right? So this year, we plan to open about 300 -odd stores, okay, 300 -plus stores. And maybe out of that, 200 would be driven by our own capex and rest would be partnered. So that's the kind of capex that we would require.

Gaurav Jogani: Sure. And Vishak, this 200 that you mentioned, the own driven, that would be -- I'm assuming would be including the Reebok and the Van Heusen BUs also?

Vishak Kumar: That's right. So Reebok includes -- is included in this. Van Heusen Innerwear is largely partner -driven expansion. There is not too much of own expansion in the Van Heusen Innerwear business.

Gaurav Jogani: Okay. And has the factory capex that was supposed to be done for this entity has been done or it still will be incurred in FY '26?

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 12 of 18

Vishak Kumar: Yes, a large part of it is already complete, Gaurav. So it's a small part remaining, but a large part of the expense is already incurred last year.

Gaurav Jogani: So Vishak, would it be prudent to assume at least a similar amount of capex that's done in '25 to sustain in '26?

Vishak Kumar: Sorry. In overall? Are you saying factory? What you -- sorry, Gaurav...

Gaurav Jogani: The overall capex for ABLBL for FY '26, could it be a bit...

Vishak Kumar: Yes, this year would be more. Gaurav, it will be more in retail, not so much in manufacturing won't have capex , but retail would be more because this year we have chosen to have a significant aggressive expansion, a large part of that you will see in fruition in H2 of this year. So this year would have a much higher retail expansion capex component as compared to last year.

Gaurav Jogani: Sure. Sure. And just lastly, on the Ethnic piece of the business. I mean if you can help us out, how much profitability on a steady -state basis could be expected in the business because the margins that are -- that's been shared on the post -Ind AS basis and rental being a higher part of this part of the business doesn

't give a true picture of the profitability here. So some color on this directionally would be helpful.

Vishak Kumar: Sorry, Gaurav, before I pass it on to the others for the Ethnic part, just to give you a number in case you're looking for a number, about INR250 crores of capex this year in case you wanted that.

Gaurav Jogani: Sure, that was helpful. That is what I was...

Ashish Dikshit: Sorry, coming back to your question on the Ethnic part, it clearly has two segments, as you can

-- you know, the designer part and the premium ethnic wear business. The designer business, because the throughput per stores are very high, the Ind AS impact is very small. And therefore, the margins that you see, the dilution pre - and post -Ind AS is significantly lesser. Because rent is a small part of the business, individual stores have very high throughput. On the premium ethnic wear, it's material and that's where -- so our designer business would operate in post -Ind AS in high 20s and pre -Ind AS in high teens to mid -teens kind of number. That's the goal that we have. And most of the businesses are very close to that as a portfolio level for designers.

For premium businesses where Tasva and TCNS are the prime contributors today, TCNS is the largest part. Over a period of time, Tasva and TCNS will be a significant part. That's where currently, we have loss -making business. We expect to get to double -digit sort of pre -Ind-AS margins in these 2 businesses over the next 3 to 4 years, and that's the goal that we have for this. Currently, both these businesses are loss -making.

Moderator: Our next question comes from the line of Archana Menon with Morgan Stanley.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 13 of 18

Archana Menon: A few questions from my side. The first one is on Pantaloons. So if you could share any update on the whole redesigning and reimagining of stores that have been conducted. So when is this expected to be completed? And any initial positive signs that you're getting out of here...

Sangeeta Tanwani: So this is one of the key pillars of our strategy, as we had also mentioned in the investor meet, delivering a distinctive store experience for our customers. And within that, our store design and redoing our store layout, I think, are both very important set of actions that we have put in place. So if you look at our network today, about 400 -plus stores, many of them are with the retail identity that we had launched 3 to 4 years back. The work that we had talked about is actually refreshing that and also changing the layouts of some of our existing stores and renovation of stores, which we do every year. The change of layout has already happened in close to about 30 stores. It has just happened about 4, 5 months back as we started this season.

And the new retail identity, which is going to be again, a refreshed retail identity, which is on international benchmarks and something that we believe our customers will notice and will be in line with our brand strategy, that is work in progress and that should be rolled out in the next 2 months.

Archana Menon: Perfect. The second question was on Style Up. So the value fashion space obviously is very, very competitive right now. So how are you looking to differentiate versus some of your peers?

Ashish Dikshit: Right. So I think, clearly, there are opportunities that we have identified and which has driven our thesis on Style Up. At this stage, I think, too early for us to lay out each one of those elements.

I think Sangeeta did cover some of it in our annual presentation that we made. I don't think we have significantly more at this point to reveal.

Archana Menon: Got it. And on the ethnic side for Tasva, so you mentioned plans to expand to around 200 -odd stores. So which markets would this be focusing on? And also if you could share some details around how the older st

ores are doing in terms of revenue throughput?

Ashish Dikshit: So as you could make out in this market also, the business is growing at very high double digit, which reflects the sort of positive consumer sentiment that are towards the brand. We would look -- we currently have about 65, 67 stores. The remaining stores also would be largely in the bigger cities. We think the capital productivity is much higher in these cities. And therefore, we'll operate primarily in top 60 to 70 markets.

Archana Menon: Got it. And anything on the revenue throughput for your mature stores?

Ashish Dikshit: So it's very different. A store in South Delhi versus store in Jaipur, the rents are very different, revenue. So there's no point in harmonizing each of these elements. Obviously, these stores are profitable for us to give us the confidence to expand this business. We grew this business by 50% this year -- last year. We'll grow by another 50% this year. That's the kind of momentum we are seeing in the brand.

Archana Menon: Understood. And sir, just last question from me. Any color you can share on how demand trends have been in general over April and May? Are you seeing any signs of a pickup?

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 14 of 18

Ashish Dikshit: I can't say underlying demand is very different. Of course, there are wedding dates, which have come in this quarter versus last year. To that extent, the wedding parts of the businesses have the benefit of those dates. But I don't think that reflects the underlying state of the economy and consumption situation.

Moderator: Our next question comes from the line of Kunal Shah from Jefferies.

Kunal Shah: My first question is on Pantaloons. So you mentioned opportunity for 200, 300 bps margin expansion over the coming few years. Does this also include any potential, let's say, lower - margin operations that you will have in Style Up over the coming years or this is just Pantaloons format? And do you expect any meaningful losses or lower -- in Style Up in the coming years?

Ashish Dikshit: No, I was referring more to Pantaloons' margin. This question was more specific to Pantaloons format, so I was responding more to Pantaloons. Style Up will have its own journey, Kunal. As I mentioned, we have a fairly -- a large part of our thesis of growth in this company is built around opening up that value end of the market for us. We look to open about 250 to 300 stores as we go forward. And a part of that would entail a little bit of margin dilution on the segment itself, perhaps in first 12 to 18 months.

Kunal Shah: Understood. Understood. The second question is on ABLBL. Beyond Lifestyle brands, if you see growth has been a bit muted for the last few quarters now. I did hear a comment that it was marginally impacted this quarter by fast fashion business being there in the base, but any sense you can give on which parts of the portfolio beyond Lifestyle brands are growing well, which are struggling? And what's the outlook for the next year?

Ashish Dikshit: Vishak, please take this.

Vishak Kumar: Yes. Kunal, if you look at the outside of Lifestyle, what we've got, we've got American Eagle, we've got Reebok and we've got Van Heusen Innerwear. Apart from that, we also had F21. So a significant amount of the sales growth delta that you would see is because we were scaling down F21 and you would see the impact of that.

Now if I were to take the other 3 segments, American Eagle has been on a steady growth path for the year. It's been a significant double-digit growth path for the year. Reebok is also growing suddenly -- sorry, steadily. And you would see that in the network expansion over the coming quarters also in Reebok and it's a profitable growth expansion.

Innerwear has to -- we have done a lot of initiatives around Innerwear to be able to grow that business, and it is on its path to profitability in that sense. And that is more important for us than growth per se. So it will be a calibrated growth with a very high focus on getting on path to profitability. So that's the 3 big components within the mix that you will have.

Kunal Shah: Understood. Understood. And finally, for Lifestyle brands, retail has done well, but wholesale and others have had a bit of volatile performance over the last few quarters. I know wholesale did well this quarter. But can you give a sense of how do you see next year panning out for both these channels?

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 15 of 18

Vishak Kumar: If you look at it, if you look at department store business, we've had a significant Q4 and I think that momentum should continue through the year. The other, which is largely driven by e-comm, etcetera, like I had said last time also, we're trying to see how we can make our overall business more and take on lines and parts of business which are more profitable.

So the -- what is in terms of greater emphasis on profitable growth than growth per se in some of those segments, I think that trend is something you should see continuing. So a large part of our growth has to be fueled by retail followed by department stores and other trade business. E-comm we will grow, we will grow steadily and we will grow through our profitable growth model, and that's how we're working with various partners to be able to drive that agenda for profitable growth.

Moderator: The next question comes from the line of Samir Gupta from IIFL.

Samir Gupta: Sir, firstly, I just wanted some color on Sabyasachi. This is a very large business now within ABFRL and I believe it's a more profitable business, so growth of 15% in fourth quarter. Can I have the number for FY '25, how much it has grown? And how do you look at growth in this particular segment going forward? Are you planning to add more stores? Is it all LTL driven, something on this aspect?

Ashish Dikshit: So as you know, Sabyasachi business operates with very few stores and expansion, while selective, is not going to be the primary driver for this business. The business is growing at early double digit this year, but an addition of a store here and there can sort of change the trajectory a little bit. Over a long period of time, we believe this would be closer to 20% growth business over 4 to 5 years with few years being higher if you add a store and few years being lower than that.

Most part of the growth of the business will be organic. It's a luxury brand, perhaps India's only true luxury brand born in this country, which has stage and potential to grow globally. We are not trying to rush this journey because it's incredibly valuable and luxury brands take their time to grow, and we will be patient with that growth.

Samir Gupta: Got it, sir. And anything on the pre-Ind AS profitability here in Sabyasachi?

Ashish Dikshit: Very profitable is all I can tell you and I'll leave it at that. I think we don't want to give segmental profitability at that level, but very, very profitable.

Samir Gupta: Fair enough. So let's look at overall profitability then. EBITDA loss of INR180 crore in FY '25. Now given where we are, do you -- when do you foresee to break even on this number? Is it FY '27? Is it beyond that?

Ashish Dikshit: You are talking about the full company?

Samir Gupta: ABFRL, the demerged entity.

Jagdish Bajaj: Excluding TCNS, Sameer -- excluding TMRW, sorry, excluding TMRW, we will be EBITDA positive next year.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 16 of 18

Ashish Dikshit: I think that there's a part of the business because multiple moving parts. TMRW is something that we still have some journey to cover. But I think all other businesses cumulatively and together would be profitable next year. And independently, every busi

ness would achieve

profitability by FY '27 with perhaps TMRW being the only business which might take a year more.

Samir Gupta: Got it, sir. One last question, if I may, on the Innerwear portion in ABLBL. Now we've been in this segment since 2016 and we are at a ballpark INR500 crores, INR550 crores of turnover today, and it's still a loss-making segment. So first of all, I mean, do you feel this business the way it has been run over the years it has met your expectations when you started out initially? And if not, what are the pieces where we are struggling, which need work? And what kind of ambition do we have here?

I know Vishak mentioned the focus is there on profitability, but overall ambition in this because this is still a large segment and INR500 crore doesn't really do justice to the scale and capabilities of ABFRL as a whole.

Ashish Dikshit: I think you've answered a large part of your question. It -- obviously, when we started the business in 2017 the business ambition was much higher. We were expecting to grow. And up till COVID period, I think, we kept that trajectory going.

The business has been more, I would say, stable or stagnant for last 3 years, which has really been the time in which we have been trying to recover from the kind of expansive plans we have made pre-COVID, and as the situation emerged, we had a lot of inventory buildup.

So those are corrections that we have done. I think it doesn't change our picture on long-term view of this business. ABFRL, the combined ABFRL business had multiple growth opportunities, and we realized at some point of time, that we'll have to capitalize it and structure it differently to pursue independent growth opportunities more aggressively. Innerwear was one such. I think as it becomes part of a company which is fundamentally profitable free cash flow generator and it's an important part of its growth journey, Innerwear will get the attention which it would not have got when we had 5 or 6 such growth opportunities in front of us.

So you'll see going forward, while medium term, as Vishak indicated, we obviously want to get the trajectory of profitability right, but our ambition about being very competitive in size and scale in this business has not dimmed at all. In fact, you will see greater impetus to that being part of a company where every other part of the business has very strong and proven business model, this will get the attention that it deserves.

Moderator: The next question comes from the line of Nipin Bora with HSBC. As there is no response, I would request we move to the next question. Our next question comes from the line of Rajiv Bharati from Nuvama.

Rajiv Bharati: Sir, on the ABFRL demerged entity, if we were to add back that INR97 crores on the gross margin side, then the gross margin is basically up by close to 300 basis points. And on the post-Ind AS EBITDA is adjusting to the same thing, is up by 410. So the cost of retailing, which is the gap between the two is up by 130 basis points. And this includes your store closure effort

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2025

Page 17 of 18

and also you said leverage on procurement stuff. But 130 basis points for the entire, is there more juice left here which probably we will see in the subsequent quarters or this is it?

Ashish Dikshit: So I think this is -- I wouldn't say any part of this business this is it because this consists of many businesses with very, very different margin trajectory, margin profile. So I would be hesitant to make observation because the mix of businesses in this itself is going to change as we go forward.

I think you should look at individual businesses, which is why we give segmental results in this,

which contribute to the overall picture. So it will more be driven by the mix of the individual businesses and the improvement within the business itself. So there is a s

ignificant improvement possible in this.

Jagdish Bajaj: So Rajiv, what I suggested you look at my segmental result. The INR97 crores has gone into that elimination row, right? The individual businesses margins improvement, if you see Pantaloons margins have gone up from 13% to 16.9%. This I explained to you because of onetime effect, it's the interunit or intracompany eliminat ion, therefore, it does not include into the Pantaloons segment's margin.

Rajiv Bharati: Sure. Sure, sir. Just one thing on your acquisition in the Ethnic side, TCNS, you said it will be profitable by FY '27, is that right?

Ashish Dikshit: Yes, company -- this question was, I think, asked around the ABFRL as a full portfolio. And in response to that, I was saying, well, the company as a whole EBITDA will be profitable by that. Individual businesses also will be profitable by FY '27 with the exception of TMRW.

Moderator: The next question comes from the line of Rajit Aggarwal from Nilgiri Investment Managers Private Limited.

Rajit Aggarwal: Congratulations on a good operational performance across both the entities. I just have quick clarification on 2 or 3 items of both ABLBL and ABFRL. First is the interest cost, which still continues to be higher despite the repayment of debt. So do you see the run rate same as going forward for the next couple of quarters as well?

Jagdish Bajaj: See, the interest cost, which you are seeing in both the companies in published results is a factor of financial charge as well as the Ind AS impact. So financial cost in ABFRL will come down significantly, but the Ind AS impact will continue. In ABLBL business, the finance cost should come down INR50 crores to INR60 crores next year, but the Ind AS impact will continue.

Rajit Aggarwal: Okay. And can you share similar number for ABFRL as to how much reduction in interest cost can we see on the financial charge?

Jagdish Bajaj: If you see my debt profile, you will realize that from a debt of INR2,000 crores last year in March, I'm sitting on cash. So there will not be any finance charge for this year.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 202 5

Page 18 of 18

Rajit Aggarwal: Right, sir. And on the debt piece itself, I mean, the expectation on ABFRL was that it would be debt free and that ABLBL would have only INR700 crores of debt. Now in both these entities, the debt numbers are higher than what was earlier mentioned.

Jagdish Bajaj: No, but ABFRL I said that at consol level, I have cash of INR2,300 crores, right?

Rajit Aggarwal: Right. I agree. I agree, sir. So I'm not concerned as such on the total debt or net debt piece. I just would like to understand how do you see this -- I mean, this debt will continue on the books and along with the cash, of course.

Jagdish Bajaj: Yes. Because these are long -term loan contracted at very attractive rate. So we want to continue and lenders also wanted to have continuity. So we'll continue.

Rajit Aggarwal: Fair enough, sir. And on the last bit, the depreciation that you mentioned that INR148 crores has not been accounted for. Now if we were include that INR148 crores, would that imply that ABLBL would have shown some loss in Q4?

Jagdish Bajaj: No, no, no. I explained to you that my reported INR150 crores, you should read that the PAT normalizes to INR250 crores for FY25 . ABLBL I'm talking about because the depreciation impact is only in ABLBL. Yes?

Rajit Aggarwal: Right. Okay. So the profit would have been higher?

Jagdish Bajaj: That is right. That's right.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the Q&A session. Thank you very much. Ladies and gentlemen, on behalf of the management, we thank all the participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines. Thank you.

Call: Aug 2025

ADITYA BIRLA FASHION AND RETAIL LIMITED

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August 20, 2025

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q1 FY 2 6 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated June 24, 202 5 and August 13, 2025

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 1 FY 26 Earnings Call held on Thursday, August 14, 202 5 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e., www.abfrl.com .

Thanking you ,

Sincerely ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

Encl: a/a

E

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA FASHION AND RETAIL LIMITED

Aditya Birla Fashion and Retail Limited
August 14, 2025

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the First Quarter Earnings Conference Call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q1 FY '26 performance, followed by a question -and-answer session. We have with us today Mr. Ashish Dikshit, Managing Director, ABFRL; and Mr. Jagdish Bajaj, CFO, ABFRL.

I want to thank the management team on behalf of all the participants for taking valuable time to be with us. I must remind you that today's discussion may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance and to strategic questions only. Housekeeping questions can be dealt separately with the IR team.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj: Thank you. Good evening, everyone. Welcome to the Q1 FY '26 Earnings Call . Thank you for joining us today. As we reflect on the first quarter, the apparel market witnessed selective growth pockets, largely fueled by higher wedding dates. That said, the broader market sentiment remains cautious and the pace of recovery continues to be gradual.

Against this backdrop, our focus has remained steadfast on driving profitability through disciplined execution and operational efficiency. All our businesses have either maintained or improved margins, demonstrating the resilience of our portfolio. Growth during the quarter was led by our newer businesses, which continue to capture the emerging consumer segments. These segments are fast becoming key growth engines, supported by differentiated product offerings, sharper brand positioning and stronger consumer connect as reflected in their growing contribution to overall revenue from 37% last year to 44% this year.

Before financial performance, an update on corporate actions. TMRW gets first investment of INR437 crores from ServiceNow Ventures in its current round of external fundraise, leveraging the ServiceNow AI platform. TMRW will further enhance its speed to market, dynamic and focused assortment and seamless consumer experiences across the rapidly expanding omni -channel footprint. Relevant regulatory filings pertaining to the transactions have been completed.

On demerger, as previously communicated, all requisite processes have been successfully completed, culminating in the creation of Aditya Birla Lifestyle Brands Limited. The company was listed on the stock exchange on 23rd June 2025.

Coming to the financial performance for this quarter. ABFRL sustained its strong profitable growth momentum in Q1 FY '26, underpinned by a well -defined strategy of scaling its diverse, high-potential businesses with a disciplined focus on profitability. The company's consistent execution once again delivered healthy top line growth alongside margin resilience despite a challenging market backdrop.

Revenue for the quarter increased 9% Y -o-Y to INR1,831 crores, fueled by strong performance across key segments. Performance of ethnic and TMRW business stood out delivering 25% and Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 3 of 18

38% growth, respectively, reflecting the strength of their brand portfolios, expanding consumer reach and sustained demand momentum.

EBITDA rose to INR169 crores, up 38% Y -o-Y, supported by strong expansion in the ethnic business, where margins improved by 1600 bps, stable margins in TMRW and Pantaloons despite a softer market environment further impacted by the shift of Eid.

Excluding TMRW, rest of ABFRL portfolio delivered an EBITDA of INR245 crores, which is 49% growth over last year. This balanced growth driven by both scale and operational efficiency underscores A

BFRL's ability to navigate market shifts while building a stronger foundation for sustained profitability.

As of June 2025, ABFRL held gross cash of INR2,070 crores. Let me first cover Pantaloons. The Pantaloons segment reported revenue of INR1,094 crores, primarily due to the shift of Eid and the impact of store closure over the last 12 months, adjusted for which growth would have

been 4%. LTL this quarter remained flat. However, when adjusted for the shift of Eid from April last year to March this year, the normalized LTL stood at 3%.

For Q1 FY '26, the segmental margin stood at 17.1%, marginally lower than last year, largely owing to lower sales. Despite this, Pantaloons format once again delivered an EBITDA margin of 18% plus, underscoring the consistent strength of its retail operations, controlled markdown strategies and disciplined cost management across its network.

Style Up, the value retail format under Pantaloons continued its strong growth trajectory. The brand expanded its footprint to 49 stores during the quarter and posted a robust 36% revenue growth signaling expanding shopper base. This momentum positions Style Up well for accelerated scale up in the coming quarters and sustained growth in the years ahead.

Ethnic businesses, continue to be a powerful growth engine for us, anchored by the most comprehensive ethnic brand portfolio in India, spanning designer-led brands to premium ethnic wear brands. In Q1 FY '26, the segment delivered a stellar performance, reporting revenue of INR436 crores, up 25% Y-o-Y, one of the highest growth rates across our portfolio.

Profitability showed a sharp uplift with EBITDA margin expanding by 1600 bps, resulting in positive EBITDA this quarter versus a loss in the same period last year. The quarter's strong performance was driven by robust LTL growth across most brands, with occasion-led brands posting double-digit LTL growth on the back of a strong wedding season and sustained demand for occasion wear fashion.

Strategic actions, including curated seasonal collections, sharper merchandising and enhanced retail experiences further strengthened consumer connect and translated into higher productivity per store. Our designer-led ethnic portfolio comprising Sabyasachi, Tarun Tahiliani, House of Masaba, Shantnu Nikhil delivered an exceptional 79% Y-o-Y growth in Q1.

These brands continue to set benchmark in the luxury and freight ethnic space, driven by category extension, accelerated store rollout and continuous product innovation that elevated consumer experience and brand desirability.

Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 4 of 18

Within premium ethnic wear, Tasva posted another standout quarter, capitalizing on the wedding season to deliver 72% Y-o-Y sales growth and 39% LTL growth. The brand further deepened its presence in key wedding hubs and strengthened its connect with Indian consumers, expanding its network now to 70 stores.

TCNS posted growth in revenue over last year despite store closures, demonstrating the resilience and strength of its brands. Growth was multichannel, led by 4% retail LTL alongside strong momentum in other sales channels. After a slow April, business has moved into a consistent double-digit LTL growth trajectory. Profits of the quarter saw a significant improvement versus last year, driven by higher gross margins and improved retail performance.

On luxury retail, comprising the multi-brand format, the collective and other mono brands continue to deliver double-digit profitability, posting single-digit Y-o-Y growth in Q1 versus last year. The format added 3 new stores to the network and now encompasses 44 stores.

Now TMRW portfolio grew by 38% versus last year this quarter. This strong organic growth was fueled by an expanded product portfolio, enhanced focus on D2C channels and impactful brand-building initiatives.

Portfolio

brands accelerated their off-line expansion and exited the quarter with 25 stores across key markets nationwide. The current fundraise will position the brands well to continue to keep this high growth momentum and realize our ambition of building multiple large digital-first brands.

In conclusion, this quarter's results underscore ABFRL's ability to achieve profitable growth marking the fourth consecutive quarter of year-on-year margin expansion. This reinforces our confidence that our emphasis on innovation, retail productivity and disciplined cost management has strengthened margins and maintained resilience even amid a cautious demand environment.

Going forward, we'll continue to scale our core market-leading brands while accelerating momentum in our newer high potential segments. With the festive season arriving early, we are well positioned to capture demand through compelling product stories, enhanced retail experiences and a wider omnichannel presence.

Our strategy remains clear, build on the strength of our brands, sustain profitable growth and create long-term value by staying ahead on evolving consumer preferences in the Indian fashion and lifestyle space. We are open to questions now. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Aditya Soman from CLSA.

Aditya Soman: Sir, 2 questions from me. Firstly, on the sort of very strong EBITDA trajectory for the ethnic business. So we've seen strong growth and now sort of EBITDA also improved. So can you give

us some sense of how you see this trajectory evolve over the short term and then more importantly, over the medium term and where you feel steady-state EBITDA for this business should be?

Aditya Birla Fashion and Retail Limited
August 14, 2025

Page 5 of 18

And then secondly, for the Pantaloons store closures, so there was a sort of a 2.7% store reduction, but I see that the area is actually flattish. So one, anything to read across in that? And secondly, would this represent sort of the -- would we still see further store reduction? Or do we think for now, we are very good in terms of store count and we could potentially see an increase down the line?

Ashish Dikshit: Thanks, Aditya, for those questions. On the ethnic portfolio, I would first say that there is consistent improvement across the portfolio of the brands, but we have a mix of brands, which are well-established, highly profitable brands, which are in the turnaround phase like TCNS and the brands, which are in buildup phase like Tasva.

So the first part is most of these businesses benefit from wedding seasons, which are largely in the second half of the year. The cost base remains pretty static, but the revenue is significantly higher in the second half versus first half. So you will see a much sharper increase in profitability as we move towards the second half of the year.

Having said that, the 3 constituents, which is designer brands, the turnaround business of TCNS and Tasva will all have different trajectory. I think designer brand portfolio is quite stable. I would argue in high 20s in post-Ind AS terms to some of them in high 30s is really where the steady-state margin will fit.

The premium brand portfolio, which is Tasva is still scaling up. You can see the quarter performance 70-odd percent growth, 39% like-to-like. I think we'll continue to push it. Profitability is somewhat away as far as this business is concerned.

We think FY '27 end is where we'll get to the breakeven in Tasva. TCNS has been showing strong improvement, but still while at the post-Ind AS level, it's turned positive, pre-Ind AS terms, it's still somewhat below the breakeven level.

I'm very enthused by the turnaround trajectory in TCNS and the acceleration in Tasva, while the designer brands by themselves are already in good space.

As a portfolio, therefore, Aditya, if you look at ethnic wear business, which we at 0 presence till FY '20, we now have a business which was last year close to INR2,000 crores, growing this quarter at 2%.

But I would say even going forward, one could imagine a 20% kind of growth rate. And as TCNS kicks in, perhaps that would be even stronger and a portfolio level of post-Ind AS EBITDA margins north of 20 percentage what we could look at as why this business is concerned.

We are not there yet. There's also seasonality between first half and second half, but that's really where we think the ethnic business. So it's a very beautiful business shaping up extremely well, both in terms of size and profitability.

On your second question on Pantaloons. We did a fairly deep network correction, if you have followed the business over last 15 to 18 months from a network of stores, which is north of 460, now we are talking closer to 400, and much of it has happened in the last 12 to 18 months.

Aditya Birla Fashion and Retail Limited
August 14, 2025

Page 6 of 18

I think we've hit the bottom end in terms of store closures. You are going to start to see net store additions as we go forward. The new store in line with the strategy that Sangeeta had sort of laid down is about opening larger stores.

So while the number of stores may be fewer, the size of the stores will be more like 20,000, 25,000. If you see any of our new Pantaloons store, it's cleaner, bigger, more impactful and very modern and contemporary.

Some visuals you can see in the presentation itself. And that's the direction for Pantaloons, which we've have been consistently following as a part of our re-pivot, which we started 2, 2.5 years back when we made the correction in distribution as well as the imagery of Pantaloons.

Aditya Soman: No, I understand. Very clear. Just maybe one follow-up on Tasva. Obviously, growth here is very strong. But when we sort of look at -- when we say it's available across 70 stores, this includes sort of -- these are just stand-alone Tasva stores or these are also other.

Ashish Dikshit: Absolutely. No, no. This is absolutely. That is just stand-alone Tasva stores.

Aditya Soman: Understand. So the LTL is just -- this 39% is on the stand-alone Tasva store versus stand-alone.

Ashish Dikshit: Yes, about 50 of the 70 stores would be part of the LTL base.

Moderator: Our next question comes from the line of Archana Menon from Morgan Stanley.

Archana Menon: My questions are on Pantaloons. Firstly, on the marketing and brand building side, I mean, what is the spend currently as a percentage of revenue for Pantaloons? And how has that been in the past? Are we thinking of taking that up in this year and in the years to come?

And the second question was on the retail identity. There's a mention of the new retail identity and some pictures. But just wanted to get a sense from you that of your total 400 -odd stores, what percentage of stores would be, say, under the old retail identity, which maybe are not so happy let's say, maybe 5 years earlier. So what is that percentage? And how are you thinking of refurbishments and renovations going ahead?

Ashish Dikshit: Okay. So Archana, as far as Pantaloons marketing spends are concerned, they have been in the range of 1.5% to 2% historically. At its peak, maybe 2%, 2.5% at the low point, maybe 1%, 1.5%. But typically 1.5% on an annualized basis. Of course, quarter -on-quarter, these numbers look very different. But on an annual basis, I think you could assume a 1.5% kind of base as the number that we have.

We expect in a shorter term, which is next year or so, this percentage to marginally go up primarily because we feel we now have a new proposition. The Pantaloon stores, the product portfolio, the aesthetics, the design cycle, everything that now is represented in the new Pantaloons is a big shift from what we used to

be. So every element of innovation aesthetics, retail display, the consumer experience has significantly moved.

So towards the festive part, we may spend a little bit more for a short period of time. I don't think it will change the long -term sort of investment of 1.5%, 2% kind of range. It won't be any

Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 7 of 18

different. But a short period of time, you might see in some quarters, some of the more targeted spends typically closer to the festive period.

On the retail ID, it's been an evolving story. The latest retail identity that we are talking about is obviously, very, very new. But if I were to count the last one or the ones that we are very happy with, and it's modern and contemporary and in line with the current position, about 50% of our network is of the new identity that we are happy with.

There is a task in the remaining 45%, 50%. We will take it slowly over a period of time. Not all these stores are based in big cities where it's required as those cities are experiencing better retail environments far more rapidly. So we'll pace the roll out of new retail identity and take it over a 3, 4-year period.

Archana Menon: Understood. And just 2 follow -ups. First, if you could just help me with the city presence for Pantaloons now after all the store closures? And secondly, for TMRW, after the fundraise, what would your stake be right now?

Ashish Dikshit: About 185 cities is where our presence is, 185 to 190. Is that what you're looking for? Or are you looking for any more granularity than that?

Archana Menon: No sir, this is good, 185 and 190. And on TMRW on your stake currently?

Ashish Dikshit: TMRW, it's early double -digit stake that ServiceNow Ventures has invested in for their INR437 crores. It's 11 -odd percent kind of stake. The exact details are probably in the filing, but that's a rough stake that they have. The remaining stake lies between ABFRL and a small part within that in the ESOP and employees.

Archana Menon: Understood. Just last question, sir, what would your current investment be in TMRW so far?

Ashish Dikshit: TMRW, we have invested INR770 crores through equity investments in different forms over the last 3 years, 3 or 4 years.

Moderator: Our next question comes from the line of Kunal Shah from Jefferies.

Kunal Shah: My question is also on TMRW. So with this capital raise, your cash burn in this business is not that high. What are the areas where this will be invested? Are there more acquisitions planned? Or off -line expansion? Or how would this capital be allocated under TMRW?

Ashish Dikshit: So Kunal, two parts. One, capital raise process is still on. We expect to raise more capital in this round. The first announcement you've seen. But as I've always maintained in our previous calls, we are looking to raise close to or north of \$100 million. Where would this be used? You're right. There is a part which will go towards the funding of the businesses since it's still not cash flow positive or EBITDA positive at this stage.

So first part of it. Our focus currently is on growing what we have. We have a portfolio of very powerful brands. Some of them when we acquired were as low as INR10 crores a year and have grown from INR100 crores to INR200 crores a year. Some brands were INR200 crores have grown to INR300 crores. Some require acceleration, some requires more branding effort.

Aditya Birla Fashion and Retail Limited

August 14, 2025

But by and large, it's for acceleration of growth of this business is where the capital will grow. As you would have seen in our presentations, the EBO expansion because we want to truly build an omnichannel digital -first experience, but omni -channel for our brands, a brand such as Bewakoof, the Indian Garage Company, Nobero, et cetera, have started expanding offline. Wrogn had already had some p

resence. So there would be a part of capital that would go towards that capex .

Kunal Shah: Understood. And the second question is on TCNS. If I heard it correctly, you said after April, this business is moved to a double -digit like -for-like growth. Is that understanding correct?

Ashish Dikshit: Yes. Yes. So this business, as you know, had been struggling to get organic growth for some time in the past. But in last 4 months, 4, 5 months, we've changed the trajectory. Only April was affected to some extent. And that was also partly due to shift of Eid.

But if you leave that aside, every month is delivering good, strong high double -digit like -to-like growth. And that's a very assuring for us because a lot of changes have been done in merchandising, retail execution has been significantly revamped.

The old inventory is out of the system. Poor stores are out of the system. So we are finding a very strong trajectory. And therefore, our thesis on investment in TCNS is looking much more surer and stronger now at this point versus any time in last 12 to 18 months.

Kunal Shah: Understood. And if I may get this data on what is the percentage of revenue that this -- or what is the percentage of revenue coming from retail, which this LTL growth captures, if I can have some understanding of that? And in the other parts, the other ch annels, are you looking to consolidate? Or has that already happened and is that is behind?

Ashish Dikshit: So it's north of 50%. I'll just figure out if there is a significant de viation, the retail share. Yes, it is about 50 -odd percent. Department stores and e -commerce constitute the large part of the remaining business because the MBO business is very small. I think the business is now well positioned with everything that needed to be sorted out to even grow in department store channel, which had stagnated over a period of time in the last 1 or 2 years when we're fixing the product. I will see growth coming there also in the next couple of quarters as well as online business, although online business as an overall business is only about 15% . But I expect the share to rise as far as online is also concerned.

Kunal Shah: Understood. And any plans to expand the store network now again in the retail channel or that is still some time away?

Ashish Dikshit: So Kunal, as we had mentioned, a part of our strategy was first to remove bad inventory, bad costs and bad stores, which we did in first 8 to 12 months. Then was to revitalize the merchandise as well as revitalize stores, which is what is executing, and we are very happy to see the kind of outcome that's delivering in terms of same -store performance. As we move towards second half and perhaps towards the later part of this year is when the expansion would start. The real impact of that you'll I start to see only next year.

Aditya Birla Fashion and Retail Limited
August 14, 202 5

Kunal Shah: Understood. And in that case, pre -Ind AS profitability also should come next year probably on a full year basis?

Ashish Dikshit: Yes.

Moderator: Our next question comes from the line of Gopal Nawandhar from SBI Life Insurance.

Gopal Nawandhar: Congratulations on this external fundraise for TMRW. So my question was on -- we have seen improvement in the profitability of TCNS. So when we should start seeing the addition of network in TCNS?

Ashish Dikshit: Gopal, thanks. As I was explaining to Kunal, we want to be sure that business is in good place, product is working, stores are working, the viability is strong. So in last 4, 5, 6 months, we have started to see the outcome of it, when the like -to-like firs t moved from negative to positive and now moved from positive to double -digit positive. This gives us a lot of confidence. Of course, store pipeline takes some time to build.

So you'll start to see perhaps second half of this year, you might see 30 to 40 store addit

ion. But

next year onwards, if this trajectory continues, we're very confident that this improvement is quite structural and strong. We'll start expanding more rapid ly next year or the -- we may start to do towards the second half of this year, but most of the benefit of that will probably come next year.

Gopal Nawandhar: Okay. And Pantaloons side also, we have seen consolidation of network. What is our plan there in terms of -- will there be a net network addition this year? Or we'll still continue to rise the

sizes of the stores?

Ashish Dikshit: So I think in absolute number of stores, there may not be significant addition, but the network is improving both in quality and size, number of stores that we are opening between 20,000 to 30,000 is where the focus of new Pantaloons is. A lot of our network of small stores is what we are looking to rationalize.

This year, there may be only marginal increase in network, although the space increase will be material. But going forward, I think Pantaloons has bottomed out its stores that we wanted to close. And we expect next year onwards to start adding to the store network as well.

Gopal Nawandhar: Okay. And sir, on the TMRW side, losses in this quarter was a little higher versus what has been the run rate in last few quarters. With this fundraise and our focus shifting more on the offline stores, how should one see the profitability trajectory for this business?

Ashish Dikshit: So you're right, Gopal. I think the quarterly performance, while there on the revenue side was very strong with 38% organic growth. The losses have marginally gone up. In percentage terms, they were similar to last year, but in absolute terms, that has gone up. I think in second half of the year, we will see that trajectory also beginning to change.

Fundraise will, of course, be put for also expanding offline business to get the balance between offline and online. Offline businesses, the benefit, Gopal, it brings is brands which are seen only

Aditya Birla Fashion and Retail Limited
August 14, 2025

Page 10 of 18

online, the credibility comes and the stature comes from offline presence. Offline business also allows us to typically increase the gross margins by higher price points, superior products, which sometimes get lost in online business.

So we are finding almost 10 percentage difference between the gross margin that we deliver in offline business versus the online business. But still, the share of offline today is small as it improves, the shape of profitability will start to shift there.

Gopal Nawandhar: And sir, can I ask questions on ABLBL and this...

Ashish Dikshit: We would probably, Gopal, not be able to address that in this call, but we will reach out to you separately for any question. Amit will connect with you.

Moderator: Our next question comes from the line of Harsh Shah from Bandhan AMC.

Harsh Shah : So basically, Ashish, just like Tasva, like Style Up would be in the investment sale, I would believe, right? And while you kind of laid down your ambition for Style Up over a 5 -year period, I would just want to know probably what would -- I mean, kind of guidance for the next couple of years, let's say, what would that be? And currently, at what revenue per square feet, let's say, the initial cohort of stores, right, it might be 10, 15, 20 stores. What revenue per square feet basically are they operating at currently?

Ashish Dikshit: So I think our projections for Style Up, we have mentioned our long -term plan. We currently have about 49 stores at this point of time. We look to add about 40 stores this year, which will increase the size of the business. And the productivity has been varying between -- if you look at sales per square feet per day, between 20 to 25 in some of the lower -performing stores to 35 to 40 in some of the higher -performing stores depending on the location, the kind of market that

it

is.
It needs to go up from there. But at current level of performance, the store network as a whole is profitable, which means the contribution at the store level is positive as for the entire store network of 49 -50 stores. As we scale, get some leverage of scale, both on the gross margin as well as visibility of the brand, I think that's where the positive flywheel will start to set in.

Harsh Shah: So there is -- basically at EBITDA level, there is no cash burn in this format as well.

Ashish Dikshit: There is a cash burn at EBITDA level to cover the overhead cost of the operations.

Harsh Shah: Okay. The format level, basically, it's EBITDA positive, but let's say, corporate level, it's still ...

Ashish Dikshit: Yes. Retail store level is positive, but the corporate overheads are not covered.

Harsh Shah: Okay. When -- let's say, where would the peak losses be basically in this business at EBITDA level? And when do you foresee at what level of scale ?

Ashish Dikshit: See, I think we'll discover it perhaps in next 18 to 24 months because if this rate continues, which means as we add more stores, the store losses are not there. And therefore, we have a higher leverage available to fix on fixed cost.

Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 11 of 18

But we also recognize that on the other side, as you scale the business, you'll have to also increase your team size, operations, so fixed overheads will also grow at this point of time. So maybe for next 2, 3 years, we will have some level of losses at this point of time because overheads, we

may have to increase a little bit more ahead of actual expansion.

And that's the period we'll go through. But I think both the size of the opportunity as well as the current performance gives us confidence that it's a fairly scalable business, and therefore, leveraging of overheads is something that we'll be able to achieve in maybe 3, 4 years.

Harsh Shah: But is there a case where you see to kind of accelerate the store expansion because at current scale and looking at what the other players are expanding, probably 40 stores looks probably slightly on the lower side. Is there a possibility that given the confidence that you have in the store format and the store level profitability, this can go up to 60, 70 stores or something of that sort?

Ashish Dikshit: Very easily. And certainly, I think we just want to -- I think the only point I would make is that it's a very large opportunity and a market which provides a very long-term growth piece. We don't want to rush into it because this will be an opportunity not just today, but in FY '30 and FY '35 also.

And therefore, we are equally focused on making sure that we get it right, continue to refine the proposition, improve the product, while simultaneously growing this year at 45, 50 stores but after that, between 75 to 100 stores is pretty much on card.

Harsh Shah: Got it. And one on Sabyasachi, I mean, at least for this quarter has been fantastic. But if we look at the last couple of quarters, 2Q, 3Q, probably the growth rate has tapered off. So what really changed in this quarter, which led to such high growth? I mean if you could give some qualitative color on it would be helpful.

Ashish Dikshit: No, I do think this growth rate last -- even the quarter before, which is quarter 4 was fairly stable, good growth rate, of course, not like 40%. See, remember, all wedding their businesses. Tasva had 72% growth, Sabyasachi, whatever, close to 40% growth, Tarun Tahiliani, all the businesses have also benefited from a low wedding base of last year. To that extent, this is not the organic growth number.

This is a reflection of a lower base and which is, to some extent, is what is showing up in anybody who has the share of exposure to wedding-related purchases. I don't think, however, there is any absence of growth momentum in the brand. It's a very

, very powerful brand. Obviously, it's a

brand which you don't want to rush in and grow like we may want to grow with Tasva or Style Up to that extent. But the brand trajectory will continue to grow extremely well.

Harsh Shah: And has that contribution of, let's say, jewelry in Sabyasachi increased meaningfully, let's say, on a Y-o-Y basis? Or I mean, let's say, in jewelry, apparel and accessories, that label what they have. So has the contribution been stable on a Y-o-Y basis? Or is it more like driven by apparel or some kind of...

Aditya Birla Fashion and Retail Limited
August 14, 2025

Page 12 of 18

Ashish Dikshit: Jewelry is a category in which Sabyasachi brand's share has been growing consistently over a period of time. It's a very large category. And Sabyasachi brand as well as Sabyasachi himself is spending a lot of time in refining the proposition, taking it very high end because no Indian jeweler has reached the level of pricing sophistication that he has, not just in India but outside. But obviously, compared to the size of the market in jewelry, it's a small business. But as a part of his mix, it's a meaningful mix now and growing as a share of the overall portfolio.

Harsh Shah: Okay. Got it. And just one more, basically, on Tasva, what would be the store addition plan this year? And also, gross cash is INR2,000 crores, but what is the net cash currently with us as on 30th June?

Ashish Dikshit: So Tasva store addition plan is about 40 stores this year, plus/minus a few, but that's really the total store addition plan for this year. On the gross to net cash, there will be debt lying in TMRW and there's debt lying in stand-alone entity, and there is debt parts of the ethnic subsidiary. So Jagdish can...

Jagdish Bajaj: See, Harsh, with us at a stand-alone level, I have cash of around INR1,900 crores and a borrowing, which is INR750 crores for -- this is long term, falling due in '29,'30. We have adequate cash for the future expansion plans.

Ashish Dikshit: That remaining on TMRW, which also will get offset by the current fundraise. So that number will move significantly post this fundraise. And there is debt lying in some of the ethnic subsidiaries.

Harsh Shah: But not meaningful, right? I mean, if you could quantify that, the debt in the ethnic subsidiaries?

Jagdish Bajaj: That's maybe another INR600 crores. I don't know.

Ashish Dikshit: Without TMRW?

Jagdish Bajaj: Without TMRW, it is not more than INR200 crores.

Harsh Shah: Yes. So about INR200-odd crores lying in subsidiaries.

Ashish Dikshit: And TMRW, of course, we will again turn net positive because the debt currently will be offset by the equity raise that we're doing.

Moderator: Our next follow-up question comes from the line of Kunal Shah from Jefferies.

Kunal Shah: My follow-up is on this TMRW capital raise. So just wanted to understand this 11% dilution would imply, I think, valuation of around INR4,000 crores, right? So is there any performance benchmarks? Or is this valuation independent of all of those things given its based in a CCPS form?

Ashish Dikshit: This is like a regular equity investment in form of CCPS. No, there's no -- sort of if you're seeing is there any strings attached to it? No.

Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 13 of 18

Kunal Shah: Understood. And if you include the brand which is not consolidated, I think one of those, the total revenue would be around INR1,000 crores, right, for this business?

Ashish Dikshit: So last year, as we keep -- I think last year annualized revenue would have been close to about INR1,000 crores if you were to add Wrogn business to, which is where we currently have minority stakes. And it's growing at about 30%, 40%. So we expect the run rate to be closer to INR1,400 crores to INR1,500 crores by the end of this year.

But at this point of time, without con

solidation, our -- last year without consolidation, our

revenue was INR650 crores, which did not include Wrogn revenue, which would have been another INR200-odd crores. So we would probably be about INR850 crores, INR900 crores last year revenue and if you were to consolidate Wrogn.

Moderator: Our next question comes from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Sir, my first question is with regards to the capex. What kind of capex are you looking for, for this year and the next couple of years?

Ashish Dikshit: So I think at this point of time, we have regular capex for most of the businesses and a one-time capex. The one-time capex, I would say, is what we are completing this year for Galeries Lafayette store, the store which is likely to open towards end of this year. So that's one-time capex. If you exclude that, I think the overall capex plan for other businesses put together will be in the range of about INR300-odd crores.

Gaurav Jogani: And if we add the Galeries Lafayette, it would be INR500 crores for this year and ...?

Ashish Dikshit: Yes. That's for this year.

Gaurav Jogani: Okay. Sir, my second question is with regards to the losses that we are seeing in the TMRW business. Though that number has increased, but I think there -- I think the EBITDA also constitutes of the losses of Wrogn in that? Am I correct in my understanding?

Ashish Dikshit: Yes. We cannot really share of our losses. We consolidate in losses, although we don't take it in revenue. So it is inclusive of that, yes.

Gaurav Jogani: Okay. So that is also one of the reasons why the losses seems to be higher on Q-o-Q in that context?

Ashish Dikshit: Yes.

Gaurav Jogani: Okay. Okay. And sir, with regards to, again, TMRW, what would be the final game plan here? I mean though I understand that it will be in a high aggressive expansion mode and which you want to expand further. But when can we see at least post-Ind AS breakeven here in this format?

Ashish Dikshit: So TMRW, there's not too much of a difference between post and pre-Ind AS numbers. There is some. And as we increase the share of offline, perhaps that may grow over a period of time. As we have indicated in our investor presentation also, which we made beginning of this year.

Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 14 of 18

TMRW, we are looking at FY '29 as the year in which we will try to look at EBITDA breakeven.

So that's the journey that you should be on.

Gaurav Jogani: Okay. Okay. But given the performance in terms of the top line growth et cetera is encouraging, do you think that it could be sooner versus what you would have expected earlier than that?

Ashish Dikshit: No, honestly, I don't see that. I don't -- I mean, we will be happy to get there. But at this point, I wouldn't want to indicate that.

Gaurav Jogani: Okay. And sir, on Pantaloons, the Pantaloons bit, we are seeing that there is some losses because of the Style Up business plans as well. And I mean, ex of this and ex of the marketing spend, I believe you indicated that the profitability would have been higher. So once Style Up also starts to contribute profitably, what kind of margins then you expect in Pantaloons to deliver on a steady-state basis?

Ashish Dikshit: So if you were to stay with post-Ind AS and then we'll come to pre-Ind AS, I think Pantaloons itself is currently and consistently operated at about 18% plus EBITDA margin. Style Up is obviously taking away while it's marginally positive, but it's taking a way. Therefore, the

segmental results are close to 16%, 17%, depending on which quarter you are talking about. This quarter, it was 17%. Previous quarter, it was 15%.

So I think that's the range in which the current profitability is operating. We don't think we have achieved right level of profitability in Pantaloons itself. And we think another 300 to 500 basis point improve

ment in profitability, whether you look at the pre -Ind AS or post -Ind AS is really what we need to deliver in Pantaloons.

Style Up will start from a lower base. In pre -Ind AS terms, it will go through a loss phase, which is what it's going through. But the encouraging part is that loss will not grow rapidly with the network because the network itself is not losing money. And I think as we bring scale and create greater sort of brand visibility through supply by more stores, et cetera, we expect to improve that performance. But it will continue to remain loss -making for at least next 3 to 4 years, but not at a very high level of losses.

Gaurav Jogani: Sure. But then you said that the original Pantaloons would see some 300 to 500 bps from that level and then we have to blend...

Moderator: Our next question comes from the line of Sameer Gupta from IIFL Capital.

Sameer Gupta: So firstly, on Pantaloons. It's been some time now that we've been hearing about the new identity that has been rolled out. I heard on the -- through this call that around 51% of stores are now on the new identity. So let's say, the top end of these stores, may be just spent around 2 years under this new identity.

Any performance metrics you can share here, same -store sales growth, the revenues per square feet kind of metric that they are tracking? Are they on the right track? Are they -- is this strategy showing results? Anything that you can highlight on that front?

Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 15 of 18

Ashish Dikshit: I think I would say the answer to your question is very simple. If you look at Pantaloons as a business, it was FY '23, when we started the journey, it was operating at a margin of 14% to 15%. As we speak today, you can look at last 6, last 8 quarters, we are operating at 18%. So is this strategy working? Yes.

I don't want to get into specific store level slices. I don't have it at this point of time, but I can also reconfirm to you that the new stores, the better stores are performing better than the old stores, and that should be natural. But eventually, the outcome of it is showing up in that absolute store -- absolute numbers that we are talking about.

Sameer Gupta: Got it. But internally, do you slice it... ?

Ashish Dikshit: We look at it, but we look at it every store level also because what happens, Sameer, sometimes the location, its potential, all that also matters in coming up with numbers. So sometimes averages miss out the bigger picture and 400 store is not too many stores. And we are looking at 40, 50 stores that we're converting into new identity either through new store addition or through renovation. So it's a number which we very closely track.

Sameer Gupta: So Ashish, see, the point I'm trying to make here is that margin improvement is great, but Pantaloons, if you look at it over a longer -term history, we have been able to improve margins and ROCE profile. The only problem area that I find is that there is no real history of same -store sales growth on a consistent basis. And with this new identity rollout, if that problem is still persisting, then it's a problematic area, right?

Ashish Dikshit: See, I think for us, the more important thing is to figure out profitability. If we figure out profitability, right, I won't worry about other pieces. So the intermediate metrics don't define the end outcome. Does every retailer need same -store growth? Absolutely right, Sameer. Is Pantaloons delivering it? I think for quite some time, it's not managed to do that. However, it's a journey. And therefore, as you're seeing it, we'll hopefully start to get that sometimes where some are lead factors and some are lag factors.

And we are beginning to see some of this starting to show up in our network. And the total number of same -store growth will take longer to show up as the share of these stores increase over a

period of time as many of these stores are also -- remember, new retail identity are new stores. They will also increase their share as the number of such stores go up from current, let's say, 45% of network to 60% to 65% of network.

But indeed, that's the Holy Grail. We're trying to chase, which is getting to the same -store growth and completely agree with you. That's something that Pantaloons has not delivered consistently for some time.

Sameer Gupta: That's great to hear. Second is on Tasva. Now I understand you mentioned 40 store additions this year is what the target is. But if I look at more recent history, we've been very slow in terms of store expansion. We were at around 57, if I remember, by end of March last year. And right

now, we are at 70. So is this a conscious strategy that we just look at the first 50, 55 stores as a pilot and be conservative in terms of store additions and then scale up, still trying to figure out store economics?

Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 16 of 18

Ashish Dikshit: No, I think we have gone past the stage of questioning the viability of figuring out the concept. If you see any of the Tasva stores now, you get a sense of fairly established concept. We obviously want to be careful. It's a category which has very high seasonality. The growth -- we are not opening 2,000 square foot stores.

If you look at plus -- but for a few malls, most of the Tasva stores are fairly large stores in fairly well-established markets, which means large rentals in absolute terms, both by rentals and size. And therefore, we want to remain cautious. This is a market which is available for us over a long period of time. As we had mentioned, our goal was to get 200 -odd stores over the next 3 years. Currently, 40 is perhaps not the right level. So we are currently likely to go closer to about 90 stores by the end of this year. Hopefully, we'll be able to expand that a little bit faster, but don't want to do it in a hurry. It's not a value format, which you can scale up very easily. And by and large, you'll get enough customers at that price point in any locality.

It's a bit of a destination shopping. It's important to get the right store, right location, right facade, and that's taking somewhat more time than what we would ideally like. But from the concept per se, the retail viability, there is no question around it. I think it's a format which is working very well.

Sameer Gupta: Got it. This is very, very helpful. Last question, if I may squeeze in, and it's related. So now Tasva, you mentioned it is a more measured strategy in terms of store expansion. Pantaloons, in any case, 15 stores around you're targeting. So there also, you are measured. Designer brands are anyway self-sufficient. TCNS is on the path to profitability.

TMRW, you expect losses to come down from second half. And you are still sitting on a decent amount of net cash. So what was this need to raise capital in TMRW at this point? I understand there is a trajectory of losses that you foresee in the coming years. But at this juncture, why like did you get to this capital raise?

Ashish Dikshit: So Sameer, I think if you look at absolute cash in the books and the businesses need cash, your question is absolutely valid. But I would also remind you that we have been fairly consistent about our philosophy of capital allocation and in various businesses. When we launched TMRW in 2021, we talked about that initially ABFRL will fund it, give it some level of investment, allow the business to come to a certain size, and we will get investors, external investors. And over the next 8, 10 years, build a company which can find a very digital native path to this industry, which is fashion industry and have its own public market journey as we go forward from private to public. And in line with that, we had stayed with stating -- even in the last

financial year, we had called out that the capital will not be used for TMRW because TMRW has its own access to capital and potential attractiveness for investors because of its high growth trajectory. And that's exactly what we've got played out. So this is pretty much what we said 4 years back, 2 years back and 6 months back.

Sameer Gupta: Agreed, Ashish. This is very, very consistent to what you have been saying. But isn't the message going then that you're not very confident of the scale up future of TMRW versus the other brands because there are other brands in the portfolio which are losses making as well.

Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 17 of 18

Ashish Dikshit: No. But for TMRW, we created Sameer, as a separate company 5 years back, and we have consistently stayed with exactly what we said then now. And as I said, this is our strategy. When we play out our strategy, we will stay with what we have said.

There's no reason to change it dramatically. So I don't understand where your question is coming from. When it was clearly stated in our capital allocation principles, which we laid out 6 months back, which we laid out 4 years back also. And this has been our strategy.

Moderator: Our next question comes from the line of Jignanshu from Bernstein.

Jignanshu: Ashish, I know we discussed a lot about Pantaloons. I just wanted to get clarity on one thing. This new rebranding exercise that you want to do. And probably, in general, our "turnaround approach" for improving the same-store sales growth at Pantaloons to recover our rentals, etcetera.

What are we changing with this new identity? Like what are we solving for? Is it more premium experience and hence, better margins? Is it a larger variety? Is it just a look and feel to

differentiate it or modernize it? I think that would be helpful to understand.

Ashish Dikshit: Okay. Jignanshu, first, I would say that while we are calling -- you're calling it new retail identity. This is -- there's no rebranding. It's the same Pantaloons brand being prepared as times change, the retail experience gains, the landscape is changing. International brands are creating more aspirational retail environment.

New retailers are coming. So this is in keeping with the times. This is something that retailers around the world do when the markets are evolving. In Western mature markets where the maturity has already been reached, this happens once in 7, 8, 10 years. But in a country like India, which is still evolving, consumers experiencing differential levels of retail experience, you have to constantly evolve. So this is not something that we're doing a onetime exercise. We have been actually improving retail experience in line with what we felt was the current state at that point of time over the last 5 or 7 years, the shift is more significant here. But coming to a more substantive part of your question, the whole idea is this.

If you look at the bottom of the pyramid in value retail, there is a fairly large number of competitors who are actually crowding that space, more are coming, selling clothes between INR300 to INR1,000, whether it's large number of online players or multiple offline players. Pantaloons over a period of time has delivered for Indian middle class, a good quality, reliable and reasonable fashion for its customers over a period of time.

As the definition of good quality changes because a lot of product becomes available at lower price points, Pantaloons need to upgrade and justify and attract that customer to upgrade from cheaper products, lesser quality products to better, more reliable products because the brands are still further up and they are far more expensive. So this is what we are trying to do.

In the journey, therefore, what happens? Your customer profile, which is wanting to get out of cheap products and looking for better quality, either in fashion or durability

or any other

Aditya Birla Fashion and Retail Limited

August 14, 2025

Page 18 of 18

functional property starts to look at better options and Pantaloons is well placed for that. It's a familiar brand and it offers that.

In financial and economic terms, it obviously increased average bill size. It increases the gross margin because you're able to offer better product at slightly better price. And so -- and also the other benefits in terms of cleaner display, customer convenience and lower stock density and therefore, better inventory turns, lower markdowns, all of which actually both financially and for customers, create value. So that's a journey for us, and that's been the consistent path on which have been following.

Jignanshu: Okay. One quick follow-up. What is the interplay between the ethnic wear of Pantaloons and our TCNS products? So do we think of that as complementary as competitors to each other? And do we sell TCNS products inside Pantaloons or do we plan to?

Ashish Dikshit: The TCNS has been selling inside Pantaloons for 20-plus years. It's India's -- W, for example, is India's most successful, the largest ethnic wear brand for a long period of time, and Pantaloons has had share of external brands all the time. TCNS continues to be a part of it.

If you look at Pantaloon's own business, close to 18%, 20% comes from ethnic wear. Of this, a significant part comes from Pantaloons private labels, but there is a part which comes from external brands and W is the number 1 external brand in Pantaloons.

But not -- it's not linked to our acquisition. It was so even before we invested in TCNS. I think there is nice complementarity about it. It enhances our understanding of the premium ethnic wear. Over a period of time, I think this will create interesting further possibilities for the company.

Moderator: Thank you very much, ladies and gentlemen. On behalf of the management, we thank all participants for joining us. In case of any further queries, you may please get in touch with Mr.

Amit Dwivedi. You may now disconnect your lines. Thank you.

Ashish Dikshit: Thank you.

Call: Nov 2025

ADITYA BIRLA FASHION AND RETAIL LIMITED

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November 11, 2025

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q2 FY 2 6 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015;

2. Our intimation dated October 30, 2025 and November 4, 2025

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q 2 FY 2 6 Earnings Call held on Wednesday , November 5, 202 5 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are being made available on the Company 's website i.e., www.abfirl.com .

Thanking you ,

For Aditya Birla Fashion and Retail Limited

Anil Malik

President & Company Secretary

ACS 11197

Encl: as above

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Page 1 of 18

"Aditya Birla Fashion and Retail Limited
Second Quarter Earnings Conference Call "
November 05 , 202 5

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MRS. SANGEETA TANWANI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER , PANTALOONS – ADITYA BIRLA
FASHION AND RETAIL LIMITED

Aditya Birla Fashion and Retail Limited
November 05 , 202 5

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Second Quarter Earnings Conference Call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q2 FY '26 performance, followed by a question-and-answer session.

We have with us today Mr. Ashish Dikshit, Managing Director, ABFRL; Mr. Jagdish Bajaj, CFO, ABFRL; Mr s. Sangeeta Tanwani, Director and CEO, Pantaloon segment. I want to thank the management team on behalf of all the participants for taking valuable time to be with us. I must remind you that today's discussion may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance and to strategic questions only. Housekeeping questions can be dealt separately with the IR team.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you. And over to you, sir.

Jagdish Bajaj: Thank you. Good evening, everyone. Thank you for joining us today. I would like to welcome you all to the Q2 FY '26 earnings call of Aditya Birla Fashion and Retail Limited. Looking back at the quarter, the overall demand environment remained largely in line with previous quarters with cautious consumer sentiment across key categories.

The early onset of Pujo in Q2 acted as a catalyst for apparel demand, driving higher footfall and improved conversions across retail stores. However, there were issues related to rains in Kolkata and closure in Northeast, which impacted the shopping momentum for a brief while during peak festive period.

Amidst this, our business continued to perform strongly, delivering a robust double-digit growth during the quarter. All segments reported healthy like-to-like growth, reflecting the depth and relevance of our product portfolio, the consistency and quality of our retail experience and the growing trust and loyalty of our customers across brands.

Before we move to the financial performance, I would like to highlight a few key business milestones. In this quarter, we launched OWND!, our new Gen Z focused brand, opening its first store in Bengaluru. OWND!, the brand's curated youth-centric range has been promising early traction, strengthening our connect with the target younger consumers.

Additionally, in partnership with Galeries Lafayette, ABFRL unveiled its first India store in Kala Ghoda, Mumbai, spanning 90,000 square feet. This flagship destination opening to the public in November underscores ABFRL's plan of building its luxury play and set a new benchmark for world-class experiences in India.

As communicated last quarter, TMRW successfully raised INR450 crores, and this capital infusion was completed in Q2.

Now moving to the financial performance of the quarter. Aditya Birla Fashion and Retail Limited delivered another quarter of strong performance, driven by the strength and diversity of its high potential business portfolio. The luxury, ethnic and TMRW segments continued their Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 3 of 18

robust trajectory, each reporting double-digit growth during the quarter. On a consolidated basis, ABFRL reported revenue of INR1982 crores, translating into a 13% Y-o-Y growth. All key segments recorded healthy like-to-like growth, with Pantaloons at 7% and overall ethnic business more than 20%.

Overall, EBITDA grew by 7%, with margins at 5.9% for the quarter compared to 6.2% in the same period last year. The moderation in margins were primarily driven by higher investment in brand building and marketing initiatives, with advertisement spend higher by 200 basis points versus same quarter last year. Within segments, our ethnic business sustained its profitable growth trajectory, achieving

a 280 basis points year-on-year improvement in margins, reflecting improved operating leverage.

Depreciation was higher on account of new store additions and new leases signed in Pantaloons segment. PAT stood at a loss of INR295 crores in Q2 FY '26 compared to a normalized loss of INR277 crores in the same quarter last year after excluding the impact of exceptional gains in Q2 last year. As of September '25, ABFRL held gross cash of INR2,150 crores at consolidated level.

Moving to the first half of the year. We delivered strong performance with revenue of INR3,813 crores, up 11% Y-o-Y. EBITDA grew 24% in absolute terms to INR286 crores versus INR231 crores in H1 FY '25, with margins improving by 85 basis points to 7.5%. Our retail network stood at 1,190 stores, spanning 7.5 million square feet as of Q2 end, with 30-plus new additions during the quarter, further strengthening our presence.

Now let me brief you on performance of individual segments. Turning to the Pantaloons segment. The business delivered a growth of 6%, with revenue reaching to INR1,142 crores for the quarter. Like-to-like growth stood at 7%, supported by the early onset of festive season, which helped drive higher footfalls, though overall sales momentum was partially moderated by localized disruptions in East during peak Pujo week.

Pantaloons continues to be on track of improving its margin profile. At retail network level, the profitability of Pantaloons this quarter is higher by 180 basis points over last year. However, due to higher marketing investments in Pantaloons and launch of OWND!, the segment profitability got impacted versus last year with reported EBITDA at 13.7%, else would have been higher year-on-year.

Among other key developments for the format, Pantaloons launched curated collections and rolled out new marketing campaigns, reinforcing the brand's commitment to staying fashion forward and deepening engagement with newer audiences. Pantaloons also signed up its first-ever brand ambassador while expanding its all-new modern store identity.

OWND! continued to gain strong traction, with revenue up 43% Y-o-Y. The brand expanded its

footprint by adding 10 new stores in Q2 and now have 59 stores, and is on track to add 30 -plus stores in the second half of the year, strengthening its position in the youth and Gen Z fashion segment.

Aditya Birla Fashion and Retail Limited
November 05 , 2025

Page 4 of 18

Coming to the ethnic business. Our ethnic portfolio, the most comprehensive in the country, continues to deliver consistent growth in both revenue and profitability. With another strong quarter and L2L over 20%, it remains a key contributor to our overall performance. Despite a muted wedding season, the ethnic portfolio grew 11% Y-o-Y with revenue at INR505 crores. Excluding TCNS, growth stood at 34% Y-o-Y. The portfolio also saw a 200 basis point Y-o-Y EBITDA margin expansion, driven by operating leverage and significant progress on the turnaround of TCNS.

Our designer-led portfolio grew 32% Y-o-Y, driven by strong L2L growth, category expansion and elevated retail experiences. Sabyasachi and Goodview, that is Tarun Tahiliani, delivered 39% and 26% L2L growth, respectively, in Q2. The brands continue to strengthen their global appeal through high-profile collaborations and Fashion Week showcases, catering to both Indian and international audiences.

Now within premium ethnic wear brands, Tasva continued its strong trajectory, posting 58% Y-o-Y revenue growth and achieving its fifth straight quarter of double-digit L2L growth with L2L at 38% in Q2. The brand added 8 new stores, expanding its network to 78 stores with a strong momentum. Tasva is poised for continued growth, targeting to exit this fiscal year with more than 100 stores.

TCNS delivered strong L2L growth of 19%. Over the past few months, TCNS has maintained robust double-digit L2L

growth alongside a notable improvement in profitability, reflecting the success of its ongoing initiatives. Margin was up by approximately 900 basis points, driven by improved product performance and retail execution.

Building on its momentum, we plan TCNS to become a key profitable growth driver within our ethnic portfolio. With already a sizable business, we plan to take TCNS into segments with higher relative growth while consistently leveraging its core to drive profits. As a first step this quarter, the business forayed into the high-growth and large occasion-wear segment with the launch of Wishful.

On luxury retail, currently comprising of the multi-brand format, the collective and the other mono brands, delivered another strong quarter with 13% Y-o-Y growth, driven by robust e-commerce performance and healthy L2L growth. Format added 2 new stores to the network and now spread across 46 stores.

Our digital brand portfolio in TMRW grew by 27% versus last year, driven by portfolio expansion, premiumization and impactful campaigns with new celebrity associations. The portfolio strengthened its omni-channel play, closing the quarter with 29 stores, 75-plus, including WROGN across key markets nationwide.

In conclusion, despite a challenging consumer environment this quarter, our business have continued to demonstrate strong and broad-based growth, underpinned by solid L2L performance across all key segments. The strategic initiatives we set in motion in the past are now beginning to deliver the desired results, reaffirming that we are firmly on the right path.

Aditya Birla Fashion and Retail Limited
November 05 , 2025

Page 5 of 18

Our focused investment in brand building, partnerships and retail excellence are strengthening our foundation for sustainable, profitable growth. We remain confident that this momentum will continue to build through the rest of the year and beyond.

We are open to questions now. Thank you.

Moderator: Thank you, Mr. Bajaj. We will now begin the question-and-answer session. We will take the first question from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Ashish, I wanted to sort of first check whether my calculation is correct or not. So, have we consumed about INR900 crores of cash in first half from the balance sheet? Is this ballpark correct?

Jagdish Bajaj: No, Devanshu. We started -- my March cash was roughly INR2,172 crores in ABFRL stand-alone, which is today INR1,600 crores. So, roughly INR500-odd crores.

Devanshu Bansal: But we have raised another INR400 crores, right? So, I'm talking about the consolidated number. I'm talking about the consolidated number.

Jagdish Bajaj: Consol level, if you see then, March was INR2,367 crores, which is now INR2,150 crores approx

because TMRW raised the money and TMRW is consuming it separately.

Ashish Dikshit: It's a little bit more than INR600 crores, Devanshu.

Jagdish Bajaj: That is right.

Devanshu Bansal: Okay. So at this run rate, sir, do you -- first of all, is there any one-off in this, which may sort of come back in the second half? And secondly, at this run rate, do you think that we would need to raise additional capital going ahead in ABFRL?

Ashish Dikshit: I think the first part, Devanshu -- the first half of the year is when most of the inventory buildup and everything happens for the season. Second half, if you look at our company level sales, it's almost 60-40 for second half versus first half and so is our cash collection. So dramatically, higher cash collection in the second half versus first half, while the inventory buildup happens in the first half over second half.

So from a cash point of view, the situation actually improves quite significantly in the second half of the year, and that's not new this year. It's just that as the share of wedding-related business grows in our portfolio, and that's what has happened in the

last couple of years. The share of H2

to overall sales, both in profit and in sales and therefore, cash generation is much higher. So at this point of time, there's no cause of concern on that account.

Devanshu Bansal: And this INR600 crores, you are just comparing the cash, right? So there is an increase in debt as well. So, are you excluding that or including that in the INR600 crores of cash utilization?

Jagdish Bajaj: No, no, Devanshu, I'm comparing the cash. The borrowings are in subsidiary companies, please understand. But what Ashish was trying to say, this ethnic business is heavily loaded in H2.

Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 6 of 18

Therefore, the cash realization will be better in H2. So, we don't have any concern around the cash availability across all the businesses of ABFRL.

Devanshu Bansal: Fair enough, sir. Fair enough. And Pantaloons must have benefited due to festive preponement. There is a wedding room facility that is reported. Can you help us better understand maybe the comparable L2L ...

Moderator: I'm sorry, Devanshu, can you use your handset mode, please? Your audio is not very clear.

Devanshu Bansal: Yes. Is it better now?

Moderator: Yes.

Devanshu Bansal: Yes. So, I was checking if you could just help me understand the underlying like-to-like SSG for Pantaloons because there must be some benefit of festive preponement to this quarter.

Ashish Dikshit: Sangeeta?

Sangeeta Pendurkar : Yes. Devanshu, this is Sangeeta. So, Pantaloons overall, if I look at Pujo is, of course, critical and a large part of Q2 saw the preponement of Pujo, while Diwali continues into October. And yes, there was a benefit with this being advanced. In fact, if you see that we started with a very, very strong Pujo. And a week before Pujo ended, we were actually growing at an overall level in East at a double-digit growth. And unfortunately, the last 7, 8 days that we saw a terrific amount of rain there and the disruption in Assam, a lot of that growth got wiped out. So it's hard to kind of separate the 2.

The advancement, of course, did give us higher footfalls and gave us a good traction, but that got wiped off. All I can say at this point of time, if it was not for the external disruption, our growth would have been even higher, though overall, we believe that the quarter has been quite good for Pantaloons.

Devanshu Bansal: Fair enough. Sangeeta, I also wanted to understand. So, there has been a good LTL performance in Pantaloons, plus we have closed unprofitable network also, but there is still a margin drop in Pantaloons. So, you have indicated that it is because of new value format OWNED! . But on a like-for-like for Pantaloons, can you help us understand what has been the margin performance this quarter versus last quarter?

Sangeeta Pendurkar : Right. So, let me also add one more thing. So for Pantaloons, as I said, we've seen strong like-to-like growth. It's also important to understand the basis for that like-to-like growth. Our overall strategy in -- we have stayed consistent in Pantaloons with, of course, our product improving as is evidenced by very significant improvement in our sell-throughs every single season. If you have seen some of our new stores, we have refurbished those stores. There is, of course, a new retail identity, and we have continued to invest.

I think a big investment that Jagdish alluded to is also the marketing investment that we have made in this quarter. And it's very important that both for Pujo and for festive, which was part of quarter 2 and quarter 3, the work that we've been doing consistently over the last 18 months

Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 7 of 18

on Pantaloons coming to fruition, and it was important for us to communicate and will continue to be important for us to communicate our new positioning to the customer.

And therefore, the margin impact has also been because of the significantly higher marketing investments versus, in fact, last year, in terms of percentage, we have doubled our marketing investments. So overall, our margins are pretty good in Pantaloons. We continue to maintain what we had called out before. The little bit of impact that you see today just on the Pantaloons segment is on account of the higher marketing investment.

Devanshu Bansal: Fair enough. Fair enough. One last question from my end. For TCNS, while the LTL you reported very encouraging 19%, but basic calculation based on the numbers that we have for the past, overall, on a business perspective, it is still a 15% sort of a decline in H1, right? So firstly, the expectation was that the business should return to growth on an overall basis as the network rationalization was largely done with. So, can you help us better understand the calculation first is right on an overall growth perspective? And what is the outlook ahead for this business?

Jagdish Bajaj: So on numbers, Devanshu, let me take this, then Ashish will take on the outlook and all. You remember that we integrated TCNS with us from last September when the merger took place. And we changed the accounting because TCNS sales to Pantaloons. So with that, we reported revenue last year was INR254 crores approximately. The comparable of that would have been lower by INR40 crores. Against that, if you see, there is a double-digit growth in TCNS, around INR240 crores this quarter.

Ashish Dikshit: Devanshu, just to summarize, in previous years, TCNS revenue accounting was done on secondary sales.

Jagdish Bajaj: That is right.

Ashish Dikshit: We had corrected it to as a one-time thing. And therefore, if you look at like-to-like revenue for TCNS this quarter has grown by 13% over similar accounting.

Jagdish Bajaj: Yes.

Devanshu Bansal: Fair enough. And for overall business, again, there must be some preponement benefit. And encouragingly, H1 performance from a margin perspective from ethnic overall business has been pretty encouraging. But do you foresee that H2 may see some amount of losses just because some of the business must have preponed? So any...

Ashish Dikshit: No, not at all. Not at all. Which business are you talking about, Devanshu?

Devanshu Bansal: Overall. Overall ethnic, sir. So H1...

Ashish Dikshit: Overall ethnic on the other side, we'll see a very sharp increase in profitability in second half over first half. If you look at our last year's numbers, you can do it yourself. We've been reporting ethnic as a segment. You look at H1 and H2 profitability, a similar picture will emerge this year. There's been very little preponement in the ethnic, which is largely driven by wedding, which is in the second half of the year.

Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 8 of 18

Moderator: We'll take our next question from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Sir, just a question regarding the CapEx. If we see from the cash flow statement, the capex for H1 is around INR260-odd crores. And I'm assuming that we have also a strong store expansion plan both in OWND! and also in Tasva and the other pieces. So, what should be the capex for the H2 part of the business?

Jagdish Bajaj: So, capex primarily will be in OWND! around 30 stores and Tasva around 30 stores. I don't think more than INR100 crores to INR120 crores, INR125 crores will be spent on capex in these 2 businesses. And then other capex are very small.

Gaurav Jogani: Okay. And Jagdish, just one thing clarification. So, there is also a new retail identity for Pantaloons that has been rolled out. So, how many stores are we planning to convert the new retail identity? And what could be the related refurbishment cost for that?

Sangeeta Pendurkar: So, we've just started this journey. We've got 3 stores with the new

retail identity. All the stores,

and we had committed to opening about 15 stores this year. And all the stores that you will see opening now in terms of design will follow the new retail identity. And therefore, we would, over a period of time, like to have more and more stores looking consistently with that.

In terms of absolute cost, our capex on this new retail identity -- for any new retail identity, initially, the costs seem to be a little higher until you kind of get to a steady state. Overall, in our end state, we don't think the cost of per square foot in terms of capex of this new retail identity will be significantly different versus the current capex that we are spending.

Gaurav Jogani: Okay. Sangeeta, my question was more for the refurbishment, I mean the older ones. Are we planning to refurbish the new identity, or it will only be for the newer ones that we will see.

Sangeeta Pendurkar : Yes, no. So we also renovate stores parallelly, right? We renovate anywhere between 8 to 15, 20 stores every year. So the new retail identity will extend to the renovated stores as well. Parallelly, we have also done another exercise where we are doing some marginal kind of improvement in terms of space, space planning, how we represent brands.

So like we said, our store experience is one of the important pegs of our strategy, and that will continue to improve in all 3 ways: new stores opening with the new retail identity; some of the existing stores, especially the older ones getting converted directly into the new retail entity; and the other stores where we believe there's an opportunity to optimize density, improve a little bit of infrastructure, those investments will also happen.

Gaurav Jogani: Sure. Helpful. And my last question is towards the ethnic part of the portfolio. The margins that we have seen for the ethnic piece, if you extract that out for the TCNS losses, we can better appreciate the profitability that's been gained at the other pieces. So if you can help us out, I think actually TCNS and Tasva both, I'm assuming both would be the loss making pieces. What kind of profitability are we making in the other parts of the pieces of the business?

Ashish Dikshit: Sorry, you're asking the split of ethnic business and profitability...

Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 9 of 18

Gaurav Jogani: So, I'm assuming that the losses in the ethnic piece would be largely because of Tasva and TCNS.

Ashish Dikshit: We have very marginal losses in TCNS now. Most of the losses are Tasva and some of the other smaller designer businesses. But don't go by quarterly performance. I was mentioning, in ethnic businesses, particularly related to wedding, the revenues in second half is about 70%, the designer ethnic wear. If you take TCNS out, the remaining portfolio has close to 70% of its revenue coming in second half and close to 80%, 85% of its profit coming in second half. So it's a very skewed business. But unfortunately, that's the nature of the business.

Gaurav Jogani: My question was more on the annual front, not on the quarterly actually. It was more on the annual front.

Ashish Dikshit: On annual level, TCNS losses, as you're seeing, are significantly coming down. Tasva still has losses and rest of the business is profitable.

Gaurav Jogani: So, can we expect from next year onwards, these parts of the business also should turn profitable at least by the exit basis.

Ashish Dikshit: Yes, yes. I think by next year, the only losses will still be remaining in Tasva. TCNS would have completely turned around and designer portfolio as a whole is quite profitable.

Moderator: We'll take our next question from the line of Archana Menon from Morgan Stanley.

Archana Menon: So, my first question was on Pantaloons. So just on the SSG number that you've reported, it's good to see the 7% sort of LTL. How do you think of this in terms of how it

can sustain? Should

we be thinking of all the metrics that you have done actually driving this sort of growth even in the quarters ahead?

And secondly, this is for Pantaloons itself. There's been a lot of store renovation and other exercises that you've been doing. So, do you see a performance divergence between stores, which were been renovated or the new stores versus the earlier ones? So, any numbers that you can share either in terms of revenue throughput or SSG that would be very helpful.

Sangeeta Pendurkar : Right. Archana, this is Sangeeta. So I think, as I mentioned earlier, I think it's been a good performance for us in the second quarter. I think a lot of the efforts that we have made over the last year in terms of your question, in terms of what's really driving this growth, and I'll come to your second question on the performance of the new stores, et cetera. I think one of the significant shifts that we also made in this quarter is the marketing investments because the new positioning and the new proposition that we've launched, we've gone along with the celebrity.

We have ensured that there is a very strong digital plan that it has been supported by. And I think it's a question of time that once our story is deeply entrenched and reaches more number of people, we feel pretty confident given the performance of the second half that we will continue to sustain our growth.

And as far as -- because all elements today now are in place, right? Our product has significantly improved. Our stores are looking much better. Our store experience is better. There is a strong

Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 10 of 18

repositioning of the brand or a new positioning of the brand, shall I say. And with the marketing investments, we believe that we are on the right track to continue to drive growth.

On your second question, in terms of the stores, I think the shifts that we've made are pretty recent. We are seeing, for example, in some of our stores, a very distinctive difference in the

kind of consumer profile that we are seeing entering the store with a new retail liability given that it looks a lot more, shall I say, premium with a lesser density with a completely new design. The store looks a lot more attractive. And we are seeing, therefore, that we are able to attract a different profile of customers.

I think it's still early days. It's just been 2, 3 months. And of course, there has been a lot of noise with festive shifting, et cetera. So it's something that we track very closely internally. But I think we'll wait for another 6-odd months to kind of come to a conclusion on the net result incrementality of it.

Archana Menon: Understood. And on the margin side for Pantaloons, how are you thinking firstly about marketing spend for the full year? Is this more of a timing difference? Or should that be going up? And secondly, when we look at the Pantaloons' reported segment EBITDA margin, how should we be thinking of that for the full year versus last year when we also factor in the marketing expenses as well as some losses from OWND? ?

Jagdish Bajaj: So, we indicated when we met investors in the month of April that the segment margin should be in the range of around 15% to 17%. We will aspire to go to -- we'd like to maintain that. But the intermittent period for next 3, 4 quarters, you may see some more advertisement and marketing spend in both the business line in one segment called Pantaloons segment.

Moderator: Next question is from the line of Tejas Shah from Avendus Spark Institutional Equities.

Tejas Shah: Three questions. All 3 on Pantaloons. So first, Sangeeta, you partly answered on the previous question that the new brand entity, what it brings to the table. But I just wanted to know that -- I'm sure we would have done some brand perception study before kind of doing this exercise. So, what was the gap

of feedback that we found in the study that led us to do this massive revamp? And as you also called out that the first time in history, we are hiring a brand ambassador as well. So first, I wanted to understand what was the feedback where the brand was lagging versus consumer perception?

Sangeeta Pendurkar : Right. So Tejash, it wasn't a question of lacking. I think it was a question of where we have been on the journey with Pantaloons. As you know, you've been hearing us right through on our calls that there was a very concerted effort over the last few years to make sure that Pantaloons owns a particular space. And in order to do that, we had a very charted course. And the first was in terms of ensuring that our product -- the fashion quotient of our product improves.

The second was in terms of our store experience. And we were very clear that once we do both of these is when we will go out and communicate to the consumer. Equally, to your point, the work that we have done in terms of what should our advertising and communication strategy be

Aditya Birla Fashion and Retail Limited

November 05 , 2025

Page 11 of 18

is backed by very strong consumer work, perhaps one of the most robust and largest work that the industry would have seen.

And basis that, we figured first very sharply who is the consumer segment that we are targeting. And everything that we did was, in fact, to make sure that we significantly are able to drive our relevance with this consumer segment, equally make sure that we have distinctiveness versus competition. Because over the last few years, the consumer today definitely sees us as being more fashionable, more premium versus perhaps where we were 5, 6 years ago.

So, we have travelled that journey. It's a question of now making sure that in this new competitive landscape, how do we kind of continue to win. And therefore, the insights that we got with this sharp definition of the consumer segment allowed us to identify white spaces in terms of positioning. Our key insight has been that the consumer segment that we are targeting really wants to curate fashion in her own manner.

And therefore, our positioning of Spark Your Imagination where Pantaloons really becomes the playground for the consumer to experiment, to get the latest fashion is where this came from. So it wasn't from a gap, but it came from a journey to say we are -- this is our North Star. This is the journey.

This is the quadrant where we want to be, or this is the space we want to be. This is what the consumer wants. This is what will offer us distinctiveness versus competition. And so it's a very large body of work over the last 18 months that led us to this.

Tejas Shah: And what percentage of our network would be kind of representing this new ethos of the brand?

And I'm assuming you would have done a controlled launch also in a particular region. So, where we have done that launch? And are the numbers in that territory kind of giving us this confidence that if we roll it out pan -India, we will have a similar number?

Sangeeta Pendurkar : Yes. So it depends on what you are defining as the launch, right? As I said, this has been a journey. Our product has continued to improve. And this product in a relevant manner, backed by science of planning -- assortment planning, goes to the right stores and curation of range, etcetera, is something again that we have developed a very strong muscle on. So, that's been a

continuing journey.

I think the fact that we have started communicating now with strong marketing investments is the only new thing. The stores have gotten better and will continue to improve. The new retail identity is just about 2, 3 months old. And as I said, this will continue to expand. So the store bit and the communication bit are the 2 new pieces. The product has been an ongoing journey, and I'd like to believe that the strong growth that we've seen in

the second quarter, a large part of that

comes from the improvement in our product, the relevance of our merchandise.

We should be able to see greater traction on the brand, with now the recent investments in the marketing and in the stores. So, there isn't a one particular point. The launch, if you're referring to the communication, that is the new thing. The store design is the new thing, but both of these are very, very recent. And they are national. So the communication is national. The store launches, as I explained before, will happen sequentially.

Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 12 of 18

Tejas Shah: No, I was just trying to see the initial response from consumer because 3 months also means that we had at least 12 Sundays or 12 weekends that we would have seen footfalls. We would have seen conversion rate. Footfall will take time perhaps.

Sangeeta Pendurkar : Yes.

Tejas Shah: But are we seeing initial good conversion rates, good billing?

Sangeeta Pendurkar : So the 2, 3 stores -- 3 stores that we've launched, the first one is just about 3 months old as I said.

And we have seen an improvement in the traction from the consumer. We have got qualitatively extremely positive feedback. And in terms of discoverability of merchandise and therefore, leading to conversions, et cetera, directionally, we have seen improvement.

As I said, it's only early days. There's only one store, which is 3 months old. The other stores are more recent. So, something that we will track and expand accordingly. And along the way, also see if there are any learnings, we will pick those up as well.

Tejas Shah: Perfect. And the last one. How should I think about store economics with this new identity?

Because with OWND! launch, you have much legroom to play slight premiumization here because OWND! will take care of fast fashion Gen Z -oriented customer. So, should I assume that this brand will be ballpark north of 35%, 40% gross margin positioning? Or will it be INR12,000, INR13,000 per square feet model? Just wanted to understand with this new identity, if I have to convert it into Excel sheet, how should I think about this new format?

Jagdish Bajaj: You're talking about OWND! or Pantaloons?

Tejas Shah: No, I'm talking about Pantaloons.

Ashish Dikshit: No. Tejas, Pantaloons' margins are closer to 50%, not 35%.

Tejas Shah: No, I'm saying now with you have that room to play both sides, how should I think about both all the key parameters; store economics, right, from revenue per square feet to inventory turns to gross margin? How are you kind of planning with this new identity?

Ashish Dikshit: So, I think Pantaloons, as we have established over a period of time, is closer to 50%. We would like it to be north of 50% gross margin, where we have not yet reached. But that's the progression we have made over a period of time. And with the journey of premiumization, Sangeeta said, Tejas, your feeling that there is a moment of time that something has changed. Actually, 3, 3.5 years of cumulative work, which started for several seasons with product, then a few small stores, then refurbishment, then new retail identity spreading it to it and now leading to communication.

It's a consistent strategy over 3, 3.5 years and benefits have also, therefore, come incrementally and cumulatively over a period of time. As far as the desired model is concerned, Pantaloons would aspire to be north of 50% gross margin. We are just short of that. So, about 200 basis point improvement is what we need to get to that. The business is operating -- this INR4,500 crore s business is operating in negative working capital, and we'll continue to maintain that.

Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 13 of 18

In terms of store productivity, it varies region by region. It's more a function of where the store is, not the proposition

in itself. I think the measure to look at is store profitability, which is what is the single store profitability at a network level or an overall level.

And that number needs to be closer to 25% to be able to leverage the overheads, advertising and everything else. And that will come both through small part through productivity and a small

part through gross margin improvement over 2, 2.5 percentage points .

Tejas Shah: And any private label ambition you want to share there?

Ashish Dikshit: I think we've been somewhat around 64%, 65% at different points of time and the performance of external brands sometimes overtakes and therefore, it's not moved much beyond mid -60s. Our ambition would be to get closer to 70%, 75%. But that's a journey that private brands have to deserve that space. And therefore, it will come through the product performance incrementally. Sangeeta Pendurkar : And to add to that, I think if I just look at the share of ABFRL plus ABLBL, the 63%, 64% that we see in private label, including the A BLBL portfolio, TCNS, WROGN, et cetera, we already are at about 75% in terms of our own portfolio.

Tejas Shah: Perfect. And sorry to stress this, but this 75%, does it have a better throughput versus the rest of the portfolio?

Sangeeta Pendurkar : It has. Go ahead, Ashish. Sorry. No, no, after you.

Ashish Dikshit: Tejas, we put all businesses through same test of GMROF, which is return on inventory and return on space. So at that stage, we don't sort of -- we want all businesses to deliver that level of gross margin, which would come either through higher throughput or through higher margins. In private label, margins are higher. As you know, external brands have lower margin. And therefore, it's a mix that we aspire to get right.

Moderator: We'll take our next question from the line of Sameer Gupta from India Infoline.

Sameer Gupta: First is just a clarification. So on Pantaloons' new retail identity, I think in the last call, you mentioned that 50% of the overall network is now on the new retail identity. So, I'm not sure what are the 3 stores that Sangeeta was referring to earlier i n the call.

Sangeeta Pendurkar: Yes. Sure. So Sameer, this was the retail identity that we had launched about 4 years ago. We, prior to that, had a retail identity that was launched in 2016, '17. The next version of that came in '21. The 50% I referred to was that identity. As I said, wi th all the consumer work and a sharper definition of the consumer that we defined for ourselves. And given the way the retail formats have evolved, we saw there's an opportunity to once again refresh our retail identity. And therefore, the new retail identity I'm referring to is the latest greatest that we just launched.

Sameer Gupta: And by what time do you foresee to establish this retail identity across the 400 store network?

Sangeeta Pendurkar: So, I think the stores that we have opened in the last 3, 4 years, and that identity in itself is also pretty good. This is just the newer version, as I said. And given that we will open about 15 to 20 stores in the coming years, the new stores will all ca rry the new retail identity.

Aditya Birla Fashion and Retail Limited

November 05 , 202 5

Page 14 of 18

And you can assume on an average about 8 to 15 stores that we will kind of renovate, and we will pick the most important and the iconic stores and the most deserving stores. So, you can safely assume that over the next 3 years, there will be probably anothe r 50 stores that will undergo this change, and there will be probably another 50 new stores that will come in with this new retail identity.

Sameer Gupta: This would take multiple years, if I have to look at it, to encompass the large part of the whole network. Will that be a correct understanding?

Sangeeta Pendurkar: So, we've already got out of the 400, as I said, 200 stores are pretty good. We will have another -- of

the other 200, the top 30, 40, 50 stores will kind of get prioritized on that. And yes, as and when the stores come up for renovation, it will probably take us another 3 to 5 years to kind of get across to the most deserving stores. And that's how all -- yes, all retailers, I guess, would have this journey in terms of evolution of both the brand and how that gets represented in the stores.

Sameer Gupta: Got it. And coming to the question on this retail identity again. So, marketing spends and a new brand ambassador, is this a pivot in the strategy? Or is it part of this new retail identity? And given that if, let's say, it is part, then this is going to b e an ongoing thing. It is not a 1 quarter or a 2-quarter thing. This probably will be an ongoing thing. Is this a correct understanding, first of all?

Sangeeta Pendurkar: So the retail identity, the new communication is not on account of the retail identity. Both the communication and the retail identity are part of a well -defined strategy, right? And in many ways, the brand comes to life in the store. So as the brand posit ioning got defined in a sharp manner, it has to come through in our product. It has to come through in our store experience, and it has to come through in our communication. So it's just anchored in one strategy, Sameer. So, we have bee n consistent with that.

On the second part of your question, yes, we felt that to break through the clutter and to ensure that we build the desired fashion quotient for the brand, there was a need to have a celebrity. The celebrity association will, of course, continue for some t ime. However, the marketing investments are phased out in any given year based on the desired sales plan. And we will continue to invest in the brand, having got a lot of other elements of the consumer experience

right. The investments in the brand will continue. Of course, festive is heavier than the rest of the year. So it will phase out accordingly based on the sales plan.

Sameer Gupta: No. So, okay, let me put it in another way. Whatever marketing that you used to do earlier, is there going to be a slight increase going forward because of the changes that you're making in the brand communication?

Sangeeta Pendurkar: So for an initial period, yes, because one has to build awareness of the new brand positioning or the new communication on which the positioning is anchored. It's not something that we'll continue to do into perpetuity. And we've leveraged the purchase occasion in terms of festive to announce that. We would have anyway spent on the brand. We have spent a little bit more to be

Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 15 of 18

able to make sure that we are able to reach more number of people at a time, which is very relevant for us.

Sameer Gupta: Got it. And another question on Pantaloons. So, you mentioned 15 store additions planned for this year. Just if you can quickly clarify in last 6 months, what have been the gross additions and the closures? And is the store closure exercise now largely behind? Or we still continue -- like we still have some bit of closures left?

Jagdish Bajaj: Added 6 stores and closed 8 stores.

Sangeeta Pendurkar: Yes.

Sameer Gupta: And are we at the end of this exercise of closures? Or do we foresee...

Jagdish Bajaj: See, there is a normal phenomenon to close around 10, 15 stores, yes, based on the development in the store locations and development in that market.

Sangeeta Pendurkar: We have covered a large part of our closures.

Ashish Dikshit: Restructuring is done.

Sangeeta Pendurkar: Yes. There is a -- just like Jagdish said, as in normal course, and we have just a little bit of the last lap left, but a large part of the closures is done.

Sameer Gupta: So 15 store additions, normal closures of 10, 15. So net-net, we might not be adding stores in this format for some time. Is that a correct understanding?

derstanding?

Sangeeta Pendurkar: Only this year.

Sameer Gupta: Okay. Got it. One more question, if I may squeeze in, sorry for this. There is another portion, which is largely luxury retail. Now if I look at the margin performance of this business, it's been extremely up and down. So last 2 quarters, we were clocking 40% plus. This quarter is 25%. I understand there is Galeries Lafayette, but that is yet to open. So, just your thoughts on what is exactly happening here?

Ashish Dikshit: So it's a very small business right now. And Galeries Lafayette, while the store may not have opened, expenses are still going on, and the revenue will start counting once we store open. So on a small business, when you add something like this, there will be a choppiness for some time.

Sameer Gupta: So the choppiness only pertains to Galeries Lafayette, not the base luxury retail?

Ashish Dikshit: Yes. The Collective & Mono brands part of the business is very stable. It's growing at about -- this quarter, about 13%. But in general, for a long period of time, it's managed to retain about double-digit like-to-like and similarly healthy margins.

Moderator: Next question is from the line of Kunal from Jefferies.

Aditya Birla Fashion and Retail Limited

November 05, 2025

Page 16 of 18

Kunal: Just one question on TMRW. So the losses in that business have gone up in the last 2 quarters.

Anything to read or there's some bit of seasonality here as well?

Ashish Dikshit: No, I think you're right, Kunal. The losses are a little higher than what we would have liked. We have been trying to sort of push higher growth rate in this business. Especially post investment, we felt that some of the brands which have not shown that kind of revenue growth, we should inject more marketing. And therefore, early stage, the revenue to advertising spend has been slightly adverse compared to what we would have liked. But that's a journey that we'll go through. We'll adjust as we go forward.

Kunal: Understood. And this INR400 crores, which you had raised, apart from, let's say, funding these losses, any other thought process on how that will be used and repaying debt in that subsidiary, of course?

Ashish Dikshit: So, I mean, if your question is, are you doing any inorganic action? No. A large part of the capital there is required for growth, which is growth in terms of working capital, which is marginal, but more importantly, loss funding as many of the businesses are currently loss-making. A little bit goes into the offline capex as we are converting some of these brands into omnichannel space.

Moderator: We take our next question from the line of Hemant Shah from ENAM AMC.

Hemant Shah : Reading from the consolidated cash flow, the lease rent liability appears to have moderated. So is it going to moderate going forward? What would be the trend of the lease rent from here?

Jagdish Bajaj: Lease rent, Hemant, depends on when we sign agreement and the new stores which we add. At the same time, whatever we have added in past because in past, it will keep on reducing it. It works on that EMI methodology. So right now, as I said, we have signed agreements for new stores in Pantaloons, OWND! stores as well as in Tasva. So it may go up, but the benefit will also flow the way my network is also rising. So, difficult for me to give you the exact numbers, but let me work and come back to you on that.

Hemant Shah : No, sir, just wanted to understand whether year -on-year, is it going to increase from here or this trend of moderation in year -to-year figures will continue?

Jagdish Bajaj: There's no chance of moderation because we have rent renewal agreement also and the size of our stores are also rising. At the same time, we have to add stores in our 2 mainline business. But let me work on it. I will come back to you. I have given you this guidance.

Hemant Shah : Sure, sir. Second is on the e

thnic business. Ashish sir just touched upon the profitability of the

ethnic business. Just wanted, how is the second half wedding season panning out? And with the recent change in the GST rates, do you see any change in the consumer sentiment or consumer shifting towards the value pricing category?

Ashish Dikshit: See, I think most of our ethnic business is operating from -- especially wedding -related ethnic business is operating from premium to bridge to premium to all the way up to luxury. The only, I would say, regular premium wear is TCNS, which, as you are seeing this quarter has grown by Aditya Birla Fashion and Retail Limited

November 05 , 202 5

Page 17 of 18

13%, like -to-like growth of 19% is a strong recovery path. All this is happening while the GST action has been going on.

On the higher end of ethnic wear, the GST, as you know, has increased from 12% to 18%. I do not think at this point of time that this 5%, 6% increase in GST, almost all of which we have to pass to customer will have any significant shift because the price points at which it's operating, consumer is unlikely to move to value option because you don't get that kind of product -- that quality of products. So, that customer will obviously not shift many steps level. A little bit of up and down for a short period might happen, but we don't expect that to be a large phenomenon.

Moderator: We'll take our next question from the line of Aditya Bansal from Motilal Oswal.

Aditya Bansal: Just wanted to understand what exactly is being addressed through the brand identity change in the value retail and how have been the trends in that segment for us?

Ashish Dikshit: Sangeeta, you want to comment?

Sangeeta Pendurkar: Yes, yes. So, I presume you're talking about OWND! , right?

Aditya Bansal: Yes.

Sangeeta Pendurkar: The new retail identity. Yes. So again, I think this comes from a very good deep understanding of the fact that we are targeting the Gen Z here and our deep understanding of this segment. And of course, if you see the value segment with the level of competitiveness, it is very, very important for us to build distinctiveness and to make sure that there is -- we break through this clutter of several, several brands. And therefore, there are, again, different elements in terms of the OWND! brand, and we redefined both the store design to make it look different and distinctive.

As we go forward, there will be certain things in terms of how do we strengthen our engagement with this set of customers, a sharper definition of which product categories really matter to this customer and defining those. And of course, again, the brand positioning, which in terms of language, et cetera, and communication is based on, again, an understanding of this segment. So this is, again, a great opportunity based on our learnings of the last 2 years. Having seen the success of what we established over the last 2 years, we felt there were opportunities for us to further strengthen the brand and therefore -- or further strengthen this proposition. And therefore, the brand, the identity, the store design, the sharper focus on product are all part of that. And from here on, we intend to continue to invest in this format. Having seen the success gives us confidence to build on this more aggressively.

Aditya Bansal: Sure. And any trends on how the industry has been performing and how we have performed on the value retail side?

Sangeeta Pendurkar: Yes. So I think it is -- we've been here for the last couple of years. We have evolved this format and made changes with a great sense of agility. I think we are pretty -- you've seen the growth

Aditya Birla Fashion and Retail Limited

November 05 , 202 5

Page 18 of 18

numbers that Jagdish talked about at 43%. And of course, we've added 10 new stores. So, I think we are pretty -- we feel pretty good about our performance of the first h

alf of this format.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of the management, we thank all participants for joining us. In case of any further queries, you may please get in touch with Mr.

Amit Dwivedi. You may now disconnect your lines. Thank you.

Jagdish Bajaj: Thank you.

Call: Feb 2026

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February 10, 2026

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q3 FY 2 6 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated January 28, 2026

Dear Sir/ Madam,

With reference to the captioned subject, the transcript of the Q 3 FY 2 6 Earnings Call held on Friday , February 6 , 202 6 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are being made available on the Company 's website i.e., www.abfrl.com .

Thanking you,

For Aditya Birla Fashion and Retail Limited

Rajeev Agrawal

Company Secretary & Compliance Officer

ACS 1 8877

Encl: as above

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Page 1of 18Aditya Birla Fashion and Retail Limited (ABFRL)

Third Quarter Earnings Conference Call

February 06, 2026

MANAGEMENT : MR.ASHISH DIKSHITMANAGING DIRECTOR

ADITYA BIRLA FASHION AND RETAIL LIMITED

MR.JAGDISH BAJAJCHIEF FINANCIAL OFFICER

ADITYA BIRLA FASHION AND RETAIL LIMITED

MRS.SANGEETA TANWANI DIRECTOR AND CHIEF

EXECUTIVE OFFICER,PANTALOONS ADITYABIRLA

FASHION AND RETAIL LIMITED

Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Third Quarter Earnings Conference Call

of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the Q3 FY '26 performance, followed by a question-and-answer session. We have with us today Mr. Ashish Dikshit, Managing Director, ABFRL; Mr. Jagdish Bajaj, CFO, ABFRL; Mrs. Sangeeta Tanwani, Director and CEO, Pantaloons segment. I want to thank the management team on behalf of all the participants for taking valuable time to be with us. I must remind you that today's discussion may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance and to strategic questions only. Housekeeping questions can be dealt separately with the IR team.

With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj: Thank you. Good evening, everyone. Thank you for joining us today. I would like to welcome you all to the Q3 FY '26 earnings call of our company, Aditya Birla Fashion and Retail Limited. Looking back at the quarter, the overall demand environment remained mixed with consumption largely centered around festive and wedding-related shopping.

Additionally, a part of the festive season shifted to the previous quarter this year compared to Q3 last year, which impacted the reported sales growth, particularly for our masstige and premium brands. Also for our Pantaloons format, we have consciously postponed our EOSS by 12 days into Q4, which further impacted the sales growth.

Against this backdrop, our business continued to perform well with all new businesses delivering over 20% growth. The value and masstige segment saw a marginal impact due to the shift in Pujo and EOSS. However, performance remained strong even adjusted for these shifts, including the traction seen in January.

We have also continued to invest in network expansion through growth capex, adding a net 5.5 lakh square feet of area over the last 12 months. This positions us well for future growth and operating leverage as these stores mature. All our businesses remain firmly on their respective long-term growth trajectories, in line with the strategic direction we have been consistently outlining over the past few quarters.

Now moving to the financial performance of the quarter. Aditya Birla Fashion and Retail posted 8% Y-o-Y growth to reach INR2,374 crores versus INR2,201 crores last year. Overall EBITDA grew by 13%, with margins at 15.6% for the quarter compared to 14.9% in the same period last year.

Within segments, our ethnic business continued its consistent margin expansion for the eighth consecutive quarter with Q3 margin reaching 22.7%, up 350 basis points versus last year.

Profitability across TMRW and the luxury segment, excluding Galeries Lafayette, delivered Y-Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 3 of 18

o-Y improvement. If we see ABFRL, excluding TMRW, overall margin stood at 20% in this quarter, up 70 basis points versus last year.

Depreciation increased during the period driven by new store additions. Reported loss was INR141 crores. This includes a one-time exceptional item pertaining to new Labor Code this quarter. Otherwise, normalized loss stood at INR115 crores versus INR103 crores last year. As of December 2025, ABFRL held gross cash of around INR2,100 crores at the same level as end of Q2 FY '26.

Moving to the YTD performance. ABFRL revenue stood at INR6,187 crores, up 10% Y-o-Y. EBITDA grew 17% in absolute terms to INR655 crores versus INR559 crores in YTD last year, with margins improving by 70 basis points to 10.6% despite 100 basis point higher advertisement spend versus last year.

If I look at ABFRL, excluding TMRW, YTD margins have expanded by 150 basis points to 15.2%.

Our focus continues to be on driving profitability and, at YTD level, ABFRL, excluding TMRW, delivered positive EBITDA on a pre-Ind AS basis despite our deep investment in establishing multiple new businesses. Our endeavor will be to improve on this trajectory as these businesses mature. Our overall retail network stood at 1,226 stores, spanning over 7.7 million square feet as of Q3 end with 50 new additions during the quarter with area up by 2.5 lakh square feet sequentially.

Now let me brief you on the performance of individual segments. Turning to the Pantaloons segment. The business performance reflected a shift in festive and EOSS sales into Q2 and Q4, respectively. Adjusting for Pujo and EOSS shift, Pantaloons format LTL stands at 3%. Revenue for the segment stood at INR1,276 crores for the quarter with margin at 18.2%, lower on account of old losses and marginal dip in Pantaloons due to sales shift.

For Pantaloons, our refreshed strategy centered on moving away from value-led fashion and building premium brand proposition is showing some green shoots. Our current month-on-month trajectory validates that this approach is working as some of the key initiatives, KPIs are

showing encouraging trends.

We are enthused by these early results, and we'll continue to build upon it with sharp execution to progressively set the business up for sustainable growth. OWND! in its new format posted revenue growth of 54% Y-o-Y. The brand expanded its footprint by adding 9 new stores in Q3 and now has 67 stores.

Coming to the ethnic business. Our ethnic portfolio is now at INR2,200 crores annual sales with 650-plus stores across the country. Our Q3 revenue stood at INR703 crores, up 20% Y-o-Y despite festival shift with LTL at 10%. The portfolio also saw a 350 basis point Y-o-Y EBITDA margin expansion, driven by strong revenue growth led operating leverage.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 4 of 18

As you are aware, our ethnic portfolio comprised of 2 business segments, designer-led and premium ethnic. The design-led segment, a strong and profitable business, continued to scale rapidly. The portfolio delivered over 30% Y-o-Y growth, driven by healthy LTL growth of around 15%, category expansion and elevated retail experiences while also reporting strong double-digit profitability during the quarter.

Now within the premium ethnic wear brand, Tasva continued its strong trajectory, posting 26% Y-o-Y revenue growth, led by 8% LTL growth. On YTD basis, LTL stood at 20%. The brand added 8 new stores in Q3, expanding its network to 85 stores. The brand's recent traction reflects the impact of improved assortments and curated wedding-led collections supported by continued brand visibility efforts.

TCNS reported flat overall revenue growth during the period, largely driven by store rationalization of 50 stores in the last 1 year. Since acquisition, the network has been streamlined from around 650 stores to 480 stores. On this more focused and profitable base, we delivered strong LTL growth of 8% for the quarter with YTD LTL growth at 10%, reflecting improving underlying performance. Margin was up by approximately 500 basis points, driven by improved product performance and retail execution.

On a pre-Ind AS basis, losses have declined by over 50% on a YTD basis, indicating meaningful progress in the turnaround. New launches are witnessing strong sell-throughs, translating into improved store productivity. This reflects our focused product strategy and the pivot towards a higher mix of occasion wear as outlined at Analyst Day. With these strategic foundations in place, we are entering the next phase of expansion with a healthy store addition plan, targeting double-digit growth and double-digit pre-Ind AS margin over the medium term.

On luxury retail, the C

ollective & Mono brands business delivered another strong quarter with 16% Y-o-Y growth with improving profitability. The business added 3 new stores to the network and now is spread across 49 stores. India's first flagship luxury departmental store, Galeries Lafayette, commenced operations in November 2025 and has seen strong early traction. The platform will continue to deepen consumer engagement through curated experiences, add new and relevant brands and strengthen its positioning as a premium luxury destination in the Indian market.

Our digital brand portfolio TMRW grew by 29% versus last year in Q3, underpinned by strong back-end technology and data science-led capabilities, enabling rapid scale-up. The business is now operating at an annual revenue run rate of INR1,100 crores, including Wrogn with improving profitability trends. The portfolio continued to build its omnichannel presence, closing the quarter with 90-plus stores across key markets nationwide.

In conclusion, our larger businesses, including Pantaloons and TCNS, continue to progress along a clear strategic path and are now well positioned to contribute meaningfully to overall growth.

At the same time, our other businesses, which have reached a significant scale, will now pursue

Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 5 of 18

steady improvement, both in terms of profitability and growth. Collectively, these outcomes, along with adequate cash availability, provide comfort on the strategic direction of the portfolio and its ability to deliver consistent value over time for our stakeholders.

Thank you, and happy to take questions now.

Moderator: Thank you, Mr. Bajaj. We will now begin the question-and-answer session. We take the first question from the line of Archana Menon from Morgan Stanley.

Archana Menon: My first question was on Pantaloons. So in your comments, you mentioned that there was positive trends in month-on-month performances and KPIs improving. So if you could share some more details on how the performance has been through the quarter and in January? And

which are the key KPIs we are seeing an improvement? Any additional details?

Sangeeta Tanwani: Archana, this is Sangeeta. So as Jagdish mentioned that our performance for this quarter actually corrected for the shift of festive actually is at about 3%. The other big shift that happened in this quarter, I'm just giving you first explanation for the growth. Because we had a good autumn/winter and the season was going well and one of the KPIs that we saw improve significantly is our sell-through rates on our merchandise, given all the shifts we've made in our merchandising strategy, we actually decided to shift our EOSS versus last year to quarter 4. And of course, this will have an impact on quarter 4, and we will see -- the base has shifted from quarter 3, and this will come back looking stronger in quarter 4.

To your specific question on the indicators, some of the shifts that we had called out in our strategy was a shift in our merchandise aesthetics, and we had taken a big bet, for example, on certain categories, the women's western wear category, non-apparel category. Very happy to share with you that on both of those categories, our growth has been above expectation. And given that the strategy was to be a more fashion-forward brand, it was very important for western wear to turn around and which we've been able to do successfully.

Our new stores, if you see the new retail identity that we have rolled out over the last few months, those stores are outperforming versus the rest of the network. Our online business, which today is a small business, but we had made certain choices to get that business to a path to profitability and then start scaling the business. We've moved significantly forward on that business, too. More importantly, we made investments in marketing in this quarter. We signed a cele

brity and

invested significantly in marketing in line with the repositioning strategy of the brand. As you know, we've been talking about moving from a little bit more premium in the mid-market segment itself. But in terms of imagery, making ourselves more premium. Our merchandising store strategy, everything has been in line with that and the new advertising, too.

What's heartening to note is that the profile of the customer, while it's too early to assess the overall impact of marketing, and it will take some time for the results to come through specifically on marketing, but the early signs in terms of the profile of the new customers that Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 6 of 18

we have acquired, there is clearly a shift in terms of the profile being more younger, which again is in line with the stated strategy.

So therefore, I think with the shifts that we made in our merchandising, in our store strategy, in online, in the marketing investments all seem to be paying off, and we are seeing a steady improvement in all our metrics, and that gives us the confidence that we will see stronger growth coming back, even stronger growth coming back in the future in Pantaloons.

Archana Menon: Just following up on this. In line with the premiumization strategy that we followed, are you seeing a growth in the average basket size or ticket average bill order so far?

Sangeeta Tanwani: Yes. So in terms of our bill value, it has increased a little bit. While we made sure that we're not taking up our prices significantly, what we've done is to make sure we packed more value in our products, and that is something that we will continue to drive. Also with non-apparel being integrated into our apparel strategy, we hope to see an ongoing improvement in our basket sizes as well. So not a very significant impact in terms of the basket size. But in terms of our average selling price, we've seen about a 2% to 3% increase because of the shift and because of our premiumization.

Archana Menon: Understood. And on TCNS, what are your store expansion plans for next year?

Ashish Dikshit: So Archana, as you know, in TCNS -- this is Ashish here, in TCNS, we were focused on consolidating the cost side of the business, the inventory and putting out fresh merchandise. And the store expansion was really not on the agenda for much of last couple of years. I think from Q4 of this year is when our expansion agenda is changing. I expect that we'll add between 50 to 60 stores next year in TCNS, something that we had held back so far.

But now that the merchandising performance has significantly shifted, the strategy on both dimensions, which is making the brand a little bit younger and contemporary as well as increasing participation in celebration wear and festive wear through wishful. Both are playing out well. We feel more confident to store expansion now.

Moderator: We take the next question from the line of Gaurav Jogani from JM Financial Limited.

Gaurav Jogani: So first on Pantaloons, I do understand the shift to Q2 of the festive season has kind of impacted the revenue growth in Q3. But if you look at the 9 months revenue growth also, the revenue growth in total has been only 1%. Also, if you look at the margins, margins have also kind of dipped 100 bps on a 9-month basis.

So where are we on the path of margins improvement going ahead? So should we consider a large part of the rationalization of stores, etcetera, is now over, the cost elements initiatives are over and probably going ahead, can we see improvement in margins and also in the revenue

Ashish Dikshit: So Gaurav, first, as Sangeeta explained, even if you look at -- it's more pronounced in Q3, but if you look at 9 months also, the shift in EOSS from December to January has also brought down revenue growth for

this quarter as well as for 9 months. But your point still remains.

I think last couple of years, rationalization has sort of curtailed the revenue growth opportunities as far as the business is concerned. And that's going to reverse now as most of the network rationalization part is over, and we are looking to improve -- the network addition is going to start from this year onwards and more specifically next year.

On the margin front, Pantaloons margin remains steady. The reduction that you're seeing is a combination of 2 things. One is the shift in revenue because it's a very high operating leverage business. When you shift revenue from 1 quarter to other, for temporary, that quarter looks a little lower. There is absolutely no concern around it.

The other reason is, of course, as OWND! expanded this year with the rebranding and relaunch, etcetera, the OWND! losses have brought down the margin by that 100 basis points that you're seeing there. As far as Pantaloons own profitability is concerned, it remains pretty much on the trajectory that we had indicated earlier.

Gaurav Jogani: Sure. So just a follow-up on this. Pantaloons, what kind of store expansion can we expect from the next year, say, FY '27, '28, what steady store expansion can we expect?

Ashish Dikshit: I think about 20 stores is what we would say we need to build in because Gaurav, as Sangeeta had explained, a lot of our premiumization strategy was building around aspirational and experience premiumization, not necessarily significant shift in pricing. So the Pantaloons addressable market hasn't come down.

It's just that I think as consumers have moved, they're looking for better and more superior experience, which is what we have been testing and implementing. And the confidence is now fairly strong that we should get back to the expansion path, and this is what we'll do.

Gaurav Jogani: And would the stores be -- the sizes would be larger or smaller versus the earlier network that we used to expand because I think now we are looking to expand more in the Tier 1 and metro cities.

Ashish Dikshit: Yes, larger stores.

Gaurav Jogani: Any size that you can help us? I mean, 15...

Sangeeta Tanwani: So we are largely looking at stores in the range of 18,000 plus, going up to 25,000, 30,000 depending on the potential of the market.

Gaurav Jogani: Sure. And my next question is with regards to the ethnic part of the business, a very commendable job in terms of both the growth that you have driven and also the margins that are coming in. But if you can dissect the profile of margins between the designer-led brands, which
Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

were already profitable versus the journey of profitability in the other ethnics part of the business? And how it is shaping up? And do you expect that business also to turn profitable?

Ashish Dikshit: Okay. So Gaurav, as you know, the designer-led brands are very profitable. They continue to remain so and continue to grow also strongly on that level of profitability. So the shift is really what we need to make is in the premium ethnic wear. It consists of primarily 2 large businesses. One is Tasva. And this is a business we are investing. It's growing very rapidly. On an annualized basis, we are growing at about 45%, 50%. Our YTD 9-month growth rate is 20% on like-to-like. So very strong traction this business has. But losses continue to be on a small base that we have. Losses continue to be there as far as Tasva is concerned.

TCNS, we have made a big shift. I think as Jagdish in his opening remarks mentioned that profitability has halved in this 9-month period versus last year. We are very close to breakeven this quarter, almost breakeven. I wish we had made a little bit more to be able to declare a profit in this quarter. But on an annualized basis, our breakeven will probably be next year. So as Tasva scales a litt

le bit, Tasva intrinsic margins are very good. The gross margins are very good.

Store productivity, as you know, which is the largest driver in the retail business profitability, 20% like-to-like growth on an 80, 90 store network over a long period of 9 months indicates very strong confidence that this will also get back to profitability, which we haven't achieved yet.

And this -- I'm giving you a commentary of 9 months. Of course, festive quarters tend to overstate intrinsic profitability and the summer quarters, it shifts. So there is a bit of a swing. But on an annualized basis, that's how the picture will look.

Gaurav Jogani: Sure. So would it be a right inference to say that the margin expansion in the ethnics part of the business still will be continuing over the coming years and the expansion would be meaningful given that from losses, you will be actually turning to profitability or breakeven at least in the TCNS part of the business. Tasva, maybe we can expect the breakeven to happen somewhere in FY '28?

Ashish Dikshit: Yes, yes. I think both the businesses, the swing in profitability will be quite pronounced because from deep investment phase and the correction phase in TCNS and the growth phase in Tasva, the shift will be fairly pronounced as far as the premium ethnic wear is concerned. So profit trajectory will continue to improve much faster than the revenue growth.

Gaurav Jogani: Sure. And if I can just slip in one last question. I mean, I do understand that the Galeries Lafayette opening during this quarter would have impacted the profitability in the other parts of the -- other segment of the business. If you can call out what kind of impact that had? And also what kind of an impact that had on the depreciation and the lease liability interest?

Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 9 of 18

Ashish Dikshit: So I'll wait if Jagdish can give that answer very quickly. He'll -- in the meantime, as far as the business launch is concerned, we would have invested maybe about INR20 crores, INR25 crores in terms of the event, initial launch, the first stage of the business, which I think as the business scales up, will reduce over a period of time. But that's really the nature of investment so far on the P&L side. On the balance sheet side, we have told you, I think, indicated store cost of about INR130-odd crores, INR125 crores to INR130 crores, and that will go into the depreciation line.

Jagdish Bajaj: And the depreciation impact is around INR10 crores.

Gaurav Jogani: Because of this impact.

Jagdish Bajaj: No, apart from this, depreciation is higher because of OWND!. TMRW -- he is asking only Galeries Lafayette.

Ashish Dikshit: Galeries Lafayette.

Jagdish Bajaj: So I say I think we'll figure that number out for one specific piece, but that's the nature of investment that we have made in this concept.

Gaurav Jogani: Sure. So just on the other, the profitability, would it be right to understand the profitability would have been higher by INR20 crores, INR25 crores, if not for Galeries Lafayette? Would that be the right understanding?

Jagdish Bajaj: Not so much because there are also some gains. We have done business, there's revenue, the gross margin. So the difference will be slightly lower than that. I was talking to the total investment that we have done in promoting and launching the business and so on.

Moderator: We take the next question from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia: Sangeeta, just wanted to understand over the next 2 years, what is the target like-for-like growth in Pantaloons, which we are budgeting for?

Sangeeta Tanwani: So we are looking for mid- to high single-digit growth in Pantaloons for LTL and double-digit growth at an overall level, yes.

Ankit Kedia: Sure. 2 years back, we had launched in loyalty program, which is a paid loyalty program like some of our competitors. What is the

today overall revenue contribution of that program? And

how is the loyalty being here because they're changing the positioning to more younger audience, more premium. So are you seeing some impact of middle-aged people going off the platform?

Sangeeta Tanwani: So it's a very successful program for us. It's a program that allows us to ensure that we have people continuing to shop with us and helps us in terms of retention. We've also figured that some of our older customers have continued to roll over from 1 year to the other as far as Insignia is concerned. So it's a top-tier program, as you know.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 10 of 18

And it is a program that allows us, as I said, on our large base of 16 million-plus customers. This is in terms of number of customers is a small base. But in terms of the contribution of these customers, it's a significant number. Our overall Greencard contributes to about 70% plus of our revenues and Insignia sits on top of that.

Ankit Kedia: Sure. And from the store closures perspective, if you can give color on which type of stores we have closed, were they only loss-making? Were the smaller stores, Tier 2, Tier 3 city stores?

And while we are opening more metro and Tier 1 stores today, how is the inventory mix now

moving from private label because we have piloted some stores which are more than 90% private label. So how is that mix changing from store closures, if you can say, and on the inventory mix to metros and Tier 1 cities?

Sangeeta Tanwani: Yes. So the stores that we have closed is a combination of both, as you rightly said. There are some stores which were loss-making stores and some stores where we believe the proposition that we've defined for ourselves because obviously, we want to be consistent as a format across the country. These were stores either which were very small sizes or they were not in the right markets where the proposition could be represented. So we've shut about 11-odd stores, and that's behind us in terms of store closure so far.

In terms of private label, we even today have a mix of stores. There are certain stores which have a very high mix of private label and there are certain stores, which are our larger stores, which have a large representation of our external brands. As far as the mix is concerned, I think because of the nature of changes that we've made in the format, opening larger stores, our mix over the last 2, 3 years has shifted by 1% to 1.5% in favor of private label.

Ankit Kedia: Sure. And my last question is on OWND!. What is the 2-year target on store opening and profitability for OWND!? And also on inventory, we see heavy discounting which has happened in OWND!. So is the OWND! inventory which was being carried forward from Style now pretty much over and we are starting with fresh inventory today?

Sangeeta Tanwani: So this model, we've been at it for the last 2, 2.5 years, and we've continued to refine this model as we have learned every single quarter on this. As you've also seen that we rebranded it from Style Up to OWND! basis all the consumer work that we have done. The discounting that we did, if you're referring to the end of season sale, it was in line with what we have done before, perhaps a little bit more aggressive, but it has nothing to do with excessive liquidation of inventory. It is a normal EOSS period during which we carried out the liquidation.

And yes, most of our new merchandise that we have is all tagged OWND!, and we don't have too much of the Style Up merchandise. However, I'd like to mention that in terms of the aesthetics of the merchandise, the -- we've only gotten better in terms of our fashion quotient and much younger with what we've created with OWND!.

Ankit Kedia: And from a 2-year roadmap on store opening and profitability?

Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 11 of 18

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Sangeeta Tanwani: Sorry, I miss answering that. So from a store opening standpoint, we would be looking at opening about 40 to 50 stores in the coming year. As I mentioned right at the beginning, we have continuously refined this model. And a lot of things are working for us in the right manner. And the moment we believe that we've got all elements of the mix right, we'll be ready to scale it up even beyond 50 stores.

Ankit Kedia: So is it fair to assume we will not be profitable at least till FY '29?

Sangeeta Tanwani: Yes, probably.

Moderator: We take the next question from the line of Garima Mishra from Kotak Securities.

Garima Mishra: Could you talk a little bit about the competitive environment that both Pantaloons and OWND! are witnessing?

Ashish Dikshit: See, as far as Pantaloons competitive environment is concerned, I think we have moved away from a highly intense price-based competitive set where Pantaloons was operating 5, 6 years back, primarily around price value equation, which is much lower, space where relatively lesser competition exists as we are premiumizing. Of course, the journey takes time, but I think we are moving into a space where the level of competition is relatively lesser.

The OWND! business, on the other hand, operates in an environment which is fairly intense from a competitive point of view. There are a lot of players who are meaningfully large in that or many others who are entering in that space. So that space is, I think, over a period of time has only intensified in competitive action. Does that answer the question, Garima?

Moderator: Since there is no response, we will move on to the next question, which is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Ashish and Sangeeta, sorry for stressing on this. But from Pantaloons perspective, we have done a lot of store closures, right? So -- but this is still not reflecting into like-to-like growth for us.

I'm taking cues from the performance of the other entity that we have, right?

So in Lifestyle brands also, we have done store closures, but at least from a like-to-like growth perspective, we've delivered about 10% growth in 9 months. So even from a margin perspective, we are investing in terms of marketing, etcetera, we have done store refurbishments, but still the growth has been lackluster from Pantaloons. So how do you see this business returning to double-digit growth? Also, if you could provide some more color on this month-on-month growth improvement trajectory that you've talked about for better understanding?

Ashish Dikshit: Okay. Let me try and answer your first question. I think you're right, the overall environment

across the different price segments and consumer segments is somewhat different. You also see our portfolio of our business where we are growing at 25%, 30%. There is a premium brand business, which is growing at about 10% to 12%.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 12 of 18

I think the competitive intensity and the overall consumption at the lower to mid-segment of consumption has been more challenging for much of last 12 to 24 months. Much of our store rationalization was not so much about -- it doesn't necessarily give you like-to-like shift. It provides store closure. And many times we close stores, although they're barely or marginally profitable because one of the things that we also look at -- I mean, 3 things that we look at in terms of thinking about store closure.

One, is it in line with long-term strategy, and we look at it. Second, financially, does it make sense from profitability or loss point of view? Will there be further cash losses? And can we turn it around? And third, which is not visible in the numbers is what's the capital productivity, particularly from inventory point of view. There are stores which make money but have lower throughput and, in some ways, then creeps back into higher inve

ntory and higher markdown,

which is not visible on the surface. And we look at all this.

And therefore, necessarily, to your point, store closure, store rationalization doesn't necessarily lead to like-to-like improvement in a significant manner. Having said that, I agree with you. I think the performance in this segment has been lower than our premium segment or -- which is lower than the super-premium segment. And in some ways, tells you the story of the market as well, apart from the challenges that business would have faced. On the more recent improvement, I think Sangeeta had given a color of it. Sangeeta, do you want to add something more to it?

Sangeeta Tanwani: Yes, Devanshu. So like I mentioned before, I think all the improvements that we have been working on as they've kind of gotten rolled out, we've seen significant improvement in metrics and more so in our performance in the last 3 to 4 months, as Jagdish alluded to it. So the metrics on the efficiency of our merchandise, our inventory or be it the performance of our newer stores with the newer design, new retail identity. These are larger stores that we have opened and some of the stores that we've opened even in Tier 1 towns have started off exceedingly well.

There is also a bit in terms of the marketing investments that we've made with the repositioning. We've seen the shift in the customer base, which actually was very heartening. Our focus has also been in terms of execution in stores and in-store experience. So again, on both of those, the inputs that have gotten and some of the metrics that we are seeing, so the efficiency with effectiveness with which the store staff launches the new merchandise, a significant shift in the execution parameters and a lot of other improvements that we are making in terms of creating a harmonized in-store experience with our customers.

I think these are several actions across every single element and every single touch point, which is giving us the confidence. It's, of course, there in the results, but gives us the confidence for the future as well.

Devanshu Bansal: Got it. And secondly, sir, there is some level of leadership exit now at TCMS, right? So how have you sort of taken care of this knowledge retention for this particular segment from the

Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 13 of 18

outgoing leadership as historically, our presence has been limited in this category, right? So maybe if you could throw some light on that.

Ashish Dikshit: So fair point. I think, as you know, we had invested in TCNS business almost 2.5 years back, September of 2023. So while Anant has been leading the business for nearly 10-15 years and has done an incredible job in building the business literally from scratch over this period, there's also been a very strong leadership team with him, which has made this work. And as Anant transitions out of it, first of all, he's spending next 3, 4 months with our next leader who is Sooraj, who has been in this ethnic business for the last 2, 3 years, was responsible for growing and building Tasva business, looking after Jaipur.

So reasonable familiarity, perhaps not as much as Anant has had over the last 10-15 years. But Anant has also taken upon himself to help Sooraj transition over the next 3, 4 months. Could be slow and deliberate transition, but more importantly, the team that has worked on it has been also a very stable team. And we think this is a very sort of steady handover, which we'll get from the business over a period of time.

Moderator: We take the next question from the line of Rajiv B from Nuvama.

Rajiv B: First, a few housekeeping questions. If you can -- cash in hand currently, the cash burn during the quarter, the capex number and the free cash flow for the quarter and 9 months possible.
Jagdish Bajaj: So as I covered in my speech, the company as a whole, we have roughly INR2,100 crores cash.

With ABFRL stand-alone, we have around INR1,600 crores cash. In this quarter, the cash burn was not there. Whatever from INR2,100 crores to INR1,600 crores with me has happened in H1. That is number one. Capex across business for 9 months is roughly INR300 crores, including security deposits.

Rajiv B: Sure. So secondly, on Galeries Lafayette. So what is the total capital employed in this bit? And in terms of, let's say, a steady-state number, what is the kind of ROCE you are looking from this? And thirdly, what is the model here in terms of is it an SIS model? Is it a trading model? How do we get our assumption here?

Ashish Dikshit: So I think it's a combination of multiple models. The store investment is by us directly, but we have differential arrangements with different kind of brands. There are -- and also different categories. Beauty, for example, is by and large, a concession model. In luxury brands, there is a commission model.

Most of the business, however, is on -- a large part of fashion business is on buy and sell for the brands which don't exist in India. As you know, we have launched close to 250 brands in the store, of which 70% don't exist in the country. So many of these brands, the inventory is on our books.

Aditya Birla Fashion and Retail Limited (ABFRL)
February 06, 2026

Page 14 of 18

Overall, as I mentioned, the gross investment in fixed assets is about INR125 crores, INR130 crores or in that range. The inventory would be about INR60 crores, INR70 crores with -- and therefore, the total capital employed will remain in the range of INR150 crores to INR200 crores, INR180 crores to INR200 crores in that.

We expect the business over time, I mean, there's still some way to go, we have a few luxury brands which are to enter towards the middle of next year. There is an F&B, which is still 6 months away. So there is some part of the store proposition, which is yet to be completed. In steady-state model, we expect the store to make between close to 15% to 20% in first 2, 3 years on the revenue. And as we go forward, this is a onetime investment over a period of time, this business will grow as Indian consumption grows as the luxury market around the world and in India showing. We're very confident of the strong trajectory on this.

Rajiv B: So you're saying INR30 crores to INR40 crores is our stake, is it? That is the EBITDA on...

Ashish Dikshit: No, no, no, this is our business. So it's not somebody else's stake. Is that the question you're asking? This is a business fully invested by us. But on inventory, we have different arrangements, inventory and margin, we have different arrangements with different nature of brands. Some are concessionaire, some are revenue share, some are buy and sell. So each one of them, of course, have different margin structure also depending on what's the level of exposure and investments we are making.

Rajiv B: I was asking, for example, for this INR200 crores investment or let's say, INR70 crores inventory in this case, what is the peak revenue you're looking for and an associated, let's say, EBIT level number?

Ashish Dikshit: So this business may start with INR150 crores, INR200 crores over a period of time will grow. We think over the next 3, 4 years, should be able to get to much higher revenue on that. And that's the number on which we look to make about 20% store profitability.

Rajiv B: And last, what is the size of this store.

Ashish Dikshit: 90,000 square feet, sir.

Moderator: We take the next question from the line of Sameer Gupta from India Infoline.

Sameer Gupta: As a whole business, ABFRL, including TMRW, on a pre-Ind AS EBITDA basis, by when do you envisage a positive EBITDA? I understand Tasva, TCNS, TMRW are still under losses and at least 2 of the 3 you expect to be breakeven in FY '27. So any guideline you have internally that '28 will be the first year of positive EBITDA on a pre-Ind AS basis or it ca

n stretch beyond that? Any color here?

Ashish Dikshit: So first to get some -- where do we stand today. For the entire business, without TMRW, we are 9-month EBITDA positive or breakeven. And this is pre-Ind AS, yes. And therefore, the losses

Aditya Birla Fashion and Retail Limited (ABFRL)
February 06, 2026

Page 15 of 18

even at consolidated today, this includes all the losses that we talked about currently in TCNS, Tasva, Galeries Lafayette, etcetera.

With all that included, we are breakeven today ex TMRW. And we expect as these businesses mature, TCNS turnaround, Tasva is scaling up, etcetera, the profitability for ex TMRW business will grow sharply over the next 2, 3 years. It's already breakeven for this 9 months. And next year, full year onwards, we should start making pre-Ind AS profit, which will increase post that. As far as TMRW is concerned, today, it is at about 12% to 15% sort of losses compared to its revenue and -- on a secondary basis. We expect TMRW, as we have mentioned in our various sort of presentations, including investor presentation, to be somewhere between FY '29 is when TMRW should breakeven. So the 2 trajectories are slightly different, but this is really what are the internal goals we have set for ourselves.

Sameer Gupta: Got it, sir. That's fair. Second question is, sir, the understanding was that it is a subdued quarter for wedding-related categories. You also mentioned that during the Birla Lifestyle Brands call. But we've seen a Sabyasachi stellar performance, 44% growth. Tasva is doing well this quarter as well, healthy LTL also. So is it like these brands have been an exception versus the overall category or there are certain one-offs in this quarter?

Ashish Dikshit: No, first of all, there are no one-offs. And let me explain both the comments that were made. As Sangeeta in her commentary, Vishak earlier in ABLBL commentary said, this quarter, part of festive had shifted to Q2. And therefore, to that extent, the business didn't get that benefit. Secondly, weddings in the second half of December were also low. And therefore, it is a fair representation -- fair comment to say that the wedding-related businesses didn't have the benefit of a very strong quarter from timing point of view.

Having said that, for different reasons, Tasva because it's growing very, very rapidly, I think, in a very accelerated manner, and this has been established over the last 1.5 years, 2, the designers, whether it's Sabyasachi, Tarun and other businesses, I think, again, this is -- this would give you a sense of the belief that we had in these businesses that currently they're underpenetrated with time, these businesses are set to grow at a fairly rapid rate. And therefore, they will see several years this kind of growth with or without the wedding date.

I mean this business -- these numbers would have been even better if the wedding dates were stronger in the second half of December. So it's because of the reasons they stand out compared to what the market is.

Sameer Gupta: Got it. So it's basically an organic performance and had the wedding quarter been better, the performance also would have been better. That's the correct understanding, right?

Ashish Dikshit: Because they're all in different phases of the business. These are not as mature business as, let's say, some of the larger business of lifestyle brands.

Aditya Birla Fashion and Retail Limited (ABFRL)

February 06, 2026

Page 16 of 18

Sameer Gupta: Got it, sir. That's very helpful. Last question, if I may squeeze in. So deferment of EOSS in Pantaloon 12 days and the competitors have had it bang in the middle of December like Shoppers Stop and Lifestyle. Rationale for deferring, I understand, but is there a risk of market share loss because you will probably having -- be having an end of season sale where most customers looking for discounts, they might have already had shopped in your compe

titors -- so

like as a strategy, can it backfire?

Ashish Dikshit: Any strategy can backfire, but I think this should give you a sense of confidence that we have got to in our merchandising cycle in this business. It's taken us some time and a fair bit of understanding of business. You can be sure we have sort of thought deeply about it. It's a very difficult -- as you're rightly alluding, it's a different call -- difficult call.

But we also believe over a period of time in the peak period of Christmas, winters when consumers are actually buying -- and holidays when consumers are actually buying and shopping for the right reason, every good retailer over a period of time should try to maximize margins apart from sale in this business.

We've had -- we are confident that whatever we lose in this period, we'll be able to gain back in the month of January or February or at least the quarter 4. And that's what Sangeeta was indicating.

Sameer Gupta: Great, sir. One last question, if I may squeeze in. So sorry for this. But I think Jagdish mentioned the gross cash numbers. Can I also have the net cash numbers for like end of 3Q?

Ashish Dikshit: With me is around INR800 crores. So consolidated -- sorry, stand-alone entity has INR750 crores of long-term debt. So from INR1,600 crores, you can take that down. That's why he's talking about INR800 crores. There is a further -- TMRW, because of the fundraise is sitting on a net cash of about INR400 crores, INR500 crores.

Sameer Gupta: Okay. So basically, INR800 crores net cash in stand-alone entity plus around INR400 crores for TMRW or overall INR1,200 crores kind of a net cash?

Ashish Dikshit: No, No, there is also multiple subsidiaries -- so I think the number -- Jagdish, you want to... Yes. So each of the subsidiaries

Jagdish Bajaj: So what I'm trying to say is, firstly, these borrowings are long term in nature. So like I have INR1,600 crores cash with debentures in small WCDL here and there, INR800 crores borrowings, INR800 crores cash. With my subsidiary, there is a more borrowing than the cash they have. So if you see at a net level, I will have around INR600 crores.

Sameer Gupta: INR600 crores net cash on a consol level?

Jagdish Bajaj: That's right. There is some debt in the subsidiaries as well.

Moderator: We take the next question from the line of Garima Mishra from Kotak Securities.

Aditya Birla Fashion and Retail Limited (ABFRL)
February 06, 2026

Page 17 of 18

Garima Mishra: First question on the Pantaloons segment. Is there any sense you can give us on the contribution of OWND! to the, let's say, INR3,500-odd crores revenues in 9 months that Pantaloons reported?

Ashish Dikshit: It's very small, Garima, and that's why we are not splitting it. At this point of time, it's a very small revenue on that base.

Garima Mishra: Got it. Second question was on TMRW. So 31% Y-o-Y growth in the 9-month period, pretty healthy number. Was there any inorganic component to it? That's number one. And second, within TMRW, which sub-brand or sub-brands are driving up this fast growth?

Ashish Dikshit: So Garima, there is no inorganic. Even last year, our growth was close to 30% on full year, which is fully organic. This year, again, 30% growth for 9 months is fully organic. So there's no -- that just reflects the sort of level of momentum that these businesses have and the way TMRW is rising. Now over a different period of time, different brands sort of have trajectories. Some of the bigger brands are slightly slower growing on relative terms, but there are many brands which have grown north of 40%, 45% as well.

Bewakoof, which is one major brand that we had sort of acquired and which was struggling to growth in the early years is now beginning to record 40% to 50% growth. Nobero is another very strong brand, which has been growing at a very rapid 35% to 40% growth, CAGR over 3, 4 years. So there are multiple parts of the businesses.

As we

acquire the businesses, we understand the operations, figure out the opportunity. We're able to -- practically without exception in every business, we are able to find opportunity to grow between 30% to 40%. Of course, it takes time to understand and correct the inventory cycle and product proposition in some of the cases.

So we are driving 2 things, Garima, in this. One is many of these brands operate with gross margins which are much lower because they've been chasing growth. We actually get into each of the business, improve the inventory cycle, improve the gross margin, product proposition, premiumize it, manage the inventory flow a little better.

In some -- the second thing that we do is to make sure that their channel strategy is right between balance between D2C, marketplace and offline. And increasingly, we are finding that offline is improving, help us improve both the gross margins as well as the brand visibility and familiarity. So we are taking some of the more successful brands more rapidly in offline. And third is really driving the organic performance, which is efficiencies of performance marketing and all that to drive the growth in each of these businesses.

Garima Mishra: Got it, Ashish. And last question from me, again, on TMRW. What proportion of, let's say, the 9-month '26 revenue came via the online channel?

Ashish Dikshit: I think 95% of the business. While we have started to open stores, but even now at a 9-month level, 95% of the business. We don't expect this to remain at this level. I think as these brands

Aditya Birla Fashion and Retail Limited (ABFRL)
February 06, 2026

Page 18 of 18

are finding traction in offline, we'll bring that share down. But I think from 95%, maybe it will come down to 85%, but these are primarily online first brands.

Moderator: Ladies and gentlemen, with that, we conclude the question-and-answer session. On behalf of the management, we thank all participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi. Now you can disconnect your lines. Thank you.

Call: May 2026

ADITYA BIRLA FASHION AND RETAIL LIMITED

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May 28, 2026

BSE Limited

Scrip code: 535755 National Stock Exchange of India Limited

Symbol: ABFRL

Sub.: Transcript of Q4 & FY 2 6 Earnings Call of the Company

Ref.: 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

2. Our intimation dated May 20, 2026 and May 25, 2026

Dear Sir/ Madam,

With reference to the captioned subject, the transcript of the Q4 & FY 26 Earnings Call held on Tuesday , May 26 , 202 6 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are being made available on the Company 's website i.e., www.abfrl.com .

Thanking you,

Sincerely,

For Aditya Birla Fashion and Retail Limited

Rajeev Agrawal

Company Secretary & Compliance Officer

ACS 1 8877

Encl: as above

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Page 1 of 18

"Aditya Birla Fashion and Retail Limited (ABFRL)

Fourth Quarter Earnings Conference Call "

May 26 , 202 6

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MR. JAGDISH BAJAJ – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA FASHION AND RETAIL LIMITED
MRS. SANGEETA TANWANI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – PANTALOONS

Aditya Birla Fashion and Retail Limited (ABFRL)
May 26 , 202 6

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Fourth Quarter Earnings Conference Call of Aditya Birla Fashion and Retail Limited. The call will begin with a brief discussion by the company's management on the quarter 4 FY 26 performance, followed by a question -and-answer session.

We have with us today Mr. Ashish Dikshit, Managing Director; Mr. Jagdish Bajaj, CFO; Mrs. Sangeeta Tanwani, Director and CEO, Pantaloons. I want to thank the management team on behalf of all the participants for taking valuable time to be with us. I must remind you that today's discussion may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance and to strategic questions only. Housekeeping questions can be dealt separately with the IR team. With this, I hand the conference over to Mr. Jagdish Bajaj. Thank you, and over to you, sir.

Jagdish Bajaj : Thank you. Good evening, everyone. Thank you for joining us today for the Q4 FY '26 earnings call of Aditya Birla Fashion and Retail Limited. Starting with the demand environment in this quarter, demand trends during the quarter remained broadly in line with what we have seen over the past quarter. The wedding calendar was relatively weaker compared to the same period last year.

At the same time, towards the end of the quarter, market began to see the emergence of certain disruptions in the context of the geopolitical uncertainties, and we shall see how these developments play out. Against this backdrop, our company delivered a strong performance. Pantaloons was a key highlight with one of its highest year -on-year growth performances. The company's overall revenue momentum was broad-based across channels, with both stores and e-commerce continuing to perform well and building on the improvement seen in the previous quarters. We also continue to invest in future growth through calibrated store expansion.

During the quarter, we added around 70 new stores, taking the total additions for the year to over 180 stores. As these stores mature, they are expected to contribute meaningfully to revenue growth, productivity improvement and profitability with operating leverage setting in.

In summary, the quarter reflects healthy momentum across the portfolio, robust execution across channels and continued investment behind avenues of future growth.

Now moving to the financial performance of the quarter.

ABFRL posted 16% Y -o-Y growth to reach INR1,990 crores versus INR1,719 crores last year.

Within segments, Pantaloons segment delivered 19% Y -o-Y growth, led by 17% Y -o-Y growth

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26 , 202 6

Page 3 of 18

in the core Pantaloons format. TMRW maintained momentum, delivering 45% growth year -on-year.

I would like to emphasize on profitability for this quarter in context of a few one -offs in the base quarter. It is important to note that last year included a onetime gain of INR97 crores relating to inventory write -up and accounting treatment relating to demerger, which was explained in detail during Q4 results of last year. Please note that comparisons are made against the base, excluding this impact.

This quarter also saw a gain of INR83 crores from derivative gain within TMRW's associate company WROGN compared to INR22 crores in the same period last year. These gains are getting consolidated at ABFRL level and are non -cash in nature. Excluding both of these impact, EBITDA grew 29% year -on-year with margins at 11.5%.

Within overall EBITDA, our ethnic business margin, specifically saw a big expansion of 390 basis points year -on-year, mainly due to reduction in TCNS losses. Reported loss for the quarter stood at INR164 crores compared to INR171 crore

s in the same period last year. This includes a one-time exceptional charge of INR11 crores related to the wage code. Here also, please note that last year's reported PAT included demerger gain of INR97 crores. Adjusting for this, the revaluation gain is TMRW's associate and wage code impact. The loss at PAT level has reduced from INR289 crores last year to INR235 crores this year, highlighting a better underlying operating performance.

Moving to the financial performance for the year. ABFRL delivered revenue of INR8,177 crores, registering an 11% Y-o-Y growth. This was supported by double-digit growth across ethnic, TMRW and luxury businesses. EBITDA adjusted for the demerger gain and the revaluation gain in TMRW's associates grew by 23% Y-o-Y to INR903 crores with margin at 11% versus 10% last year.

This reflects the continued improvement in operating performance across the portfolio. As of March 2026, ABFRL had gross cash of INR1,545 crores at the consolidated level, while gross cash at the standalone level stood at INR1,144 crores. The gross debt at consolidated level is INR1,695 crores and standalone level is INR748 crores.

On a pre-Ind AS EBITDA basis, full year performance continues to improve. Excluding TMRW, consolidated EBITDA stood at a loss of INR33 crores against a loss of INR75 crores in previous year. At the standalone level, we are at EBITDA breakeven. Our overall retail network stood at 1,273 stores, spanning almost 7.9 million square feet.

During the year, we added 0.6 million square feet of retail space on a net basis, further strengthening our presence and supporting our growth agenda.

Now let me brief you on performance of individual segments.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2026

Page 4 of 18

Coming to the Pantaloons segment, the business delivered one of the strongest growth quarters in the same period, with revenue growing 19% Y-o-Y to INR1,048 crores.

The performance was supported by healthy 14% like-to-like growth in Pantaloons format, reflecting sustained underlying momentum. Profitability also improved during the quarter with EBITDA margin at 15.5%, expanding by 40 basis points year-on-year. This is despite the impact of continued ramp-up of OWND during the quarter.

Over the past 18, 24 months, Pantaloons has undertaken a strategic shift that has strengthened its customer and product proposition, elevated the in-store experience and sharpened execution across the business. These actions are enhancing the relevance of Pantaloons for today's consumer while positioning the business as a stronger and more sustainable growth platform over time.

OWND continues to strengthen its presence with its store network expanding to 79 stores. This included 12 new stores added during the quarter and 34 stores added in FY '26. We'll continue to scale this business in a disciplined manner as we build it into an important growth platform for our company in the largest addressable market.

Coming to the ethnic business. The business delivered annual revenue of INR2,227 crores in FY '26, growing 14% Y-o-Y and growth in Q4 stood at 3% versus last year. The portfolio continues to scale well with a network of over 680 stores across key markets in the country. The business also delivered a 16% like-to-like growth during the year, reflecting continued consumer traction across the portfolio.

Profitability improved significantly with FY '26 EBITDA margin expanding by 560 basis points to 10.8%. Overall, the ethnic portfolio made solid progress during the year across both growth and profitability and remains a key strategic pillar for us. As you are aware, our ethnic portfolio comprises of 2 segments, designer-led and premium ethnic.

Our designer-led ethnic portfolio continued to perform well, delivering robust growth along with strong double-digit profitability. Revenue momentum was supported by focused category

extensions, craft-led and contemporary product launches and deeper brand collaborations across the portfolio.

Now within the premium ethnic wear brands, TCNS continued with its profitability improvement journey during the year. The business delivered 7% like-to-like in Q4 and 10% like-to-like growth in FY '26, supported by a sharper product proposition, refreshed collections and new launches that resonate well with consumers.

As indicated earlier, we made meaningful progress on reducing losses with full year cash losses reducing by more than half compared to last year. We remain focused on further improving the margin profile through better store productivity, cost discipline and operating leverage as the business scales.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2026

The business has also kick started its expansion journey this year in a calibrated manner, adding 23 new stores during FY '26. During the quarter, we also launched the first W flagship store in Mumbai, which is an important step in strengthening the brand's retail presence and showcasing the refreshed proposition to consumers with all its brands under one roof.

Tasva continued its strong growth trajectory during the year, delivering consistent double-digit like-to-like growth for the quarter as well as for the full year. The brand continues to build strength across product, retail experience and brand image with a clear focus on scaling across India's key wedding markets. The network now stands at 94 stores, and we will continue to expand selectively in high potential wedding markets.

Jaypore also delivered double-digit growth, supported by store expansion and healthy e-commerce performance. The brand now has its network of 44 stores and continue to strengthen its position in the premium artisanal and craft-led ethnic wear space.

On luxury retail, the collective and mono-brands business continued to grow profitably with its total network, including mono-brand stores at 49 stores.

Galleries Lafayette, India's first flagship luxury departmental store commenced operations in November 2025 and has seen encouraging early traction. The platform continues to drive consumer engagement through curated luxury experiences and collaborations, setting new benchmarks in luxury retail in India.

Our digital brands portfolio of TMRW delivered 45% Y-o-Y growth in Q4, underpinned by category extensions and high-impact marketing campaigns. Q4 cash losses narrowed Y-o-Y, led by better scale efficiencies and operating leverage. The portfolio also continued to build its omni-channel presence, closing the quarter with 120 stores, including WROGN across key markets nationwide.

As you are aware, with equity issuance of INR440 crores during the year and more recent fund tie-up of INR500 crores through NCDs, TMRW is now adequately funded with INR800 crores cash to pursue its aggressive growth plans.

In conclusion, the quarter reflects strong momentum across our businesses, supported by steady improvement in profitability.

We are seeing encouraging progress across both established businesses and newer initiatives, driven by healthy L2L growth, robust channel performance and continued execution discipline.

As we look ahead, the market environment may continue to evolve, and we will remain focused on responding with clarity, speed and discipline.

Our priority is to stay close to consumer trends, make the right choices on product launches and network expansion and continue executing with financial discipline. We'll continue to scale our newer businesses in a calibrated manner while building on the strength and momentum of our Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2026

mature businesses. This balanced approach should help drive long-term growth, improve operating leverage, strengthen the overall margin profile and build a solid found

ation for

sustained profitability over time. Thank you, and happy to take questions now.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Archana Menon with Morgan Stanley.

Archana Menon : Congratulations on the strong performance. My first question was actually on Pantaloons. So, the 17% Pantaloons format revenue growth. Yes. So, my question was on the Pantaloons format.

If you could just help us understand what drove the 17% revenue growth. I understand there could be some benefit of the EOSS, which moved into this quarter. But any additional details you could help us with on this?

Sangeeta Tanwani : Yes, sure. Thanks, Archana, for the question. This is Sangeeta. So, Archana, like we had told you in the last call, the reason why we had pushed our EOSS, based on our new strategy, we were pretty confident of our merchandising sell-throughs, and therefore, we've chosen to move the EOSS to January.

This is really a quarter where we think our strategy that we've been working on for the last 18 months with a concerted set of actions, which are translating into results, which starts from, as Jagdish alluded in his speech, fundamentally defining our target audience in a very sharp manner, strengthening the Pantaloons proposition with a superior customer experience.

Some of the key levers that we have talked about in the past where we've now seen results come through clearly are the reset of our merchandising strategy, specifically in 3 categories, which is women's western, menswear and the non-apparel category. We've seen growth in excess of 20% in each of these categories in quarter 4.

Our sell-throughs, which is again a very important metric of the success of our merchandising

strategy, we've seen the highest ever sell-throughs in our autumn/winter season. Secondly, I think the new store strategy with the new design with the purpose of creating a distinctive and superior customer experience seems to be paying off well.

The customers seem to be liking our stores. They are well accepted. We've seen the new stores also delivering very good results. We've opened large stores, as you probably know. And while we may have reduced in terms of overall the number of stores, in terms of square footage, we have only added about 68,000 square foot of space during the course of year despite having lesser number of stores because the stores we are opening are larger stores because we have the confidence of our proposition working.

Third, I think our online business I had alluded to this also in the last call. We feel, again, very confident of this business. It's demonstrated terrific growth in quarter 4 and through the year, and we are now ready to scale this business. We also relaunched Pantaloons as a brand, made Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2026

Page 7 of 18

significant marketing investments, largely in the digital space, signed up on celebrity. And again, we have seen good results.

So, even if you keep the EOSS piece and you normalize -- keep it aside and you normalize for that and even if I look at November to March, which on the previous period kind of normalizes for festive shifts and on this side normalizes for the EOSS shift, our growths are very strong, both in terms of L2L and total growth even for the period, November to March.

And from a consumer profile standpoint, again, we are seeing that the customers who we were targeting demographically, we seem to be seeing us appealing to that set of customers in a more relevant manner. So, these are some of the drivers of our strategy, which we have talked about very consistently through the year. Strategy has been translated into action. We had said in the last call, we are seeing some green shoots, and we are very pleased with the quarter results that we've just delivered.

Archana Menon : That's great to hear.

Just continuing on this, firstly, could you help us with your online share of revenues for Pantaloons currently? And secondly, all these positives that you spoke of, is that helping you in a higher customer walk-in? Or is it more conversion or ASP? Any numbers that you can help us with? It's not for the full year, at least for the exit quarter, which you think is more sustainable going ahead?

Sangeeta Tanwani : Yes. So, online as a business is still very small. And if you recall, a couple of years back, we had said that we will not invest in that channel. But over the last year, we called out omnichannel as one of our priorities. And now we have a path to profitability. The reason why we had paused that business was because we wanted to make sure that we can get the unit economics right and make this business profitable.

Today, it's about 3%, 4% of our business. It's not very large. But with all the shifts we have made this year, we feel confident of scaling up this business. To your third question in terms of the customer KPIs -- the biggest one, which we feel very good about is our increase in our basket sizes.

And that, again, is a ratification of the fact that the customers who are coming into our stores are liking what they are seeing. They are liking the experience in our stores, and they are liking the merchandise. And of course, it comes with a lot of operational discipline, which is a very important leg of our strategy as well in terms of how we serve the customer, the rhythm of how we display our merchandise, et cetera. So, increase in basket sizes has been one of our biggest levers of growth.

Archana Menon : And just last question from me on the current environment with inflation. I mean, what is the level of inflation that you are facing for Pantaloons and for OWND? And what is the strategy around that? I mean, where do you think you can take price hike? And should we be thinking of any margin impact in the next couple of quarters?

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2026

Page 8 of 18

Ashish Dikshit : So, Archana, I'll take this question because this is, I think, broadly relevant to the entire portfolio, not just to Pantaloons. We are experiencing something like 3% to 4% sort of inflationary pressure as far as raw materials is concerned. Obviously, this is not the entire cost. Raw material is a part of the cost.

And therefore, effectively, it would sort of put pressure in the second half of the year to take -- to fully counter it, take price increases between 5% to 8% depending on the category. We are still evaluating. We don't have a firm view on whether we'll pass on all of it, some part of it and

perhaps we'll be differentiating between different parts of the businesses.

Moderator: Next question comes from the line of Tejash Shah with Avendus Spark Institutional Equities.

Tejash Shah : First question pertains to overall your read on demand sentiment because this quarter was a slightly muddy quarter in terms of the first 2 months were very normal and then the last month, we saw disruption at a macro level, not in India, but otherwise, the sentiment -wise and then supply chain -wise. So, whether the last month has disrupted the flow materially or at all? And then should we extrapolate the sentiment or revival that we have seen to FY '27 as well?

Ashish Dikshit : So, Tejash, I think FY '27 on a full year basis is perhaps too much of a stretch when things are changing on a daily basis, would be hard to assess on a full year basis. But to your question on a more near term, you're right. I think there was a marginal impact in March, which was -- which slowed down some of the momentum which had built up in the previous 3 to 4 months. But we have seen demand nearly normal for most part of April and going into this quarter. So, as of now, while we feared a significant sort of risk on demand, as of now, we have not seen it

play out. Having said that, most of the inflationary pressures are perhaps still at work and may play out fully over the next 3 to 4 months. And therefore, consequent sort of pressure on demand is something that we'll have to wait and watch for in the second half of the year.

Tejash Shah : Clear. Second, very heartiest congrats on super LTL and Pantaloons. First, just wanted to understand what would be the breakup of volume versus price premiumization mix on that? And second, the point that Sangeeta, you mentioned that it is still basket size increase that we are seeing. So, when do you think that this will actually convert into word -of-mouth momentum and we'll see increased footfall also because of the changes that we have made in the last 18 months?

Sangeeta Tanwani : Yes. Tejash, so as far as footfalls and walk -ins are concerned, we've anyway seen through the back end of quarter 3 and quarter 4, we've seen an increase in footfall. And therefore, we feel that the momentum that we've generated, walk -ins is a part of our growth because you need that funnel at the top to come in for us to be able to deliver conversions and basket size.

So, we've already seen a step -up in our basket size, like I said, towards the second half of third quarter and fourth quarter. As far as pricing is concerned, our price increased through the year was negligible. We've hardly taken any price increases. And in fact, in quarter 4, our pricing

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26 , 2026

Page 9 of 18

would have been, in fact, marginally negative. So, a large part of the growth has come from volume.

Tejash Shah : Yes. And looking at the response that we have got in terms of LTL also confirming that, should we revisit our mid -single -digit LTL guidance? And also, should we revisit our store expansion plan and much more upper end of the guidance?

Ashish Dikshit : I'll step in Tejash. I think strategy has taken time for all parts of its pieces to come together. As Sangeeta described in her response to Archana's question initially, actually from mid - to late October, almost for last 5 months of the year and going into this year, we are seeing a fairly consistent uptick in almost all measurements.

Both quantitative and qualitative, gives us confidence that much of what has been worked upon in the last year, 1.5 years is actually turning into a consumer benefit, which is showing up in the response. Now we would obviously, in this environment, be a little watchful, but I would be more inclined to go with your suggestion of slightly better and more rapid expansion.

We won't change the -- it takes a long time for funnel to shift. And therefore, we'll obviously -- some of it will be back -ended as far as this year is concerned. And also, hopefully, we'll continue this momentum of strong like -to-like growth. Even if you take away this EOSS impact in this quarter, as Sangeeta said, that 5 -, 6-month delivery of high single -digit, near double -digit kind of like -to-like with the business has been delivering month -on-month.

That's something that we hopefully will stand out for a later part of the year. My only concern is really the demand compression towards, if any, coming towards the second half of the year when the cost inflation, not just in textile, but overall basket, if it brings any slowdown in the market. But we are feeling very confident about the strategy. It's not just stores are looking good, products are looking good. Consumers are responding well. And finally, it's also beginning to flow into financials.

Moderator: Next question comes from the line of Garima Mishra with Kotak Securities.

Garima Mishra : My first question is on the company's cash flow situation. So, it seems like cash consumed in FY '26 is of the order of INR1,400 crores. I'm just summing up the operating cash flow payments for lease liability and capex, right? So, how are you viewing your liquidity situation considering

per your earlier guidance, the company becomes FCF positive only by FY 2029?

Ashish Dikshit : I'll get Jagdish to respond to.

Jagdish Bajaj : Thanks, Garima. So, at the standalone level, we started the year with a gross cash of INR2,100 crores. As stated, we are planning to utilize it INR1,000 crores in FY '26, INR600 crores in FY '27 and INR500 crores in '28, post which we aim to be FCF positive in FY '29. In FY '26, we were cash EBITDA positive, at a standalone level.
Aditya Birla Fashion and Retail Limited (ABFRL)
May 26 , 202 6

Page 10 of 18

As we aggressively ramped up our new businesses during this quarter -- during this year, we consumed total ling to around INR1,000 crores, INR300 crores towards working capital, INR450 crores towards capex and infused INR250 crores in our ethnic subsidiaries.

In FY '26, our investments were high due to onetime investment in GL and we rebranded OWND, which aggregate to INR200 crores.

So, this is some sort of one -off onetime expenditure, which I would like to call it. But FY '27, we aim to utilize INR600 crores towards ramping up our businesses and invest in working capital and capex of which INR450 crores and INR150 crores will go into investment in subsidiaries. From now onward, as our subsidiaries, including designer -led brand and TMRW have reached size and scale, they will fund their own growth as they have reached this level. And in this context, TMRW has already tied up the debt funding of INR500 crores by way of debentures. On completion of this funding, they will have INR800 crores cash in their books, which will support TMRW's growth plan. So, we have to spend not more than INR600 crores during this year. And I have roughly INR1,150 crores cash available wit h me, which is sufficient for next 2 years' cash.

Ashish Dikshit : Garima, this response was from the context of standalone because that's the investing entity, and we have looked at investments in all the subsidiaries as well as our own internal need for funding for the standalone part.

Jagdish Bajaj : The CFS level, you are right, INR1,400 crores, but which is in TMRW's loss, et cetera, for which they have already raised INR440 crores of equity raise.

Garima Mishra : Okay. Understood. So, you're basically saying that incrementally, you're not foreseeing some big debt increase or additional large debt requirement that the company needs to take. There is debt, but against that, there is cash and that cash you can keep co nsuming ?

Jagdish Bajaj : That is right.

Garima Mishra : Okay. Understood. My second question is on Pantaloons. So, Pantaloons last few quarters, the store count per se has not changed very meaningfully, right? So, maybe I have missed this number, but a, does this 399 store count include stores of OWND as well? And b, how should we look at store addition plans going forward?

Sangeeta Tanwani : Yes. Hi, Garima, this is Sangeeta. So, 399 is just the number for Pantaloons. It does not include the OWND number. As you know, again, as part of our strategy that we defined 18 months ago, we chose very consciously to close stores that were either not pro fitable or stores that were not in line with our strategy.

And over the last couple of years. We've kind of gone through that exercise and optimized our network. Going forward, as you heard Ashish mentioned, given the fact that we are seeing some
Aditya Birla Fashion and Retail Limited (ABFRL)

May 26 , 202 6

Page 11 of 18

early results of our strategy, though the plan for this financial year is about 20, 22 stores, I think as we get more confident, we will look at some point of time to step up this agenda and accelerate our store expansion.

Garima Mishra : Got it. Got it. And my last question was on the ethnic business. Now here, I think the 2 large entities, especially on the everyday ethnic everyday or whatever, festive ethnic piec

e are Tasva

and TCNS. So a, could you highlight the losses which TCNS incurr ed in FY '26? And what is the progress on Tasva? What is the response on stores that you are seeing? And when do you expect the Tasva piece to breakeven? That's it for me.

Ashish Dikshit : So, Garima, Tasva as we have maintained, has remained in a very strong growth trajectory and today continues to be in investment phase. It's one of the exceptional breakout growth in the otherwise somewhat subdued wedding markets and ethnic wear category w ith like -to-like growth of 20% plus for the full year for FY '26 and overall growth, which is north of 30%, 33%. So, that's on a very strong momentum.

The profitability will take some time. We had said FY '28, and we still feel that's the right assessment at this point as well. As far as TCNS is concerned, Jagdish in his opening remarks had talked about how the losses have halved this year versus FY '25. We're still not profitable. We'll probably towards the end of FY '27 is when we would expect to breakeven. And on a full

year basis, definitely be profitable by FY '28 onwards. All this I'm giving you are still their IndAS profitabilities are positive in both cases. I'm talking of cash profit.

Moderator: Thank you. The next question comes from the line of Gaurav Jogani with JM Financial.

Gaurav Jogani : My question again is in relation to Pantaloons. Now if we add up the Q3 and the Q4 numbers and then we compare it with the last year H2 base, the growth is 6%. Now the growth that we see in Q4, would you say just it's merely a shift of the one quarter to other? Or I mean, as you've been highlighting that the strategy is working out. So, are you seeing the benefits again seeping in, in the Q1 numbers as well?

Sangeeta Tanwani: So, as I mentioned before, this is obviously not -- even if you normalize for the shift of the EOSS, as I mentioned before, even if I look at November to March, which normalizes for both the shift in festive from last year versus FY '25 -- and if you account for the shift of the EOSSs as well, our growth -- and therefore, quarter 3 plus quarter 4 may not be the best way to look at it because there's a shift of festive sitting there. And therefore, November, March is the cleanest period to kind of look at the true growth. Our growth are pretty high, like -to-like, in fact, is in the range of about 7% even in for those 5 months.

Gaurav Jogani : Sorry. So, when you say like -to-like, I mean, the reported growth obviously would be in the same line given the store additions have been negligible. So, would that be the right understanding?

Sangeeta Tanwani: No. The total growth would be slightly higher than the like -to-like growth. It's 9% to be precise.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26 , 202 6

Page 12 of 18

Gaurav Jogani : Okay. Okay. Now second question is with regards to the ethnic piece. I mean within that, the TCNS, would it be fair to assume that you have written that while the overall -- excluding the TCNS, the growth was in 25% around that region. So, for the year, would TCNS revenues again would have declined by 9% to 10%? Would that be a fair assumption?

Ashish Dikshit : No, no. TCNS revenues are virtually flat.

Gaurav Jogani : Okay. Because if Tasva has also grown strongly by 38% -odd for the year and Sabyasachi has also grown by 33% -odd. So, what would be then culminating to?

Ashish Dikshit : No, no, there are multiple other designers. There is 3 other designer businesses, there's Jaypore. So, it's a mix of 6, 7 businesses. So, I don't know which one you have left out. I'm giving you exact numbers. TCNS is just marginally negative 1% or 2%. And rest of the designers have also varied between 1%, 2% to 30% -odd.

Gaurav Jogani : Sure. So, I'll check that. And just last bit, when you say that you will not be requiring the incremental cash from '27 and '28 as well apart from the planned one

, what kind of profitability

are you building in across the major segments? So, that will help us to cross check our numbers as well?

Ashish Dikshit : I think I don't want to give year -on-year numbers. We had Gaurav, as you know, indicated our overall segmental shift in profitability in our long -term plan. We pretty much stay on that range, both on the cash utilization as well as profitability journey.

Moderator: Next question comes from the line of Ankit Kedia with PhillipCapital India.

Ankit Kedia : Sir, just within Pantaloons division, if I have to take OWND out there, what could be the Pantaloons margins, if I exclude OWND and what are the losses in OWND products?

Ashish Dikshit : Pantaloons margin for the quarter, and I think for the year are also between 18% to 18.5%, which is the margin that Pantaloons has consistently delivered slightly higher than last year. OWND losses are, therefore, causing the rest of the difference between the segmental profitability.

Business is still very small. We are investing. We've got a whole new team, separated the business, relaunched the brand this year. So, we'll have to wait and see, wait for some more time to get a reasonable sense of profitability of this business.

Ankit Kedia : So, in this environment where you said demand challenges could come in second half, and we're also looking at price increases to mid - to high single digit, the confidence in Pantaloons would be significantly higher versus OWND. And hence, should we have slower stores opening in OWND versus Pantaloons this year?

Ashish Dikshit : Yes. If you look at the Pantaloons and OWND price segment and market opportunity, Pantaloons with 400 store network operating at higher price points is talking about 20, 22 stores. OWND

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26 , 202 6

Page 13 of 18

operating at half the average price point, practically start -up base is also operating at similar level of -- this year, we are looking at 20 to 30 or at best 30, 35 stores.

Primarily, it's not to do so much with the market environment because these are multiyear

businesses. We can't be reacting very short term to these long-term opportunities. This is more to do with us wanting to be clear, getting the operating parameters right, getting the store economics right, getting the merchandise mix, the team and everything else, which is why this year, we are not accelerating as fast as the opportunity might be.

Ankit Kedia : Sure. My next question is for Tasva. Our check suggests you're entering womenswear in Tasva as well this year. So, from a profitability perspective, FY '28, does that include entry into womenswear in Tasva as well or no?

Ashish Dikshit : No, I think by then, Tasva womenswear, if at all, we do launch, will be a very small part of it. So, I don't think it will materially create a shift. Because unlike launching a new brand where you have 3 new costs, a whole new brand and marketing cost, a whole new store cost because you have to set up exclusive stores and a new team cost.

In Tasva women launch, we have no incremental cost that we are talking about. It will launch in the same store under the same brand by largely the same team. And therefore, it will not materially change the economics either way, at least in the short term. In long term, of course, we see this as a large opportunity.

Ankit Kedia : Sure. And I know you will not talk much about it, but in which category in womenswear are you planning to launch it? And where do you see the white space?

Ashish Dikshit : I think women getting married is the white space that we are looking at. You know the opportunity. It's very large. It's a fragmented market. We'll be in a position to talk about it, I think, in the next 6 months or so. It's too early. I don't think even FY '27, we'll see much action on it.

Ankit Kedia : Sure. And last question, if I may squeeze in. Just on cash

flow statement, if I look at lease liability

last year versus this year, a significant decline. So, high rental stores have that been closed or we have moved more towards variable rental? Why is the interest and lease liability decline in cash flow significantly?

Jagdish Bajaj : Lease liability has gone up from INR3,600 crores to INR4,500 crores.

Ankit Kedia : Sir, I'm talking of cash flows, repayment of lease liability?

Jagdish Bajaj : So, that is the lease agreement, et cetera, that is separate. But my lease liability because we are entering into agreements, which is there in the balance sheet. Cash flow is the adjustment of if there some closure takes place or the old leases expire, that will come into this.

Ankit Kedia : But it's a significant decline versus last year. So, have we changed some accounting for that?

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26, 2026

Page 14 of 18

Jagdish Bajaj : No, no, no change in accounting, nothing.

Moderator: Next question comes from the line of Sameer Gupta with IIFL Capital.

Sameer Gupta : Firstly, and I know a lot of people have asked on this, but Pantaloons. So, if I look at the full year numbers and this normalizes for festive shift, EOSS shifts, et cetera, it's a 2% LTL. And this has generally been a good year for apparel. So, we have a Shoppers Stop and a V-Mart both reporting 5% LTL growth this year. So, is it a case in case of Pantaloons of the first half being poor and second half with all our strategies and actions? Is that the case?

Ashish Dikshit : Yes, that's right. Absolutely.

Sameer Gupta : Okay. And if that is the case, then why are we still not accelerating the pace of store addition? I heard in the other question, you said 20 to 22 store additions in FY '27, and this happens to be a multiyear opportunity. Why then the confidence is not showing in our store addition guidance?

Ashish Dikshit : So see, it will be very knee-jerk reactions if we keep reacting to every quarter's responses, which is why we look for long-term trends and opportunities, which is why, as Sangeeta mentioned, we have looked at last 5, 6 months of last year as well as we are getting into this quarter. Increasingly, all the pieces of strategy are coming together. The store addition pipeline takes time to build. So, when you decide it takes 6 to 9 months, for right quality of stores, which is another part of our strategy because we were adding too many stores too rapidly and therefore, in some sense, the quality and impact and visibility was not of the same order that we wanted. And that pipeline takes time to build.

So, anything that we decide to do doesn't really play out in 6 to 9 months. And that's why the guidance has not shifted. But as Tejash had suggested in his question and my response, we obviously are looking to scale up a little faster. In the shorter term, you may not be able to see the impact of it.

Sameer Gupta : Got it, sir. So, still -- we are still in a slightly cautious mode here? Or is it just the pipeline takes time to build?

Ashish Dikshit : It's a pipeline which takes time to build.

Sameer Gupta : Sure. Great. That answers that. Second question, again, this has been asked in some different forms, but I have a slightly different version of a question here. So, INR1,400 crores cash outflow this year. And in general, most of the segments' profitability has improved. So, first of

all, when you started this year, did we envisage a INR1,400 crores cash outflow in the overall business?

And now because we are at a net debt position and the breakeven in some of these businesses, which still require investments is still some time away, you might see the net debt. I'm looking
Aditya Birla Fashion and Retail Limited (ABFRL)

May 26 , 202 6

Page 15 of 18

at overall net debt on the business on a consol level, that will keep increasing. So, is there then a foresight of an equity in

fusion in near future?

Ashish Dikshit : No, I think we are pretty much -- Jagdish should explain the numbers. If you look at consolidated basis, the net cash position was about INR2,500 crores, INR2,400 -odd crores beginning of the year, which was about INR2,150 crores on a standalone basis. There was a plan of INR1,000 crores this year, INR600 crores next year, INR500 crores hereafter.

We are pretty much going as per that plan, which factors in the stage level of profitability shift across various businesses as well as growth in the capex needs of the business and which is why while the debt may go up on a net level, there is adequate cash to fund not just standalone entity, but if any investments required in subsidiaries where we are investing.

There are some subsidiaries which are raising capital on their own. Jagdish just explained that TMRW with its proposed fundraise at the end of this quarter, we'll be sitting on something like INR800 crores of cash on its book. That's the one which requires highest growth capital. There are multiple other smaller subsidiaries, which have strong profitability to be able to raise capital on its own books if required. So, we have factored in all this, and that's why the calculation that Jagdish has given explain everything.

Sameer Gupta : I understand, sir. I also understood Jagdish sir's explanation. But at the end of the day, we will have a capital structure with a significantly larger net debt, which might be slightly risky in a retail business. So, how are you looking at that possibility?

Ashish Dikshit : No, we have seen cycles over a long period of time. Obviously, if there is a COVID -like crisis, we'll have to react differently. But we are pretty confident that this is the sort of right structure, which allows equity shareholders to maintain their levels of equity and the business to grow remarkably as we grow.

Sameer Gupta : And is there a level of this net debt then, which is where you will be comfortable, let's say, on an absolute basis or a net debt -to-EBITDA basis?

Ashish Dikshit : So, we'll look at that number as it plays out. I don't want to give projections of this, but I think we have maintained over the last 7 years in multiple presentations that as a company, first ABFRL united company, which included ABLBL and separately here, anything around 2 to 3 is what we have mentioned for any of our fashion companies. We are very far, but that's the guidance we gave 5 years back and 3 years back. It's in public domain. We don't have to ask me this question.

Sameer Gupta : Sure, sir. No worries. Last question, bookkeeping one. capex guidance for FY '27 and in just the '26 number, overall INR500 crore s capex, if you could give a rough split between different businesses, Pantaloons, Tasva, TMRW, Galeries Lafayette and the guidance for FY '27?

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26 , 202 6

Page 16 of 18

Jagdish Bajaj : So, I covered it includes INR150 crores of GL, the store which we opened. That will not be there going forward. Otherwise, the remaining other capex has gone into OWND, Pantaloons, Tasva and the TCNS, we opened around 25 stores. And TMRW also opened around 30, 40 stores.

Sameer Gupta : And going forward, sir?

Jagdish Bajaj : Next year, this one -off type of thing will not come. So, we have -- in our plan, I already conveyed roughly INR300 crores capex, INR250 crores to INR300 crores at consol e level.

Moderator: Next question comes from the line of Hemant Shah with Enam AMC.

Hemant Shah : First thing, I wanted to understand on the OWND. So, now across the 79 stores, what is your experience in terms of consumer acceptance of our merchandise, the profile of consumers -- and given that there might be some impact of inflation in the second half . So, how do you see the impact on this brand?

Ashish Dikshit : So, OWND, as you know, is in a very early phase in a market where there

are multiple players

between 300 to 1,000 stores. We have just started the journey. So, early stage for us to make conclusive sort of points about it. There are largely 2 set of custom ers. One is young people who are looking for what one could call a disposable fashion, fast fashion, different names used for

it, which is high fashion but low price.

The other is simply customers who are looking for reasonable quality at low price, which is mid - to low -income family customers. Both these profiles currently exist. We are obviously developing our point of view on where we want to shift our customer to, and that's something that's part of our overall strategy. But I wouldn't take too much in such a large market with such an early stage of evolution. I don't want to sort of narrow our opportunity at this point of time.

Hemant Shah : Any impact you see on the demand if the inflation in the second half leads to some sort of price action?

Ashish Dikshit : So, we have seen both at some level. Sometimes inflation causes downward pressure and therefore, value retailers gain out of it. At other times, it leads to lower discretionary demand.

As I said, our size of our business compared to the size of the segment is so small that I don't think we will be material beneficiary or material sort of we won't take a significant hit on account of that.

We'll have to remain cautious in terms of our pricing in this and perhaps should be more conservative as far as price increases are concerned. But I don't think we'll be able to -- anything that happens in this segment will be reflected in such a small business at this point of time.

Hemant Shah : Second, on the ethnic category, I just wanted to understand your view on the competition, especially from the local or regional players -- is there intense or aggressive competition coming up or the competition is getting down? Just your thoughts on that?

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26 , 202 6

Page 17 of 18

Ashish Dikshit : I think this is a category which has seen fairly large number of players entering this space over the last, I would say, 8 to 10 years from mid -2015, '16 when e -commerce started to develop, it offered opportunity for multiple small brands, labels, manufacturers to put their product. In the last 5, 7 years, that has further sort of grown rapidly. I don't think new competition is entering this space because it's already pretty crowded with very low entry barriers and large number of players.

I think the challenge is to create a distinctive brand where you can stand out and charge a reasonable premium to be -- to build a brand around it and which is why we are building the business the way we are building. If your question is about the regular women's ethnic wear. On the men's ethnic wear, the market is fairly consolidated. There is obviously a larger number of smaller players, but I think there, the big players have taken a more formidable position.

Hemant Shah : Just last one, I wanted to understand on the rent. So, given we are in an inflationary space, how do you see the current rentals? And do you see -- given that there might be some impact on demand, do you see then the rentals lowering or remaining at current levels? And would that change the store addition trajectory for us?

Ashish Dikshit : See, rentals are sort of midterm, they don't follow a very short -term phenomenon. If the demand compression is slightly longer, definitely, there will be compression on the rental side as well. But if it's a very transient and temporary feature, then I don't think it will significantly change that trajectory.

Moderator: Next question comes from the line of Kunal Bhatia with Dalal & Broacha Stock Broking Limited.

Kunal Bhatia : Sir, we have spoken a lot regards omnias far as Pantaloons is concerned and also the online businesses in general, getting more traction. But could you give s

ome sense on how the

competition is panning out ? So, are we seeing more competition even from the other players, especially on the overall online business is concerned? And also your specific comments on the same with TMRW because it's more of an online kind of a brand. So, how are you facing the competition there vis -a-vis how soon you expect the profitability in case of TMRW to come in, in this context?

Ashish Dikshit : So, I think it's very similar to the question that was asked in context of the ethnic wear. There are -- it's not that new online players are coming. I mean online players have got established. All the new players who had to come have come in the last 6, 7 years. There are new players coming in.

Equally, there are older players which fall out. As far as TMRW business is concerned, you've seen consistently, we report every quarter the growth numbers -- we're still growing on a full year and a quarterly basis at 30% plus. This is the third consecutive year and about 10, 12 quarters with the exception of 1 or 2.

Aditya Birla Fashion and Retail Limited (ABFRL)

May 26 , 202 6

Page 18 of 18

We have grown in excess of 25%, 30%. So, we are continuing to see strong trajectory as far as TMRW business is concerned. This is on the back of superior execution, building some of those labels into more stronger brand, giving management support wherever needed to the founders who had built the business early on and obviously, providing growth capital, which is really what has driven this.

As far as profitability of TMRW is concerned, we had indicated FY '29 as the year in which we expect that TMRW as a portfolio level, some of all brands to become profitable. We still see that journey. In the interim, we had -- as I mentioned, all the growth capital is primarily to drive growth of this business so that it's not just profitable, it's also substantive and a large business at that point of time.

Kunal Bhatia : Okay. And so in case of TMRW to get to that profitability target, with current situation wherein we will be having a INR500 crores NCD, INR440 crores equity infusion, would we be requiring more debt to fund this growth? Or the INR800 crores of cash, which we would be having should be enough to fund that growth in order to get to a profitability level?

Ashish Dikshit : So, we feel the INR800 crores is a substantial amount of cash on a business, which is already on a run rate of INR1,500 crores. If you look at the losses that we report on an annual basis, close to about INR200 crores. So, we feel that there is enough cash lever to both grow the business and with scale, also drive profitability within the brands and the overall ecosystem. So, we feel comfortable with that.

Kunal Bhatia : Okay. And sir, my second question is in terms of the overall raw materials. So, you would be obviously having your forward bookings for the coming season. So, what is your anticipation specifically on the ABFRL level? What is the kind of inflation? I'm not talking about industry in general, but for you per se, what is the inflation which has already kicked in for you for the next 6 to 7 months?

Ashish Dikshit : I had indicated about 3% to 5% in response to an earlier question.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of the management, we thank all participants for joining us. In case of any further inquiries, you may please get in touch with Mr. Amit Dwivedi. You may now disconnect your lines .